

HUGO BOSS

ANNUAL
REPORT

20
20

HUGO BOSS

AT A GLANCE

OPERATING RESULT (EBIT)¹

EUR **(126)** million
2019: EUR 355 million

CAPITAL EXPENDITURE

EUR **80** million
2019: EUR 192 million

ONLINE VERSION OF THE ANNUAL REPORT



Our annual report is also available online and offers many interactive features.

www.annualreport-2020.hugoboss.com

GROUP SALES

EUR **1,946** million
2019: EUR 2,884 million

FREE CASH FLOW

EUR **164** million
2019: EUR 457 million

EMPLOYEES

~ 13,800

PROPORTION OF WOMEN

60%

PROPORTION OF MEN

40%

¹ Excluding non-cash impairments of non-current assets related to the negative impact of COVID-19 on the own retail business. Including impairment charges, EBIT amounted to minus EUR 236 million (2019: EUR 344 million).

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TO OUR SHAREHOLDERS

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LETTER TO SHAREHOLDERS



Yves Müller, Spokesperson of the Managing Board

**Dear Shareholders,
Dear Readers,**

For HUGO BOSS, 2020 was undoubtedly a challenging year. Also for our company, the pandemic has caused an unprecedented and exceptional situation. After a very encouraging start to the year, the rapid spread of COVID-19 led to a significant impact on our business, in particular as the vast majority of our global points of sale were affected by temporary closures. In addition, large-scale restrictions on public life, vital social distancing measures and international travel restrictions weighed on consumer sentiment and buying mood, thereby putting a significant strain on our financial and operational performance. In this context, it is all the more important that we made further strong progress in executing our strategic initiatives also in the past year. We succeeded in further increasing the desirability of our two brands BOSS and HUGO and in aligning our diverse product range even better with the needs and wishes of our customers.

Above everything and most importantly: at any point in time in 2020, we have fully lived up to the corporate responsibility of HUGO BOSS. The health and well-being of our employees, customers, business partners and shareholders have always been our top priority. From the beginning of the pandemic, we acted quickly and decisively, enabling our global administration workforce to work remotely from home. We also implemented comprehensive social distancing and hygiene measures to guarantee all employees in manufacturing, logistics and retail the safest working environment possible. Last but certainly not least, and in order to protect the health and well-being of our shareholders, our Annual Shareholders' Meeting last year was held as a completely virtual meeting for the first time in our company history. It was equally important to us in 2020, to make a social contribution, especially in these difficult times. In this context, during the first peak of the pandemic, we temporarily switched our production sites in Germany and Turkey to the production of face masks and PPE, and donated these to public institutions right after.

We also took all the necessary steps to secure the financial stability and flexibility of HUGO BOSS early on during the pandemic. In particular, we initiated a set of comprehensive measures to safeguard our cash flow and successfully implemented them over the course of the year. This, in turn, enabled us to significantly reduce our operating expenses, to postpone all non-business-critical investments until further notice and to significantly reduce the merchandise inflow. All of this ensured that we had sufficient liquidity at all times, ending the year 2020 with a positive free cash flow of EUR 164 million. In addition, we have not yet utilized the additional credit lines that we secured during the year.

“We made significant progress in successfully executing our strategic priorities in 2020.”

Despite the noticeable negative impact of the pandemic on our business, in 2020 we continued to make significant progress when it comes to our strategic initiatives, particularly in the important online business and in our growth market China. With a currency-adjusted sales increase of almost 50%, our online business did extremely well and posted significant double-digit growth for the third consecutive year. For the first time in our history, in 2020 we have managed to break the EUR 200 million mark with our online sales. This was also supported by the successful roll-out of our online flagship hugoboss.com into 32 additional markets. Following the lockdown in the first quarter, our business in mainland China also experienced strong growth. Already in the course of the second quarter, we were able to return to our double-digit growth trajectory there. Overall, our currency-adjusted sales in mainland China increased by 5% in 2020.

From a brand perspective, further increasing the desirability of BOSS and HUGO was a clear focus of all our initiatives in 2020. Since we had to cancel many in-person events during the pandemic, the focus was more than ever on social media. Here, our exclusive collaborations with well-known brands and ambassadors are paying off more and more. And I am particularly pleased that with Hollywood actor Chris Hemsworth we have recently signed the first global brand ambassador for BOSS Menswear. In this role, the 37-year-old Australian will be the face of the brand's future global campaigns, further increasing its relevance, especially among younger customers, and giving a strong boost to our important casualwear business. Our recently announced partnerships with the American sportswear brand Russell Athletic and the professional basketball league NBA will provide further tailwind in this context. Thanks to their clear focus on street style, both collections will further strengthen the appeal of BOSS casualwear – globally, but above all on the important U.S. market.

In 2020, we also managed to further increase the efficiency and flexibility of our operational processes – as we increasingly exploit the vast potential that comes along with digitization. Already today, more than 50% of our products are developed digitally, thus continuously reducing lead times. An important milestone in this regard is our completely digitally developed BOSS casualwear collection, which will be launched this summer. Its development took just eight weeks, impressively demonstrating how digitalization will enable us to react significantly faster to market trends and thus fulfill the wishes of our customers even better going forward.

Although 2020 was without doubt severely impacted by the pandemic, we have never lost sight of sustainability. Instead, we continued to make significant progress on this important topic as well. We are particularly proud that HUGO BOSS has been included in the Dow Jones Sustainability Index (DJSI) World for the fourth time in a row, making us one of the three most sustainable companies in our industry. Our strong commitment to sustainability is also becoming increasingly visible in our collections. Not only did we successfully launch the first completely vegan BOSS suit last year, but our “traceable wool” collection also enables our customers to seamlessly track the entire supply chain. Through our strong commitment to sustainability, we will ensure to best meet the growing customer expectations whilst at the same time creating added value for the environment and society.

“We will continue to push the casualization of our business model.”

Being the most desirable fashion and lifestyle brand in the premium segment of the global apparel market is and remains our vision. This is why the relentless execution of our strategic initiatives will take center stage also in 2021, thereby taking into account the structural changes in our industry which in many cases are being further fueled by the pandemic. Not only is the shopping behavior of customers increasingly shifting from offline to online, but the global trend toward a more casual and sustainable lifestyle has also experienced a further strong boost in recent years. It will therefore remain one of our top priorities going forward to push the casualization of our business model – across all brands, genders and wearing occasions. At the same time, we will continue to make every effort to consistently pursue our success story in the online business and in the important growth market of China.

Pushing ahead with our strategic initiatives will also be critical to returning to sales and profit growth as soon as possible. Although uncertainties regarding the further development of the pandemic remain high for the time being, our focus clearly remains on driving the further recovery of our global business. With its more than 1,000 points of sale globally, our brick-and-mortar retail business plays a decisive role here, as it is still being noticeably affected by ongoing lockdowns and severe restrictions on public life in many markets. Nevertheless, I am absolutely convinced that through our numerous brand and product initiatives, we will create excitement around both brands – BOSS and HUGO – in 2021 and win over the consumer. This in turn should enable our global business to recover meaningfully in fiscal year 2021.

In light of the significant impact of the pandemic on sales, EBIT and free cash flow in fiscal year 2020 and in view of the continuing high level of uncertainty, we will propose to the 2021 Annual Shareholders’ Meeting to only pay the legal minimum dividend of EUR 0.04 per share for fiscal year 2020. Such a decision is far from easy for us. However, given the extraordinary circumstances, we consider this decision to be imperative, as it is essential to further strengthen our financial stability and flexibility in this challenging period. Nevertheless, I remain confident that HUGO BOSS will continue to generate a significantly positive free cash flow in the future on the basis of a general recovery of its business and thanks to its strong business model. This, in turn, will be the basis for returning to an attractive dividend policy in future.

Dear shareholders, I am fully convinced that in 2020 we have once again laid important foundations to ensure long-term success for HUGO BOSS. This, in turn, will form a strong basis for future shareholder value creation! I would like to take this opportunity to thank our almost 14,000 employees worldwide. Thanks to their tremendous efforts and great commitment, HUGO BOSS has been able to overcome the challenges of 2020. Even though the pandemic has led to many changes, the connection between our employees, our company and our two strong brands – BOSS and HUGO – is stronger than ever before. That fills me with great pride and is a crucial foundation for the successful future of our company.

Thank you for your support!

Sincerely yours,



Yves Müller

Spokesperson of the Managing Board

MANAGING BOARD



f.l.t.r.: Oliver Timm, Dr. Heiko Schäfer, Yves Müller, Ingo Wilts

YVES MÜLLER

(Hamburg/Metzingen, Germany)
Spokesperson of the Managing Board

Responsibility:

Controlling, Finance and Tax, Internal Audit, Investor Relations, Central Services, IT, Risk and Insurance Management, Legal/Compliance, Human Resources, Corporate Strategy, Corporate Communications

OLIVER TIMM

(Meerbusch/Metzingen, Germany)

Responsibility:

Own Retail, Wholesale including E-Commerce, Visual Merchandising, Retail Operations, Real Estate Management, Customer Relationship Management (CRM)

DR. HEIKO SCHÄFER

(Hamburg/Metzingen, Germany)

Responsibility:

Operations, Own Manufacturing, Product Development and Sourcing, Sustainability and Quality Management, Global Logistics

INGO WILTS

(Amsterdam, Netherlands / Metzingen, Germany)

Responsibility:

Creative Management, Licenses Management, Global Marketing, Business Unit BOSS Menswear, Business Unit BOSS Womenswear, Business Unit HUGO

REPORT OF THE SUPERVISORY BOARD

**Dear shareholders,
Dear ladies and gentlemen,**

Fiscal year 2020 was primarily affected by the COVID-19 pandemic and its impact on the global business of HUGO BOSS. Despite heightened uncertainties, the Supervisory Board is firmly convinced that HUGO BOSS has successfully overcome the associated challenges in 2020. The consistent implementation of measures initiated by the Managing Board to secure cash flow at an early stage of the pandemic has ensured the financial stability of HUGO BOSS at any given time. Especially in these exceptional times, the close and trusting cooperation between the Managing Board and Supervisory Board was and remains particularly important. The Supervisory Board continued to perform its **duties with the utmost care** in fiscal year 2020, providing comprehensive advice to the Managing Board and monitoring its management activities. It entirely performed the duties imposed on it by law and by the Company's Articles of Association and its own bylaws.

On behalf of the entire Supervisory Board, I would like to take this opportunity to express our special thanks to all **employees of the HUGO BOSS Group**. Their relentless efforts and tremendous passion – despite all the professional and private restrictions – lay the foundation for successfully overcoming the challenges associated with the pandemic.

Composition of the Supervisory Board

The Supervisory Board of HUGO BOSS AG was re-elected as scheduled at the **Annual Shareholders' Meeting on May 27, 2020**. The previous shareholder representatives on the Supervisory Board, Michel Perraudin, Kirsten Kistermann-Christophe and Axel Salzmann did not stand for re-election. Hermann Waldemer, Gaetano Marzotto and Luca Marzotto were re-elected as members of the Supervisory Board. In addition, the Annual Shareholders' Meeting appointed Iris Epple-Righi, Christina Rosenberg and Robin J. Stalker as new members of the Supervisory Board. The employee representatives had already been appointed in a separate election in March and took up their mandate at the constituent meeting after the Annual Shareholders' Meeting. Whereas Fridolin Klumpp did not stand for re-election, Katharina Herzog was elected as a new employee representative. The regular term of office of the newly elected Supervisory Board finishes at the end of the ordinary Annual Shareholders' Meeting in 2025 that decides on the approval of the Supervisory Board for fiscal year 2024. Immediately following the ordinary Annual Shareholders' Meeting in 2020, Hermann Waldemer was elected Chairman and Sinan Piskin Deputy Chairman at the constituent meeting of the Supervisory Board.

Collaboration between Managing Board and Supervisory Board

The Managing Board informed us regularly, comprehensively and in a timely manner in both written and oral form of all **matters of relevance for HUGO BOSS AG and its Group companies related to strategy, planning, business performance, the risk position, changes in the risk situation and compliance**. Monitoring and control duties particularly focused on the financial performance of the Company, in particular in connection with the COVID-19 pandemic. In particular, developments leading to any deviations in the actual course of business from the initial outlook and targets were explained in detail to the Supervisory Board and reviewed on the basis of all documents presented. The Chairman of the Audit Committee and I maintained close and regular dialog with the Managing Board. We were kept promptly informed of significant developments and decisions and we reported on these at the following Supervisory Board and Committee meeting at the latest.

All members of the Supervisory Board had sufficient time to review all of the Managing Board's **reports and proposals** and to contribute their own ideas in Committees and Supervisory Board meetings. Approvals were issued only after requesting clarification from the Managing Board and discussing the matter extensively with the members of the Managing Board. In urgent cases, the Supervisory Board passed resolutions in a circular resolution. The Supervisory Board was directly involved at an early stage in all decisions of fundamental importance to the Company.

Main topics at the meetings of the Supervisory Board

In fiscal year 2020, a total of six Supervisory Board meetings were held in March, April and May before the newly elected Supervisory Board took office on May 27, 2020. All members participated in all six of these meetings. The newly elected Supervisory Board also met six times in May, June, July, September and December. Again, all members participated in all meetings, except for Tanja Silvana Nitschke, who was unable to attend one meeting but participated in the decisions via a written vote. Consequently, a total of **12 Supervisory Board meetings** took place throughout the entire fiscal year, with the Supervisory Board meeting in September being a two-day meeting. In addition, a circular resolution was passed in December.

The **Audit Committee** met twice with the old members and twice with the new members. All members participated in all four meetings in total, with the exception of Robin J. Stalker who was unable to attend one meeting of the Audit Committee. The **Working Committee** also met twice with its old members and twice with its new members. All members participated in all meetings. All committee members participated in all 11 meetings of the **Personnel Committee** – seven with the old members and four with the new members – with the exception of Anita Kessel, who was unable to attend a meeting of the Personnel Committee but participated in the decisions via a written vote. The **Nomination Committee** met once in March with all members present.

Participation in meetings of the full Supervisory Board and its committees¹ (until the Annual Shareholders' Meeting 2020)

Member	Full Supervisory Board (6)	Audit Committee (2)	Working Committee (2)	Personnel Committee (7)	Nomination Committee (1)	Attendance rate (18)
Michel Perraudin, Chairman	6/6	2/2	2/2	7/7	1/1	18/18
Antonio Simina, Deputy Chairman	6/6	2/2	2/2	7/7	–	17/17
Anita Kessel	6/6	–	2/2	–	–	8/8
Kirsten Kistermann-Christophe	6/6	–	–	–	–	6/6
Fridolin Klumpp	6/6	2/2	–	–	–	8/8
Gaetano Marzotto	6/6	–	–	–	1/1	7/7
Luca Marzotto	6/6	–	2/2	7/7	–	15/15
Tanja Silvana Nitschke	6/6	–	–	–	–	6/6
Sinan Piskin	6/6	–	2/2	7/7	–	15/15
Axel Salzmann	6/6	–	–	–	–	6/6
Martin Sambeth	6/6	–	–	–	–	6/6
Hermann Waldemer	6/6	2/2	2/2	–	–	10/10

¹ The Mediation Committee did not convene in the last fiscal year.

Participation in meetings of the full Supervisory Board and its committees¹ (starting from the Annual Shareholders' Meeting 2020)

Member	Full Supervisory Board (6)	Audit Committee (2)	Working Committee (2)	Personnel Committee (4)	Nomination Committee (0)	Attendance rate (14)
Hermann Waldemer, Chairman	6/6	2/2	2/2	4/4	0/0	14/14
Sinan Piskin, Deputy Chairman	6/6	2/2	2/2	4/4	–	14/14
Iris Epple-Righi	6/6	–	2/2	–	–	8/8
Katharina Herzog	6/6	–	2/2	–	–	8/8
Anita Kessel	6/6	–	–	3/4	–	9/10
Gaetano Marzotto	6/6	2/2	–	–	0/0	8/8
Luca Marzotto	6/6	–	2/2	4/4	–	12/12
Tanja Silvana Nitschke	5/6	–	2/2	–	–	7/8
Christina Rosenberg	6/6	–	–	4/4	–	10/10
Martin Sambeth	6/6	2/2	–	–	–	8/8
Antonio Simina	6/6	2/2	–	4/4	–	12/12
Robin J. Stalker	6/6	1/2	–	–	–	7/8

¹ The Mediation Committee did not convene in the last fiscal year.

The **meeting of the Supervisory Board in March 2020** focused on the annual financial statements of HUGO BOSS AG and the Group as of December 31, 2019 and the audit report prepared by the auditors. At this meeting, the annual financial statements and the consolidated financial statements of HUGO BOSS AG as of December 31, 2019 were approved and ratified. Furthermore, the Supervisory Board's report to the Annual Shareholders' Meeting was discussed and adopted. The resolution proposals for the Annual Shareholders' Meeting of HUGO BOSS AG, which initially was scheduled for May 7, 2020, were adopted following the review of the independence of the proposed auditor for the fiscal year 2020. Other topics included the re-appointment of Yves Müller as a member of the Managing Board until the end of 2023 and the appointment of Dr. Heiko Schäfer to the Managing Board on March 16, 2020.

At the **meeting in late March 2020**, the Supervisory Board discussed the departure of Mark Langer as Chief Executive Officer of HUGO BOSS AG and the specific plans for succession. In addition, a possible postponement of the 2020 Annual Shareholders' Meeting against the background of the COVID-19 pandemic was discussed.

In two **meetings at the beginning of April 2020**, the Supervisory Board first decided on the measures to safeguard the financial stability of the Group during the COVID-19 pandemic, the suspension of the dividend payment for fiscal year 2019 with the exception of the minimum dividend of 0.04 EUR per share and the retention of the profit for fiscal year 2019. It was also decided to postpone the Annual Shareholders' Meeting until May 27, 2020 and to hold it virtually for the first time due to the pandemic. In this context, it was also decided to propose the modernization of the Articles of Association to the Annual Shareholders' Meeting in order to allow participation and voting at the Annual Shareholders' Meeting even without a physical presence. In the meeting shortly thereafter, the respectively amended convocation of the postponed virtual Annual Shareholders' Meeting was approved after the terms of a virtual Annual Shareholders' Meeting had been discussed in detail.

In its **meeting in early May 2020**, the Supervisory Board discussed the current business performance and the status of preparations for the virtual Annual Shareholders' Meeting. In addition, the succession planning for the position of Chief Executive Officer was discussed. The increase in the current syndicated loan and the closing of further credit lines to ensure the financial flexibility of HUGO BOSS during the pandemic were approved at the **meeting immediately before the Annual Shareholders' Meeting in May 2020**. In addition, certain topics related to the virtual Annual Shareholders' Meeting were

discussed. Immediately **following the Annual Shareholders' Meeting in May 2020**, the newly elected Supervisory Board met for its constituent meeting. In addition to the election of the Chairman and Deputy Chairman, the composition of the committees was also determined at that meeting.

In its **meeting in mid-June 2020**, the Supervisory Board dealt with the appointment of Daniel Grieder as the Chief Executive Officer of HUGO BOSS AG based on the Personnel Committee's proposal. In addition, various onboarding events were held, in which the newly elected members of the Supervisory Board were thoroughly familiarized with the Company's structures, divisions and strategy. They also had the opportunity to take part in a guided tour at the Company's headquarters in Metzingen. In addition, there were various information events for example on the rights and obligations of members of the Supervisory Board. No individual training measures that go beyond this were carried out in fiscal year 2020.

At separate meetings **in late June 2020 and early July 2020**, the Supervisory Board initially approved the appointment of Oliver Timm to the Managing Board as of January 1, 2021. Mark Langer's earlier move to an advisory role on July 15, 2020, and his departure from the Managing Board was also discussed. In this context, the Supervisory Board also decided that Yves Müller will assume the role of spokesperson of the Managing Board until Daniel Grieder takes office. Yves Müller is granted a special payment at the sole discretion of the Supervisory Board for the increased workload and the additional responsibility that this entails.

The **meeting in September 2020** focused on the current business performance, the transition to a new working model ("Threedom of Work") at the Company's headquarters in Metzingen aimed at enabling employees more mobile working opportunities, the implementation of the upcoming BOSS fashion show in Milan, the future direction of BOSS womenswear and the accompanying marketing activities, and the Group's sustainability program. In addition, key aspects of the audit for fiscal year 2020 were decided.

The budget for fiscal year 2021 was discussed and passed in the **meeting of the Supervisory Board in December 2020**. In addition, the adjustment of the Managing Board's compensation system, planned with the approval of the 2021 Annual Shareholders' Meeting, was discussed. Moreover, the findings of the Supervisory Board efficiency audit, which were collected based on a questionnaire and analyzed and presented by an external provider, were elaborated on in detail. The declaration of compliance with the German Corporate Governance Code and the planning of the focus areas of the internal audit for 2021 were discussed and decided upon. The Group's internal Code of Conduct, revised in 2020, and its binding nature for the Supervisory Board were also discussed and approved.

The implications of the COVID-19 pandemic and the related business performance, liquidity management, and the current risk situation of the Company were regularly discussed in detail at the Supervisory Board meetings and approved where necessary. In addition, the meetings of the Supervisory Board involved regular, detailed reports on the contents of the previous committee meetings. In addition, in 2020, the Supervisory Board focused primarily on investment planning, individual investment projects, the capital structure, cost planning, compliance issues and the requirements of the German Corporate Governance Code.

Work of the Committees in fiscal year 2020

To perform its duties, the Supervisory Board has formed **five Committees**: an Audit Committee, Personnel Committee, Working Committee, Nomination Committee and the legally required Mediation Committee. To the extent legally permissible and insofar as they have been given corresponding authorizations, individual Committees make decisions instead of the Supervisory Board as a whole. Otherwise, they prepare decisions and topic areas for the Supervisory Board as a whole. The respective committee chairs report to the Supervisory Board in detail about the work of the committees at regular intervals.

In total, the **Audit Committee** met four times in fiscal year 2020. The main agenda of its meetings concerned the financial reporting of the HUGO BOSS AG and the Group with respect to the annual, half-yearly and quarterly financial statements, the audit of the annual and consolidated financial statements, monitoring of the risk management and internal control system, compliance matters and risk management. In addition, the Audit Committee requested the declaration of independence from the external auditor and convinced itself of the auditor's independence. In addition to defining the main aspects of the audit of the annual and consolidated financial statements for 2020 and mandating the external auditor, it approved non-audit services and placed a cap on the fees payable for such non-audit services. In addition, the results of the audit review of the combined non-financial statement were discussed.

The **Personnel Committee** met 11 times in total. It focused on the allocation of responsibilities for the business divisions, preparing the renewal of the Managing Board contracts, the target achievement for the prior fiscal year and preparing the target agreements for the Managing Board. It also dealt with the termination of Mark Langer's employment contract as a member of the Managing Board, his replacement as the Chief Executive Officer and the search for a Chief Sales Officer. The meeting also focused on the planned adjustment of the compensation system for members of the Managing Board.

The **Working Committee** met four times in the year under review and dealt with current business performance, strategy, and preparations for the Annual Shareholders' Meeting. In addition, the developments in the Company's online business and customer relationship management (CRM), the organizational structure of the Group and the measures put in place in the course of the pandemic to secure the cash flow were discussed. The Working Committee also elaborated on the Supervisory Board efficiency audit and the Corporate Governance Statement.

The **Nomination Committee** met once in the spring of the past fiscal year to prepare for the upcoming elections of the Supervisory Board.

The **Mediation Committee** did not meet in the last fiscal year.

Corporate governance

The Supervisory Board additionally dealt with the **principles of good corporate governance** within the Company. In December 2020, the Managing Board and the Supervisory Board issued a new declaration of compliance with the German Corporate Governance Code (GCGC). On page 119, the corporate governance statement can be found. In relation to the annual efficiency audit of the Supervisory Board's activities recommended by the German Corporate Governance Code, the Supervisory Board decided to remain with the tried and tested method of an audit using a comprehensive questionnaire. External analysis of the completed questionnaires and the improvements suggested were analyzed and discussed at length at the Supervisory Board meeting in early December 2020. The Supervisory Board drew a favorable conclusion overall.

Conflicts of interest

No conflicts of interest relating to Managing Board or Supervisory Board members arose in fiscal year 2020. Under the German Corporate Governance Code (DCGK), such conflicts of interest must be disclosed without delay to the Supervisory Board, as well as to the Annual Shareholders' Meeting.

Audit of annual and consolidated financial statements for 2020

Ernst & Young Wirtschaftsprüfungsgesellschaft, Stuttgart, duly audited the consolidated financial statements of HUGO BOSS AG for 2020, including the accounting records, which had been prepared by the Managing Board on the basis of the International Financial Reporting Standards (IFRS) in accordance with Sec. 315e HGB, and issued an **unqualified audit opinion**. This was also the case for the annual financial statements of HUGO BOSS AG for 2020 prepared in accordance with the provisions of the German Commercial Code as well as the combined management report for 2020 of HUGO BOSS AG and the Group. The corresponding audit mandate had been assigned by the Audit Committee of the Supervisory Board in accordance with the resolution of the Annual Shareholders' Meeting held on May 27, 2020. In addition, it was agreed with the auditor that the Chairman of the Audit Committee would have to be informed during the audit without delay about any possible grounds for disqualification or factors affecting impartiality that could not be rectified immediately. It was also agreed that the external auditor is obliged to report on any findings or events arising during the performance of the audit that are of importance to the duties of the Supervisory Board. The auditor was furthermore required to inform the Supervisory Board or note in the audit report any facts that were ascertained during the audit resulting in any errors in the declaration submitted by the Managing Board and the Supervisory Board in accordance with Sec. 161 (1) Sentence 1 of the AktG (German Stock Corporation Act). The auditor did not issue any such reports in the reporting year. Furthermore, the Supervisory Board has convinced itself of the auditor's independence. The possibility of engaging the auditors to perform non-audit services was also discussed. The Supervisory Board received all accounting documents and the Managing Board's proposal for the appropriation of profit as well as the audit report from the external auditor.

The annual financial statements, proposal for the appropriation of profit, consolidated financial statements and combined management report for 2020 for HUGO BOSS AG and the Group, which also contains the combined non-financial statement for HUGO BOSS AG and the Group, and the audit report were discussed and verified in advance by the Audit Committee and then by the full Supervisory Board in the presence of the external auditor. The external auditor reported on the main findings of the audit, particularly with respect to the key aspects of the audit that had been determined by the Audit Committee for the year under review. He was also available to answer any questions and provide additional information. No significant shortcomings in the accounting-related internal control system and risk management were identified in connection with this. Similarly, there were no circumstances

indicating any partiality on the part of the external auditor. Finally, he reported on the non-audit services that had been provided in the fiscal year under review. The auditor's findings were approved. Following its final review, the Supervisory Board raised no objections.

Consequently, at its meeting on March 10, 2021 the Supervisory Board approved the **financial statements for fiscal year 2020** prepared by the Managing Board. The financial statements of HUGO BOSS AG for fiscal year 2020 were therefore ratified in accordance with Sec. 172 AktG.

For fiscal year 2020, the Managing Board compiled a **combined non-financial statement** for HUGO BOSS AG and the Group and included this in the combined management report for 2020. The Supervisory Board commissioned Ernst & Young Wirtschaftsprüfungsgesellschaft, Stuttgart, to perform an audit to obtain limited assurance of this statement. All Supervisory Board members promptly received the combined non-financial statement for HUGO BOSS AG and the Group for fiscal year 2020 and the independent auditor's limited assurance report. The full Supervisory Board deliberated on the statement and the audit certificate of Ernst & Young on March 10, 2021. Ernst & Young auditors participated in this discussion and presented the audit results. No objections were raised based on their own review of the combined non-financial statement for HUGO BOSS AG and the Group, and the result of the audit to obtain limited assurance by Ernst & Young Wirtschaftsprüfungsgesellschaft, Stuttgart, was noted with approval.

Thank You

On behalf of the Supervisory Board, I want to thank the members of the Managing Board and all employees for their high level of personal dedication and tremendous commitment. I also want to thank the employee representatives of HUGO BOSS AG for their constructive collaboration in fiscal year 2020.

Finally, I would like to express my gratitude to you, the shareholders, for your trust in our Company.

Metzingen, March 10, 2021

The Supervisory Board



Hermann Waldemer

Chairman of the Supervisory Board

SUPERVISORY BOARD

Supervisory Board

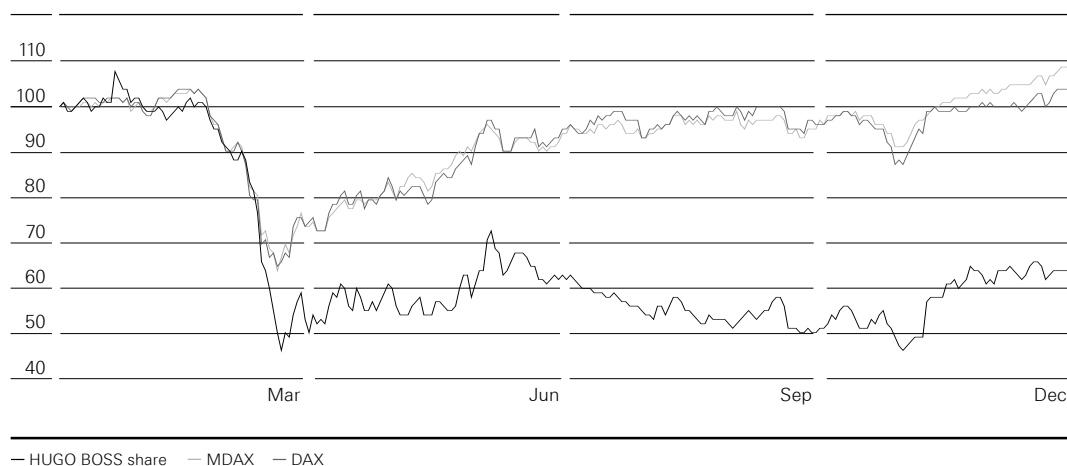
Shareholder representatives	Employee representatives	Supervisory Board Committees ¹
Hermann Waldemer (Blitzingen, Switzerland) Management Consultant, Chairman of the Supervisory Board (since May 2020), Member since 2015 Iris Epple-Righi (Munich, Germany) Management Consultant, Member since 2020 Gaetano Marzotto (Milan, Italy) Chairman of the Supervisory Board Gruppo Santa Margherita S.p.A., Fossalta di Portogruaro, Italy, Member since 2010 Luca Marzotto (Venice, Italy) Chief Executive Officer Zignago Holding S.p.A., Fossalta di Portogruaro, Italy, Member since 2010 Christina Rosenberg (Munich, Germany) Management Consultant innotail, Munich, Germany, Member since 2020 Robin J. Stalker (Oberreichenbach, Germany) Chartered Accountant, Member since 2020 Michel Perraudin (Hergiswil, Switzerland) Management Consultant, Chairman of the Supervisory Board (until May 2020), Member from/until 2015/2020 Kirsten Kistermann-Christophe (Oberursel, Germany) Managing Director Société Générale S.A., Frankfurt/Main, Germany, Member from/until 2015/2020 Axel Salzmann (Großhansdorf, Germany) Chief Financial Officer Hensoldt Holding GmbH, Taufkirchen, Germany, Member from/until 2015/2020	Sinan Piskin (Metzingen, Germany) Administrative Employee/Deputy Chairman of the Works Council HUGO BOSS AG, Metzingen, Germany, Deputy Chairman of the Supervisory Board (since May 2020), Member since 2008 Katharina Herzog (Reutlingen, Germany) Director Group Finance & Tax HUGO BOSS AG, Metzingen, Germany, Member since 2020 Anita Kessel (Metzingen, Germany) Administrative Employee HUGO BOSS AG, Metzingen, Germany, Member since 2015 Tanja Silvana Nitschke (Inzigkofen, Germany) Chairperson and Treasurer of the German Metalworkers' Union (IG Metall) Reutlingen-Tübingen, Reutlingen, Germany, Member since 2015 Martin Sambeth (Tiefenbronn, Germany) Chairperson and Treasurer of the German Metalworkers' Union (IG Metall) Karlsruhe, Karlsruhe, Germany, Member since 2016 Antonio Simina (Metzingen, Germany) Tailor/Chairman of the Works Council HUGO BOSS AG, Metzingen, Germany, Deputy Chairman of the Supervisory Board (until May 2020), Member since 1985 Fridolin Klumpp (Caslano, Switzerland) Business Director BOSS Womenswear HUGO BOSS AG, Metzingen, Germany, Member from/until 2015/2020	Working Committee • Hermann Waldemer (Chairman) • Iris Epple-Righi • Katharina Herzog • Luca Marzotto • Tanja Silvana Nitschke • Sinan Piskin Nomination Committee • Hermann Waldemer (Chairman) • Gaetano Marzotto Personnel Committee • Hermann Waldemer (Chairman) • Anita Kessel • Luca Marzotto • Sinan Piskin • Christina Rosenberg • Antonio Simina Audit Committee • Robin J. Stalker (Chairman) • Gaetano Marzotto • Sinan Piskin • Martin Sambeth • Antonio Simina • Hermann Waldemer Mediation Committee (in accordance with Se. 27 (3) Mitbestimmungsgesetz [Co-Determination Act]) • Hermann Waldemer (Chairman) • Anita Kessel • Gaetano Marzotto • Sinan Piskin

¹ since May 2020.

HUGO BOSS ON THE CAPITAL MARKET

- Major German indices with single-digit gains in 2020
- Implications of COVID-19 pandemic weigh on HUGO BOSS share price performance
- Investor Relations website wins prestigious award

Share price performance 2020 (Index: December 31, 2019 = 100)



Capital markets had an upbeat start into the **year 2020**. Supported by generally low levels of unemployment, continued low interest rates, declining trade tension between the U.S. and China as well as the hope of a swift resolution to Brexit, share prices were maintained at last year's high levels. However, in light of the global **spread of COVID-19**, this development came to an abrupt end, with the implications of the pandemic dominating large parts of 2020. Both indices, the DAX and MDAX, fell to their annual low in mid-March, which also marked the lowest level in more than four years. In light of the rapid implementation of **major fiscal and economic measures**, both indices saw a rapid recovery throughout the year, returning to pre-crisis levels only a few months later. Towards the end of the year, however, this upward trend was somewhat dampened. While the **outcome of the U.S. election** and the successful introduction of various vaccines provided further support to equity markets, a growing number of infections and renewed lockdowns, especially in Europe, cast a shadow over the economic outlook. Overall, despite the sharp decline in March, the DAX rose by 4% in 2020, while the MDAX gained 9%.

HUGO BOSS share in comparison (change in %)

	1 year	3 years	5 years	10 years
HUGO BOSS share	(37)	(62)	(64)	(52)
DAX	4	6	28	98
MDAX	9	18	48	204
MSCI World Textiles, Apparel & Luxury Goods	21	57	106	187

Despite the impact of the COVID-19 pandemic, the **MSCI World Textiles, Apparel & Luxury Goods Index**, which reflects the share price performance of major companies in the apparel and luxury goods segment, recorded significant growth in 2020 and ended the year up 21%. In particular, share price development in the luxury goods sector, which had been comparatively less affected by the effects of the pandemic, was extremely robust.

HUGO BOSS – key share data

	2020	2019
Number of shares	70,400,000	70,400,000
Thereof outstanding shares	69,016,167	69,016,167
Thereof own shares	1,383,833	1,383,833
Share price in EUR¹		
Last (December 31)	27.29	43.26
High	46.66	67.02
Low	19.63	36.35
Market capitalization in EUR million (December 31)	1,921	3,046
Earnings per share in EUR	(3.18)	2.97
Price-earnings ratio²	(8.6)	14.6
Dividend per share in EUR³	0.04	0.04
Dividend yield in %^{2,3}	0.1	0.1
Amount distributed in EUR million³	3	3

¹ Xetra.

² Based on closing price (December 31).

³ 2020: In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the legal minimum dividend of EUR 0.04 per share for fiscal year 2020.

2019: Against the backdrop of the negative implications of the pandemic, HUGO BOSS suspended its dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share.

ISIN, WKN and ticker symbol HUGO BOSS share

ISIN	DE000A1PHFF7
WKN	A1PHFF
Ticker symbol	BOSS

Stock exchanges: Xetra, Frankfurt/Main, Stuttgart, Dusseldorf, Hamburg, Munich, Hanover, Berlin/Bremen.

The start of fiscal year 2020 was also positive for the **HUGO BOSS share**, supported by the publication of preliminary results for fiscal year 2019, which was well received by market participants. However, following the spread of COVID-19 towards the end of January, the HUGO BOSS share faced increasing pressure as the year progressed. Temporary store closures due to global lockdowns, considerable restrictions of public life as well as international travel restrictions had a significant negative impact on business development and weighed on the HUGO BOSS share. As a consequence, and reflecting the negative implications of COVID-19, HUGO BOSS was not able to maintain its outlook for fiscal year 2020, whereupon it was withdrawn on March 18. In view of encouraging results for the third quarter, the HUGO BOSS share was able to offset some of its losses by the end of the year. This development was supported by the outcome of the U.S. election and the hopes of a rapid distribution of vaccines. Consequently, the HUGO BOSS share closed the year 2020 at a price of EUR 27.29. Compared with the prior year, this corresponds to a decline of 37%.

Shareholder structure as of December 31 (in % of share capital)

2020 (2019)

Own shares

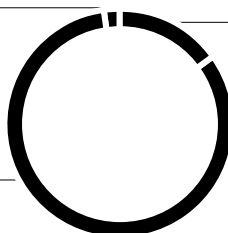
2 (2)

PFC S.r.l./Zignago Holding S.p.A.

15 (10)

Free float

83 (88)



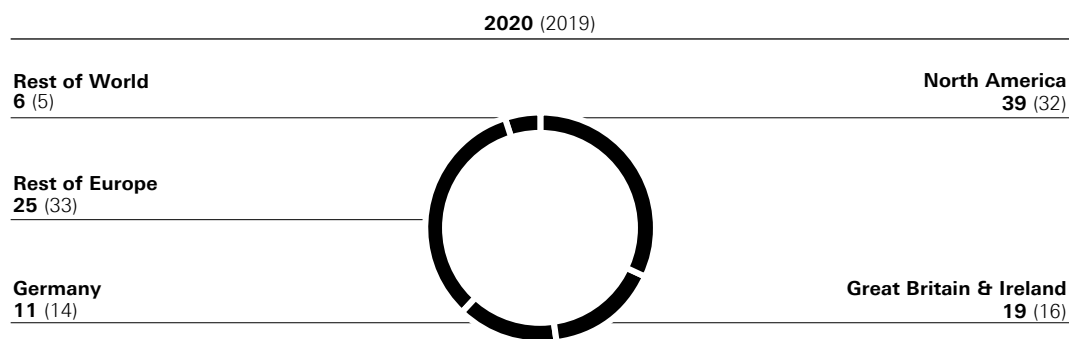
In 2020, **PFC S.r.l.** and **Zignago Holding S.p.A.**, which are both controlled by the Marzotto family, further expanded their strategic investment in HUGO BOSS AG. As of December 31, 2020, they held a total of 15.45% of the voting rights in HUGO BOSS AG. Both companies have pooled their shares through a shareholder agreement. HUGO BOSS AG itself holds 1,383,833 of its **own shares**, which were purchased as part of a share buyback program between 2004 and 2007. This corresponds to a share of 1.97% of the share capital. The other 82.58% of the Company's shares remain in **free float**. As of December 31, 2020, 0.78% of the voting rights pursuant to Sec. 34 WpHG ["Wertpapierhandelsgesetz": German Securities Trading Act] were allocated to Michael Ashley according to the voting rights notification of July 3, 2020. In addition, he held a further 9.25% of the voting rights through instruments pursuant to Sec. 38 (1) No. 2 WpHG at that time. → **Legal Disclosures**

No use was made of the authorization given at the Annual Shareholders' Meeting in 2015 to acquire shares in the Company up to a maximum of 10% of the share capital outstanding on or before May 11, 2020. Consequently, that option has now expired. At the 2020 Annual Shareholders' Meeting, the Company was granted a new **authorization to repurchase shares** up to 10% of the outstanding share capital on or before May 26, 2025. As of December 31, 2020, the Company has not made use of this option. → **Legal Disclosures**

In fiscal year 2020, members of the Managing Board and Supervisory Board acquired further shares of HUGO BOSS. Thus, the Company received a total of **18 notifications pursuant to Sec. 15a WpHG** concerning the acquisition or sale of securities of HUGO BOSS AG. These were published on the corporate website at **financialreleases.hugoboss.com**. In total, the members of the Managing Board and Supervisory Board held around 1% of the shares issued by HUGO BOSS AG at the end of fiscal year 2020. → **Notes to the Consolidated Financial Statements, Note 25**

The Company received **several voting rights notifications** from institutional investors in the reporting period from January 1 to December 31, 2020. The original wordings of these notifications are published on the corporate website at **financialreleases.hugoboss.com**.

Institutional investors (free float) by region as of December 31 (in %)



The Company regularly conducts analyses of the shares held in free float, in order to address institutional investors of HUGO BOSS in a targeted manner. In the most recent analysis, approximately 96% of the shares have been assigned again. Besides the **regional distribution of the institutional investors**, the analysis also enables the Company to determine the proportion of shares held by private shareholders. The latter decreased from 17% in the prior year to 15% in 2020. Based on the share register, the Company estimates the total number of its shareholders at around 47,000 as of December 31, 2020 (2019: around 40,000).

On the basis of **market capitalization** adjusted for free float and the total number of companies in the DAX, MDAX and SDAX, at the end of the year, the HUGO BOSS share, which is listed on the MDAX, took 89th place (2019: 65th) in Deutsche Börse's ranking. In addition, the HUGO BOSS share ranked 59th by **trading volume** (2019: 36th). The **weighting** of the HUGO BOSS share in the MDAX at the end of December amounted to 0.5% (December 31, 2019: 1.0%). On average, around 600,000 shares per day were traded on Xetra in 2020 (2019: around 455,000).

Dividend per share (in EUR)

2020¹	■ 0.04
2019 ²	■ 0.04
2018	2.70
2017	2.65
2016	2.60

¹ In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the legal minimum dividend of EUR 0.04 per share.

² Against the backdrop of the negative implications of the pandemic, HUGO BOSS suspended its dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share.

Against the backdrop of the negative implications of the COVID-19 pandemic, and in order to safeguard the Company's financial stability, HUGO BOSS suspended its dividend payment for fiscal year 2019, with the exception of the **legal minimum dividend** of EUR 0.04 per share. In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the legal minimum dividend of EUR 0.04 per share also for fiscal year 2020. In doing so, the Company aims at further strengthening its internal financing capability. At the same time, HUGO BOSS remains confident of returning to its **profit-based dividend policy** in the medium term, which aims to allow shareholders to participate appropriately in the Group's earnings development. → **Outlook**

As part of **comprehensive communication measures**, HUGO BOSS is committed to inform capital market participants about current developments in a timely and transparent manner. The dialog between institutional investors and HUGO BOSS takes place in particular as part of national and international conferences and numerous roadshow activities. In addition, the Company presents itself to interested private shareholders at dedicated events, that are organized in cooperation with local banks. Due to the pandemic, these events were held virtually in 2020. In addition, the **Investor Relations website** group.hugoboss.com/investors is a key communication tool for providing detailed information and key figures. In 2020, HUGO BOSS was awarded first place in the "Best IR website (mid-cap)" category at the prestigious **IR Magazine Awards (Europe)**. In addition, the Company received the **iNOVA Silver Award** in the category "Online Annual Reports: Premium Apparel" in 2020.

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COMBINED MANAGEMENT REPORT

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The “Compensation Report” (pp. 129–142) and the “Legal Disclosures” (pp. 143–145) are further components of the Combined Management Report.

BUSINESS ACTIVITIES AND GROUP STRUCTURE

- **Positioning in the premium segment of the global apparel market**
- **Strategic focus on increasing the desirability of BOSS and HUGO**
- **Distribution via own retail and wholesale – online and brick-and-mortar**

Business activity

As a **global fashion and lifestyle company** positioned in the premium segment, HUGO BOSS is one of the leaders in offering high-quality women's and men's apparel. The collections of its brands, BOSS and HUGO, offer customers a comprehensive selection of modern tailoring, elegant evening wear, casualwear, shoes and accessories. In addition, license income is generated from products, such as fragrances, eyewear, watches and children's fashion. Sustainably **increasing brand desirability** is at the forefront of all Group activities and the main focus of the Company's strategic framework. In 2020, the Company, based in Metzingen (Germany), employed approximately 13.800 people worldwide. → **Group Strategy**

The Group operates with two brands – **BOSS** and **HUGO** – to approach customers in a clear and consistent manner. Both brands offer their customers an extensive selection of modern outfits in both **menswear** and **womenswear** so that they are perfectly dressed for any occasion. While the two brands clearly differ from each other in terms of their individual attributes, thereby addressing different customers, they both embody the same exacting values in terms of quality, fit and innovation. In addition to regular fashion events, cooperation's with well-known brands and influential personalities are intended to increase the appeal and profile of BOSS and HUGO. In complying with ambitious social and environmental standards as well as sustainably manufactured products, both brands are highly committed to **sustainability**. → **Sustainability**

BOSS
HUGO BOSS

HUGO
HUGO BOSS

BOSS is targeting a status-oriented **customer** in the upper premium segment who wants to dress in a modern, sophisticated way. The brand is targeting a customer who has the highest standards in terms of quality and fit, thus attaching great importance to an adequate value-for-money proposition as well as a first-class shopping experience, including personal service. In addition to the classic business outfit, BOSS customers also find a wide range of modern and stylish leisure looks.

In contrast to BOSS, the **HUGO** brand is targeting a much more expressive **customer** who considers style to be an important element in expressing their own personality. HUGO is aimed at an open-minded, individual and spontaneous customer in the premium segment who is increasingly purchasing online or on the go, and is inspired by social media. HUGO offers this typically younger segment of customers casualwear and businesswear collections in the contemporary fashion segment characterized by progressive designs.

The four annual **BOSS and HUGO collections**, as well as additional themed capsule collections, are mainly designed and developed at the Group's headquarter in Metzingen (Germany). In addition, the competence center in Coldrerio (Switzerland) is responsible for innovation and development activities for a number of product groups. The development of capsule collections in cooperation with well-known brands and personalities is also becoming increasingly important. → **Research and Development**

HUGO BOSS produces 17% of its total sourcing volumes at its own facilities. The Company's **own production** occurs at four locations in Europe, with Izmir (Turkey) being by far the largest. 83% of the sourcing volume is produced by external contract suppliers or procured as merchandise. Partner operations are mainly located in Asia and Eastern Europe. → **Sourcing and Production**

The BOSS and HUGO collections can be purchased in a total of **127 countries**. The Group's distribution activities are divided into **three regions**. With a sales share of 63%, Europe represents by far the largest region, whereas a total of 18% and 16% of Group sales are generated in Asia/Pacific and the Americas. Within the three regions, the **six core markets** – Germany, Great Britain, the United States, China, France and the Benelux countries – contribute a total of around 60% of sales, with the home market of Germany being the strongest contributor. The license business generates 3% of Group sales.

→ **Earnings Development, Sales and Earnings Development of the Business Segments**

HUGO BOSS distribution channels

	Own retail	Wholesale
Brick-and-mortar	 Freestanding stores Freestanding stores operated by the Group in prime locations	 Multi-brand points of sale Category business on selling space with limited own branding
	 Shop-in-shops Shops operated by the Group on retail space of partners	 Shop-in-shops BOSS and HUGO shops operated by partners
	 Factory outlets Sale of prior season's merchandise in specialist stores in high-traffic peripheral zones	 Franchise business Freestanding BOSS and HUGO stores operated by partners
Online	 Online store hugoboss.com Digital flagship store with separate brand environments for BOSS and HUGO	 Online distribution via partners Distribution of the brands BOSS and HUGO via specialized online retailers
	 Partnerships with online retailers Own distribution on multibrand platforms via the concession model	

The BOSS and HUGO brands are distributed via the own retail and wholesale business, both online and in brick-and-mortar retail. In recent years, the Group's **own retail business** has been gradually expanded to increase proximity to the customer and offer a first-class shopping experience. In 2020, the own retail business accounted for 66% of Group sales (2019: 65%). At the end of the year, the Group was operating 445 **freestanding retail stores** around the world (2019: 431). Complementing the store network, HUGO BOSS operates outlets as well as self-managed shop-in-shops in department stores within the concession model. Through a variety of omnichannel services, the brick-and-mortar retail business is closely linked to the Company's **own online business**. For HUGO BOSS, the further expansion of its online business is of utmost strategic importance. The Company aims to consistently implement the trend towards online shopping and to fully exploit its growth potential in the future. In 2020, the Company made significant progress in expanding its online store hugoboss.com to further markets. Overall, customers at hugoboss.com can now experience the brand worlds of BOSS and HUGO and order products in a total of 47 countries (2019: 15 countries). → **Group Strategy**

The **wholesale channel** contributed 31% to Group sales in the past fiscal year (2019: 32%). The Group's wholesale partners include department stores, specialist retailers and franchise partners. Moreover, cooperation with specialized online retailers is gaining increasing importance. While department stores and specialist retailers sell the BOSS and HUGO products either in monobrand shop-in-shops or in a multibrand setting, franchise partners independently operate freestanding stores, mainly based in smaller markets not addressed by the own retail business. Overall, the wholesale business encompasses around 6,200 points of sale (2019: around 6,300), of which 243 freestanding stores are run by franchise partners. Including its own freestanding retail stores, shop-in-shops and outlets, customers can thus purchase BOSS and HUGO products at around 7,350 sales points of sale globally (2019: around 7,450).

→ **Group Strategy, → Earnings Development**

Group structure

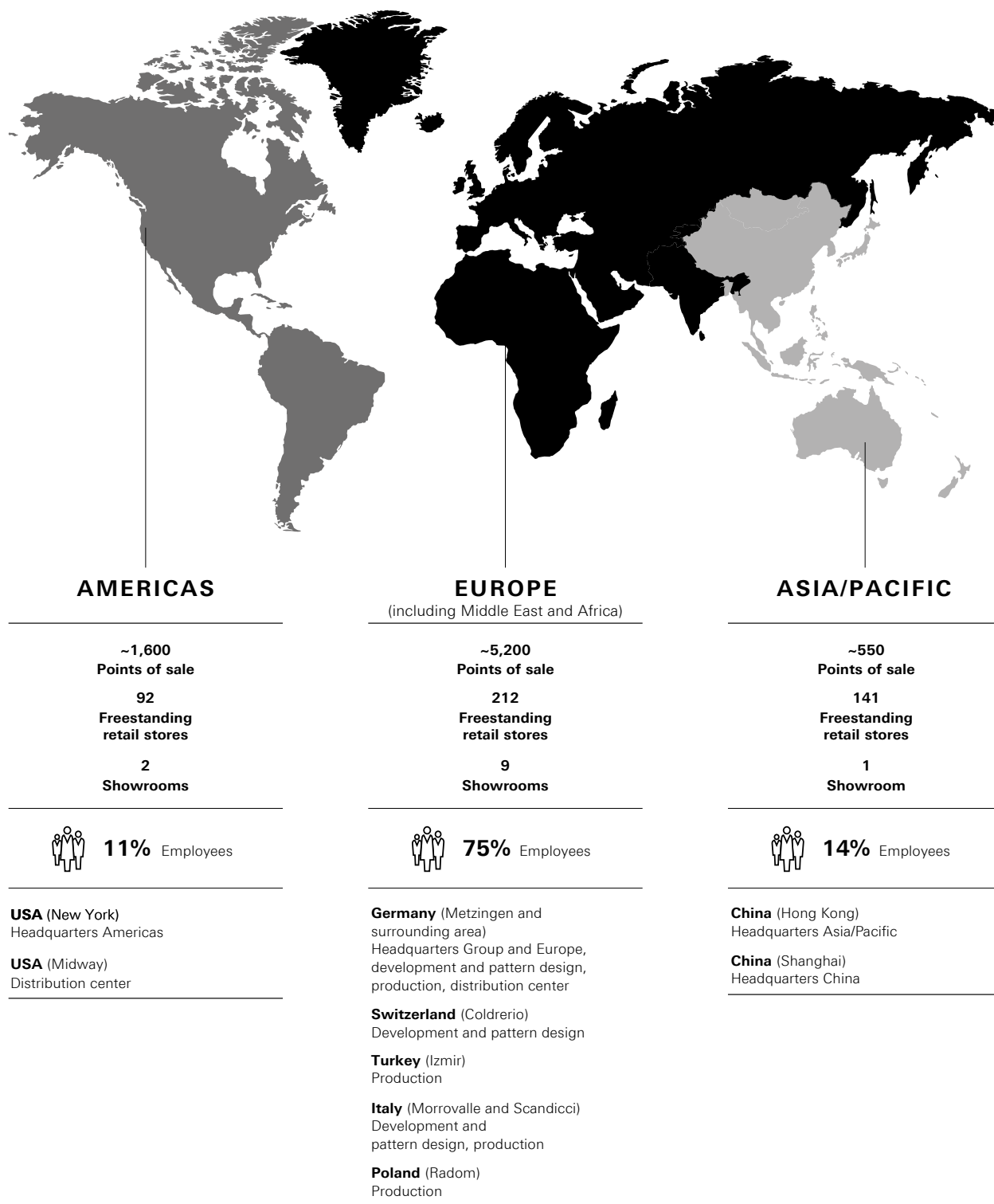
All main management functions are based at the Company's headquarter in Metzingen (Germany). HUGO BOSS AG, as the Group's **parent company**, is responsible for managing the Group. As a German stock corporation, it has a dual management and control structure. Thus, the Managing Board has overall responsibility for the management of the Group and the implementation of the strategy. The Managing Board is monitored by the Supervisory Board, which is also on hand to advise the Managing Board. In addition to HUGO BOSS AG, the Group is made up of **63 consolidated subsidiaries** that bear responsibility for their local business activities. This includes 40 subsidiaries that are organized as distribution companies, as well as three production companies. → **Notes to the Consolidated Financial Statements, Basis of Consolidation**

HUGO BOSS is **structured by region**. The Group's operating segments are Europe (including the Middle East and Africa), the Americas and Asia/Pacific as well as the license business.

HUGO BOSS Group structure				
Managing Board				
Central departments	Brand Management		IT	
	Controlling/Risk Management		Legal/Compliance	
	Corporate Strategy		License Management	
	Facility Management		Logistics	
	Finance/Tax		Own Retail	
	Global Marketing		Product Creation	
	Global Sustainability		Real Estate	
	Human Resources		Sourcing/Production	
	Internal Audit		Wholesale	
	Investor Relations/Communications			
Operating segments	Europe incl. Middle East and Africa	Americas	Asia/Pacific	Licenses
Hubs/Individual markets	Northern/ Southern Europe	United States/ Canada/ Latin America	China	
	Central Europe		South East Asia/ Pacific	

The functions established in the **central departments** of HUGO BOSS AG cover all significant parts of the value chain, particularly the development, production, sourcing, and distribution of the collections to the respective markets. The centrally developed Group strategy is implemented and executed locally to ensure strict customer focus as well as to enable a timely reaction to market-specific trends. **Individual markets** are combined in hubs, with local management, as from January 1, 2021, reporting directly to the Chief Sales Officer (CSO) of HUGO BOSS AG. This is intended to ensure close alignment with the central functions as well as lean decision-making processes. In addition, certain functions are pooled in hubs and in central departments across markets to make the most effective use of specialist skills and to generate cost benefits.

Key locations/Global market presence



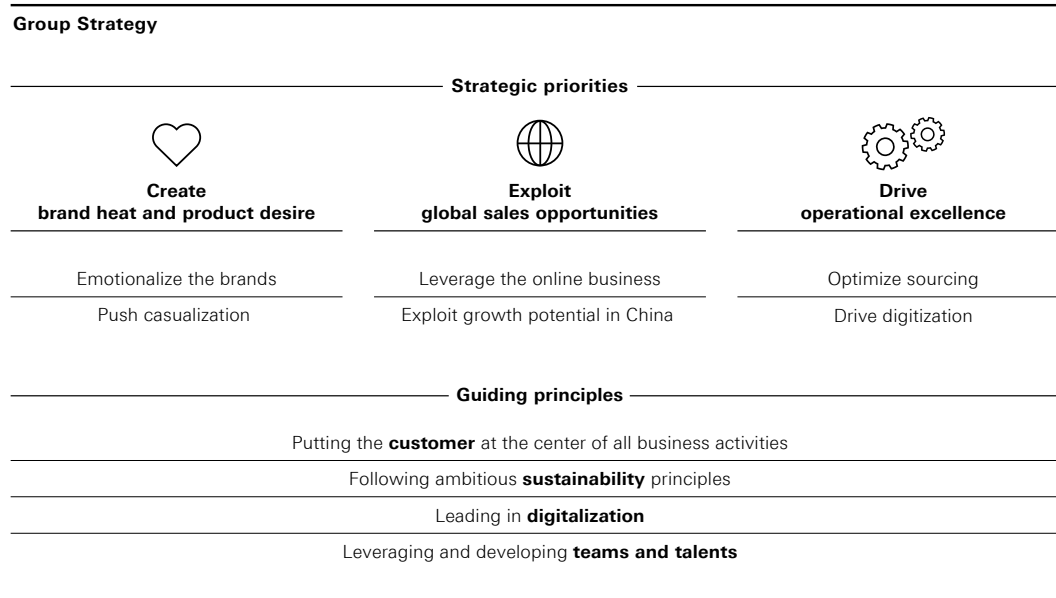
GROUP STRATEGY

- **Desirability of BOSS and HUGO forms most important factor for long-term success**
- **Digitization, casualization, and sustainability constitute overarching industry trends**
- **Focus on successful execution of strategic priorities to drive future growth**

The **vision** of HUGO BOSS is **to be the most desirable fashion and lifestyle brand** in the premium segment of the global apparel market. The Group is convinced that further elevating the desirability of its two brands, BOSS and HUGO, represents the most important factor for the Company's long-term success. The Group strategy is therefore fully focused on this objective, taking into account changes in the operating environment and in customer expectations.

In recent years, growth in the **premium apparel industry** has been driven by strong increases in casualwear in particular, fueled by the rise of streetwear and athleisure. At the same time, growth in the formalwear segment of the global apparel market has slowed down noticeably in recent years. **Customer behavior and customer expectations** have also changed: consumers are predominately using digital channels to get inspired and discuss current trends as well as the offerings of individual brands. In particular, through social media, customers are increasingly influenced by, and connected more closely with, brands. Customers demand a noticeably faster reflection of current trends in the collections, and their availability at anytime, anywhere – both in brick-and-mortar and online. They also expect that all distribution channels complement each other as seamlessly as possible. In 2020, the **COVID-19 pandemic** has further fueled these overarching industry trends, with consumer behavior increasingly shifting from offline to online, and also the global trend towards a more casual lifestyle having experienced a further strong push. Customer demand for sustainable product offerings has also been growing for quite some time.

Three strategic priorities intended to drive future growth



In order to account for the changes in customer behavior and customer expectations, HUGO BOSS is focusing on **three strategic priorities**. The consistent implementation of all three strategic priorities is intended to enable the Company to return to its former growth trajectory as soon as possible: driving brand heat and product desire for its two brands BOSS and HUGO, resolutely exploiting global sales opportunities both online and offline, and further driving its operational excellence by increasing efficiency along the entire value chain.

The framework for these priorities is being provided by **four guiding principles**: putting the customer at the center of all business activities, following ambitious sustainability principles, leveraging opportunities within innovative digital solutions, as well as further developing the Company's teams and talents.

Create brand heat and product desire

From a **brand perspective**, the Group's key objective is to drive brand heat and elevate the desirability of BOSS and HUGO in the long run. Emotionalizing both brands via a redefined marketing mix and fully exploiting the global trend towards a more casual lifestyle constitute key elements in this regard.

"Emotionalizing the Brands"

In order to amplify brand awareness and strengthen the profile of BOSS and HUGO particularly among younger target groups, going forward, the brands' marketing initiatives will focus on three pillars: firstly, **highlight events** with the primary goal to emotionalize the brands while having the maximum impact on the consumer globally. Secondly, **strong partnerships** with influential personalities and key opinion leaders, and thirdly, **exclusive collaborations** with globally renowned and appealing brands and businesses. In doing so, the Company's various communication initiatives will be centered on social media, and put strong emphasis on emotional storytelling aimed at further enhancing customers' identification with the two brands.

Emotional fashion events **celebrating BOSS and HUGO on a global scale** are intended to maximize brand awareness, reach and impact. Curated for the respective target audience, those events will take place in renowned fashion metropolises, while at the same time being celebrated globally via livestreams and simultaneous digital events on relevant social media and on hugoboss.com. A prime example in this regard is the **BOSS fashion event** that took place last year at Milan Fashion Week. Over there, BOSS revealed its Spring/Summer 2021 Menswear and Womenswear collections, livestreamed on hugoboss.com, Instagram, and for the first time on TikTok. A **brand experience event** took place simultaneously in Shanghai across Chinese digital platforms WeChat and T-Mall. The event concluded with the reveal of an exclusive collection of the 2020 holiday campaign "BOSS x Justin Teodoro", which was offered to Chinese customers during a 48 hours "see now buy now" shopping experience.

HUGO BOSS is also making great strides in strengthening and expanding its **roster of brand ambassadors**. Influential personalities and key opinion leaders will continue to accompany extensive marketing campaigns and exclusive collections for both brands in future, thereby increasing brand awareness and creating excitement on a global scale. In January 2021, HUGO BOSS has announced Hollywood actor **Chris Hemsworth** to become the first global brand ambassador for BOSS Menswear. In this role, the 37-year-old Australian will be the international face of worldwide fashion campaigns planned for 2021 and 2022. Already in September 2020, BOSS teamed up with German fashion influencer **Caro Daur** on an exclusive womenswear capsule. The "BOSS curated by Caro Daur" collection represented a fresh and modern interpretation of BOSS that resonated greatly with the brand's female customers. Finally, HUGO launched its third casualwear capsule co-created by the brand's global ambassador British singer **Liam Payne** in November 2020, thus – once again – strongly supporting HUGO's positioning in the important contemporary fashion segment. All three partnerships are intended to drive brand heat and customer engagement, in particular among younger customer groups on social media. → **Research and Development, Cooperations and Collaborations**

Rounding off the Group's evolved marketing approach, HUGO BOSS will continue to focus on exclusive collaborations with highly regarded **brands and businesses**. Most recently, BOSS has teamed up with the iconic American sportswear brand **Russell Athletic**. The first joint capsule collection of both brands is to be revealed in March 2021, with a clear focus on streetstyle and athleisure wear. Accompanied by a campaign produced by publisher and creative agency **Highsnobiety**, the collaboration represents a huge opportunity to strengthen the BOSS casualwear business on a global level, but particularly in the important U.S. market. The latter is also expected to benefit from the brand's recently announced partnership with the **National Basketball Association (NBA)**, which is about to kick off with two limited collections in 2021. These collections will feature several jersey items, each co-branded with the NBA logo and the emblem of one of the league's teams. As the campaign's global face, the Golden State Warriors' three-time NBA champion Draymond Green will further increase the appeal of BOSS Casualwear. Finally, BOSS and German automaker **Porsche** have been collaborating closely since 2019. In addition to their regional roots, both companies are united by their high standards of innovation and perfect design. The collaboration includes the development of joint capsule collections inspired by the clear lines of Porsche's sports cars, as well as BOSS being the official outfitter of the Porsche Formula E motorsport team.

"Pushing Casualization"

Given the strong global positioning of BOSS in the upper premium apparel market, and HUGO's successful establishment in premium contemporary fashion, both brands offer a wide range of modern outfits. That includes self-confident business fashion, sophisticated casual looks, and functional athleisure outfits. Over the last years, both brands have experienced comparably higher growth rates in casualwear as compared to formalwear, first and foremost reflecting the **global trend towards a more casual lifestyle**. Already today, the Company's casualwear business accounts for more than 50% of Group revenues. This share should rise further in the coming years, as the casualization trend is expected to continue. → **Earnings Development, Sales by Brand**

Further pushing the casualization of its business model – across brand, gender, and wearing occasion – will therefore remain a top priority for HUGO BOSS in the years ahead, as the Company is committed to **exploiting the full potential of casualwear** by leading the trend towards a more casual lifestyle. Besides offering a wide range of casualwear styles – from polo shirts, hoodies, and jeans, to knitwear, sweatshirts, and sneakers – further expanding in this segment will also include continuing with breaking up the boundaries between casualwear and formalwear. Merging both wearing occasions will allow HUGO BOSS to **seamlessly bridge the gap between tailoring and sportswear**. On the other hand, this will allow the Company to simultaneously strengthen its important formalwear business. With tailoring being the Company's DNA and heritage, its modern interpretation and further casualization offers huge potential for allowing HUGO BOSS to continue setting the tone in the upper premium formalwear market.

Already today, the greater interplay of modern tailoring with casualwear elements is becoming increasingly visible in the **BOSS collections**. The brand puts strong emphasis on modern concepts and offerings including flexible suit combinations of its **"Mix & Match" range**, as well as the integration of innovative materials and performance elements, such as in the case of the **"Stretch Tailoring" program**. Another important concept within casual tailoring is the **"Bomber Suit"** which was introduced last year as part of the brand's **"Broken Suit"** offering. Each component of a Broken Suit has a standalone appeal and can easily be worn as a single item, but at the same time also by combining the two styles as a suit. While the Broken Suit comes in many different variations and fabrics, the Bomber Suit distinguishes itself by its trend-driven spin of the crew-neck bomber jacket, thus fusing formal- and casualwear elements into one highly modern outfit, intended to perfectly dress the BOSS man for both formal

and rather casual occasions. Also at **HUGO**, a mix of modern tailoring and **strong casual influences** delivers unconventional looks for trendsetters and individualists, which includes smart office outfits as well as cool casualwear. → **Research and Development**

At the same time, both brands have made significant progress in recent years on their journey towards greater **sustainability**. From a product perspective, in 2020, the commitment to sustainability became more visible than ever before with various sustainable product launches, including the successful expansion of the **“Traceable Wool” collection** for both menswear and womenswear. The collection is aimed at ensuring seamless traceability for customers along the entire supply chain – from sourcing of the wool from ZQ-certified farms in New Zealand through to the manufacturing at the Group’s own site in Turkey, which is meeting high quality and labor standards. The year 2020 also saw the unveiling of the first **vegan BOSS suit**. Being manufactured at the Company’s headquarters in Metzingen, Germany, the suit uses organic linen cultivated in Europe. While a premium suit traditionally contains animal materials such as wool or horsehair, for the vegan suit, these have all been replaced with vegan alternatives. Also going forward, HUGO BOSS will put a particularly strong focus on sustainability aspects, in order to meet elevated customer expectations while, at the same time, creating added value for the environment and society. → **Sustainability**

Exploit global sales opportunities

To drive growth across all sales channels, HUGO BOSS aims to fully utilizing its omnichannel capabilities developed over the past years by connecting all customer touchpoints into a seamless, consistent customer experience. The further digitization of these touchpoints will be a key success factor to excite customers around the world and to significantly elevate the shopping experience. In doing so, HUGO BOSS aims to resolutely **exploit all sales opportunities** in the years to come. Continuing the success story of its online business and fully leveraging the Group’s potential in mainland China are of particular importance for HUGO BOSS in this regard.

“Leveraging the Online Business”

The further **expansion of its own online business** is of strategic importance for HUGO BOSS and one of the Group’s key growth drivers. Investments in this channel have been significantly stepped up over recent years, thus successfully laying the foundation for future growth. By 2022, HUGO BOSS aims to generate online sales of more than EUR 400 million annually (2020: EUR 221 million). To achieve this target, the Group is leveraging the full potential of its online store hugoboss.com while, at the same time, continuing to expand its concession business.

HUGO BOSS intends to fully utilize the potential of its **online store hugoboss.com** and develop it into a digital flagship store, ensuring a superior brand and shopping experience. In this context, the Group is continuously optimizing its website, both with a view to its comprehensive and exclusive product offering, as well as its user-friendliness for all mobile and stationary devices. To accelerate the global rollout of its digital flagship, in 2020, HUGO BOSS not only focused its internal resources on the further expansion to markets such as Canada and Mexico, but also sealed a strategic partnership with Global-e, a leading provider of comprehensive cross-border e-commerce solutions.

The **cooperation with Global-e** enabled HUGO BOSS to step into another 30 markets, such as Australia, Japan, Portugal, and Poland, thereby ensuring a state-of-the-art shopping experience in those markets. While customers benefit from a seamless, localized online experience, HUGO BOSS maintains sole management of its online store hugoboss.com. All merchandise is delivered from the Group's central online warehouse in Germany, guaranteeing the brand's hallmark standards of brand presentation and customer service. Consequently, as of today, hugoboss.com is present in a total of **47 international markets**. Further rollouts are scheduled for 2021, as the Group's ambition remains to have hugoboss.com available in almost each and every country around the globe. In addition, the Group intends to further drive the **commercial use of social media**, where the first successes have been recorded already in the past years. On Instagram, for example, both brands' fans and followers are already able to explore and buy a broad variety of featured products. Also in this context, BOSS stores in mainland China have successfully implemented "WeChat Work" in 2020, thereby enabling store personnel additional cross-selling opportunities by connecting more frequently with the brand's customers.

HUGO BOSS has also increased its direct outreach to customers via multibrand websites of strategic online partners. In recent years, numerous partnerships have been cemented by growing the **online concession model**. In doing so, HUGO BOSS exercises full control over the way its collections are presented and sold in a multibrand environment, while also ensuring a consistent and stringent pricing strategy. After having converted the BOSS business on Zalando back in 2019, 2020 saw further conversion of various online partners into the concession model. Overall, at the end of 2020, HUGO BOSS was operating with around **40 international partners** under its online concession model. In the coming years, Europe and Asia/Pacific will continue to form the focus for its further strengthening.

"Exploiting Growth Potential in China"

HUGO BOSS is convinced about its **significant growth potential in mainland China**. With 10% of Group sales generated in mainland China in 2020 (2019: 7%), In terms of distribution of sales, and relative to its competitors, HUGO BOSS remains significantly under-penetrated in this strategically important market. At the same time, both brands are enjoying strong momentum over there. Therefore, exploiting sales opportunities in mainland China remains a key priority for HUGO BOSS, as its importance is expected to continue to rise in the years to come, supported by a growing middleclass and a structural repatriation of local demand. With around 150 retail points of sale in mainland China as of December 31, 2020, the Company has a very solid foundation in that market already today, which ensures customer proximity as well as full control over distribution and pricing. Furthermore, the brands' German heritage as well as the Company's expertise in tailoring resonate particularly well with the Chinese consumer. Consequently, based on the Company's strong positioning in mainland China and healthy underlying demand, HUGO BOSS is confident to realize **strong double-digit growth** in this market also in the future.

HUGO BOSS expects ongoing strong momentum and robust underlying like-for-like growth both in brick-and-mortar retail as well as in its online business, supported by the Company's ongoing focus on **executing regional events** with the **support of local brand ambassadors**. This type of combination enables HUGO BOSS to accelerate its engagement with the local consumer, while, at the same time, driving traffic and conversion in store and online. Prime examples for these types of events are "Qixi" – or Chinese Valentine's Day –, Chinese Golden Week, and Singles' Day.

Besides continuously striving for further productivity increases in its brick-and-mortar retail business in mainland China, HUGO BOSS also sees the potential for further **retail space expansion** in that market, in order to meet an increasing repatriated local demand also in tier-2 and tier-3 cities. This also includes expanding the Group's travel retail business by adding further stores at China's most frequented airport locations. The Company intends to also upsize some of its existing stores, in particular when it comes to metropolises like Shanghai. Altogether, this should enable HUGO BOSS to increase space in mainland China by more than 10% per annum in the years ahead. In addition to its brick-and-mortar retail footprint, HUGO BOSS will also continue to max out all **online opportunities** in China. This includes further driving the Group's online concession business on relevant local multibrand platforms such as Tmall and JD.com, but also exploiting the potential of social commerce as well as respective cross-channel sales opportunities in store, enabled by social media and payment apps such as WeChat.

Drive operational excellence

From an **operational perspective**, HUGO BOSS constantly aims to develop and implement best-in-class solutions to ensure efficiency and flexibility along its entire value chain. This includes, above all, further optimizing the Company's sourcing structure, as well as harnessing the potential of digitizing key operational processes.

"Optimizing Sourcing without Compromising on Quality"

HUGO BOSS puts a strong emphasis on increasing its efficiency in sourcing, without compromising on product quality. The further optimization of key operational processes is intended to realize cost savings throughout the Company's sourcing activities in the coming years. Further **reducing the complexity of the BOSS and HUGO collections** plays an important role in this regard, as it will allow HUGO BOSS to increase its average sourcing volume by style. HUGO BOSS also aims to further **consolidate its selection of utilized fabrics and trimmings**, while, at the same time, extending respective life cycles of certain materials, for example by expanding the share of never-out-of-stock items in both brands' collections. Both measures are intended to ultimately enable a reduction in the average cost per unit while also ensuring an improved value proposition.

At the same time, HUGO BOSS continues to focus on **strengthening its portfolio of strategically important vendors** for finished goods and raw materials. During the last years, the Group has already reduced the total number of its suppliers while simultaneously expanding its business relationship with key suppliers, in particular in the area of casualwear. Finally, HUGO BOSS is making great strides in **implementing a lean and flexible operations organization**. Building scale functions in sourcing and material management, streamlining key activities such as in planning, buying, and disposition, as well as driving knowledge transfer between different product divisions – particularly aiming at strengthening the teams' digital skills – all form key priorities in this regard. → **Sourcing and Production**

"Driving Digitization along the Entire Value Chain"

Digitizing its business model offers HUGO BOSS various opportunities for sustainably **increasing customer value** and **for improving efficiency and flexibility**. While building on its strong IT and logistics capabilities, the potential for digitizing its business model is to be harnessed along the entire value chain.

In this context, HUGO BOSS is **increasingly developing its products digitally**, thereby shortening development times, in particular through the use of digital prototypes. This will allow the Company to react faster to market trends, thereby being even closer to true customer demand. The high degree of detail provided by 3D virtualization permits a realistic depiction of colors and contours. The year 2020 saw the first BOSS collection with contemporary casual and jersey styles developed digitally from start to finish within only eight weeks. At HUGO, parts of the collection development have been fully digitized already in prior years. HUGO BOSS has set itself the goal of developing at least 80% of its collections fully digitally by the end of 2022 (2020: around 50%). In combination with the increased use of AI for **digital trend detection** as well as the successful implementation of a **digital fabrics and trimmings database** in recent years, HUGO BOSS expects to further shorten the collection development phase in the future. → **Research and Development**

In sales and distribution, the use of digital elements is becoming increasingly important in the Group's brick-and-mortar stores. In particular, the integration of **omnichannel services** such as "Click & Collect" and "Order from Store" is designed to offer customers an elevated shopping experience. In order to enhance the in-store experience even further, the Group is seamlessly integrating large **touchscreens** to have the full range of BOSS and HUGO products available for order while arranging for convenient in-store pick-up or home delivery. Already today, the Group is making use of **digital sales tools** when distributing its collections to wholesale partners. A digital showroom and a digital lookbook offer trading partners a flexible, convenient, and fast alternative to conventional ordering, covering aspects such as the inspiration for the collection, the selection of individual products, and the completion of the ordering process. In the medium term, both brands will be distributed to wholesale partners by means of digital showrooms.

Medium-term increase in profitability

While the financial implications of the COVID-19 pandemic weigh on the Group's profitability in the short term, HUGO BOSS is confident it will substantially increase its operating profit (EBIT) in the medium term. As a result, the Group has set itself the target of not only returning to its former growth trajectory as soon as possible, but also of improving the **EBIT margin** significantly in the years ahead. An improved gross profit as well as a strong focus on a more efficient use of operational expenses, in particular in the area of selling and distribution expenses, should contribute to this development. The latter includes further improving the profitability of the Group's own retail business, as well as continuing to optimize the organizational structure of HUGO BOSS.

Ambition to resume attractive dividend policy

As the negative effects of the pandemic have led to a significant decline in sales, profitability, and cash flow in fiscal year 2020, HUGO BOSS has suspended its dividend payment for the 2019 fiscal year, except for the **legal minimum dividend** of EUR 0.04 per share. In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the legal minimum dividend of EUR 0.04 per share also for fiscal year 2020. In doing so, the Company aims at further strengthening its internal financing capability. Nevertheless, HUGO BOSS remains confident that it will continue to generate significantly positive free cash flow in the future on the basis of a general recovery of its business and due to its highly free cash flow generating business model. This, in turn, should enable the Group to return to its former **attractive dividend policy**.

HUGO BOSS intends to host an **Investor Day** in the second half of 2021. In this context, the Group will outline its strategic ambition in detail.

GROUP MANAGEMENT

- **Sustainable increase in enterprise value as the guiding principle of HUGO BOSS**
- **Sales and EBIT the most important key performance indicators for maximizing free cash flow over the long term**
- **Group planning, reporting and investment controlling form core elements of Group management**

Key performance indicators

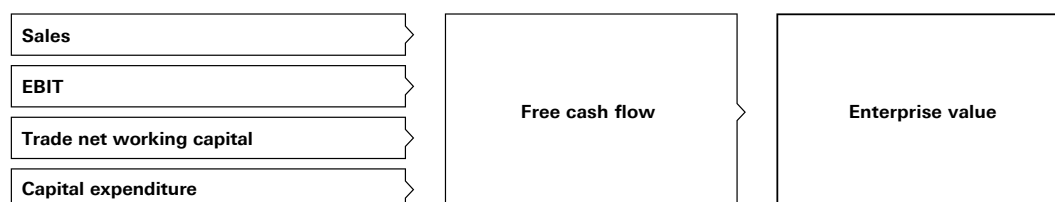
HUGO BOSS aims at **sustainably increasing the enterprise value**. The Group's internal management system is intended to support the Managing Board and the managers of the respective business units in focusing all business processes on this objective. In order to increase its enterprise value, the Group focuses on **maximizing free cash flow over the long term**. Consistently generating positive free cash flow is expected to safeguard the independence and liquidity of HUGO BOSS at all times.

Definition Free cash flow

	Cash flow from operating activities
+	Cash flow from investing activities
=	Free cash flow

Increasing **sales** and **operating result (EBIT)** is instrumental for improving free cash flow. In addition, strict management of **trade net working capital** and a value-oriented **capital expenditure** approach support the development of free cash flow. HUGO BOSS has therefore identified a total of four key performance indicators for increasing free cash flow: sales, EBIT, trade net working capital and capital expenditure.

Four key performance indicators



In 2020, the negative implications of the COVID-19 pandemic led to a significant decline in sales, EBIT and free cash flow. In order to return to growth as quickly as possible, HUGO BOSS is focusing on the consistent implementation of three **strategic priorities**: increasing the desirability of its two brands, BOSS and HUGO, consistently exploiting global growth opportunities, and ensuring efficiency and maximum flexibility of its operational processes. → **Group Strategy**

HUGO BOSS aims at sustainably increasing its profitability and therefore attaches particular importance to **profitable sales growth**. All initiatives aimed at increasing sales will therefore also be measured by their potential to generate a sustainable increase in EBIT and EBIT margin (ratio of EBIT to sales).

Definition EBIT

	Earnings before taxes
—	Financial result
=	Operating result (EBIT)

In order to **increase the EBIT margin** in the medium term, the Company is focusing on sustainably improving the gross profit and on making more efficient use of operating expenses, especially in the area of selling and distribution expenses. The main objective of the latter is to improve the profitability of the Group's own retail business and further optimize the organizational structure.

For HUGO BOSS, **trade net working capital** is the most important performance indicator for managing the efficient deployment of capital.

Definition Trade net working capital

	Inventories
+	Trade receivables
—	Trade payables
=	Trade net working capital

Management of **inventories** as well as **trade receivables** is the main responsibility of the Group's subsidiaries and the respective operating central departments. The latter are also responsible for managing **trade payables**. These three balance sheet items are primarily managed by reference to the days of inventories outstanding, days of sales outstanding and days of payables outstanding. Besides this, there is a specific approval process for the purchase of inventories for the Group's own retail business in order to optimize inventories. This process takes into account sales quotas as well as expected sales growth and markdown levels.

The management of HUGO BOSS is jointly responsible for profitable growth. As a result, the **short-term incentive program (STI)** of managers at all four management levels is linked to the achievement of sales- and EBIT-targets. The ratio of trade net working capital to sales is the third component of the STI program. The compensation scheme for management at the two levels below the Managing Board also includes a **long-term incentive program (LTI)** whose design matches that for the Managing Board. → **Compensation Report, Performance-related (Variable) Compensation Components**

Investment activity is mainly focused on the renovation and modernization of existing retail locations, selective openings of new own retail stores and the expansion of the IT infrastructure as part of the further digitization of the business model. A specific approval process exists for material investment projects. Apart from qualitative analyses, e.g., with respect to potential store locations, this also includes an analysis of each project's present capital value. → **Financial Position, Capital Expenditure**

Against the backdrop of the negative implications of the pandemic on sales, EBIT and free cash flow, HUGO BOSS suspended its dividend payment for fiscal year 2019, with the exception of the **legal minimum dividend** of EUR 0.04 per share. In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the legal minimum dividend of EUR 0.04 per share also for fiscal year 2020. In doing so, the Company aims at further strengthening its internal financing capability. Nevertheless, HUGO BOSS remains confident that it will continue to generate significantly positive free cash flow in the future on the basis of a general recovery of its business and due to its highly free cash flow generating business model. This, in turn, should enable the Group to return to its **profit-based dividend policy** which aims to allow the shareholders to participate appropriately in the Group's earnings development. The free cash flow generated by HUGO BOSS is therefore intended to be primarily used to fund the dividend distribution in the years to come. Any liquidity available over and above this is used to further decrease financial liabilities or is retained as a cash reserve. The Group analyzes its balance sheet structure at least once a year to determine its efficiency and ability to support future growth, and to simultaneously provide sufficient security in the event that economic performance falls short of expectations. → **Financial Position, Capital Structure and Financing**

Core elements of the Group's internal management system

The Group's planning, management and monitoring activities focus on optimizing the key performance indicators described above. The **core elements of the Group's internal management system** are Group planning, Group-wide, IT-enabled financial reporting and investment controlling.

Group planning at HUGO BOSS generally refers to a rolling three-year period and is prepared as part of the annual, Group-wide budget process, taking into account the current business situation and the medium-term goals of HUGO BOSS. Based on targets set by the Managing Board, the Group subsidiaries prepare comprehensive earnings and investment budgets for their respective markets or divisions. A similar planning model is used for trade net working capital. Building on this, the development and sourcing units derive mid-term capacity planning. Thereupon, Group controlling checks all of these plans for plausibility and aggregates them to form the overall Group planning. The latter is updated at regular intervals taking into account the actual business performance as well as any opportunities and risks.

Additionally, HUGO BOSS regularly conducts **liquidity** assessments, based on the expected development of future cash flows. The aim is to identify financial risks at an early stage and to take appropriate measures concerning financing and investment requirements. → **Financial Position**

On a monthly basis, the Managing Board and management of Group subsidiaries are informed about the development of business operations through standardized, IT-enabled reports, which are supplemented by ad hoc analyses. Actual data compiled by the **Group-wide, IT-based reporting system** is compared against budget data each month. Accordingly, any deviations are explained and planned countermeasures are presented. Developments with a significant impact on the Group's net assets, financial position and results of operations are reported to the Managing Board without delay.

The Company is particularly focused on **monitoring early indicators** suitable for obtaining an indication of future business performance. In this context, sales development in the Group's own retail business, wholesale order intake and the performance of the replenishment business are analyzed at least on a weekly basis. In addition, at regular intervals, the Company is benchmarking itself against relevant competitors. The continuous monitoring of early indicators is intended to enable the Group to identify possible deviations from its budget at an early stage and take appropriate countermeasures.

The Group **investment controlling** appraises planned investment projects in terms of their contribution to the Company's overall profitability targets. This ensures that projects are only launched in case of an expected positive contribution to enhancing the Group's economic profile. Subsequent analyses are also conducted at regular intervals to verify the profitability of projects that have already been realized. Appropriate countermeasures are taken in the event of any negative deviations from the profitability targets originally set.

In 2020, due to the high degree of uncertainty related to the **COVID-19 pandemic** and its impact on the business of HUGO BOSS, a very close dialogue took place between the Managing Board, Group controlling as well as the management of the central departments and the Group subsidiaries. In light of the dynamic evolution of the pandemic, corporate planning was regularly reviewed and updated during the course of the year. In this context, various developments of the pandemic and their potential effects on the Group's key performance indicators were simulated with the help of scenario analyses.

HUGO BOSS has put particular emphasis on cash flow development in 2020. In this context, at an early stage of the pandemic, the Company has initiated **comprehensive measures** with a total volume of at least EUR 600 million **aimed at securing cash flow**, and successfully executed these measures over the course of 2020. In particular, the Company significantly reduced its operating expenses, postponed non-business-critical investments, significantly reduced the merchandise inflow and suspended the dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share. As a result, HUGO BOSS has successfully maintained its financial stability and flexibility at all times during the pandemic. → **Comparison of Actual and Forecast Business Performance, → Financial Position, Statement of Cash Flows and Free Cash Flow**

EMPLOYEES

- **Almost 13,800 employees work for HUGO BOSS**
- **HR management focuses on employee recruitment and employee retention**
- **Mobile working significantly expanded under “Threedom of work”**

HUGO BOSS firmly believes that its employees are key to its success and to the realization of its corporate vision – “to be the most desirable fashion and lifestyle brand in the premium segment”. Key responsibility of the Company’s **HR management** therefore is to acquire the best employees in the industry, promote their personal development and ultimately retain them in the Company in the long-run. The principle of supporting the Company’s teams and talents to fully exploit their potential is firmly anchored in the Group strategy. In addition, the five corporate values – quality, passion, respect, cooperation and innovation – form the **principles underlying daily working relationships**.

As an international company, **diversity** is a key element of the corporate culture at HUGO BOSS. Accordingly, all employees are guaranteed equal opportunities and a non-discriminatory working environment. To take account of the importance of diversity from an organizational perspective, the position of Global Head of Diversity and Inclusion was created in 2020. Starting in the role on April 1, 2021, the selected candidate will report directly to the Director Global Human Resources. In addition, an international task force, consisting of employees from different subsidiaries, was implemented in 2020 in order to promote selected topics at HUGO BOSS, such as inclusion or diversity in management positions. The Company is convinced that the intensification of its activities in the area of diversity will make a positive contribution to employee satisfaction and is also considered to be a relevant factor for potential applicants.

Recruitment

HUGO BOSS aims at further strengthening its positioning as a top employer among relevant target groups. This is intended to enable the Company to continue to win suitable applicants for HUGO BOSS in the future. The Company’s **global recruitment strategy** is increasingly focused on reaching out to qualified candidates directly. In addition, talents are to be acquired through a targeted approach via digital platforms, such as the HUGO BOSS careers website or social media networks. The continuous **further development of digital communication channels** is a key focus when it comes to the Company’s recruitment strategy. A core component of the digital recruitment activities is the global employer branding campaign **“That’s my HUGO BOSS”**, which aims to attract the attention of external talents to the diverse range of activities and personalities at HUGO BOSS. In addition to its digital presence, the Company also regularly presents itself to potential applicants at career fairs.

In order to attract young talents, the Company offers graduates a **variety of vocational training options** and dual study programs. In the past year, there were 75 apprentices and dual program students at HUGO BOSS AG (2019: 76) with 22 new apprentices and students beginning their professional education in 2020 (2019: 25). The professional education offered at HUGO BOSS is tailored to the needs of the Company and is continuously adapted to its strategic priorities. In 2020, HUGO BOSS offered an apprenticeship as a designer of visual marketing for the first time.

HUGO BOSS aims to constantly improve its external reputation and raise its profile among potential applicants. For this reason, the Company operates **active reputation management** on relevant rating platforms and social media networks. Target group-specific, emotional and product-related campaigns are intended to foster enthusiasm for the Company among potential applicants. A wide range of awards attest the success of the HR work at HUGO BOSS and at the same time serve to raise the profile of the Company among potential applicants. In 2020, HUGO BOSS was once again ranked in the **top 100 most attractive employers** in Germany among relevant target groups, according to an annual survey conducted by the Universum and Trendence institutes. In the “Working in Fashion” study conducted by the German industry magazine Textilwirtschaft, HUGO BOSS took third place, retaining its ranking of the prior year. The Company ranked particularly well in the categories of working internationally and salary levels, finishing second place in both categories.

Employee retention

HUGO BOSS determines the satisfaction and needs of its employees as part of an **employee survey** conducted annually in cooperation with Great Place to Work® Germany. The knowledge gained provides the Company with an important impetus for the further development of its HR work and corporate culture. In addition, employee satisfaction at HUGO BOSS is an important component of compensation within the framework of the long-term incentive program (LTI) for the Managing Board and the management at the two levels below the Managing Board. With a Group-wide participation rate of 70%, **overall satisfaction rose** to 72% in 2020 (2019: overall satisfaction of 70% with a participation rate of 66%).

→ **Combined Non-Financial Statement, Employee Matters**

Employee surveys from previous years have shown that **fair compensation** is key for employee satisfaction. HUGO BOSS therefore sees this as an essential aspect of its HR work, and is committed to further enhancing the motivation of its employees, and their loyalty to the Company, through a fair and transparent compensation structure. Based on a regular assessment of all jobs in Germany and Group-wide key positions, all employees are compensated on the basis of job-specific salary bands. The salary bands are based on external salary benchmarks and are intended to increase transparency. HUGO BOSS is currently working on an assessment of all international roles in order to establish a uniform compensation system throughout the Group based on salary bands. HUGO BOSS is convinced that this as a key component to further increase the satisfaction of its employees and, at the same time, its attractiveness as an employer.

The **compensation system** at HUGO BOSS includes fixed and variable salary components, bonuses above the collective bargaining scale, non-cash compensation and other intangible benefits. It complies with industry and collective bargaining agreements and incorporates national and regional benchmarks. There are also works agreements for HUGO BOSS AG that govern compensation components such as the employee performance bonus. In addition to their basic salary, non-tariff employees receive a 13th monthly salary instalment and a short-term incentive, of which half is linked to Group targets and half to the achievement of personal goals. The compensation scheme at the two levels below the Managing Board also includes a long-term incentive (LTI) program that extends over several years and matches the targets of the Managing Board. → **Compensation Report**

HUGO BOSS offers its employees a wide range of options to **best combine work and family life**. Already today, numerous initiatives for flexible ways of working allow a large proportion of employees at the Company’s headquarters in Metzingen to work in an agile and cross-functional environment. Flexible co-working spaces are intended to offer the opportunity for productive work in a creative atmosphere, while at the same time promoting networking between employees. In light of the COVID-19 pandemic and on the basis of a survey of employees at the Metzingen site, HUGO BOSS also introduced the **“Threedom of Work”** hybrid working concept in 2020 which initially applies to all administrative

staff in Germany. The concept is looking for three days of attendance at the Company's headquarter in Metzingen from Tuesday to Thursday. On the other two days, employees are free to choose their place of work. HUGO BOSS is one of the first companies in the industry that have made the permanent expansion of mobile working standard. While other Group companies are also working on the development and implementation of hybrid working models, the traditional **concept of working from home** is now available to almost all administrative staff globally. In addition, trust-based working hours and tailored part-time models complement working from home, and are intended to help increase retention and satisfaction at HUGO BOSS. Additionally, HUGO BOSS promotes a good balance between work and family life through numerous family-friendly offers, which are described in more detail in the section entitled "Combined Non-Financial Statement". → **Combined Non-Financial Statement, Employee Matters**

HUGO BOSS also attaches great importance to promoting the **health and performance** of its employees by offering numerous activities aimed at improving the physical and mental wellbeing of its employees. For example, employees in Germany, Switzerland and Turkey can use the Company's own fitness centers free of charge and participate in a wide range of different sports courses. Against the backdrop of the COVID-19 pandemic, the range of sports and coaching offered at the Metzingen site was predominately offered in digital form in 2020. In addition, a balanced nutritional concept in the Company's canteens is intended to improve the personal well-being of its employees. Health measures in the form of movement breaks, massages and back training courses are also available at the central distribution centers in Germany and for production employees in Metzingen.

In addition to vertical promotions, HUGO BOSS also considers horizontal movements of its employees into new departments and functions as an important instrument for promoting talents and retaining employees for as long as possible. In light of the increasing importance of filling vacancies internally, the digital "**HUGO BOSS Spotted**" **employee referral program** was set up in 2020. To further boost employee motivation, commitment and qualifications, the Group also offers its employees a wide range of in-person and virtual **training and development opportunities**. These are described in detail in the section entitled "Combined Non-Financial Statement". → **Combined Non-Financial Statement, Employee Matters**

To improve employee retention in the long term, HUGO BOSS strives to strengthen the **identification of its employees with the Company** and its objectives. A large number of different communication measures which aim to foster the exchange of ideas both between employees, and between employees and management bodies, are intended to contribute to this. In addition to internal newsletters from the Managing Board and Supervisory Board, as well as regular in-person and virtual townhall meetings, the Company's "**We are HUGO BOSS**" **employee app** has become an increasingly relevant communication tool during the pandemic. The app enables HUGO BOSS to communicate content on any significant topics – from news about the BOSS and HUGO brands and the global store network to sustainability topics – in real time to employees in 20 countries. The app also offers employees different ways of interacting, thereby strengthening the exchange of ideas and the identification with the Company. In addition, in 2020, the **internal network "connect"**, which had already been launched at the Metzingen site in 2018, was rolled out to all of the Group's administrative staff. Relevant news about the Company, enriched with livestreams and video messages, but also external content, such as industry news, are regularly made available to employees via this channel.

Employee figures

Number of employees¹ as of December 31

2020	13,759
2019	14,633
2018	14,685
2017	13,985
2016	13,798

¹ Full-time equivalent (FTE)

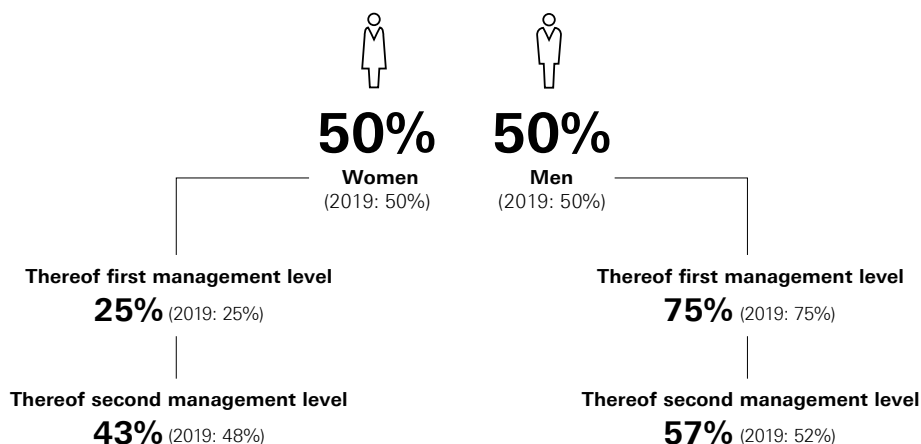
At the end of fiscal year 2020, HUGO BOSS had 13,759 employees. As such, the number of employees was slightly below the prior-year level (2019: 14,633 employees). The average age was 37 years and has thus increased only slightly compared to the prior year (2019: 36 years).

Employees as of December 31 (in %)

By region 2020 (2019)	By functional area 2020 (2019)	Industrial, commercial and administrative 2020 (2019)
Americas 11 (12)	R&D 4 (4)	Industrial employees 30 (31)
Asia/Pacific 14 (14)	Administration (incl. IT) 9 (9)	
Germany 22 (21)	Logistics 11 (11)	
Rest of Europe 53 (53)	Own production 26 (26)	Commercial and administrative employees 70 (69)
	Own retail business, sales and marketing 50 (50)	

The Company's **global positioning** is also reflected in the composition of its workforce. Last fiscal year, a total of 78% of the Group's employees were based outside Germany (2019: 79%). Within Germany, HUGO BOSS employs individuals from 70 different nations. Whereas 9,647 employees (2019: 10,167) worked in the **commercial and administrative sector** at the end of 2020, 4,112 employees (2019: 4,465) were assigned to **industrial activities**.

Employees in management



At 60%, **women** once again accounted for the majority of the Group's workforce (2019: 59%). In **management**, women held 50% of the positions across all four management levels at the end of December 2019 (2019: 50%). The Managing Board has set a target gender quota of at least 30% women in the first management level and 35% in the second management level below the Managing Board to be achieved by December 31, 2021. As of December 31, 2020, the share of women in the first management level was 25%, and thus unchanged versus the prior year level (December 31, 2019: 25%). With a share of women of 43%, the target at the second management level was once again strongly exceeded as at December 31, 2020, (December 31, 2019: 48%). In the context of a re-assessment of all international positions in the past years, HUGO BOSS has realigned the affiliation to management levels in 2020. As a consequence, figures for the years 2019 and 2020 are not directly comparable.

→ Corporate Governance and the Corporate Governance Statement

RESEARCH AND DEVELOPMENT

- Own development centers drive innovation and development work
- Cooperations with brands and influencers of strategic importance
- BOSS launches its first fully digitally developed casualwear collection

The overarching goal of **research and development (R&D) at HUGO BOSS** is to develop collections and products that meet the highest customer demands on quality and fit, innovation and sustainability. The maxim of developing the best products in the industry is in line with the fundamental principle of sustainably increasing the desirability of the BOSS and HUGO brands. In this context, the Company is increasingly focusing on partnerships and collaborations with well-known brands, influencers and artists.

Research and development at HUGO BOSS runs in parallel to the product development process, which involves the transformation of a creative idea into a commercial product. The work is carried out at **four development centers** in Metzingen (Germany), Coldrerio (Switzerland), Morrovalle (Italy) and Scandicci (Italy). While the majority of its collections are developed at the Group headquarters in **Metzingen**, the **Coldrerio** competence center is mainly responsible for the development of the product groups shirts, ties and knitwear. In addition, the design and development of shoes, leather accessories and bodywear is developed in Coldrerio. High-quality shoes and leather accessories, in turn, are developed in **Morrovalle** and **Scandicci**.

Product development process

Product development process at HUGO BOSS



The product development process begins with a **creative idea**, taking into account customers' expectations. Collections are themed based on brand strategy, brand values, as well as global mega and fashion trends. The transformation of the creative idea and designs into specific collections also takes into account sell-through rates of previous seasons as well as any other factor that is relevant to individual markets, such as regional purchasing power, climate, fashion preferences and the prevailing market environment. In the conventional development process, the second step sees the design teams' creative ideas tailored in the **pattern design** phase. **Technical product development** then turns the models into prototypes and tests their suitability for the industrial production process. In conventional product development, the prototyping is followed by the **manufacture of a sample collection** in order to ensure that the products meet the Company's high standards in terms of quality and fit. The collections are then sold to wholesale partners and, after production, delivered to either the wholesale partners or to the Group's own retail stores.

The **digitization of the collection development** is of high strategic importance to HUGO BOSS and, as a consequence, driven forward significantly in 2020. In particular, digital workflows allow the Company to operate more flexibly throughout its entire value chain, shorten lead times and thus adapt more effectively and quickly to current consumer trends. Digital product development also offers significant benefits from a sustainability perspective, particularly with respect to the elimination of physical prototypes. With the launch of the pre-fall 2021 season, BOSS will introduce its **first fully digitally developed casualwear collection** for men. With a total of around 100 articles, the collection includes apparel, shoes and accessories. The product development process was purely digital, from first sketches and the selection of materials and colors to prototyping and to the finished collection. Finally, the collection was sold to wholesale partners via a digital showroom and a digital lookbook. This is made possible by high-resolution 3D renderings, which are able to represent the pleating and the structure of the material in a realistic way. For HUGO BOSS, the collection represents an important milestone in the digitization of its business model. The Company has set itself the goal of developing around 80% of its collections completely digitally by 2022. For the spring/summer 2021 collection, the share was around 50%.

Key areas of research and development

In order to reflect the **growing importance of casualization**, the research and development work of the Company is increasingly focused on gradually increasing the share of casualwear in the product mix of BOSS and HUGO, while at the same time further improving comfort by using innovative materials. The aim is to further soften the boundaries between traditional businesswear and modern casualwear. The range of classic tailored fashion is increasingly being expanded to include innovative casual tailoring styles. For example, more recently BOSS successfully introduced the **"Broken Suit"**, in which various pieces from the businesswear and casualwear segment can be combined, such as a blouson with drawstring pants. Each piece of the broken suit can be worn individually or combined in a variety of ways to create a complete look. In 2021, this concept will be further expanded, with materials used increasingly focusing on comfort and ease. This is why BOSS, for example, offers a **"washable suit"** which retains its shape even immediately after washing. The **"Stretch Tailoring"** range from BOSS is also specially designed to meet the needs of daily life through the use of stretch materials.

In order to best meet increasing customer expectations in the field of sustainability, the Group's R&D activities are also geared toward consistently expanding the share of sustainable products in its collections. For example, BOSS continued its commitment to sustainability in its collections with its **"Responsible Tailoring"** campaign in spring 2020. The campaign focused on so called **"Traceable Wool"** products as well as a completely vegan suit. Traceable wool means that the wool used is carefully monitored from its origin, through its manufacture to the finished product, allowing the consumer to trace it from start to finish. With its first **vegan suit**, BOSS has also succeeded in completely eliminating animal materials in textile production. The suit, made at the Metzingen site, was awarded the "PETA-Approved Vegan" label in 2020 by the animal welfare organization PETA. Overall, in 2020, BOSS and HUGO were able to more than double the share of **products made from sustainable materials** in their fall/winter 2021 collections as compared to the prior year. → Sustainability

Cooperations and collaborations

In order to further increase the desirability of its BOSS and HUGO brands, the Company is increasingly focusing on **cooperations and collaborations** with well-known brands and companies along with influential personalities and artists within the scope of its R&D activities. The aim is to provide additional creative impetus and to sustainably increase the attractiveness of both brands, particularly in the casualwear and athleisure segment. For 2021, BOSS has announced two exciting partnerships. One of these is the partnership with the iconic American sportswear brand Russell Athletic, which will see the launch of an exclusive capsule collection in pre-fall 2021. The **"BOSS x Russell Athletic"** collection has a clear focus on casualwear and ranges from apparel to shoes and accessories. The designs combine the strengths of both partners – the tailoring expertise of BOSS with Russell Athletic's sportswear aesthetic. In order to further expand the desirability of the BOSS brand, especially in the important U.S. market, BOSS has also joined forces with the **National Basketball Association (NBA)**. As part of this partnership, two capsule collections co-branded by BOSS and the NBA are scheduled for 2021. They will bear both the NBA logo and the logos of various NBA teams.

In the field of womenswear, BOSS collaborated with German fashion influencer Caro Daur for the first time in 2020, successfully launching an exclusive collection. The **"BOSS curated by Caro Daur"** capsule comprised a total of 17 pieces – from a loose-fitting trench coat made from stretch-cotton, through a classic black dress with a high neck and open back, all the way to a single-breasted blazer with peak lapels. In 2020, HUGO continued to expand its partnership with the British musician and artist Liam Payne and launched its third **"HUGO x Liam Payne"** capsule last November. Developed in close collaboration with Liam Payne, the collection supported the "Cotton made in Africa" initiative, thereby also addressing the increasing sustainability requirements of customers. For each item sold, the initiative receives a donation that helps fund the training of African cotton farmers in sustainable cultivation methods.

R&D key figures

Number of employees in R&D as of December 31

2020	524
2019	580
2018	584
2017	588
2016	577

The creative and development departments of the HUGO BOSS are staffed by skilled fashion designers, tailors, shoe and clothing technicians and engineers.

R&D expenses (in EUR million)

R&D expenses (in % of sales)

2020	58	3.0
2019	65	2.3
2018	63	2.3
2017	63	2.3
2016	64	2.4

At 76%, personnel expenses accounted for the majority of **R&D expenses** last year (2019: 72%). The remainder is primarily composed of other department expenses. In 2020, R&D costs were again mostly recognized as expenses at the time they were incurred. In addition, production-related development expenses are included in the cost of conversion of inventories. No development expenses were recognized as internally generated intangible assets due to the short product life cycles.

SOURCING AND PRODUCTION

- **Strategic focus on increasing the efficiency and flexibility of the supply chain**
- **Own production capacity in Izmir expanded to casualwear**
- **Further digitization enables closer cooperation with suppliers**

The sourcing and production of high-quality products is crucial in order to meet the exacting customer expectations in terms of design, comfort, fit and longevity. In addition to ensuring and implementing these quality features, HUGO BOSS is constantly striving for best-in-class solutions to further **increase the efficiency and flexibility** of its supply chain. In this context, speed is a key element, in order to react promptly to changing market requirements and to better meet customer demand. For the first time in 2020, the Company was able to develop and launch a capsule collection with selected casualwear styles within eight weeks only. This was made possible primarily by the increased **use of digital technologies in product development** and the targeted stockpiling of components and materials for rapid production. In addition, at the end of 2020, HUGO BOSS made further progress in strengthening the connection between the Company and its suppliers, by launching a **digital platform** that enables an efficient and quick exchange of product information. Already in 2021, the platform is expected to be part of the Company's regular operations.

In 2020, the Group also made progress in streamlining its internal development and sourcing organization, optimizing the supplier portfolio and further accelerating the digitization of its processes. The ongoing **optimization of sourcing and production processes** is also intended to result in savings in cost of sales over the next years. The further reduction of complexity in the BOSS and HUGO collections also plays an important role in this regard. To achieve this, the Company is focused on streamlining the product range, reducing the component and material complexity and partially extending product life cycles, such as through a greater share of never-out-of-stock products. → **Group Strategy**

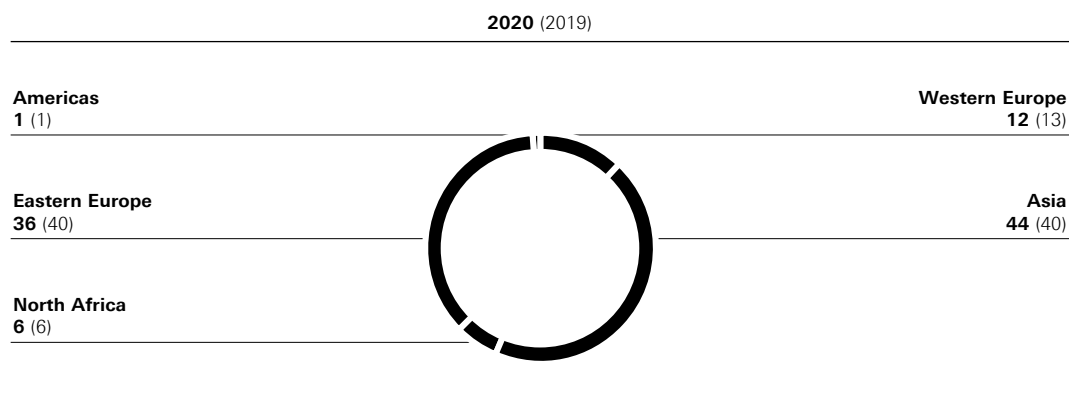
In terms of value, 17% of the total **sourcing volume** was produced at the Group's own facilities in 2020 (2019: 17%). The remaining 83% comprises products sourced from independent contract suppliers or sourced as merchandise (2019: 83%). Own production is used, among other things, to be able to respond quickly and flexibly to changing customer requirements and to obtain important know-how for the further development of production technologies and quality standards. The Group's four **own production facilities** are located in Izmir (Turkey), Metzingen (Germany), Radom (Poland) and Morrovalle (Italy).

Formalwear products, such as suits, jackets, shirts and coats, as well as womenswear are manufactured in **Izmir**, by far the Company's largest own production site. The transformation of the location into a "smart factory", which has been stepped up over the past few years, has largely been completed. As a result, the location is characterized by highest levels of digitized processes and operations. The focus at the Izmir location is now mainly on further increasing the flexibility of production in order to be able to manufacture casualwear beyond formalwear and further tap into the global trend of casualization. Consequently, the first casualwear styles of the jersey product range, including trousers and jackets, had already been produced in Izmir in 2020. The production site in **Metzingen**, in turn, primarily manufactures tailored suits of the "BOSS Made to Measure" range, as well as prototypes and samples. At an early stage of the COVID-19 pandemic in 2020, production was temporarily switched to the production of face masks, which were then donated to public institutions. The **Radom** and **Morrovalle** sites mainly produce business shoes and sneakers.

HUGO BOSS attaches great importance to the **careful selection of suppliers**, and the establishment of long-term strategic partnerships. In addition to economic criteria, social and environmental aspects also play an essential role. The basis of cooperation is respect for human rights, adherence to applicable working standards and occupational health and safety. The **HUGO BOSS Supplier Code of Conduct**, which forms the basis for all supplier relationships, is an important framework for the structure of business activities. The Company verifies compliance with the Code of Conduct in the form of regular audits at the production sites and supports its suppliers with specific training on various topics. At the same time, the Company is involved in the further development of international standards and takes an active role in external cooperations to design sustainable textile supply chains. → **Combined Non-Financial Statement, Respect for Human Rights**

HUGO BOSS works with a **network of experienced and specialized suppliers** to ensure excellent processing quality and optimum availability of its products. In 2020, the number of suppliers continued to decline, reflecting the further optimization of the Company's supplier portfolio. At the end of the year, HUGO BOSS sourced finished goods from a total of 156 external suppliers (2019: 171) producing in 185 production sites (2019: 198). The Company sourced raw materials from 315 external suppliers (2019: 309) producing in 338 production sites (2019: 325).

Regional split of sourcing and production volume (in %)



The increase in sourcing volume in Asia, compared with the prior year, resulted from the higher share of casualwear and athleisurewear in the product mix, primarily sourced as merchandise. Within Asia, **China** is the most important sourcing market, accounting for around 20% of the Company's global sourcing and production volume. As in the prior year, within Eastern Europe, **Turkey** accounts for the largest part of the global sourcing and production volume at 23%. The own production site in Izmir accounts for around 13% of the global sourcing and production volume.

Fabrics and trimmings sourced by HUGO BOSS are mainly outer materials and lining fabrics, buttons, yarns and zippers. For **products made under contract**, HUGO BOSS provides suppliers with the fabrics, trimmings and the required patterns. The suppliers, which are mainly based in Eastern Europe, primarily produce formalwear requiring high levels of production expertise and technical equipment. Including the Group's own production sites, the proportion of the sourcing volume accounted for by products made under contract was below the prior year level at 32% (2019: 36%). This development mainly reflects the overall decline in demand for formalwear in the wake of the COVID-19 pandemic. The **merchandise** sourced by the Group is primarily composed of athleisurewear and casualwear products. While suppliers are provided with the relevant pattern, they source the required fabrics and trimmings independently. At 68%, the proportion of merchandise in the sourcing volume was above the prior year level (2019: 64%) and resulted from the higher share of casual and athleisurewear in the product mix compared with the prior year.

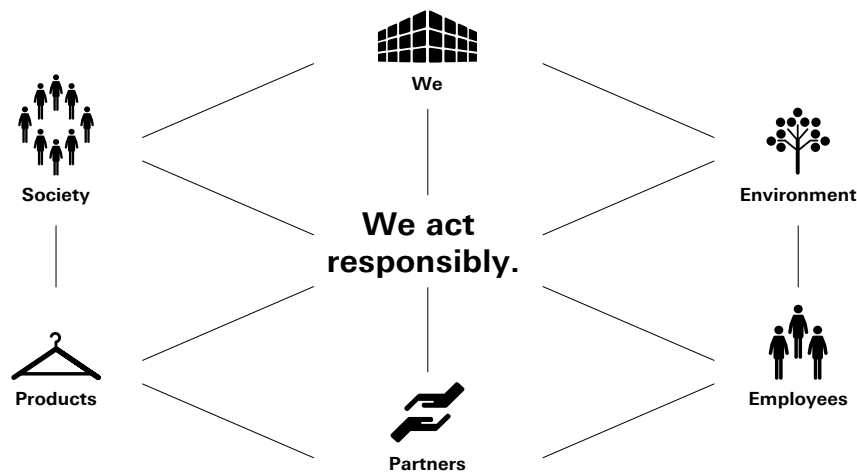
SUSTAINABILITY

- **Sustainability an integral part of business activities**
- **Focus on six fields of action: We, Environment, Employees, Partners, Products and Society**
- **Renewed inclusion in the Dow Jones Sustainability Index World**

HUGO BOSS is conscious of the economic, ecological, and social impacts of its business activities. The **guiding principle “We act responsibly”** seeks to generate added value for the Company, its employees, shareholders, customers, business partners, and society, and thus securing the Company’s long-term success. Accordingly, ambitious sustainability principles are firmly anchored in the Group strategy of HUGO BOSS. The Company considers sustainability to be a combination of quality, innovation, and responsibility. Besides high-quality, innovative products, customers today increasingly demand compliance with high social and ecological standards. The **variety of sustainability activities** carried out by HUGO BOSS contribute to increasing customer satisfaction and supporting the Company’s vision of being the most desirable fashion and lifestyle brand in the premium segment.

The six fields of action, **We, Environment, Employees, Partners, Products**, and **Society** provide the framework for the Company’s sustainability program, “Today. Tomorrow. Always.”. All of the Group’s sustainability activities are managed strategically by the central department Global Sustainability, which reports directly to the Chief Operating Officer.

Strategic fields of action for sustainability



We – “Creating Values Together”: With its variety of sustainability activities, HUGO BOSS is oriented towards the United Nations Sustainable Development Goals (SDGs). In the implementation and development of its sustainability strategy, HUGO BOSS relies on regular dialog with its stakeholders and close collaboration with businesses and organizations alike. This, in turn, will help to drive forward sustainability in the textile value chain. The findings gained are also incorporated into the Company’s risk and opportunity management and help HUGO BOSS to enhance its own ethical standards and Code of Conduct.

Environment – “Preserving Natural Resources”: The aim of environmental management at HUGO BOSS is to reduce the environmental impacts of its own business activities as far as possible. This commitment begins at its own administration and production sites, and extends through the supply chain to the Company’s global store network. Through sustainable building concepts and technologies, electricity from renewable energy sources and a continuous optimization of transport routes, the Company is working to reduce its CO₂ emissions, making a direct contribution to protecting the environment. Together with other businesses, HUGO BOSS is pursuing the vision of a climate-neutral fashion industry by 2050. The Environmental Policy of HUGO BOSS published on the Company’s website describes its principles and ambitions for environmental protection in all relevant parts of the Company. → **Combined Non-Financial Statement, Environmental Matters**

Employees – “Fostering a Fair and Responsible Culture”: Corporate values and the Code of Conduct form the basis for day-to-day collaboration at HUGO BOSS. The Code of Conduct forms the basis for legally and ethically correct conduct in day-to-day business. This also entails appreciating diversity and ensuring equal opportunities, which is a high priority at HUGO BOSS. At the same time, HUGO BOSS aims at further strengthening its position in the international competition for the most qualified employees. To increase its attractiveness as an employer, the Company is focusing on a fair, value-based corporate structure, opportunities for individual development, and a wide range of flexible working models to better combine work and family life. In addition to further developing mobile working, the Company has implemented extensive measures to ensure the health and safety of its employees at work within the context of the COVID-19 pandemic. → **Employees, → Combined Non-Financial Statement, Employee Matters**

Partners – “Achieving Joint Responsibility”: Complying with social and environmental standards throughout its global supply chain is crucially important for HUGO BOSS and its partners and forms an integral part of contractual agreements. The standards are based on internationally acknowledged frameworks and include, among others, rules governing working hours, humane and safe working conditions, bans on child labor and forced labor, the payment of appropriate salaries and freedom of association. HUGO BOSS attaches great importance to the careful selection of its partners, on cooperation based on a spirit of mutual trust and on the maintenance of long-term strategic relationships. → **Sourcing and Production, → Combined Non-Financial Statement, Respect for Human Rights**

Products – “Ideas for Tomorrow”: HUGO BOSS puts strong focus on the design and quality of its products. The Company puts a strong emphasis on innovative, sustainable materials and production techniques in product development, which is becoming increasingly digital. At the same time, HUGO BOSS takes care to observe strict standards on the safety and environmental compatibility of its products and their manufacture. The Company works closely together with its suppliers and other stakeholders on environmental and animal protection solutions. Through the expansion of sustainable products in the collections of its brands, BOSS and HUGO, the continuous optimization of material efficiency, and the responsible use of chemicals in production, the Company aims to make a significant contribution to protecting the environment while meeting the increased demands of its customers.

Society – “Promoting Perspectives”: The overarching aim of the HUGO BOSS corporate citizenship strategy is to unleash individual potential for success. It is based on three pillars: access to education, equal opportunities, and providing support in times of crisis. In implementing projects and activities along the value chain, the Company also takes account of regional needs at individual locations.

The Group aims to continuously improve in all six fields of action and so has set itself ambitious targets. Sustainability ratings act as an objective indicator of the progress achieved. In 2020, HUGO BOSS was included in the **Dow Jones Sustainability Index (DJSI) World** for the fourth time in a row. Among others, the Company was ranked “best in class” in the categories of brand management, environmental and social reporting, product stewardship, and risk and crisis management. This makes HUGO BOSS one of the top three companies in the global apparel industry. Additionally, the Company was added to the **DJSI Europe** in 2020.

COMBINED NON-FINANCIAL STATEMENT

- **Statement summarizes material disclosures on sustainability aspects**
- **Nine topics identified as material within the meaning of Section 289c (3) of the German Commercial Code (HGB)**
- **Definition of reported performance indicators is oriented toward GRI Standards**

About this combined non-financial statement

Under Sections 315b and 315c HGB [“Handelsgesetzbuch”: German Commercial Code] in conjunction with Sections 289b to 289e HGB, the Company hereby publishes this combined non-financial statement for the HUGO BOSS Group and HUGO BOSS AG. It substantively summarizes the material disclosures for the Company regarding the five required aspects of **environmental, employee and social matters, respect for human rights and anti-corruption** and **bribery matters**. In the drafting of the statement, HUGO BOSS oriented itself, particularly for the definition of the reported performance indicators, toward the Global Reporting Initiative (GRI) Standards.

As part of the reporting process, HUGO BOSS has analyzed whether risks exist that are associated with its own business activity, its business relationships, and its products or services, and that very likely have or will have serious adverse impacts on the aspects listed above. HUGO BOSS has **no such risks** to report.

Unless otherwise noted, the disclosures made in this statement reflect equally the **perspective of HUGO BOSS AG and that of the Group**. With the exception of references to the chapter “Business Activities and Group Structure” as part of the combined management report, any references to information outside the combined non-financial statement comprise information going beyond the mandatory disclosures under the German Commercial Code and do not form part of the statement. The combined non-financial statement was subject to a voluntary review with limited assurance according to ISAE 3000 (Revised). → **Independent Auditor’s Limited Assurance Report**

Description of the business model

HUGO BOSS is one of the leading companies in the premium segment of the global apparel market. The **business model** of HUGO BOSS is described in detail in the chapter on “Business Activities and Group Structure.” → **Business Activities and Group Structure**

Derivation of material topics

The basis used for selecting the topics presented in this statement is a **materiality analysis** conducted by HUGO BOSS in 2019, which encompassed in particular a materiality review according to Section 289c (3) HGB. It has been analyzed to what extent the topics are of particular relevance for understanding the Company’s development, performance, and position, as well as the impact of its activity on the above aspects. In addition to the eight topics identified as material in the course of the analysis, the Company also reports on the subject of “Occupational Health”, due to its high relevance in the light of the COVID-19 pandemic.

Aspects and material topics

 Environmental matters	 Employee matters	 Social matters	 Respect for human rights	 Anti-corruption and bribery matters
Climate protection in production	Employer attractiveness	Customer satisfaction	Human rights and labor standards in production	Avoidance of corruption and anti-competitive behavior
Responsible use of chemicals in production	Occupational health	Data protection	Occupational safety in production	

The aspects set out under "Environmental matters" and "Respect for human rights" relate to both the production activities of HUGO BOSS itself and the production activities of independent suppliers.

Environmental matters

Climate protection in production

In the global textile and apparel industry, CO₂ emissions are mainly generated in the cultivation and production of textile fibers as well as during energy-intensive processing stages, like dyeing, washing, or bleaching. HUGO BOSS is conscious of its shared responsibility to **protect the environment and the climate**. The introduction and development of environmentally and climate-friendly processes at its suppliers is as important to the Company as the implementation of similar measures at its own production sites.

Environmental and climate protection matters in the supply chain are managed by the **central department Global Sustainability**, which is responsible for setting out internal guidelines and standards. In addition, the **central Environmental Management Team**, in close consultation with local managers, coordinates corresponding measures at the own production sites. The Managing Board is kept regularly informed about the progress made toward the achievement of the Group's environmental and climate protection targets.

Targets

By signing the Fashion Industry Charter for Climate Action in 2018 under the aegis of the United Nations Framework Convention on Climate Change (UNFCCC), HUGO BOSS, together with other businesses, subscribed to the vision of a **climate-neutral fashion industry by 2050**.

Measures

HUGO BOSS works to protect the climate worldwide with numerous measures and initiatives both at its own sites and in its supply chain. In order to define suitable measures, as part of the **Fashion Industry Charter for Climate Action**, the Company engages with, amongst others, task forces dealing with issues such as "raw materials" and "energy efficiency and renewable energies in the manufacturing process".

In line with the UNFCCC, the Company works together with its suppliers to sustainably reduce environmental impacts along the supply chain. **Compliance with statutory environmental standards** is an integral part of the supplier contracts. In addition, the **Environmental Policy** published by HUGO BOSS on its website describes a variety of environmental protection principles, both for the Company's own production sites and for those of its suppliers. It reflects the activities and objectives pursued by the Company within the framework of the Fashion Industry Charter for Climate Action. HUGO BOSS also revised its **Supplier Code of Conduct** in 2020. It now includes even more

comprehensive guidelines for complying with environmental requirements. In addition, HUGO BOSS sets binding sustainability criteria for the use and processing of textile fibers and materials for its suppliers in the form of a publicly accessible **Responsible Product Policy**.

As part of regular **environmental audits**, HUGO BOSS tracks the energy management measures put in place by its suppliers and the CO₂ emissions of those suppliers. For this purpose, the Company uses external auditors. If any violations of environmental requirements are identified, the Company works jointly with the respective supplier to develop action plans whose implementation is verified in follow-up audits. The Company also carries out relevant **training sessions** to inform its suppliers regularly about environmental and climate protection measures and to work toward the establishment of standardized energy and environmental management systems. In 2020, due to international travel restrictions related to the COVID-19 pandemic and in order to ensure the protection of all parties involved, audits and training could only be carried out to a limited extent.

As a member of the **Better Cotton Initiative (BCI)**, HUGO BOSS works together with other businesses to reduce the environmental impacts associated with the cultivation and processing of cotton. This is a matter of great importance to the Company, as cotton is by far the most extensively used material at HUGO BOSS. The BCI takes a holistic approach to sustainable cotton production that takes into account ecological, social and economic considerations.

The impact of the Company's own production activities on the climate is relatively low compared to those of external suppliers, as the upstream value-adding stages in particular involve processes with high CO₂ emissions. Nevertheless, the reduction of energy consumption and CO₂ emissions at the own production sites of HUGO BOSS plays an important role. The Group continues to develop its **Environmental Management** in line with the international standards ISO 14001 (Environmental Management) and ISO 50001 (Energy Management). The site in Izmir (Turkey) – by far the largest of the Company's own production sites – has been certified under both these standards since 2014. To further **reduce CO₂ emissions** in its own production sites, the Company is investing primarily in energy-efficient technologies, modernizing technical facilities and increasing the share of renewable energies. In terms of the latter, due to the switch to green electricity at the Radom (Poland) site in 2020, HUGO BOSS now draws its energy from renewable sources at all of its own sites. The experience obtained through its own environmental management will help the Company work together with external suppliers to make further progress in reducing environmental and climate impacts in the supply chain in future.

Performance indicators

As part of its work under the Fashion Industry Charter for Climate Action, HUGO BOSS has committed, together with other businesses, to deliver a **30% reduction in CO₂ emissions by 2030** as a first step. In order to make this target more specific, HUGO BOSS has set itself the goal of reducing its scope 1 and scope 2 emissions from primary energy use and electricity supply by at least 51% by 2030 compared to 2018. A 30% reduction is planned over the same period for scope 3 emissions from logistics and the supply chain. The Company received confirmation in 2020 that these targets meet the strict requirements of the Science Based Targets initiative. The Company expects that in 2020, scope 1 and scope 2 emissions as well as scope 3 emissions from logistics will have again been reduced, partly due to the negative impact of the COVID-19 pandemic on the business of HUGO BOSS (2019: reduction of 18%). The progress achieved in 2020 will be published in the 2020 Sustainability Report.

Responsible use of chemicals in production

HUGO BOSS is aware of its responsibility for the health and safety of the people who come into contact with its products, both as customers and during the manufacturing process. The responsible use of chemicals in production is an essential basis for **safe products and production processes that are harmless to both health and the environment**. Clear responsibilities, coordinated processes and comprehensive guidelines are targeted towards compliance with high safety and quality standards in the production processes. The Environmental Policy published on the Company's website emphasizes the ambitions of HUGO BOSS in this area.

In the fabric and trimmings production processes of independent suppliers, chemicals are particularly used in so-called wet processes, which include for example dyeing, washing, bleaching and tanning. The same applies to the production of cotton, synthetic and recycled fibers. The release of chemicals during production processes can have negative impacts on **water quality and the supply of water** to local communities in the areas surrounding production sites, among others things. HUGO BOSS therefore requires its suppliers to handle chemicals responsibly and is working to reduce their use.

Environmental matters for the supply chain are managed by the **central department Global Sustainability**. Its guidelines for compliance with relevant environmental standards are implemented by the operational sourcing units, in close cooperation with suppliers. For example, the HUGO BOSS Supplier Code of Conduct includes comprehensive guidelines for compliance with environmental protection regulations. Adherence on the part of the suppliers is continuously reviewed by HUGO BOSS and independent third parties. The Managing Board and relevant employees are regularly informed about the outcome of the work.

Targets

HUGO BOSS aims to guarantee the **safety of its products** at all times. Also, the Company is committed to further reduce the **environmental impact of wet processes** on the supplier side. To achieve both targets, the Company aims at reducing the use of chemicals that are hazardous to health and the environment in the production processes.

Measures

HUGO BOSS pays close attention to strict product safety requirements being complied with along its supply chain. The Company expects its suppliers to comply with a **Restricted Substances List (RSL)** that meets the requirements of the Apparel & Footwear International RSL Management Group (AFIRM). The RSL governs compliance with laws on the use of chemicals and other substances that are potentially hazardous to health. The safety and environmental compatibility of the materials used by HUGO BOSS and its suppliers is monitored regularly by means of extensive **product tests**. If the tests reveal noticeable problems, a pre-specified escalation process is triggered, which involves all relevant departments and, in serious cases, also includes the Managing Board.

In order to reduce environmental impacts in the production process, HUGO BOSS is working closely with its suppliers as well as with other businesses in the apparel industry, for example as part of the **Zero Discharge of Hazardous Chemicals (ZDHC)** program. The ZDHC program's **audit protocol** used by the Company enables HUGO BOSS to carry out a standardized assessment of the chemical management of its suppliers. At the same time, it is intended to help suppliers that use wet processes to improve their environmental performance. In order to further reduce the use of environmentally harmful chemicals, the Company included a ZDHC-based **Manufacturing RSL (MRSL)** as an integral component of its supplier contracts in 2020. The MRSL lists chemicals with defined thresholds and is intended to help suppliers to avoid using harmful chemicals or to limit their use to a minimum.

In 2020, HUGO BOSS also required strategically important suppliers to submit wastewater tests in accordance with the ZDHC's **Wastewater Guidelines** for the first time. The findings will be used to work together to further reduce the release of chemicals in the supply chain.

Performance indicators

HUGO BOSS has the safety and quality of its products tested by accredited institutes using comprehensive tests for harmful substances. The aim is to minimize the **share of products that do not meet market requirements** while also ensuring that such products are rejected. In 2020, around 2,650 materials were tested (2019: around 3,950). In this context, substantially less than 0.5% of the tested products turned out not to be market-compliant and were consequently rejected (2019: less than 0.5%).

The Company also aims to ensure that by 2030, all of its suppliers that use wet processes are **compliant with the specifications of the ZDHC-based MRSL**, measured on the basis of the suppliers reports on wastewater values and chemicals inventory. All strategically important finished goods suppliers that use wet processes are to achieve this goal as early as 2025. Based on wastewater tests that HUGO BOSS conducted in 2020, already 20% of those suppliers proved compliance in regard to the Wastewater Guidelines of ZDHC. At the same time, given a still persisting lack of transparency, conformity of the respective chemicals inventories could not be conclusively assessed. Within the ZDHC program, and in close collaboration with its suppliers, HUGO BOSS will continue to work on further increasing transparency with regard to the wastewater values and chemicals inventory of its suppliers.

Employee matters

Employer attractiveness

Achieving the Group's strategic and financial targets is largely dependent on its employees and on their skills and commitment. Increasing complexity and a fast-moving competitive environment are leading to a growing demand for skilled employees and executives. HUGO BOSS therefore strives for continuing to strengthen its position in the international competition for the most qualified employees. To increase its attractiveness as an employer, in addition to a fair and value-based corporate culture, the Company is also working primarily to create **opportunities for individual development** and a variety of offers to make it easier to **combine work and family life**.

The **central department Human Resources** is responsible for personnel strategy and personnel management across the Group. It remains in close contact with the managers of the central departments and with the HR departments and managers of the Group companies. The Managing Board is kept regularly informed of the progress of the personnel work and is involved in all significant decisions.

Targets

Further **increasing its attractiveness as an employer** is an important target in the personnel work at HUGO BOSS. The Company wants to strengthen its position in the international competition for highly qualified workers and to increase motivation, commitment and loyalty among its approximately 13,800 employees.

Measures

For HUGO BOSS, systematically training and developing its employees and supporting the combination of work and family life are among its top strategic personnel management priorities. → **Employees**

HUGO BOSS offers its employees a variety of opportunities for individual development. Structured training programs, such as the **Employee Development Program (EDP)** and the **Leadership Development Program (LDP)**, are designed to support employees in ways that are appropriate to their abilities, to broaden their knowledge and to strengthen their skills, for example with a view to pursuing a management career. The development programs already in practice in Germany and at selected international locations were temporarily suspended due to the COVID-19 pandemic. The EDP is currently being revised, with the aim of potentially establishing it in all Group companies together with the LDP. Moreover, employees have access to a broad selection of face-to-face and online live training along with e-learning courses on social, professional and management skills via the Group-wide **"HUGO BOSS University"** platform. At the Group's own production and logistics sites, face-to-face training sessions and workplace orientations are an integral part of the onboarding process for industrial staff. While the availability of online live training and e-learning continued to grow in importance in 2020 as a result of the pandemic, face-to-face training could only be conducted to a limited extent.

In 2020, HUGO BOSS successfully completed the introduction of the **"Performance & Development Dialog" (PDD)** to support the creation of individual development opportunities on the process and system side. With the help of an online tool, the PDD aims to bring about further improvements in areas such as performance evaluation, assessment of potential and development planning, initially at the Group's headquarters in Metzingen and in selected European locations. In this way, HUGO BOSS intends to create greater transparency within the Group, particularly with regard to possible cross-departmental and transnational development paths, to get the best out of employees and create a sense of loyalty to the Company among talented workers for as long as possible. The PDD will be available to all administrative staff from 2021 onwards. In addition, the first pilot projects have already taken place in Germany, Austria and Switzerland with employees of the Group's own retail business.

To increase its attractiveness as an employer, HUGO BOSS also supports its employees in combining work and family life. A **multitude of flexible working models**, such as individual part-time arrangements, trust-based working hours or working from home, are designed to further increase motivation and commitment among employees. The majority of the Group's employees already benefit from flexible working hours and possible part-time arrangements. For example, employees in the own production site in Izmir (Turkey) are able to take accrued overtime hours as time off within two months or make use of alternative part-time arrangement options. **Working from home** is now available to almost all administrative staff in the Company. In 2020, HUGO BOSS also introduced the **hybrid "Threedom of Work" concept**, which initially applies to administrative staff in Germany. The concept provides for three days of attendance at the Company's headquarter in Metzingen from Tuesday to Thursday. Employees can choose their place of work on the other two days. This model is the Company's response to the increasing desire of employees for flexibility in terms of where and when they work. At the same time, it reflects the Company's positive experiences with the home office concept during the pandemic. HUGO BOSS is one of the first companies in the fashion industry to make the permanent expansion of mobile working standard. The Company is working to establish comparable models in other Group companies in the future.

HUGO BOSS is also involved in the collaboration **"Success Factor Family"** to strengthen family-friendliness across Germany. The Company already offers a broad variety of family-friendly options to its employees. For example, young families at the Metzingen site have access to places in the local daycare center and **holiday care programs**. In 2019, construction work also began on a Company-owned **daycare center** there, which is planned to open in 2022. HUGO BOSS also established virtual **training courses** in 2020, specifically aimed at strengthening the mental and social health of employees during the pandemic, including a seminar on "Home Office with Kids". At international sites too, the Company promotes the combination of professional and private life. For example, employees in the United States and Canada have free access to an **Employee Assistance Program (EAP)**, which offers

independent advice on matters such as childcare and caring for family members. In addition, employees there have the choice of spending part of their personal gross income on external care and support services through **flexible spending accounts (FSAs)**.

The attractiveness of HUGO BOSS as an employer was also awarded several prizes in 2020. In the annual survey conducted by the Trendence and Universum institutes, the Company was once again among the **top 100 most attractive employers in Germany** among relevant target groups. In the study **“Working in Fashion 2020”** conducted by the German industry magazine Textilwirtschaft, HUGO BOSS took third place, retaining its place from the prior year. The Company scored particularly well in the categories of working internationally and salary levels. In fact, the Company ranked second in both categories.

Performance indicators

HUGO BOSS determines the satisfaction and the needs of its employees as part of an employee survey conducted annually in cooperation with Great Place to Work® Germany. The knowledge gained provides the Company with an important stimulus for the further development of its personnel work and the corporate culture. With a Group-wide participation rate of 70%, **overall satisfaction** increased to 72% in 2020 (2019: Overall satisfaction of 70% with a participation rate of 66%). At HUGO BOSS AG, overall satisfaction rose to 82% (2019: 76%). Compared with the prior year, more employees stated that they were proud of what they had accomplished together and that they were convinced that their work would make an important **contribution to society**. HUGO BOSS has set itself the target of raising overall satisfaction across the Group to 75% by 2025.

Occupational health

As a **responsible employer**, HUGO BOSS attaches great importance to the health of its employees. In general, the Company has taken comprehensive measures to ensure the occupational health of its workforce. The **Health and Safety Commitment** published on the Company's website emphasizes how much of a priority the matter is for the Company. The commitment derives from the HUGO BOSS Code of Conduct and supplements the rules set therein.

Responsibility for occupational health at HUGO BOSS is taken locally. **Clear responsibilities** are defined in administration as well as in the Group's own retail, production and logistics facilities. The responsible employees report regularly to the management of the respective Group companies, which is in close contact with the Managing Board.

Targets

The goal of HUGO BOSS is to **protect the health of its employees as comprehensively as possible**. High health and safety standards play a significant part in achieving this goal. In 2020, this topic has become even more important in the light of the **COVID-19 pandemic**. HUGO BOSS implemented comprehensive measures at an early stage of the pandemic to protect its employees from any potential infection as effectively as possible, which also allowed to maintain its business operations. The following section will look at these measures in detail.

Measures

At the end of January 2020 already, HUGO BOSS set up an **interdisciplinary coronavirus crisis team** for the Metzingen site and surrounding logistics locations, which closely monitors the course of the pandemic and comprehensively coordinates all measures taken by the Group to protect its employees. In addition to decision-makers from various departments, the team also includes members of the Works Council and medical professionals. Important decisions and measures have been closely coordinated with the Managing Board at all times and regularly communicated to employees, for example via email. This includes both concrete measures for the safe interaction of employees with one another and general information, for example regarding official travel warnings or current quarantine regulations. Appropriate protective measures and important rules of conduct have also been summarized in an internal **policy**, which has been made available to all employees.

Almost all administrative staff has been able to **work from home**. Wherever this was not possible for operational reasons, appropriate precautions were taken, for example for employees in the Group's own retail, production and logistics facilities. The measures implemented to **create a safe working environment** include restrictions to the number of staff permitted on site and shift models, ensuring minimum safe distances and the provision of appropriate fresh air ventilation, disinfectant and protective masks, as well as technical protective measures such as the installation of plexiglass walls. In the course of the pandemic, an **obligation to wear a face mask** was also introduced on the premises of the Company's headquarters in Metzingen as well as in the surrounding logistics sites. Similar schemes are also in place at the Company's other international locations.

Social matters

Customer satisfaction

For HUGO BOSS, the **desirability of its two brands, BOSS and HUGO**, is the most important factor for long-term success. The goal of maximizing customer satisfaction is in line with this fundamental concept. The clear focus on the customer is firmly anchored in the Group's strategy as one of the four guiding principles. Customer benefit and customer satisfaction are both a benchmark and a target in all key decisions. → **Group Strategy**

At HUGO BOSS, customer satisfaction is systematically measured and evaluated by the **central department Group Strategy**, which reports directly to the Spokesperson of the Managing Board. The Managing Board is kept regularly informed of the progress and results of the work.

Targets

Particularly in times of intense competition and constantly increasing customer demand, the **target of maximizing customer satisfaction** contributes to the long-term increase in enterprise value.

Measures

Key levers for increasing customer satisfaction for HUGO BOSS include **enhancing the shopping experience**, continually **optimizing the product offering** and constantly **improving product and service quality**. In 2020, HUGO BOSS invested in further optimizing its online store and expanding it to other markets, as well as in the modernization of selected BOSS stores. In addition, the Company has further strengthened its casualwear offering. The Company has also ramped up its marketing activities by means of partnerships and collaborations, in order to focus even more on the customer.

→ **Group Strategy**

HUGO BOSS relies on **systematic Customer Experience Management (CEM)** as an important instrument for measuring customer satisfaction. This system gathers, aggregates and evaluates feedback from customers given on a voluntary basis and makes it available to the relevant decision-makers in real time. The focus is on evaluating the shopping experience through suitable key figures such as the “Net Promoter Score” (NPS) and a five-star rating system. Immediately upon its introduction in 2019, all freestanding retail stores in Europe, as well as the Group’s own online stores there, were connected to the relevant software. In 2020, the Company also connected its own stores in the Americas and major Asian markets along with the global online store hugoboss.com to the CEM. This, for example, allows to observe and compare the subjective perceptions of customers in individual stores or countries in real time. As a result, sales staff can be trained in a more targeted way. At the same time, specific measures can be developed to further optimize the online ordering process. In 2020, the CEM allowed to track the success of individual marketing instruments, as well as customer perceptions regarding, for example, the product range and product quality through topic-specific customer surveys for the first time.

Performance indicators

When evaluating the data obtained, the **NPS** is the most important key figure, measuring the likelihood of a customer recommending the BOSS or HUGO brands. Also in 2020, HUGO BOSS was able to further increase the NPS. The Company aims at further improving this indicator in the future.

Data protection

The aim of data protection is to guarantee the **individual’s right to self-determination in terms of information**. Because of the ongoing digitization of the Company’s business model, this topic is also steadily becoming more important for HUGO BOSS. Customer data, in particular data from its own online business and the customer loyalty program, is highly relevant for the future success of HUGO BOSS. Equally important to HUGO BOSS is the proper handling of its employees’, business partners’ and shareholders’ data. Any breach of data protection laws represent an increased compliance risk. The Group aims to counter this risk using a system that complies with data protection laws and through appropriate technical and organizational measures. → **Risk Report, Material Organizational Risks**

The **central Data Protection Officer** is responsible for data protection monitoring and compliance. The Company has also assigned responsible staff in the international Group companies. In addition, a **centrally operated data protection unit** was established. The purpose of this unit is to work closely with the Data Protection Officer and the data protection coordinators of key departments of HUGO BOSS AG in order to ensure personal data are processed in a legally compliant way. The **work focuses** on the continuous assistance for departments in data protection issues, early identification of risks, remediation of weaknesses, and employee education. Any contraventions must be reported to the Data Protection Officer. The Managing Board is kept updated on the progress of work via regular data protection reports.

Targets

HUGO BOSS aims to completely rule out any **contraventions** of applicable data protection laws as far as possible.

Measures

Group employees are educated about data protection issues by means of general and activity-related **training courses** and a separate confidentiality obligation. A comprehensive **e-learning program** on data protection was also established in 2020. From now on, it is to be completed on a regular basis by all employees with PC access. Its purpose is to further raise awareness about processing personal data, especially in the light of the provisions of the EU Data Protection Basic Regulation. The Company has additionally developed an internal **data protection policy** as well as other data protection guidelines, to guarantee the comprehensive rights of affected persons, in particular. The guidelines are regularly checked to ensure they are up to date in terms of the applicable data protection provisions, and constantly further developed.

All internal **processes and systems** for processing personal data are measured on an ongoing basis and further developed to ensure that they comply with the legal data protection guidelines. The improvements are aimed at preventing data misuse and theft. There are extensive data protection provisions for the Company's online presence and mobile apps, for example. When legal violations have been discovered, the Company has implemented **contingency plans** to initiate countermeasures.

Performance indicators

In 2020, as in the prior year, the Company knew of **no violations** in the sense of data protection breaches that had been determined by an official authority or a court.

Respect for human rights

Under "Respect for Human Rights", HUGO BOSS addresses two significant topics relating to the social impact in the supply chain (including its own production): **human rights and labor standards** along with **occupational safety**. In the following, the topics are covered together, as they are both part of the HUGO BOSS social compliance program and are therefore closely interconnected.

HUGO BOSS considers respect for human rights and compliance with applicable labor standards in its global supply chain to be **integral parts of its corporate culture**. A key part of the sourcing volume of HUGO BOSS is attributable to finished goods produced by independent suppliers in less economically developed regions. In some of these regions, the political and social protection mechanisms for workers are relatively minimal. HUGO BOSS is aware of its **shared responsibility** for the employees in its supply chain. A commitment by the Managing Board to safeguard and respect human rights can be accessed on the Company's website.

Respect for human rights is the responsibility of and managed by the **central department Global Sustainability** in close consultation with the operational sourcing units. The results of the work are the subject of regular reports to the Managing Board. In addition, the issue of human rights is integrated into the Company's **risk management system** along with clearly defined processes and responsibilities. Responsibility for occupational health and safety in the Group's own production is organized locally. The employees responsible at the various sites report at regular intervals as well as incident-related to the **management of the respective Group companies**, which is in close contact with the Managing Board.

In case of any indication of violations of human rights or labor standards, both the Group's own employees and the employees of suppliers have recourse to a defined grievance mechanism through which they can reach out to the responsible contact person at HUGO BOSS directly, or an independent external **ombudsman**. Any violations will be investigated, sanctions imposed, and action taken under the primary responsibility of the central Compliance department, which submits regular compliance reports to the Managing Board and the Audit Committee of the Supervisory Board.

Targets

HUGO BOSS endeavors to achieve compliance with statutory and internal company regulations on both **human rights and labor standards**, both in its own production and that of its suppliers, while at the same time granting **occupational safety** for all employees.

Measures

HUGO BOSS attaches great importance to the **careful selection of its partners**, on cooperation based on a spirit of mutual trust and on the establishment and maintenance of long-term strategic relationships. In this context, the creation of a shared understanding and assistance in the further development of competencies to manage social issues plays an important role. HUGO BOSS imposes an obligation on its suppliers to comply with its **Supplier Code of Conduct**, which is the most important framework for compliance and improving social matters in the supply chain and forms an integral part of contractual agreements. It is based on internationally acknowledged standards such as the Core Conventions of the International Labor Organization (ILO) and includes rules governing the observance of national legislation, working-hour restrictions, humane and safe working conditions, bans on child labor, forced labor and discrimination and the payment of reasonable wages. In countries where the national statutory requirements fall short, the Code sets a minimum standard. This Code is available in 23 languages on the Company's website. The Group's own employees are subject to the **HUGO BOSS Code of Conduct** and the **HUGO BOSS Human Rights Policy** published in 2020.

To further develop industry standards, HUGO BOSS works in close **cooperation** with other businesses and organizations. For example, the Company is committed to the "Living Wages" initiative by the Partnership for Sustainable Textiles. For HUGO BOSS the underlying **principles of fair compensation** include the regulated payment of wages, the performance-based compensation of hours actually worked, the right to collective bargaining and the prevention of pay inequality. In 2020, managing the impact of the COVID-19 pandemic was a key priority of the Company's supply chain management. The Company was engaged in a continuous dialog with its suppliers about suitable measures to reduce the risk to health. In dealing with suppliers, the Company was guided by the **guidelines for responsible purchasing practices** developed by the Partnership for Sustainable Textiles in response to the pandemic. HUGO BOSS has also launched a Supplier Financing Program to safeguard the financial stability of its suppliers.

As a responsible employer, HUGO BOSS also attaches great importance to the occupational safety of its employees at work. This is especially reflected in the high standards of occupational safety at its own production sites. For example, as part of **health and safety inspections and risk assessments**, potential risks are identified and assessed at an early stage so that solutions can be developed. In addition, **face-to-face training courses** and **workplace training** are an integral part of the onboarding process of industrial staff at the Company's own production sites. The **Health and Safety Commitment** published on the Company's website emphasizes the relevance of this topic.

HUGO BOSS regularly **audits** compliance with social standards and occupational safety regulations. For this purpose, the Company also uses external auditors. If infringements of the social standards are identified, the Company works jointly with the respective supplier to develop action plans whose implementation is verified in follow-up audits. If no adequate improvement can be shown during the implementation of these corrective measures, as a last resort, HUGO BOSS will initiate the termination of the supplier relationship. To prevent any infringements of the social standards, HUGO BOSS attaches a high priority to the further development of the social compliance management systems of its suppliers. The Company regularly conducts **social compliance training courses** at its finished goods suppliers and supports them in implementing the social standards. The Company's own employees are also to be educated further in social compliance matters through regular **training sessions**. Against the backdrop of the COVID-19 pandemic, fewer in-person training sessions and courses took place in 2020 than originally planned.

Performance indicators

In 2020, the Group's own production was once again carried out in four production sites in four European countries. In addition, HUGO BOSS was in an active commercial relationship with 185 external finished goods production facilities in 26 countries in 2020 (2019: 198 production facilities in 25 countries). During the reporting period, **76 audits** were conducted in 71 existing finished goods production facilities (including the Company's own production sites) (2019: 119 audits in 93 production facilities). The decrease compared to the prior year is mainly due to a reduction in the number of audits against the backdrop of the pandemic, and the associated lockdowns and travel restrictions. Infringements that were identified in 2020 related primarily to the areas of working hours and remuneration.

HUGO BOSS has set itself the goal by 2025 of procuring 100% of its sourcing volume from finished goods suppliers (including its own production sites) with one of the **top two performance levels** ("good" or "satisfactory") in the most recent audit. As at December 31, 2020, this proportion was 96% (2019: 93%).

Anti-corruption and bribery matters

Avoidance of corruption and anti-competitive behavior

Ethically correct and lawful conduct includes the prevention of corruption and anti-competitive behavior. HUGO BOSS expects all employees to act lawfully in day-to-day business operations. For HUGO BOSS, **corporate compliance** is a key responsibility of the Managing Board and includes measures to ensure adherence to legal and official regulations, as well as internal guidelines and codes. These include anti-corruption, anti-bribery, and antitrust regulations.

The **central Compliance department** reports directly to the CFO in his role as Chief Compliance Officer and supports him in the monitoring of effective compliance management. The department works together with the compliance officers in the Group companies to implement and continually further develop the compliance program. The Audit Committee of the Supervisory Board is kept regularly informed of the Compliance department's activities.

Targets

Compliance management at HUGO BOSS aims at **Group-wide legally compliant behavior**. The aim is to prevent legal violations such as corruption, bribery and antitrust violations which may result not only in reputational and financial risk but may also lead to personal consequences under criminal and labor law.

Measures

All employees of HUGO BOSS are required to comply with the Group-wide **Code of Conduct** and supplementary specific **compliance rules**, such as antitrust law guidelines and capital market guidelines. Both the publicly accessible Code and the internal guidelines are reviewed regularly and the content is updated, especially with regard to changes in legal requirements. For example, the Company is currently revising its internal procurement policy, which it aims to complete in 2021. In addition, Group companies are subject to regular **risk analysis** and detailed **audits** where applicable. Any infringements are reported to the Managing Board and the Supervisory Board.

A Group-wide **e-learning program** to be completed by all employees with PC access is intended to raise awareness of the compliance rules. From mid-2021, the program also will be available in Turkish, Italian, and Chinese, making a total of seven languages going forward. Staff in positions where compliance is particularly relevant receive topic-specific **face-to-face training courses**, such as antitrust law. HUGO BOSS does not tolerate any intentional misconduct or serious compliance infringements.

At HUGO BOSS, employees, suppliers and trading partners can notify an external **ombudsman** in confidence if there are any indications of fraud, infringements of antitrust law or other compliance breaches. If desired, it is also possible to do this anonymously. The ombudsman's contact data can be found on the Company's website.

Performance indicators

In 2020, the Danish competition authority found that there was a breach of antitrust law concerning the alleged disclosure of information relating to HUGO BOSS prices and quantities to local trading partners. HUGO BOSS took a different view of this and thus lodged an appeal with the relevant appeals board. A preliminary decision on this case is not expected before spring 2021. No fine has been imposed so far. Beyond this, in 2020, as in the prior year, no further violations in the sense of legal violations regarding corruption, bribery or antitrust cases determined by an official authority or a court were identified in the Company.

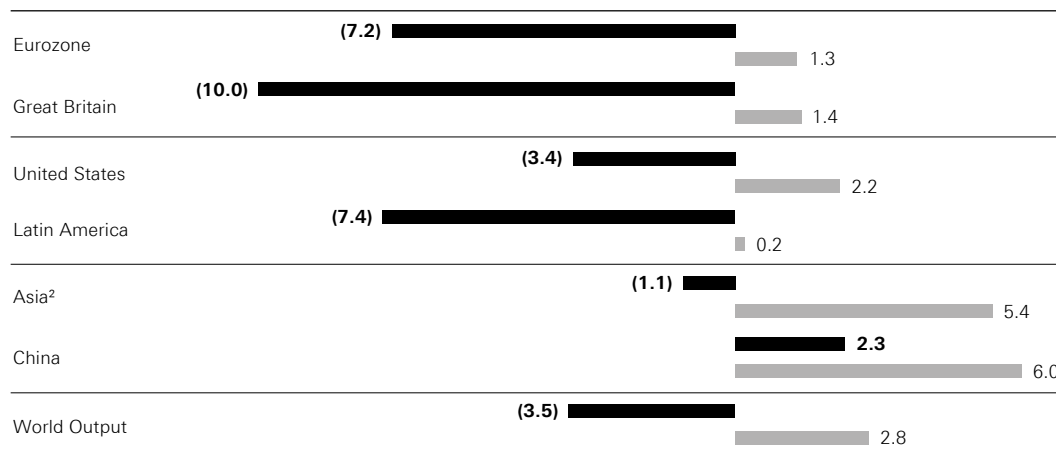
GENERAL ECONOMIC SITUATION AND INDUSTRY DEVELOPMENT

- Development of global economy impacted by implications of COVID-19 pandemic
- Economic performance declines in all regions except China
- Lower demand significantly weighs on sales in the premium and luxury goods industry

General economic situation

In 2020, the **COVID-19 pandemic** had a severe negative impact on the global economy. According to the International Monetary Fund (IMF), the global economy has shrunk by 3.5% last year (2019: increase of 2.8%). In the first half of the year, a noticeable decline in demand in connection with global lockdown and quarantine measures had a particularly negative impact on consumption. Monetary policy countermeasures and comprehensive liquidity initiatives only partially offset the decline in private consumer spending. In addition, companies temporarily suspended planned investments due to the persisting high level of uncertainty. After reaching a temporary annual low during the course of the second quarter, global economic output started to gradually recover following the lifting of the first lockdowns. In particular, private consumer spending benefitted from this, thus recovering strongly in the third quarter. Towards the end of the year, the renewed rise in infections and the return to lockdowns in particular in much of Europe had a negative impact on global economic development.

Growth of the global economy¹ (in %)



¹ Estimates IMF. ■ 2020

² Without Japan. ■ 2019

According to IMF estimates, the economy of the **Eurozone** declined by 7.2% in fiscal year 2020 (2019: increase of 1.3%). Economies with a comparatively large manufacturing sector, such as Germany, performed relatively better than those highly depending on service and tourism, such as Italy and Spain. In France, too, where the first lockdown lasted particularly long and where the second lockdown was implemented at an early stage towards the end of the year, economic performance has been relatively weak. The same applies to **Great Britain**, whose economic output, according to the IMF, has fallen by as much as 10.0% in 2020 (2019: increase of 1.4%). In order to cushion the negative implications of the pandemic, decision-makers at national level and the European Central Bank initiated comprehensive monetary policy measures at an early stage, laying the foundations for the economy to recover in 2021.

According to the IMF, the **U.S.** economy shrunk by 3.4% in 2020 (2019: increase of 2.2%). After having reached a low in April, the economy increasingly recovered over the remainder of the year in light of lifted lockdown measures. In addition, comprehensive economic measures, such as financial relief for low and middle-income households, further fueled the economic recovery over the course of the year. However, the renewed rise in COVID-19 infections toward the end of the year put a renewed strain on economic performance. The economy in **Latin America** was also significantly affected by the implications of the pandemic in 2020, with the recovery progressing only slowly.

In **China**, the economy recovered comparably rapidly following the lockdown in the first quarter, and even recorded growth for the year as a whole. The IMF estimates that the Chinese economy grew by 2.3% in 2020 (2019: 6.0%). Supported by extensive monetary and fiscal policy measures, Chinese industrial production has grown particularly strong since the middle of the year, thereby becoming the growth engine of the recovery. By contrast, in **Japan**, where the lockdown lasted comparably long, economic activity is recovering only slowly.

Industry development

In 2020, the global apparel industry has been severely affected by the implications of the pandemic. A decline in sales reflecting the general softness in demand, increased discounting and changing customer behavior weighed strongly on the industry. In a joint study, The Business of Fashion and management consultancy McKinsey & Company estimate that total economic profit of companies in the **global apparel industry** fell by 93% in 2020, compared to a 4% increase in the prior year. In this context, the **upper premium segment of the apparel industry**, which represents the best benchmark for HUGO BOSS, performed weaker than the luxury segment, as the uncertainties caused by the pandemic have had less impact on wealthy clients in the luxury segment. In addition, companies with a comparatively high exposure to Asia and a robust online penetration performed comparably better in 2020.

Industry development varied significantly across regions. While most markets in **Asia/Pacific**, including Australia, Japan and Southeast Asia, were affected by widespread store closures, industry sales in mainland China returned to growth already in the second quarter. This was primarily driven by a repatriation of local demand, declining infection rates and an overall positive consumer sentiment.

In **Europe**, where demand for premium apparel began to pick up again towards the end of the second quarter, the recovery was significantly slower as compared to mainland China. In the fourth quarter, further lockdowns and temporary store closures in important European markets such as Germany, France and Great Britain put renewed pressure on industry development. The strong decline in international travel caused by the pandemic also had a negative effect on industry sales, particularly in southern European markets and in major metropolitan areas.

In **the Americas**, the financial implications of the pandemic and long-lasting store closures had a negative impact on the industry well into the third quarter. In addition, social unrest and demonstrations towards the middle of the year weighed on consumer confidence in the U.S. market. Only towards the end of the year, implemented economic and fiscal measures took effect, noticeably supporting industry development in the U.S. On the other hand, in Canada, which suffered from a return to lockdowns and renewed store closures towards the end of the year, the industry performed comparatively weaker.

COMPARISON OF ACTUAL AND FORECAST BUSINESS PERFORMANCE

- **Business performance in 2020 severely impacted by COVID-19 pandemic**
- **Significant decline in sales and operating result (EBIT)**
- **Strong momentum in Online and in mainland China continues**

After a very encouraging start to fiscal year 2020, the rapid spread of COVID-19 led to a significant impact on the global business of HUGO BOSS. In particular, widespread temporary store closures in light of global lockdowns, large-scale restrictions on public life including extensive social distancing measures, and international travel restrictions put a significant strain on sales, operating result (EBIT) and free cash flow. The **implications of the pandemic** became particularly evident in Europe, by far the Group's largest region, and the Americas. In Asia, however, the swift recovery of business in mainland China compensated for some of the declines in the region's other markets.

Despite the noticeable negative impact of the pandemic on its business, in 2020 HUGO BOSS continued to make significant progress with its **strategic growth drivers Online and China**. With a currency-adjusted sales increase of 49%, the Company's own online business performed particularly well, posting strong double-digit growth for the third year in a row. This was supported by sales generated via hugoboss.com as well as by self-managed offerings on key partner websites in the concession model, each posting significant double-digit growth in 2020. Sales in mainland China, on the other hand, were able to return to double-digit growth as early as during the second quarter, after having been severely impacted in the first quarter. Overall, currency-adjusted sales in mainland China grew 5% in full year 2020. From a brand perspective, further **increasing the desirability of BOSS and HUGO** was a clear focus of all of the Company's initiatives in 2020. Thanks to a variety of digital events, exclusive collaborations with brands and ambassadors and a strong focus on casualwear, the attractiveness of both brands was further enhanced. At the same time, HUGO BOSS succeeded in **further improving the efficiency and flexibility of its operational processes** in 2020 – largely reflecting its consistent focus on driving digitization across the entire value chain. → **Group Strategy**

Thanks to its healthy balance sheet structure, HUGO BOSS was well prepared for the financial challenges associated with the pandemic at all times. In this context, at an early stage of the pandemic, the Company has initiated and successfully executed comprehensive measures with a total volume of at least EUR 600 million aimed at **protecting cash flow**. In particular, the Company significantly reduced its operating expenses, postponed non-business-critical investments, significantly reduced the merchandise inflow and suspended the dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share. Furthermore, the Company secured further credit commitments in 2020 and successfully exercised the option to increase its revolving syndicated loan, thereby further strengthening its financial flexibility during the course of the year. → **Earnings Development, Income Statement, → Financial Position, Statement of Cash Flows and Free Cash Flow**

In the wake of the COVID-19 pandemic, on March 18, 2020, HUGO BOSS had withdrawn its **initial outlook** for fiscal year 2020 as provided in the 2019 Annual Report. Due to the high level of uncertainty regarding the further development of the pandemic, the Group was not able to provide a new, reliable forecast for its key performance indicators in the remainder of fiscal year 2020.

Comparison of actual and forecast business performance

	Result 2019	Outlook 2020 ¹	Result 2020
Group sales	EUR 2,884 million	Development within a range of 0% to +2% ²	Decrease by 31% ² to EUR 1,946 million
Operating result (EBIT)	EUR 344 million	EUR 320 million to EUR 350 million	EUR (236) million ³
Group's net income	EUR 205 million	Increase of up to 10%	EUR (219) million ⁴
Trade net working capital (TNWC) as a percentage of sales	20.1%	Increase by around 50 basis points	Increase by 860 basis points to 28.7%
Capital expenditure	EUR 192 million	EUR 140 million to EUR 160 million	EUR 80 million

¹ In the wake of the COVID-19 pandemic, on March 18, 2020, HUGO BOSS had withdrawn its initial outlook for fiscal year 2020 as provided in the 2019 Annual Report.

² Currency-adjusted.

³ Excluding non-cash impairment charges related to the negative impact of COVID-19 on its own retail business, EBIT amounted to minus EUR 126 million.

⁴ Excluding non-cash impairment charges related to the negative impact of COVID-19 on its own retail business, net income amounted to minus EUR 131 million.

Overall, currency-adjusted **Group sales** decreased by 31% in 2020. This corresponds to a sales decline in Group currency of 33% to EUR 1,946 million (2019: EUR 2,884 million). While the sales decrease in own retail was slightly lower than in wholesale, both distribution channels were significantly affected by temporary store closures in the wake of the lockdowns. On average, around 20% of the Company's own BOSS and HUGO stores globally were closed in 2020. In addition, large-scale restrictions on public life in many markets and far-reaching international travel restrictions had a significant negative impact on sales development. → **Earnings Development, Sales Performance**

In addition to the significant decline in sales, a lower gross margin reflecting increased markdown activity, also weighed on the **operating result (EBIT)**. While the EBIT in fiscal year 2020 totaled minus EUR 236 million (2019: plus EUR 344 million), this also reflects non-cash impairments of non-current assets in the amount of EUR 110 million (2019: EUR 10 million). These were directly related to the negative implications of the pandemic on the Group's retail business, primarily reflecting impairments of fixed store assets in the amount of EUR 69 million and right-of-use assets in the amount of EUR 37 million. Excluding those impairment charges, EBIT amounted to minus EUR 126 million (2019 excluding impairment charges: plus EUR 355 million). The comprehensive expense-reduction measures implemented by HUGO BOSS at an early stage of the pandemic partially compensated for the decline in EBIT. The **Group's net income** amounted to minus EUR 219 million in fiscal year 2020 (2019: plus EUR 205 million). Excluding the impairment charges, net income amounted to minus EUR 131 million (2019 excluding impairment charges: plus EUR 212 million). → **Earnings Development, Income Statement**

The moving average of **trade net working capital (TNWC)** as a percentage of sales on the basis of the last four quarters increased to 28.7% (2019: 20.1%), primarily reflecting the decline in Group sales. While inventories at the end of the year were only slightly above the prior-year level, trade receivables declined noticeably, reflecting lower sales in the wholesale business. → **Net Assets**

At EUR 80 million, **capital expenditure** came in well below the prior-year level (2019: EUR 192 million), reflecting the reduction of the investment budget as part of the Company's measures to secure cash flow. In 2020, investing activity was focused on optimizing and modernizing the own store network, the global expansion of the Company's own online business as well as the Group's IT infrastructure.

→ **Financial Position, Capital Expenditure**

EARNINGS DEVELOPMENT

- Sales development in 2020 severely impacted by the implications of the pandemic
- Strategic growth drivers China and Online with ongoing strong momentum
- Comprehensive expense-reduction measures limit the decline in earnings

In fiscal year 2020, both the retail sector and the apparel industry were severely impacted by the **COVID-19 pandemic**. Widespread temporary store closures in light of global lockdowns, large-scale restrictions on public life including extensive social distancing measures, and international travel restrictions put a significant strain on global industry sales. Also the business of HUGO BOSS was severely impacted by the pandemic. After a very encouraging start to the year, the rapid spread of COVID-19 led to a significant impact on the global business of HUGO BOSS. However, towards the middle of the year and following the end of the first lockdowns in many markets, business started to recover strongly. The business recovery, which was particularly noticeable in the third quarter, slowed down in the fourth quarter due to renewed restrictions on public life and the related temporary store closures in many important markets. On average, around 20% of the Company's own retail stores globally were closed in 2020.

Consequently, **Group sales** decreased by 31% to EUR 1,946 million in fiscal year 2020, adjusted for currency effects (2019: EUR 2,884 million). In Group currency, sales were down 33%, as currency effects had a slightly negative impact on sales development in the reporting period.

Sales by region

Sales by region (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
Europe ¹	1,231	63	1,803	63	(32)	(31)
Americas	308	16	560	19	(45)	(42)
Asia/Pacific	343	18	438	15	(22)	(20)
Licenses	64	3	84	3	(23)	(23)
Total	1,946	100	2,884	100	(33)	(31)

¹ Including Middle East and Africa.

In **Europe** (including the Middle East and Africa) double-digit sales decreases in all major markets contributed to the overall decline in sales. This primarily reflects temporary store closures in the wake of the lockdowns, which severely weighed on regional sales in 2020. Significantly lower tourist flows in light of international travel restrictions put an additional strain on the sales development. Also in **the Americas**, the pandemic and the related temporary store closures significantly burdened sales development. In addition, unrest and demonstrations towards the middle of the year negatively impacted business in the U.S. In **Asia/Pacific**, many markets recorded double-digit sales declines as well. On the other hand, business in mainland China, which is a strategically important market for HUGO BOSS, returned to double-digit growth already in the course of the second quarter, thus offsetting the regional sales decline to some extent. → **Earnings Development, Sales and Earnings Development of the Business Segments**

Sales by distribution channel

Sales by distribution channel (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
Own retail business	1,279	66	1,869	65	(32)	(30) ¹
Brick-and-mortar retail	1,057	54	1,718	60	(38)	(37)
Own online business	221	11	151	5	47	49
Wholesale	603	31	931	32	(35)	(34)
Licenses	64	3	84	3	(23)	(23)
Total	1,946	100	2,884	100	(33)	(31)

¹ (32%) on a comp store basis.

Sales in the Group's **own retail business** (including freestanding retail stores, shop-in-shops, outlets and online stores) declined by 30% in fiscal year 2020, adjusted for currency effects. On a comp store basis (i.e. taking into account all retail spaces opened or taken over before December 31, 2018 and excluding stores renovated in 2019 or 2020), currency-adjusted own retail sales came in 32% below the prior-year level. This is mainly attributable to temporary store closures in the wake of the pandemic, which significantly burdened sales development in brick-and-mortar retail in 2020. On the other hand, the Group's **own online business**, which includes the own online store hugoboss.com as well as self-managed offerings on important partner websites (concession model), was able to accelerate further in fiscal year 2020, posting significant double-digit growth for the third consecutive year. Overall, own online sale were up 49% on the prior-year level, totaling EUR 221 million in 2020 (2019: EUR 151 million). This performance is based on a strong improvement in traffic and conversion rates. In addition, the successful roll-out of hugoboss.com to 32 additional markets contributed to the sales increase. The share of own online sales in Group sales increased to 11% in fiscal year 2020 (2019: 5%). Overall, the share of the Company's own retail business in Group sales remained virtually unchanged at 66% (2019: 65%).

In its **wholesale business**, HUGO BOSS recorded a currency-adjusted sales decline of 34% in 2020. A generally cautious order behavior in the wake of the pandemic led to lower deliveries to partners, particularly in Europe and in the U.S. market. Besides that, the expansion of the online concession business in 2019 led to a shift in sales from wholesale to own retail. Following a change in the basis of consolidation, the sales of six stores in the United Arab Emirates are also attributed to retail sales starting in January 1, 2020. Compared with the prior year, this also led to a slight shift in sales from wholesale to own retail. Consequently, the share of the Company's wholesale business in Group sales declined slightly from 32% to 31% in 2020.

The economic consequences of the pandemic also weighed on sales in the **license business**. In particular, a decline in sales generated with fragrances, watches, and eyewear, reflecting a softer travel retail business, weighed on the performance. The share of the license business in Group sales remained stable at 3% compared to the prior year.

Sales by brand

Sales by brand (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
BOSS	1,661	85	2,488	86	(33)	(32)
HUGO	285	15	396	14	(28)	(27)
Total	1,946	100	2,884	100	(33)	(31)

The negative implications of the pandemic weighed on sales of both brands in fiscal year 2020. While **BOSS** recorded low to mid-double-digit percentage declines in sales across all wearing occasions, the decline in casual- and athleisurewear was less pronounced than in formalwear. Also for **HUGO**, casualwear proved to be more robust than formalwear.

Sales by gender

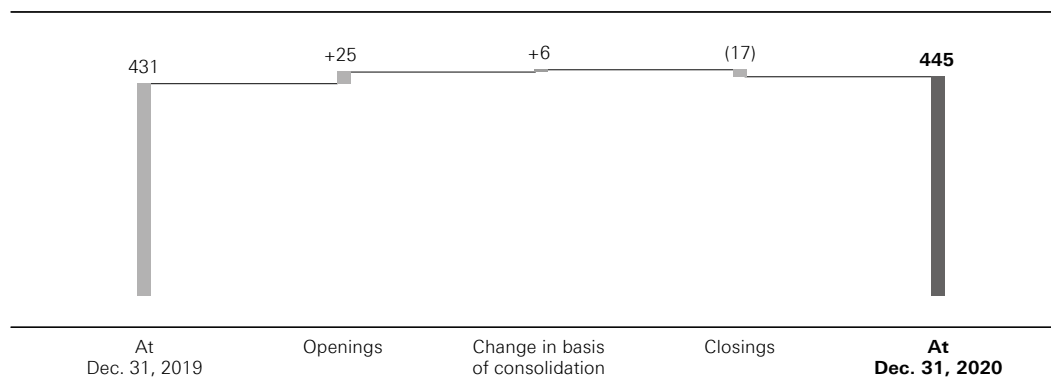
Sales by gender (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
Menswear	1,759	90	2,609	90	(33)	(31)
Womenswear	187	10	275	10	(32)	(31)
Total	1,946	100	2,884	100	(33)	(31)

In fiscal year 2020, both **menswear** and **womenswear** recorded double-digit sales declines. A clear trend in favor of casual- and athleisurewear was also visible here.

Network of own retail stores

Number of own freestanding retail stores

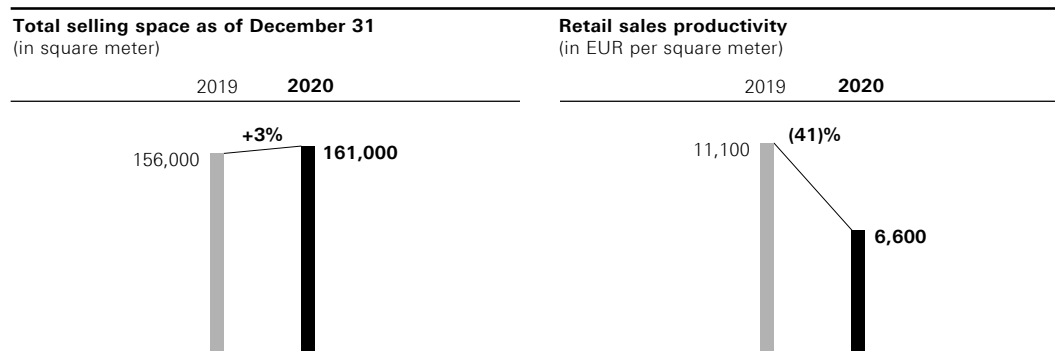


In fiscal year 2020, the number of own **freestanding retail stores** increased by a net figure of 14 to 445 (2019: 431). 2020 saw the opening of 24 BOSS stores, mainly in Asia and Europe, as well as one HUGO store in Moscow. In addition, five BOSS stores and one HUGO store in the United Arab Emirates were added to the Group's own store network following a change in the basis of consolidation. On the other hand, 17 stores were closed globally in light of expiring leases.

Number of own retail stores by region

	Freestanding stores	Shop-in-shops	Outlets	Total
2020				
Europe	212	302	75	589
Americas	92	105	54	251
Asia/Pacific	141	105	71	317
Total	445	512	200	1,157
2019				
Europe	203	311	70	584
Americas	94	84	50	228
Asia/Pacific	134	109	58	301
Total	431	504	178	1,113

Including shop-in-shops and outlets, the total number of **retail stores** operated by HUGO BOSS globally increased slightly as of December 31, 2020 to 1,157 (2019: 1,113). Besides the higher number of freestanding retail stores, this development also reflects a slight increase in the number of outlets, mainly in the Asia/Pacific region. The latter is primarily intended to support the Group's expansion in the strategic growth market of mainland China.



The **total selling space** of the Group's own retail business increased 3% and amounted to around 161,000 sqm at the end of the year (December 31, 2019: 156,000 sqm). The slight increase is related to selective new openings in the past fiscal year, including the addition of six new stores in the United Arab Emirates. The decrease in brick-and-mortar sales led to a decline in **retail sales productivity** to around EUR 6,600 per square meter (2019: EUR 11,100 per sqm).

Income statement

Income statement (in EUR million)

	Jan. – Dec. 2020	Jan. – Dec. 2019	Change in %
Sales	1,946	2,884	(33)
Cost of sales	(759)	(1,009)	25
Gross profit	1,187	1,875	(37)
In % of sales	61.0	65.0	(400) bp
Operating expenses	(1,423)	(1,531)	7
In % of sales	(73.1)	(53.1)	(2,000) bp
Thereof selling and distribution expenses	(1,138)	(1,235)	8
Thereof impairment charges ¹	(110)	(10)	< (100)
Thereof administration expenses	(285)	(296)	4
Operating result (EBIT)	(236)	344	< (100)
In % of sales	(12.1)	11.9	(2,410) bp
Financial result	(38)	(39)	3
Earnings before taxes	(273)	306	< (100)
Income taxes	54	(100)	> 100
Net income	(219)	205	< (100)
Earnings per share (in EUR)²	(3.18)	2.97	< (100)
Income tax rate in %	20	33	

¹ Non-cash impairments on non-current assets related to the negative impact of COVID-19 on the Group's own retail business.

² Basic and diluted earnings per share.

At 61.0%, the **gross profit margin** was 400 basis points below the prior-year level (2019: 65.0%). The decrease was mainly driven by a market environment characterized by increased markdown activity as a result of the pandemic, in particular in Europe and the U.S. In addition, inventory valuation effects predominately relating to the Spring/Summer 2020 collection contributed to the decline in gross profit margin. The sale of this collection was significantly affected by the COVID-19 pandemic and the corresponding temporary store closures. → **Notes to the Consolidated Financial Statements, Note 12**

Operating expenses decreased by a total of 7% in fiscal year 2020. Non-cash impairments of non-current assets of EUR 110 million weighed on selling and distribution expenses (2019: EUR 10 million). These were directly related to the negative implications of the pandemic on the Group's retail business, primarily relating to impairments for fixed store assets in the amount of EUR 69 million and right-of-use assets in the amount of EUR 37 million. Excluding those impairment charges, the underlying operating expenses declined by 14% to EUR 1,313 million (2019 excluding impairment charges: EUR 1,521 million). This development reflects the early implementation and execution of comprehensive measures to reduce costs, particularly visible in selling and distribution expenses.

Selling and distribution expenses decreased by a total of 8% in fiscal year 2020. Excluding impairments of non-current assets, underlying selling and distribution expenses even declined by 16% to EUR 1,028 million (2019 excluding impairment charges: EUR 1,224 million). This primarily reflects the comprehensive cost-saving measures that HUGO BOSS successfully implemented in the course of the pandemic. In particular, the Company succeeded in significantly reducing rental and payroll expenses in own retail. In addition, **marketing expenses** were reduced by 12%. In fiscal year 2020, **logistics expenses** came in 9% below the prior-year level. → **Notes to the Consolidated Financial Statements, Note 2**

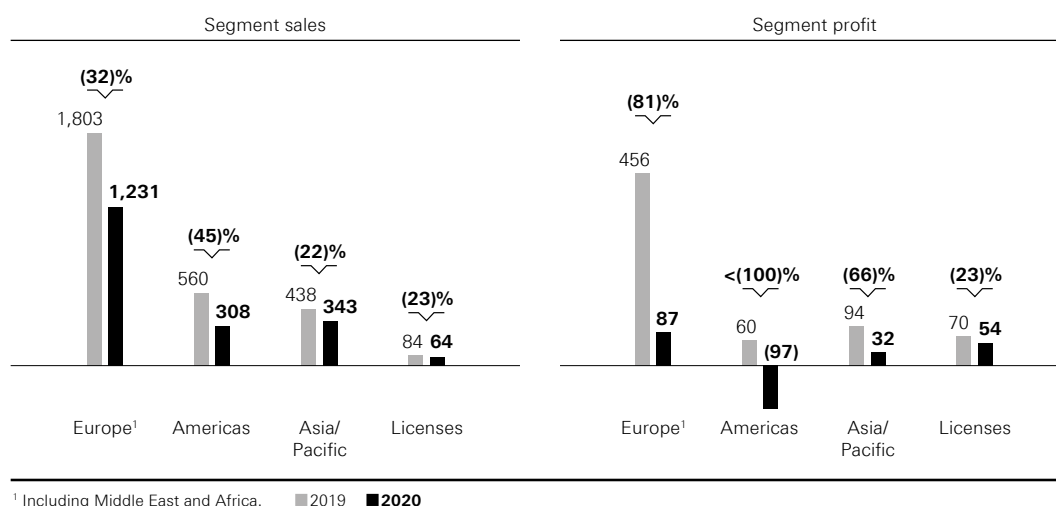
Administration expenses in 2020 were also lower than in the prior year. The decrease of 4% was primarily driven by the positive impact of cost-saving measures, which were mainly related to reducing payroll as well as eliminating non-business-critical expenses. In this context, **general administration expenses** decreased by 2% to EUR 227 million (2019: EUR 231 million). Expenses for **research and development** incurred in light of the collection development came in 11% below the prior-year level, hence amounting to EUR 58 million (2019: EUR 65 million). → **Notes to the Consolidated Financial Statements, Note 3, → Research & Development**

The significant decline in sales as well as the lower gross profit margin inevitably weighed on the Group's **operating result (EBIT)**. While EBIT in fiscal year 2020 totaled minus EUR 236 million (2019: plus EUR 344 million), this also reflects non-cash impairments of non-current assets. Excluding those impairment charges, EBIT amounted to EUR minus 126 million (2019 excluding impairment charges: plus EUR 355 million). The comprehensive expense-reduction measures implemented by HUGO BOSS at an early stage partially compensated for the decline in earnings. Consequently, the **EBIT margin** amounted to minus 12.1% in 2020 (2019: plus 11.9%). Excluding impairment charges, the EBIT margin was minus 6.5% (2019 excluding impairment charges: plus 12.3%). At EUR 465 million, **depreciation and amortization** was significantly above the prior-year level (2019: EUR 362 million). Excluding the impairment charges, however, depreciation and amortization increased only slightly to EUR 355 million (2019 excluding impairment charges: EUR 352 million). → **Financial Position, Capital Expenditure**

At minus EUR 38 million, the **financial result (net financial expenses)** was only slightly below the prior-year level (2019: minus EUR 39 million). The relief from **income tax** in the amount of EUR 54 million relates to the recognition of deferred taxes on the losses incurred in 2020 (2019: income tax expense of EUR 100 million). The **Group tax rate** amounted to 20%, mainly reflecting a varying regional development of the profit/loss shares as well as a non-recognition of deferred taxes at subsidiaries with a loss history (2019: 33% reflecting the tax field audit at HUGO BOSS AG). Consequently, the **Group's net income** amounted to minus EUR 219 million (2019: EUR 205 million). Excluding the impairments of non-current assets, net income totaled minus EUR 131 million (2019 excluding impairment charges: plus EUR 212 million). → **Notes to the Consolidated Financial Statements, Note 4 and 5**

Sales and earnings development of the business segments

Development of segment sales and segment profit (in EUR million)



Europe

Currency-adjusted sales in **Europe**, including the Middle East and Africa, were down 31% in 2020. The COVID-19 pandemic and the corresponding temporary store closures weighed strongly on the region's overall sales development, especially during the second and fourth quarter. The decline in international tourism in the wake of the pandemic put an additional strain on regional sales. On a comp store and currency-adjusted basis, the own retail business recorded a sales decline in the low to mid-double-digit percentage range.

Sales development Europe (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
Own retail business	728	59	1,070	59	(32)	(31)
Wholesale	503	41	733	41	(31)	(31)
Total	1,231	100	1,803	100	(32)	(31)

All core markets in Europe, including **Germany, Great Britain, France** and the **Benelux countries**, recorded sales declines in the low to mid-double-digit percentage range. Overall, the sales development in own retail in Europe was in line with that in wholesale. The latter was particularly affected by lower deliveries to partners during the pandemic. In addition, the expansion of the online concession model in 2019 led to a shift in sales from wholesale to own retail.

At EUR 87 million, **segment profit** in Europe was well below the prior-year level (2019: EUR 456 million). This corresponds to an EBIT margin of 7.1% (2019: 25.3%). Non-cash impairment charges of EUR 50 million weighed on segment earnings (2019: EUR 7 million). Excluding these impairment charges, EBIT totaled EUR 137 million (2019 excluding impairment charges: EUR 463 million), as significant cost savings were able to partially offset the decline in sales as well as negative inventory valuation effects and increased markdown activity. Accordingly, the EBIT margin excluding impairment charges amounted to 11.1% (2019 excluding impairment charges: 25.7%). → **Notes to the Consolidated Financial Statements, Note 24**

Americas

The far-reaching implications of the pandemic were also clearly felt in **the Americas** region. In particular, the temporary closure of the majority of retail stores as well as significantly lower tourist flows, burdened the regional sales development. Consequently, currency-adjusted sales were down by 42% in fiscal year 2020. On a comp store and currency-adjusted basis, the own retail business recorded a sales decline in the low to mid-double-digit percentage range.

Sales development Americas (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
Own retail business	229	75	398	71	(42)	(39)
Wholesale	78	26	162	29	(52)	(50)
Total	308	100	560	100	(45)	(42)

Besides the negative implications of the pandemic, unrest and demonstrations towards the middle of the year also had a negative impact on business in the **U.S.** – by far the most important market in the region. While sales in **Canada** developed broadly in line with those in the U.S., the decline in **Latin America** was significantly lower, with own retail sales developing relatively robust. Overall, the decline in sales in the Americas region was less pronounced in own retail than in wholesale. The economic consequences of the pandemic led to significantly lower deliveries to partners in this context.

Segment profit in the Americas amounted to minus EUR 97 million in the reporting period and was thus well below the prior-year level (2019: plus EUR 60 million). This corresponds to an EBIT margin of minus 31.6% (2019: plus 10.8%). Also in this region, non-cash impairment charges of EUR 36 million had a negative impact on earnings (2019: EUR 2 million). Excluding those charges, EBIT amounted to minus EUR 61 million (2019 excluding impairment charges: EUR 63 million). Lower operating expenses were only partly able to offset the decline in sales as well negative inventory valuation effects and higher markdown activity. This corresponds to an EBIT margin of minus 19.7%, excluding impairment charges (2019 excluding impairment charges: plus 11.2%). → **Notes to the Consolidated Financial Statements, Note 24**

Asia/Pacific

After a very encouraging start to 2020, the retail environment in the **Asia/Pacific** region deteriorated sharply towards the end of January, as the region was hit first by the pandemic and related temporary store closures. While mainland China was able to return to growth swiftly, other markets in the region experienced a comparably slower recovery. Overall, the region recorded a currency-adjusted sales decline of 20% in 2020. On a comp store and currency-adjusted basis, the own retail business recorded a sales decline in the low double-digit percentage range.

Sales development Asia/Pacific (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %	Currency-adjusted change in %
Own retail business	321	94	402	92	(20)	(19)
Wholesale	21	6	36	8	(41)	(39)
Total	343	100	438	100	(22)	(20)

Following the lockdown in the first quarter, business in **mainland China** – a strategically important market for HUGO BOSS – had already recovered noticeably from the end of March and finally returned to double-digit growth in June. Significantly higher conversion rates in brick-and-mortar retail as well as strong double-digit growth in the own online business contributed positively to sales growth in this market. Growth was further fueled by a repatriation of local demand in China. Overall, sales in Mainland China were 5% above the prior-year level, whereas other markets in the region, including **Japan, Oceania and South-East Asia**, recorded double-digit sales declines in 2020. Business in Hong Kong and Macau also suffered from significantly lower tourist flows.

Segment profit in the Asia/Pacific region amounted to EUR 32 million in fiscal year 2020 (2019: EUR 94 million). This corresponds to an EBIT margin of 9.3% (2019: 21.4%). Excluding non-cash impairment charges of EUR 23 million (2019: EUR 1 million), EBIT amounted to EUR 55 million (2019 excluding impairment charges: EUR 94 million), representing an EBIT margin of plus 16.2% (2019 excluding impairment charges: 21.6%). Also in this region, significant cost savings positively impacted the earnings development in the reporting period. → **Notes to the Consolidated Financial Statements, Note 24**

Licenses

The **license business** was also negatively impacted by the economic consequences of the pandemic, in particular due to a weak travel retail business. As a consequence, currency-adjusted sales in fiscal year 2020 came in 23% below the prior-year level. → **Earnings Development, Sales by Distribution Channel**

As a result of the sales decline, the **license segment profit** decreased by 23% to EUR 54 million (2019: EUR 70 million).

NET ASSETS

- **Decline in assets reflects impairments of non-current assets**
- **Inventories adjusted for currency effects slightly below the prior-year level**
- **Increase in trade net working capital as a percentage of sales**

Total assets decreased by 11% year-on-year to EUR 2,570 million at year-end (December 31, 2019: EUR 2,877 million). This development was mainly driven by impairments on store assets and on right-of-use assets directly related to the negative implications of COVID-19 on the Group's own retail business. In addition, lower trade receivables reflecting the decline in wholesale sales contributed to the decrease in total assets. → **Notes to the Consolidated Financial Statements, Note 10 and 13**

Statement of financial position as of December 31 (in %)

Assets	2020	2019	2019	2020	Equity and liabilities
Property, plant and equipment, intangible assets and right-of-use assets	51	55	35	30	Shareholders' equity
			7	9	Provisions and deferred taxes
			11	12	Trade payables
Inventories	24	22	7	5	Other liabilities
			8	11	Financial liabilities
Trade receivables	7	8	33	34	Lease liabilities
Other assets	13	11			
Cash and cash equivalents	5	5			
(in EUR million)	2,570	2,877	2,877	2,570	

The **share of non-current assets** decreased slightly to 59% as of December 31, 2020 (December 31, 2019: 60%), primarily reflecting lower fixed assets. Accordingly, the **share of current assets** stood at 41% at the end of the year (December 31, 2019: 40%). The **equity ratio** amounted to 30% by year-end (December 31, 2019: 35%). → **Consolidated Financial Statements, Consolidated Statement of Financial Position**

Trade net working capital as of December 31 (in EUR million)

	2020	2019	Change in %	Currency- adjusted change in %
Inventories	618	627	(1)	2
Trade receivables	172	216	(20)	(18)
Trade payables	299	315	(5)	(4)
Trade net working capital	491	528	(7)	(2)

At the end of the year, currency-adjusted **inventories** were 2% above the prior-year level. The write-down of inventories for the Spring/Summer 2020 collection as well as the successful execution of the Group's measures to significantly reduce the merchandise inflow had a positive impact on the development of inventories. The significantly lower **trade receivables** compared to the prior year mainly reflect the decline in wholesale sales. **Trade payables** were also slightly below the prior-year level at the end of the fiscal year. Overall, **trade net working capital (TNWC)** declined by 2%, currency-adjusted. The moving average of **trade net working capital as a percentage of sales** based on the last four quarters was 28.7% and therefore significantly above the prior-year level (2019: 20.1%), primarily reflecting the sales decline in 2020.

Other assets were 7% above the prior-year level, hence amounting to EUR 333 million (2019: EUR 310 million). This development was mainly driven by an increase in deferred tax assets on the losses incurred in fiscal year 2020. **Provisions and deferred tax liabilities** increased 17% to EUR 222 million, primarily reflecting higher return provisions as well as a slight increase in pension provisions (2019: EUR 190 million). **Other liabilities** decreased 25% to EUR 147 million, mainly driven by lower income tax liabilities (2019: EUR 196 million). → **Notes to the Consolidated Financial Statements, Note 11, 17 and 19**

The total of **current and non-current lease liabilities** declined by 10% to EUR 862 million (December 31, 2019: EUR 957 million). This development is directly related to the lower right-of-use assets as compared to the prior year. At the end of the year, **current and non-current financial liabilities** were up 29% on the prior-year level, totaling EUR 281 million (December 31, 2019: EUR 218 million). The increase mainly reflects a higher utilization of the syndicated loan at the reporting date as compared to the prior year. → **Notes to the Consolidated Financial Statements, Note 9 and 20**

FINANCIAL POSITION

- **Successful execution of comprehensive measures to secure financial stability**
- **Significantly positive free cash flow generation in 2020**
- **Increase of syndicated loan and additional credit lines ensure financial flexibility**

Principles and goals of financial management

Group-wide financial management is controlled centrally by the Group's Treasury department. The goals pursued include securing financial stability and flexibility, ensuring Group-wide liquidity and managing financial risks. Group-wide financial management comprises Group financing, cash and liquidity management, the management of market price risks and the management of counterparty risks. **Treasury principles** which are applied Group-wide govern all matters relevant to treasury, such as the approval of banking relationships, the handling of financing agreements, liquidity and asset management as well as the management of currency and interest rate risks.

Within **Group financing** factors such as market capacity, cost of financing, covenants and terms to maturity are taken into account when selecting financial instruments. External loans for Group financing are taken out centrally and primarily in the Group's reporting currency (euro) within the framework of an **"inhouse bank" concept**. To cover the financing needs of the Group companies, funds are made available in the form of intercompany loans. This allows the Company to increase economies of scale and to minimize the cost of capital. Occasionally, credit lines are also agreed with local banks in order to comply with legal, tax or other framework conditions. The Group's financial liabilities are generally unsecured and may be subject to customary market obligations, which are reviewed on a quarterly basis.

The most important source of liquidity for the Group is the cash inflow from its operating activities. The Group's central Treasury department optimizes and centralizes payment flows through its **cash and liquidity management**. Generally, Group companies transfer excess liquidity to the "inhouse bank", e.g., as part of a cash-pooling procedure. In doing so, excess liquidity of individual Group companies can be used to cover the financial needs of others. This intercompany financial offsetting system reduces the external financial requirement and thus brings down net interest expenses.

Management of market price risks is intended to limit the impact of interest and currency risks on cash flow. The use of hedging instruments, including forward foreign exchange transactions, currency swaps and interest swaps, is intended to secure the Group against unfavorable price developments.

➔ Risk Report, Material Financial Risks

The **counterparty risk** with regards to banks mainly results from the investment of liquid funds as part of cash and liquidity management and from the use of derivative financial instruments as part of interest rate and currency management. With regards to trading transactions, the Group aims for the broadest possible distribution of volumes and ensures that financial instruments are generally only contracted with counterparties that have very good credit ratings.

Capital structure and financing

HUGO BOSS has secured its financial flexibility by means of a revolving **syndicated loan** with a term up to September 30, 2022. The syndicated loan agreement contains a standard covenant requiring the maintenance of **financial leverage**, defined as the ratio of net financial liabilities to EBITDA. The determination of financial leverage originally specified in the syndicated loan agreement and the level to be observed excludes the impact of any changes in accounting standards on the indicator. Thus, it remains unaffected by the impact of IFRS 16, which applies from 2019 onwards, on net financial liabilities and EBITDA.

In fiscal year 2020, HUGO BOSS exercised the option to increase its revolving syndicated loan to EUR 633 million in order to ensure additional **financial flexibility during the COVID-19 pandemic** (December 31, 2019: EUR 450 million). At the same time, HUGO BOSS has reached an agreement to suspend its covenants with its financing banks until June 30, 2021. In light of the Group's anticipated sales and earnings development in fiscal year 2021, HUGO BOSS currently expects financial leverage in the second half of 2021 to be substantially below the permissible maximum. At the end of the fiscal year 2020, EUR 105 million of the syndicated loan had been drawn (December 31, 2019: EUR 0 million). In addition, the Group has **bilateral credit lines** at its disposal with a total volume of EUR 198 million (December 31, 2019: EUR 337 million), of which EUR 161 million had been drawn at the end of the reporting period (December 31, 2019: EUR 215 million). HUGO BOSS also secured **further loan commitments** totaling EUR 275 million in fiscal year 2020. These are provided by six international banks and are partially backed by KfW, Germany's state-owned development bank. At the end of the reporting period, these credit facilities were not drawn. Any loans claimed up to the end of the drawdown period on June 9, 2021 would be due on June 30, 2022. In addition, the Group had at its disposal **cash and cash equivalents** in the amount of EUR 125 million as of December 31, 2020 (December 31, 2019: EUR 133 million). → **Notes to the Consolidated Financial Statements, Note 15, → Financial Position, Statement of Cash Flows and Free Cash Flow**

The Group's **liabilities** totaled EUR 1,811 million at the end of the fiscal year (December 31, 2019: EUR 1,876 million). This corresponds to a 70% share of total assets (December 31, 2019: share of 65%). This includes EUR 862 million attributable to **current and non-current lease liabilities** (December 31, 2019: EUR 957 million), primarily relating to the rental of retail stores as well as logistics and administration properties. **Current and non-current financial liabilities** totaled EUR 281 million at the end of the fiscal year (December 31, 2019: EUR 218 million). → **Net Assets, → Notes to the Consolidated Financial Statements, Note 9 and 20**

Statement of cash flows and free cash flow

At an early stage of the COVID-19 pandemic, HUGO BOSS initiated comprehensive measures with a total volume of at least EUR 600 million aimed at **protecting cash flow**. These measures were successfully executed over the course of the year.

Measures to protect financial stability and flexibility in fiscal year 2020

1	2	3	4
Reduction of operating expenses	Postponement of investments	Reduction of merchandise inflow	Retention of net profit

In particular, HUGO BOSS was able to **significantly reduce its operating expenses**. In this context, the Company has taken measures to adapt working hours for its global staff, thereby accounting for the respective pandemic conditions and taking into account applicable legal conditions. HUGO BOSS also significantly reduced sales and distribution expenses, in particular in own retail. Moreover, the Company has **postponed all non-business-critical investments**. In particular, planned renovations and openings of new retail stores were suspended until further notice where possible. HUGO BOSS was also able to achieve a **significant reduction of merchandise inflow** in close cooperation with its suppliers, particularly in the second half of the year. At the same time, the Company has adjusted its own production level to account for the currently lower demand. In addition, HUGO BOSS had suspended the dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share, in order to further secure financial stability. By **retaining the net profit**, the Company has also strengthened its internal financing capability.

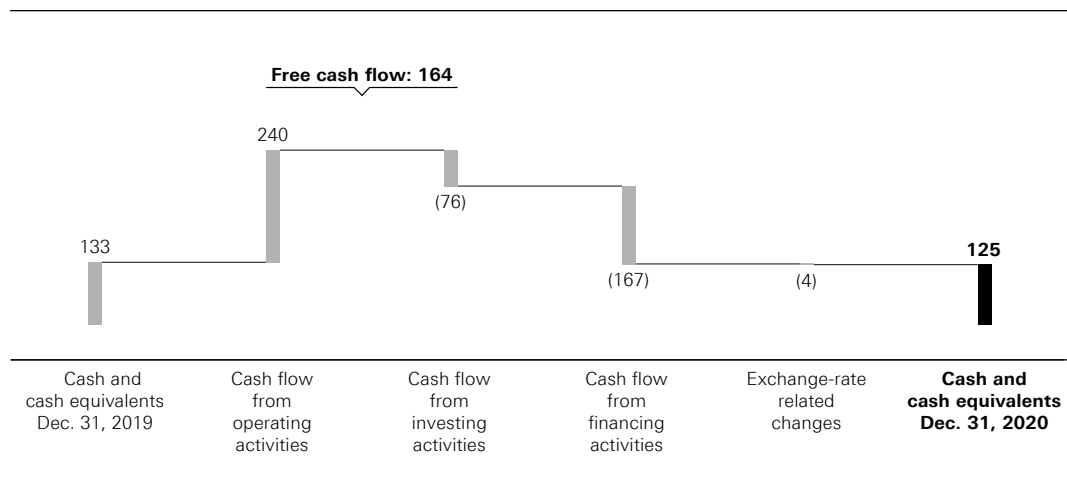
Statement of cash flows (in EUR million)

	2020	2019
Cash flow from operating activities	240	652
Cash flow from investing activities	(76)	(195)
Cash flow from financing activities	(167)	(472)
Change in cash and cash equivalents	(7)	(14)
Cash and cash equivalents at the beginning of the period	133	147
Cash and cash equivalents at the end of the period	125	133

As the statement of cash flows is presented on a currency-adjusted basis, the values cannot be derived from the statement of financial position.

Free cash flow, measured as the total of cash flow from operating activities and cash flow from investing activities, amounted to EUR 164 million in fiscal year 2020 and was thus 64% below the prior-year level (2019: EUR 457 million).

Change in cash and cash equivalents (in EUR million)



At EUR 240 million, the **cash inflow from operating activities** was 63% below the prior-year level (2019: EUR 652 million). This development was mainly driven by the decline in sales and earnings in fiscal year 2020. However, the successful execution of the Group's comprehensive measures to protect cash flow, enabled HUGO BOSS to significantly cushion the decline. The postponement of non-business-critical investments also led to a significant decline in **cash outflow from investing activities** of 61% to EUR 76 million in 2020 (2019: EUR 195 million). → **Financial Position, Capital Expenditure**

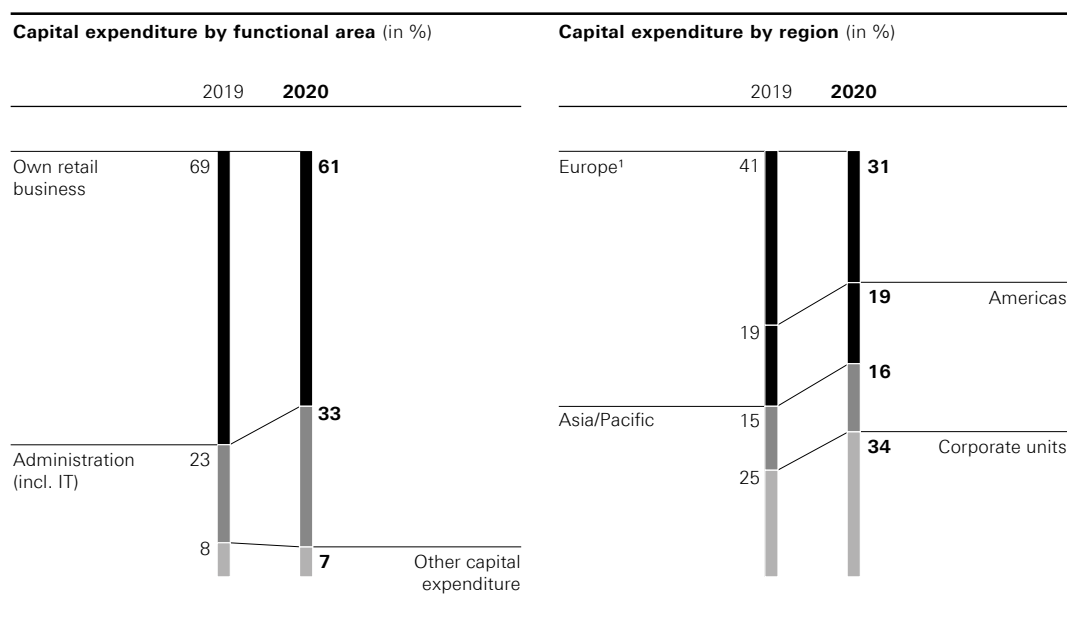
Cash outflow from financing activities totaled EUR 167 million, thus 65% below the prior-year level (2019: EUR 472 million). The decrease reflects the lower dividend payment for fiscal year 2019 as well as a higher utilization of the Group's credit lines as compared to the prior year.

Net financial liabilities

Net financial liabilities, measured as the total of all financial and lease liabilities less cash and cash equivalents, decreased slightly to EUR 1,004 million at the end of fiscal year 2020 (December 31, 2019: EUR 1,040 million). Lower lease liabilities and the successful execution of measures to secure cash flow more than compensated for the higher utilization of the syndicated loan. Excluding the **impact of IFRS 16**, net financial liabilities amounted to EUR 141 million (2019 excluding the effects of IFRS 16: EUR 83 million). → **Net Assets, Notes to the Consolidated Financial Statements, Note 9**

Capital expenditure

In order to secure free cash flow during the pandemic, HUGO BOSS had adjusted its capital expenditure budget at an early stage, postponing all non-business-critical investments. At EUR 80 million, investments in **property, plant and equipment and intangible assets** in 2020 therefore came in well below the prior-year level (2019: EUR 192 million).



¹ Including Middle East and Africa.

With capital expenditure of EUR 48 million, the focus of investment activity was again on the own retail network (2019: EUR 134 million). Investments in the continuous **optimization and modernization** of existing locations totaled EUR 27 million (2019: EUR 77 million) and include, for example, the relocation of the important BOSS store in New York's SoHo district. At the same time, EUR 21 million was invested in selectively **opening new retail stores** (2019: EUR 56 million), with a strong focus on the strategic growth market of mainland China.

Capital expenditure on **administration** came to EUR 26 million in 2020 (2019: EUR 44 million). This mainly includes investments of EUR 22 million in the **IT infrastructure** (2019: EUR 34 million). In addition to further digitizing essential operational processes, HUGO BOSS also invested in the global expansion of its own online business. **Other capital expenditure** on the Company's production, logistics and distribution capabilities and on research and development amounted to EUR 5 million in 2020 (2019: EUR 15 million).

Accumulated depreciation and amortization on property, plant and equipment and intangible assets, including own capitalized cost, totaled EUR 1,067 million in fiscal year 2020 (2019: EUR 993 million). Existing **obligations from investment projects** totaled EUR 2 million as at December 31, 2020 (December 31, 2019: EUR 0 million). → **Notes to the Consolidated Financial Statements, Note 8**

HUGO BOSS AG

- **HUGO BOSS AG is the parent company of the HUGO BOSS Group**
- **Service agreements with subsidiaries impact operational development**
- **Statements regarding risks, opportunities and outlook for the HUGO BOSS Group also apply to HUGO BOSS AG**

HUGO BOSS AG is the **parent company of the HUGO BOSS Group**. Its annual financial statements are prepared in accordance with the rules set out in the HGB [“Handelsgesetzbuch”: German Commercial Code]. In addition to the operating business, the results of HUGO BOSS AG are predominately impacted by the management of the central functions. Material items in this regard are the allocation of costs for services rendered to Group companies and the investment income resulting from its holding function. Due to its close relationships with the Group companies and its relevance for the Group, the **expectations** for HUGO BOSS AG are largely reflected in the Group’s outlook. In addition, business development of HUGO BOSS AG is, to a large degree, also subject to the same **risks and opportunities** as those applicable to the Group. Therefore, statements with regards to the Group’s outlook as well as within the Group’s Report on Risks and Opportunities also apply to HUGO BOSS AG. → **Outlook, Report on Risks and Opportunities**

Earnings development

Income statement HUGO BOSS AG (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %
Sales	894	100.0	1,316	100.0	(32)
Cost of sales	(720)	(80.5)	(874)	(66.5)	(18)
Gross profit	174	19.5	441	33.5	(61)
Distribution expenses	(212)	(23.7)	(290)	(22.1)	27
General administrative expenses	(93)	(10.4)	(130)	(9.9)	(28)
Other operating income	40	4.4	96	7.3	(59)
Other operating expenses	(66)	(7.4)	(66)	(5.0)	0
Operating result	(157)	(17.6)	51	3.9	< (100)
Income from investments in affiliated companies	41	4.6	202	15.4	(80)
Net interest income/expenses	(13)	(1.5)	(13)	(1.0)	1
Depreciation of financial assets and securities held as current assets	(17)	(1.9)	0	0.0	< (100)
Taxes on income and other taxes	(6)	(0.7)	(71)	(5.4)	(91)
Net income	(153)	(17.1)	169	12.9	< (100)
Transfer to (-)/from (+) other revenue reserves	0	0.0	21	1.6	(100)
Accumulated income previous year	191	21.3	4	0.3	> 100
Unappropriated income	38	4.3	194	14.7	< (100)

Sales of HUGO BOSS AG primarily comprise external sales with wholesale partners in Germany and Austria, sales of the own retail business in Germany and Austria as well as intercompany sales with international subsidiaries.

Sales by region (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %
Europe	754	84	1,070	81	(29)
Americas	44	5	139	11	(69)
Asia/Pacific	95	11	107	8	(11)
Total	894	100	1,316	100	(32)

In light of the implications of the COVID-19 pandemic, **sales with subsidiaries** in Europe, the Americas and Asia/Pacific were significantly below the prior-year level. **Sales with third parties** in Europe declined by 32% last fiscal year, to EUR 328 million (2019: EUR 482 million). In **Germany**, HUGO BOSS AG generated sales of EUR 276 million in fiscal year 2020, primarily reflecting a significant decline in light of the negative implications of the pandemic (2019: EUR 407 million). In particular, temporary store closures in the wake of lockdowns, as well as large-scale restrictions on public life including extensive social distancing measures put a strain on the business.

Sales by brand (in EUR million)

	2020	In % of sales	2019	In % of sales	Change in %
BOSS	572	64	972	74	(41)
HUGO	167	19	219	17	(24)
Other services	155	17	125	10	24
Total	894	100	1,316	100	(32)

While the impact of the pandemic negatively affected the sales development of the **BOSS** and **HUGO** brands, the Company recorded an increase in **sales from other services**. This development reflects higher intercompany charges to subsidiaries, in particular in connection with IT and marketing services.

Gross profit was well below the prior-year level. In addition to the decline in sales, higher markdown activity and negative effects from inventory valuation also weighed on gross profit development. The latter mainly related to the spring/summer 2020 collection, the sale of which was significantly affected by the COVID-19 pandemic and the corresponding temporary store closures. The decrease in **distribution expenses** mainly reflects the successful execution of measures to reduce operating expenses in 2020. In addition to a reduction in expenses in the Group's own retail business, this also includes lower marketing expenses. Furthermore, higher income from charging costs and services to subsidiaries contributed to the decrease in distribution expenses. The decline in **general administration expenses** relates to a reduction in staff costs and the elimination of non-business-critical expenses. The decrease in **other operating income** compared to the prior year was largely due to lower income from charging costs and services to affiliated companies. **Other operating expenses** remained at the prior-year level and mainly included research and development costs as well as allowances for doubtful accounts and exchange rate effects.

At EUR 41 million, the **income from investments in affiliated companies** in 2020 was significantly lower than in the prior year (2019: EUR 202 million). As in the prior year, income from affiliates at EUR 41 million (2019: EUR 121 million) primarily reflects the annual profits of HUGO BOSS Trade Mark Management GmbH & Co. KG, which are credited to the loan account of its limited partner HUGO BOSS AG in accordance with company regulations, as well as the dividend payments of HUGO BOSS Textile Industry Ltd. There was no income from profit and loss transfer agreements with subsidiaries in fiscal year 2020 (2019: EUR 81 million). The income in the prior year was the result of a profit distribution by HUGO BOSS Internationale Beteiligungs-GmbH, Metzingen, which had received dividend income from HUGO BOSS Holding Netherlands B.V. in fiscal year 2019.

Net assets and financial position

Property, plant and equipment and intangible assets decreased by 4% to EUR 974 million (December 31, 2019: EUR 1,014 million), mainly driven by the significant reduction in **investments** as part of the Group's measures to secure its cash flow during the pandemic.

Trade Net Working Capital (in EUR million)

	2020	2019	Change in %
Inventories	176	186	(5)
Trade receivables	12	19	(37)
Trade payables	99	117	(16)
Trade net working capital	89	88	2

Inventories decreased 5%, reflecting the successful implementation of measures to reduce the merchandise inflow in the course of the pandemic. As a result of the decline in wholesale sales in Germany and Austria in fiscal year 2020, **trade receivables** were also significantly below the prior-year level. The Company also recorded a decline in **trade payables**. Consequently, **trade net working capital** of HUGO BOSS AG at the end of 2020 was slightly above the prior-year level.

At EUR 51 million, **receivables from affiliated companies** at the end of fiscal year 2020 were only slightly below the prior-year level (December 31, 2019: EUR 39 million). **Other assets** decreased to EUR 34 million, mainly reflecting an amended agreement with the Company's suppliers regulating the granting of bonuses and quantity discounts (December 31, 2019: EUR 55 million). **Liabilities to affiliated companies** increased to EUR 443 million, mainly driven by adjustments of transfer prices relating to the supply of goods (December 31, 2019: EUR 301 million). **Provisions** fell slightly to EUR 141 million at the end of the year (December 31, 2019: EUR 156 million). At EUR 83 million, **liabilities to credit institutions** were also below the prior-year level (December 31, 2019: EUR 97 million).

As of December 31, 2020, **cash and cash equivalents**, as the total of cash on hand and bank balances, amounted to EUR 1 million (December 31, 2019: EUR 3 million). The lower cash inflow from operating activities was almost entirely compensated by a reduction in cash outflow from investing activities and the suspension of the dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share.

OUTLOOK

- **Uncertainties surrounding economic and industry outlook remain high in light of the COVID-19 pandemic**
- **Global business of HUGO BOSS continues to be impacted by the pandemic**
- **HUGO BOSS expects noticeable business recovery, in particular in the second half of 2021**

Subsequent events

Between the end of fiscal year 2020 and the date of the preparation of this report on March 5, 2021, the global business of HUGO BOSS continued to be impacted by the **COVID-19 pandemic**. Persisting lockdowns and temporary store closures, in particular in Europe – by far largest region for the Company –, lasting restrictions on public life including comprehensive social distancing measures as well as ongoing international travel restrictions are expected to continue to weigh on the recovery of the overall industry as well as performance of HUGO BOSS, especially in the first half of 2021.

Beyond this development, there were no other material macroeconomic, socio-political, industry-related or Company-specific changes that the Management expects to have a significant impact on the Group's earnings, net assets and financial position.

Outlook

The following report presents the **view of the Management** of HUGO BOSS with respect to the Company's future development and describes the expected development of significant macroeconomic and industry-specific conditions. It reflects Management's current knowledge at the time the report was prepared, while also taking into account the fact that, if the risks and opportunities materialize as described in the Risks and Opportunities section, actual developments may differ significantly from this outlook, either positively or negatively. Other than the statutory publication requirements, HUGO BOSS does not assume any obligation to update the statements contained in this report. → **Report on Risks and Opportunities**

Economic and industry-specific developments have a major impact on the development of the Company's operational and financial development. Statements made in this section regarding the Company's expected business performance are therefore based on certain assumptions about developments in the global economy and in the industry. Over the course of the year, the Group will closely monitor the development of these conditions, in order to respond to possible changes as quickly and comprehensively as possible.

Outlook for the global economy

In its publication of January 20, 2021, the IMF expects the **global economy** to recover noticeably in fiscal year 2021 from the recession caused by COVID-19 in fiscal year 2020. Based on the assumption that a vaccine will be widely available in industrialized countries and major emerging markets by the summer of 2021 at the latest, the IMF forecasts economic growth of 5.5% for the current year (2020: minus 3.5%). Growth in the first half of the year is expected to be lower than in the second half due to the persistently high number of infections and the associated restrictions on public life in many major industrialized countries. In the second half of the year, however, the IMF expects a significant recovery, which is expected to be driven by increasing vaccine availability and the return to normal public life globally. It is also expected that additional monetary policy measures in Europe and the U.S. will support this development.

Based on these assumptions, the IMF expects the **Eurozone** to grow by 4.2% (2020: minus 7.2%). Despite persistent uncertainties surrounding Brexit, the economy of **Great Britain** is forecast to grow by 4.5% in 2021 (2020: minus 10.0%). For the **U.S.** economy, the IMF expects growth of 5.1% (2020: minus 3.4%), while growth in **China** is expected to accelerate to 8.1% in 2021 (2020: 2.3%).

Despite these assumptions, the associated **risks and uncertainties** remain high. It is therefore currently very difficult to predict to what extent the further development of the pandemic – for example, with regard to new waves of infection and lockdowns, or possible mutations of the virus – will ultimately affect the global economy over the course of the year. In addition, it is extremely difficult to forecast any progress in the medical treatment of COVID-19, the global availability and efficacy of the vaccines, any improvement in consumer confidence or potential financial market tension and the respective impacts of these factors on the expected economic recovery.

Industry outlook

The high level of uncertainty regarding the further development of the pandemic is also reflected in the industry outlook. In particular, in the first half of 2021, it is likely that the **global apparel industry** will be significantly affected by the negative implications of the pandemic. Also for the **upper premium segment of the apparel industry**, which is the best benchmark for HUGO BOSS, industry sales are expected to suffer, especially in the first six months of the year, from the lockdowns imposed in many important markets and the associated store closures. In addition, the persistently low consumer confidence and ongoing international travel restrictions are expected to have a significant negative impact on global industry sales, especially in the first half of 2021.

A joint study by The Business of Fashion and management consultancy McKinsey & Company published on 1 December 2020 describes different scenarios for the development of the global apparel industry in fiscal year 2021. In a **scenario of relatively rapid recovery**, it is expected that the industry will recover fully from the pandemic by the third quarter of 2022. In this context, a containment of COVID-19 as far as possible as well as state support measures are expected to have a positive impact on industry development already in 2021. Global tourism is forecast to recover noticeably by summer, consumer confidence is expected to return gradually, and larger social events should also be possible in the near future. In this scenario, China is expected to continue leading the recovery, with the apparel industry recording growth of between 5% and 10% over there, as compared to 2019 levels. In the U.S. market, it is expected within this scenario that industry sales will remain 7% to 12% below pre-crisis levels in 2021. Also for Europe, industry sales in 2021 are expected to be 2% to 7% below 2019 levels.

In a **less optimistic scenario**, on the other hand, The Business of Fashion and McKinsey & Company assume that industry sales will reach pre-crisis levels by the end of 2023 at the earliest. Significant delays in global vaccine availability, further lockdowns, and ongoing travel restrictions would continue to significantly negatively impact overall consumer confidence and thus the industry development over the course of the year. In such a scenario, sales in the U.S. apparel industry could fall by 22% to 27% in 2021 compared with 2019, while Europe could see a 14% to 19% decline. Persistent restrictions on public life and widespread travel restrictions would have a particularly negative impact on premium and luxury goods sales. Therefore, a decline in sales in Europe of up to 40% in this segment cannot be ruled out in such a scenario. For the Chinese market, too, risks exist that a renewed outbreak of the pandemic would have a significant negative impact on industry sales in this market.

Outlook for HUGO BOSS

In light of the persisting high degree of uncertainty regarding the further development of the pandemic and the high risk surrounding the expectations on the further development of the global economy and industry, HUGO BOSS, at this point in time, is not in a position to reliably comment on the further recovery of its overall business and, as a consequence, cannot provide a precise outlook on its key performance indicators. At the time of compiling this report, the **global business of HUGO BOSS continues to be impacted by the pandemic**. Persisting lockdowns and temporary store closures, in particular in Europe – by far largest region for the Company –, lasting restrictions on public life including comprehensive social distancing measures as well as ongoing international travel restrictions are expected to continue to weigh on the performance of HUGO BOSS, especially in the first half of 2021. In particular with regard to the Group's own retail business, which usually accounts for two thirds of Group sales, there are high uncertainties with regard to the pace and intensity of the expected business recovery.

Despite the uncertainties outlined above, the Company is confident that the global retail environment will gradually improve over the course of 2021. This is also expected to positively support the recovery of the business of HUGO BOSS, in particular in the second half of the year. For fiscal year 2021, the Company therefore expects that **Group sales** will be significantly above the level of 2020. Also for the **operating result (EBIT)** and the **Group's net income**, the Company forecasts a strong increase as compared to the prior year. Furthermore, HUGO BOSS expects a moderate increase in **capital expenditure** compared with the prior year. The focus of investments is expected to be on the Group's own retail business and the further digitization of its business model. Finally, it is forecast that **trade net working capital as a percentage of sales** will decline moderately in fiscal year 2021.

In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the **legal minimum dividend of EUR 0.04 per share** for fiscal year 2020. In doing so, the Company aims at further strengthening its internal financing capability. Nevertheless, HUGO BOSS remains confident that it will continue to generate significantly positive free cash flow in the future on the basis of a general recovery of its business and due to its highly free cash flow generating business model. This, in turn, should enable the Group to return to an attractive dividend policy. → **Group Strategy**

REPORT ON RISKS AND OPPORTUNITIES

- **Transparent handling of risks as part of the risk management system**
- **No risks to the Group as a going concern identified**
- **Utilizing business opportunities an important element in ensuring a sustainable increase in enterprise value**

The **risks and opportunities policy** of HUGO BOSS is primarily aimed at achieving strategic and financial objectives. In addition to pursuing the target of securing the Group's continuation as a going concern, it primarily aims at sustainably increasing its enterprise value. The reporting of risks and opportunities in the combined management report always refers to a one-year period.

Risk report

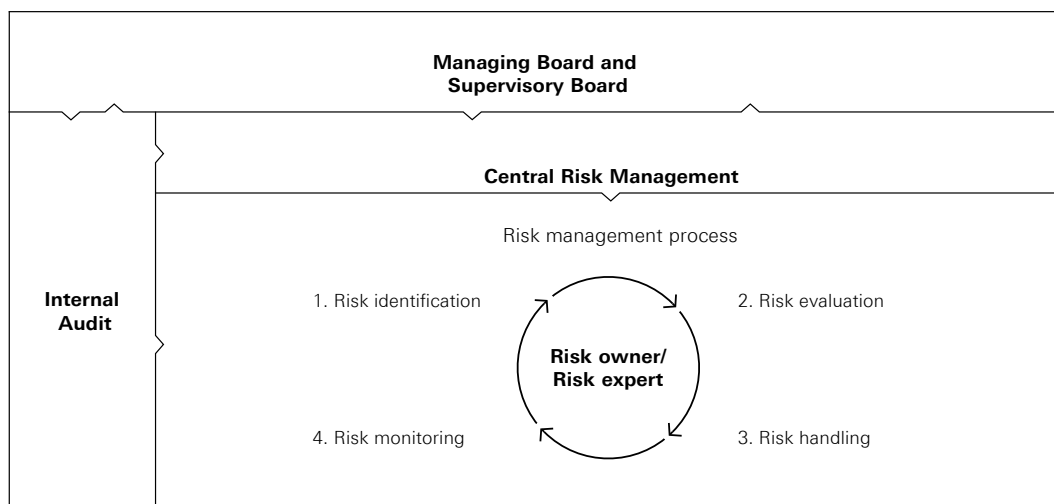
The success of HUGO BOSS is based on the systematic use of opportunities within the framework of the Group's corporate strategy. The Group is exposed to a variety of risks. Its **risk management system** includes all measures of a systematic and transparent approach towards risk. It aims to identify risks at the first possible opportunity, evaluate them adequately, limit or avoid them using suitable measures, monitor them and document them. Risks are defined here as possible future developments or events which may lead to negative deviations from the planned operating result. All types of risk are summarized into five categories: external, strategic, financial, operational and organizational risk.

Risk management system

The Managing Board of HUGO BOSS AG has **overall responsibility for an effective risk management system**. The central task of risk management is to coordinate the implementation and ongoing development of the risk management system. It is responsible for the centrally managed risk management process and is in close contact with the respective central departments and Group companies. There, defined risk experts and risk owners are responsible for identifying and evaluating risk, adequately dealing with risk and implementing effective risk mitigation measures. **Monitoring the effectiveness of the risk management system** is the task of the Supervisory Board of HUGO BOSS AG. This responsibility is exercised by the Audit Committee of the Supervisory Board, also with the involvement of the internal audit department. The proper functioning and appropriateness of the risk management system is also confirmed by the Group auditor.

Group-wide standards for systematically handling risks form the basis of an efficient risk management system. These are set by the Managing Board and documented in a **risk manual** that is applicable throughout the Group and available to all employees on the Company's intranet. All employees of HUGO BOSS are obliged to be aware of the risks posed by their behavior, especially regarding those risks that may threaten the existence of the Group. The use of modern **risk management software** allows for recording and evaluating all identified risks as well as associated measures in a uniform way throughout the Group. The risk management system of HUGO BOSS is designed in accordance with the international standard ISO 31000.

Main features of the HUGO BOSS risk management system



The **risk management process** used at HUGO BOSS consists of the four steps of risk identification, risk evaluation, risk handling and risk monitoring and reporting.

To ensure that **risks are identified** at the earliest possible stage, the Group continuously monitors the macroeconomic environment, the competitive landscape in the premium and luxury goods industry, and all internal processes. The central risk management supports the risk owners across the Group with the regular identification and efficient categorization of risks using a risk catalog as well as the risk manual that is available throughout the Group.

Risk owners delegate the regular assessment of identified risks to the risk experts and give their assessment after a thorough examination. Risk experts are supported by the central risk management.

Measurement criteria for business risks

Likelihood of occurrence		Extent of financial impact	
unlikely	≤ 20%	low	≤ 2,5% of planned EBIT
possible	> 20–40%	moderate	> 2,5–5% of planned EBIT
likely	> 40–60%	significant	> 5–15% of planned EBIT
very likely	> 60%	high	> 15% of planned EBIT

Individual risks are evaluated by assessing their likelihood of occurrence and systematically analyzing their possible impact on the planned operating result (EBIT). Interest rate risks and tax risks however are evaluated based on their possible impact on cash flow.

Risk overview - riskmap (aggregated risks)

Loss amount/exposure	high	Collection, logistics, IT, personnel	Environment and health, investments, taxes, suppliers and sourcing markets, quality, sales and distribution, governance and compliance, politics and society	Overall economy
	significant	Brand and corporate image	Competition	Currencies
	moderate	Product piracy, facilities, occupational health and safety	Legal, financing and liquidity	
	low	Vision and direction	Changes in interest rates	Provisions for pensions
		unlikely	possible	likely
		Likelihood (within 1 year)		
				very likely

The valuation criteria likelihood of occurrence and loss amount/exposure together form the criteria which make up the **risk matrix**. The latter is intended to create transparency regarding the Company's current risk situation and support with prioritizing risks. Any net risk as an actual risk potential is defined as the gross risk reduced by the impact of the respective mitigation measures.

Preparing and implementing suitable risk mitigation measures is the responsibility of the risk owners. In general, **risks are managed** in four different ways: risk avoidance, risk reduction, risk transfer to third parties and risk acceptance. One component of risk management is therefore also the transfer of risk to the insurer, whereby the financial implications of insurable risks can be largely neutralized. The costs of the respective measures in relation to their effectiveness are also taken into consideration when deciding how to implement the respective risk management strategy. By working closely together with the risk owners, the central risk management monitors the progress and effectiveness of measures which are in the planning stages as well as those which have already been implemented.

The current status of all identified risks is assessed twice a year. However, depending on their extent, some risks may be assessed at a frequency of up to once a month. As part of the **risk monitoring**, insights into the latest trends are documented, and risk evaluation and risk handling are revised if necessary. The continuous monitoring of early warning indicators is intended to allow possible deviations from the budget to be identified at an early stage. Reporting channels and the adoption of appropriate predefined countermeasures ensure a timely response in the event of a risk occurring. → **Group Management**

As part of the **regular risk reporting**, the risk owners report to the central risk management the risks they have identified, including the respective likelihoods of occurrence, the potential financial impact as well as the risk mitigation measures. They aggregate the information reported and regularly present a consolidated report to the Managing Board and to the Audit Committee. Material individual risks and aggregated risk categories are given particular emphasis here. When critical or urgent issues arise, the regular reporting process is supplemented by an ad hoc report.

Assessment of the risk situation by the Managing Board

Development and composition of total risk exposure

Risk category	Trend	Share of total risk (expected value)
External risks	↘	 21%
Strategic risks	→	 10%
Financial risks	→	 14%
Operative risks	→	 48%
Organizational risks	↘	 7%

The individual risks are aggregated using two methods to obtain the most accurate possible picture of the **total risk position** of HUGO BOSS. On the one hand, the expected loss values of all assessed risks within the five risk categories are added together. On the other hand, the probability distributions of all identified risks are aggregated to form a single probability distribution for a possible total loss by means of a Monte Carlo simulation and so determine maximum annual loss values. The result of this simulation in fiscal year 2020 shows that, as in the prior year, the Group's equity is in excess of all simulated risk-dependent loss values, even within the tightest confidence intervals.

The risk management system implemented forms the basis of the assessment of the risk situation by the Managing Board and is regularly monitored by it. Material risks faced by the Company are regularly discussed and evaluated by the Managing Board. While the assessment of individual risks in fiscal year 2020 has changed, mainly in the course of the COVID-19 pandemic, the Managing Board **was unable to identify any individual or aggregate risks that could jeopardize the continuation of the Company as a going concern** at the time this report was prepared.

Illustration of material risks

The following sections explain the **risks considered to be material** in terms of HUGO BOSS achieving its objectives in fiscal year 2021. This refers to those risks that have been evaluated in the risk management process as having a potential impact that is at least material. In contrast to the prior year, risks with a moderate potential impact are therefore not discussed in detail. The Company thus takes into account the high levels of uncertainty regarding the expected business performance of HUGO BOSS in light of the COVID-19 pandemic and the resulting increase in sensitivity as a whole in the risk assessment. In many risk areas, this has led to an increase in the calculated financial impact in relation to the planned EBIT compared with the prior year. In addition, to ensure clarity within this report, the focus is on all risks identified with a significant or high financial impact.

In general, it is possible that further latent risks or risks that are currently estimated as immaterial may negatively impact the Group's development in the future to more than the stated extent. Irrespective of the measures introduced to manage the identified risks, entrepreneurial activity is always exposed to **residual risks** that cannot be entirely avoided even by a risk management system such as that implemented at HUGO BOSS.

Risk categories

External risks	Strategic risks	Financial risks	Operative risks	Organizational risks
Overall economy	Collection	Currencies	Suppliers and sourcing markets	IT
Politics and society	Brand and corporate image	Taxes	Quality	Personnel
Environment and health	Investments	Financing and liquidity	Logistics	Governance and compliance
Competition	Vision and direction	Changes in interest rates	Sales and distribution	Legal
Product piracy		Counterparties		Facilities
		Pensions		Occupational health and safety

Material risks are shown in bold and are explained in more detail below. In contrast, risks assessed as only having a low or moderate potential impact are not explained in more detail.

Material external risks

HUGO BOSS is subject to a variety of external risks, mainly in connection with macroeconomic, political and social developments, environmental and health aspects, and competition.

Macroeconomic risks

As a global company, HUGO BOSS is exposed to **macroeconomic risks** in terms of global economic developments. This means that an economic downturn usually results in a decline in demand for premium and luxury goods that may have a negative effect on sales and earnings growth of the Group. The effects of macroeconomic developments can occur globally as well as being limited to one region, and may influence each other.

In order to reduce the impact of economic fluctuations, HUGO BOSS aims at a **balanced regional distribution of sales**. The Group continuously keeps a close eye on macroeconomic developments as well as the industry environment in order to identify risks at an early stage and be able to respond to them quickly. Internal **early indicators** are also analyzed regularly, which makes it possible to forecast the implications of potential macroeconomic risks. → **Group Management**

Some of the possible **reactions** to a cyclical decline in demand include reducing production and sourcing activity, more strictly managing trade net working capital, increasing cost controlling and price adjustments.

In its publication of January 20, 2021, the IMF expects the global economy to recover noticeably in fiscal year 2021 from the recession caused by **COVID-19** in fiscal year 2020. This outlook is mainly based on the assumption that vaccines will be widely available in industrialized countries and major emerging markets by the summer of 2021 at the latest. At the same time, the risks and uncertainties associated with this outlook remain high. For example, it is currently only difficult to predict to what extent the further development of the pandemic – for example, with regard to new waves of infection and lockdowns, or possible mutations of the virus – will ultimately impact the global economy over the course of the year. In addition, it is extremely difficult to predict any progress in the medical treatment of COVID-19, the global availability and efficacy of the vaccines or any improvement in the consumer climate and the respective implications of these factors on the anticipated economic recovery.

The potentially negative impact of economic trends on Group sales and earnings performance may be fundamentally high in fiscal year 2021. Management judges the likelihood of occurrence as likely.

→ **Outlook, → Risk Report, Environmental and Health Risks**

Political and social risks

HUGO BOSS is exposed to **political and social risks** as a result of the global nature of its business activities. For example, changes in the political and regulatory environment, geopolitical tensions, military conflicts, changes of government or terrorist attacks can have a negative impact on the consumer climate.

The Group does not expect **global uncertainties** regarding political and social developments to decrease in 2021. For example, geopolitical tensions in the Middle East or Hong Kong, an escalation of trade-policy conflicts such as the one between the U.S. and China, or the continuing threat of terrorist attacks, pose significant risks for the premium and luxury goods industry and thus also for the Group's business performance.

In addition, uncertainties with regard to **Brexit** remain. The Company has responded to the imposition of import duties through moderate price increases as of January 1, 2021. The adjusted pricing structure is intended to ensure the Company's positioning in the upper premium segment in future, and is also geared towards the pricing structure of relevant competitors. In principle, there is a risk that it will not be possible to enforce adjusted prices to the extent intended by the Company in the event of any cyclical decline in demand as a result of Brexit. This would ultimately have a negative impact on the Group's sales and earnings performance. However, Management has assessed the remaining risks associated with Brexit for 2021 as unlikely, while having a significant impact.

Due to the high likelihood that its significance will increase, HUGO BOSS assesses the risk resulting from political and social changes as an **"emerging risk"**. It raises strategic questions, for example regarding the influence of demographic changes on consumer behavior and the supply chain. This reveals the close link between the social risk and the industry risk and the risks associated with the suppliers and sourcing markets. In evaluating and managing the risk, risk experts and risk owners work in interdisciplinary teams on the **ongoing analysis and monitoring** of current political and social developments and their impact on the Group's business activity. The central risk management coordinates and supports this process.

The Group's global distribution in more than 120 countries is intended to provide a **natural hedge** against adverse developments in individual countries or regions. Unexpected developments in important sales markets can have a high financial impact. The Management considers this likelihood of this risk to be possible.

Environmental and health risks

The global value chain of HUGO BOSS is subject to **environmental and health risks** that may result from pandemics or environmental and natural disasters as well as the consequences of climate change.

The further development of the **COVID-19 pandemic** is linked to significant risks for HUGO BOSS also in 2021. The main material uncertainties at the time of preparing this report relate in particular to the duration of the pandemic – including possible additional waves of infection, delays in vaccine distribution or virus mutations – and the negative consequences of the various restrictions on public life, especially global lockdown measures. With regard to the latter, there is a significant risk that the lockdowns implemented at the beginning of the year, particularly in Europe, including temporary store closures, will last longer than expected, or that there will be further, as yet unforeseeable, extensive lockdowns and temporary store closures in important markets for HUGO BOSS during the year. There is also a significant risk that a slower than expected improvement in consumer confidence or continued international travel restrictions over the summer could significantly slow down the gradual recovery expected for the year or even bring it to a complete standstill. In addition to lost sales opportunities, the occurrence of the described risks would ultimately also have a significant negative impact on the Group's profitability and cash flow.

In addition, there are fundamental supplier and sourcing market risks connected to the pandemic. For example, in the event of a further deterioration of the situation in sourcing markets that are important for the Group, the production of individual suppliers or multiple suppliers may be temporarily interrupted. This could disrupt the Group's value chain, which would pose additional risks for sales. Although no significant implications on the Group's supply chain were observed either in fiscal year 2020 or at the time this report was prepared, the Company remains in close contact with its partners to ensure it is as well prepared for any bottlenecks as possible.

HUGO BOSS has set up various task forces and crisis teams to carefully monitor and mitigate the various impacts of COVID-19, with a focus on employee health and safety as well as business continuity. At Group level, there is an interdisciplinary coronavirus crisis team which closely monitors the course of the pandemic and comprehensively coordinates all measures taken by the Group to protect its employees. In addition, as part of Group management, a particularly close and regular exchange between the Managing Board, Group Controlling and the management of the corporate divisions and the Group companies has been taking place since the beginning of the pandemic. → **Group Management**

Overall, Management considers the risks above and beyond the financial impacts already taken into account in the "Outlook" section for 2021 to be fundamentally possible. The effect on earnings performance is classified as high. → **Outlook, → Material Operational Risks**

Risks as a result of climate change, such as increasing **water scarcity**, are considered as unlikely for fiscal year 2021, and are associated with low possible loss. In the future, however, this risk could become more significant for HUGO BOSS. In the long term there is a risk that an increasing scarcity of water could have negative consequences on the cultivation of cotton, leading to a reduced availability of cotton fibers and higher material costs as a result. Cotton is by far the most used material in the Company's products.

HUGO BOSS has a **central emergency management system** in order to be able to react promptly and appropriately to an environmental or natural disaster occurring. Its structural organization pools cross-functional skills needed to handle emergencies and is intended to ensure efficient coordination with clear decision-making paths. Overall, in 2021 Management anticipates that the environmental and health risks will have possible high implications on the net assets, financial position and results of operations.

Competitive risks

The competitive environment of HUGO BOSS is fundamentally characterized as being highly dynamic. Changes in the competitive environment may influence the Company's success, particularly in the medium to long term. Thus, HUGO BOSS is in direct competition with well-known clothing manufacturers in the premium segment for **customers**, but also for production capacity, retail space in preferred locations and brand ambassadors. In addition, BOSS and HUGO are increasingly competing with a large number of global and regional brands with strong credibility in casualwear and streetwear aimed at younger consumers – in particular in the highly **competitive casualwear segment**. Intensive competition for customers may in principle lead to **harmful competitive behavior**, such as persistently intensive discounting. Aggressive competitive behavior could also lead to higher marketing costs, which in turn could damage the Company's profitability and market position.

The Group is convinced that further **increasing the desirability** of its two brands, BOSS and HUGO, is the most important factor for its long-term success. All strategic initiatives are therefore aimed at sustainably increasing brand desirability. HUGO BOSS always puts customers and their needs at the center of its actions. From a brand perspective, the main goal of the Group is to significantly increase the attractiveness and awareness of BOSS and HUGO in the long term. From a sales point of view, the Company's main goal is to take full advantage of its omnichannel capabilities, which have been developed over the last few years, and to link all customer touchpoints to a **seamless, consistent customer experience**. Although HUGO BOSS considers itself generally well positioned in international competition, the risks considered possible in this regard nevertheless have significant financial implications. → **Group Strategy**

Material strategic risks

HUGO BOSS considers collection risks, risks to the brand and corporate image, and investment risk to be among the material strategic risks.

Collection risks

Collection risks can arise from changes in fashion and lifestyle trends. Challenges in the collection development process above all involve recognizing trends in a timely manner as part of creative management and incorporating these as quickly as possible into commercially successful collections.

→ **Research and Development**

Intensive **analyses of relevant target groups and markets** and of the successful sale of previous collections aim at reducing collection risks. Also, **proximity to customers** in the Group's own retail business and the increasing use of the data acquired as part of systematic **customer relationship management (CRM)** facilitate the recognition of changes in buying behavior at an earlier stage and allow these to be taken into account when developing future collections. In the course of the ongoing **digitization of the collection development process**, HUGO BOSS continues to shorten development times in order to respond even more quickly to global trends. → **Research and Development**

In recent years, the **casualwear and athleisure segments** in the global apparel market have developed more strongly than classic tailoring. With the consistent expansion of its casualwear and athleisurewear offerings, HUGO BOSS is looking to respond to this development in a targeted manner. The Company will continue to strengthen its collections in this area in future. Exploiting the full potential of casualwear is one of the Company's key strategic initiatives. → **Group Strategy**

The potential negative impact from collection risks are considered to be high. Based on the risk mitigation measures implemented however, Management deems the likelihood of occurrence to be unlikely.

Risks to the brand and corporate image

The occurrence of **risks for the brand and corporate image** can have a negative impact on the economic success of HUGO BOSS. For example, an inadequate quality of the products or services on offer in the own retail business, an uncontrolled pricing and markdown policy, the use of distribution channels that are damaging to the brand, an unattractive marketing mix or non-compliance with laws or social standards could have a damaging impact on the brands' image.

As a consequence, **protecting and maintaining the brand image** has a high priority at HUGO BOSS. Ensuring a globally uniform brand and shopping experience, strict quality controls, a centrally managed pricing policy, the constant focus on developing the distribution strategy, an active compliance management system and exacting occupational and social standards contribute towards this target. In addition, legal trademark protection and the prosecution of product piracy are important efforts to secure the brand image.

The corporate image of HUGO BOSS is reflected in how it is **perceived by its stakeholders**. All communication activities are managed by the central departments Corporate Communications, Investor Relations and Corporate Sustainability. These are involved in continuous dialog with all important stakeholder groups. Compliance with laws, standards and guidelines, both within the Group and by partners, is also regularly verified. The Management considers a negative impact on the brand and corporate image to be unlikely. The potential impact on the Group's net assets, financial position and results of operations is considered to be significant.

Investment risks

The Group's own retail activities come with **investment risks** in connection with the modernization of its store network, the selective opening of new stores, as well as the cross-channel integration and digitization of the Group's own retail business. The risk of bad investments refers for example to investments in stores for which long-term rental agreements have been entered into but which in retrospect fall short of the Group's profitability targets. Bad investments can also result from the development and implementation of new furniture designs and digital elements.

The risk in connection with **impairment** of the value of ordinarily depreciated property, plant and equipment, intangible assets, right-of-use assets at the level of the Group's own retail stores, and goodwill is the largest risk position in this area. In this context, in fiscal year 2020, HUGO BOSS recorded non-cash impairments of non-current assets of EUR 110 million, relating directly to the negative impact of the pandemic on the Group's retail business. In principle, it cannot be ruled out in future that a deterioration in the business outlook as well as changes in market rent levels may lead to an impairment of the Group's assets. However, as in fiscal year 2020, such an impairment would be non-cash in nature. For 2021, also in light of the persisting high uncertainties with regard to the further development of the COVID-19 pandemic, HUGO BOSS considers the risk of non-cash impairments as possible, with a potentially high financial impact. → **Notes to the Consolidated Financial Statements, Note 10**

For extensive investment projects there is a specific **authorization process**. Apart from qualitative analyses, e.g., with respect to potential locations of own stores, this also includes an analysis of each project's present value. **Central investment controlling** appraises the planned investment projects with respect to their contribution to the Group's profitability targets. In addition, subsequent analyses are conducted at regular intervals to verify the profitability of projects that have already been realized. Appropriate countermeasures are taken in the event of any negative deviations from the profitability targets originally set. The Group's investment risk is considered to be possible overall, with a potentially high financial impact. → **Group Management**

Material financial risks

HUGO BOSS is subject to currency, tax-related as well as financing risks.

Currency risks

As a result of the global nature of its business activities as well as the Group's internal financing activities, HUGO BOSS is exposed to **currency risks**, which may have an impact on the Group's net income and equity.

In the **operating business**, currency risks primarily arise due to the fact that products are bought and sold in different currencies in different amounts (transaction risk). Significant cash flows in foreign currencies are primarily related to the Group's global sales activities and the purchasing activities of the sourcing units in foreign currencies such as the U.S. dollar. Currency risks in financing result from financial receivables and liabilities in foreign currency and loans in foreign currency to finance Group companies (**transaction risk**). As of the reporting date, the main financing loans were hedged using forward exchange contracts. In addition, currency risks exist in connection with the translation of financial statements of Group companies outside the Eurozone into the Group currency, the euro (**translation risk**). The translation risk is monitored on an ongoing basis, however the Group does not hedge it as the impact on the consolidated statement of financial position and the Group's income statement is not a cash item. → **Notes to the Consolidated Financial Statements, Currency Translation**

Currency risks are managed centrally by the **Group's central treasury department**. Group-wide guidelines are intended to ensure a strict separation of the trading, handling and control functions for all financial market transactions. They also form the basis for the selection and scope of hedges. The primary aim is to mitigate the exchange rate exposure using **natural hedges**. This way, currency exposures from business operations throughout the Group can be offset against each other as much as possible, thereby minimizing the need for hedging measures. **Forward exchange contracts and swaps** as well as **plain vanilla options** can be concluded to hedge the remaining exposures. The objective here is to limit the impact of exchange rate fluctuations on exposures already on the balance sheet as well as future cash flows. → **Notes to the Consolidated Financial Statements, Note 20**

Future cash flows from the **Group's production activities in Turkey** are designated to be an effective hedging relationship shown on the balance sheet (hedge accounting). The derivative financial instruments used in this instance are solely intended to hedge underlying transactions. These derivatives are traded over the counter. When concluded, their terms are generally adapted to the underlying business. Transactions are always concluded with the best quoting bank.

In accordance with the **requirements set down in IFRS 7**, HUGO BOSS has calculated the effects of translation risk on the Group's net income and equity. This is determined based on the balance sheet currency exposure as of December 31, 2020. The exposures include cash, receivables and liabilities, as well as intercompany loans held in currencies other than the functional currency of each respective Group Company.

The Group applies the **value-at-risk method** on the basis of its parametric approach to quantifying and managing currency risk. The value at risk (VaR) is calculated on the basis of historical volatilities and correlations of exchange rates as well as a confidence level of 95%. The holding period is always adjusted to the remaining term of the current year. Furthermore, it is assumed that the total financial currency exposure and its hedging ratio as of the reporting date are representative for the entire reporting period. Although the VaR is an important concept in measuring market price risks, the model's assumptions can **limit** its usefulness. The actual impact on the Group's net income can vary considerably from the model-based values calculated using the VaR method. This is especially the case in the event of exceptional occurrences.

Aggregated across all currencies examined, the **diversified portfolio risk** for the Group's net income calculated using this method after hedging comes to EUR 7 million (2019: EUR 5 million). Hedging costs for concluding forward exchange transactions are not included. The largest foreign currency positions come from accounting exposure against the Renminbi, Japanese yen and the Australian dollar. The sensitivity of the Group's equity is not the same as that of the Group's net income due to the hedge accounting implemented in the Group. Had the euro appreciated or depreciated against the Turkish lira by one standard deviation, the Group's equity would have been EUR 1 million higher or lower in the reporting year (2019: EUR 1 million).

Management also expects significant changes in the exchange rates which are relevant to HUGO BOSS to be likely in fiscal year 2021. Based on the results of the VaR analysis, the impact of the **transaction risk** on the Group's net income is considered to be material. The **translation risk** is considered to be likely, with a possible significant impact. Overall, Management assumes a significant impact of currency risk.

Tax risks

As a globally operating group, HUGO BOSS is subject to a variety of **tax laws and regulations**. Changes in this area could lead to higher tax expenses and tax payments and also have an influence on recognized actual and deferred tax assets and liabilities. All tax-related issues are regularly analyzed and evaluated by the **Group's tax department**. The expertise of external local experts such as lawyers and tax advisors is also taken into account.

Tax risks exist for all assessment periods still open. Sufficient provisions were recognized for known tax risks. The amount provided for is based on various assumptions, for example the interpretation of respective legal requirements, the latest court rulings and the opinion of the authorities, which is used as a basis for measuring the loss amount and its likelihood of occurrence.

The Group tax department regularly assesses the likelihood of the future usefulness of **deferred tax assets** which have been recognized on unused tax losses. This assessment takes into account various factors, such as future taxable results in the planning periods, past results and measures already taken to increase profitability. HUGO BOSS applies a forecast period of a maximum of five years for this purpose. Actual figures may differ from the estimates in this regard.

As for taxes, risks may occur primarily from **modifications of tax legislation** in various countries, due to varying assessment of existing topics by tax authorities or tax field audits. There may also be risks in transfer pricing in relation to the business model of the Company. The Group therefore considers tax risks to be possible overall, while assessing the financial impact as high. → **Notes to the Consolidated Financial Statements, Note 5**

Financing risks

HUGO BOSS has secured its financial flexibility by means of a **revolving syndicated loan** with a term up to September 30, 2022. The syndicated loan agreement contains a standard covenant requiring the maintenance of financial leverage, defined as the ratio of net financial liabilities to EBITDA. In light of the implications of the COVID-19 pandemic on its business, HUGO BOSS has agreed with its financing banks in fiscal year 2020 on a **suspension of the covenant** until June 30, 2021. As of the reporting date, the contractually agreed ceiling has been exceeded. However, due to the suspension of the covenant, this does not represent a reason for cancellation. After the suspension of the covenant ends, HUGO BOSS is obliged to maintain the contractually agreed range of 0 to 3.5 until the end of the term. In case of a violation, the financing banks may declare the syndicated loan earlier due. In light of the Group's anticipated sales and earnings development in fiscal year 2021, HUGO BOSS currently expects financial leverage in the second half of 2021 to be substantially below the permissible maximum.

→ **Financial Position, Capital Structure and Financing**

Material operational risks

HUGO BOSS summarizes risks associated with the suppliers and sourcing markets, as well as quality, logistics and sales and distribution risks under material operational risks.

Risks associated with suppliers and sourcing markets

Risks associated with **suppliers and sourcing markets** exist in connection with a possible dependence on individual suppliers or production sites, a possible increase in product costs as well as any possible discrepancy between production and sales.

HUGO BOSS attaches great importance to the careful selection of suppliers and the establishment and maintenance of long-term strategic relationships. However, there is a risk that production from one or more suppliers may temporarily break down due to supplier factors or incidents affecting a particular region. An excessive **dependency on individual suppliers or production sites** could therefore lead to upheaval in the Group's supply chain and therefore to sales risks. The Group therefore focuses on a balanced distribution of sourcing volumes. The production and sourcing process is coordinated centrally. Supplier relationships are regularly monitored and evaluated with the aim of identifying risks at the earliest possible opportunity and introducing appropriate measures to ensure the supply of goods. In fiscal year 2020, the largest external supplier once again made up 8% of the total sourcing volume, while the largest single external production site made up about 5% (2019: 8% and 5% respectively).

→ **Sourcing and Production**

In view of the **earthquake risk** and possible risks as a result of **ongoing political uncertainties**, a particularly wide range of measures have been implemented at the Company's largest production site in Izmir (Turkey) in order to limit the impact on the sales of HUGO BOSS of a possible downturn in production. For some production volumes, emergency plans are in place to transfer production to external suppliers. Also, the financial risk in the event of an earthquake is partially covered by insurance. Despite the measures that have been implemented, Management overall estimates that risks from the dependence on individual suppliers or the regional distribution of the sourcing volume are possible. However, the associated financial impact could generally be high.

Increasing wages for production employees, in particular in emerging economies, as well as an increase in the price of relevant raw materials to the Group such as cotton, wool and leather may lead to **higher product costs** and so have a negative impact on the profitability of the Group. HUGO BOSS counters this risk with margin-based collection planning, measures to improve efficiency in the production and sourcing processes, continuous optimization in the use of materials and regular review of its pricing policy. It is assumed at present that risks from higher production costs are in principle possible, and these may have a high negative impact on the development of earnings.

The forecasting of sales volumes, planning of production capacities and allocation of raw materials and finished goods as part of the sourcing processes involves **scheduling risks**. Deviations from an appropriate allocation can lead to excess allocation resulting in high inventory levels on the one hand. On the other hand, it can also lead to insufficient allocation and the risk of lost sales opportunities. In order to reduce this risk, the Group is making great efforts to continually improve the outlook quality and to keep making the goods management more flexible across channels and markets. At the same time, HUGO BOSS aims to coordinate purchasing and sales even better in future by further shortening lead times and thus to be able to react even better to market trends and customer needs. In view of the large volumes involved, the scheduling risk is in principle considered as possible. The associated financial impact could be high depending on their magnitude.

Overall, the aggregate potential impact of risks associated with suppliers and sourcing markets is considered to be high. Aggregated together, the likelihood of occurrence is considered as possible.

Quality risks

When sourcing materials and manufacturing its products, HUGO BOSS sets exacting standards with regard to **quality**. Thorough quality controls at all stages and the incorporation of customer feedback should contribute to the continuous improvement of the production process. Also, both the Company's own production sites as well as those belonging to partners are regularly monitored to make sure they comply with central quality guidelines. Incoming goods checks as well as intensive quality tests at the Metzingen site aim at ensuring the high quality standards at HUGO BOSS. Nevertheless, the Group considers a certain amount of product returns for quality reasons to be possible. However, the impact on the development of earnings is considered to be high despite the recognition of appropriate provisions for returned goods and the regular review of the amounts recognized. → **Sourcing and Production**

Logistics risks

HUGO BOSS is exposed to **logistics risks**, which relate on the one hand to potential interruptions in the transport of goods, for example due to a possible shortage of sea and air freight. This directly involves risks of a general increase in freight costs, as well as significant interruptions in the availability of goods. In addition, the temporary downtime or loss of warehouse locations may lead to lost sales opportunities. The storage of inventories is focused on selected sites operated by HUGO BOSS. The distribution centers for hanging goods, flat-packed goods and the European online business, all located in the immediate vicinity of the headquarters in Metzingen, form the core of the Group-wide logistics network. → **Business Activities and Group Structure**

HUGO BOSS will also work on the continuous optimization of its global logistics platform in future with the aim of continuously improving the **efficiency and flexibility of its logistics** while at the same time largely minimizing logistics risks. In addition, the adherence to comprehensive **fire protection and safety measures** is continuously monitored at all warehouse locations. HUGO BOSS has also taken out insurance to cover the direct financial risk from a loss of goods or equipment in warehouses. Based on the measures implemented, the likelihood of occurrence of logistics risks is considered to be unlikely. However, the associated financial impacts could generally be high.

Sales and distribution risks

Sales and distribution risks exist in connection with the Group's own retail activities, in particular with regard to inventory management as well as slow-moving goods and the resulting impairment. In the wholesale channel, sales and distribution risks mainly refer to a possible dependency on individual wholesale partners as well as bad debts.

The aim of the centrally organized inventory management is the forward-looking and optimal allocation of the inventory across the Group while at the same time ensuring that it remains flexible, in order to be able to react to any increase or decrease in demand at short notice. **Downturns in demand or erroneous assessments of sell-through rates** can potentially have a negative impact on the inventory turnover rate. HUGO BOSS therefore aims to continuously improve its inventory management. The countermeasure of **granting additional discounts** necessarily results in a negative impact on the gross profit margin and ultimately on the Group's profitability. It is therefore continually monitored by the central Controlling department. A centrally managed pricing policy, differentiated retail formats and collections adjusted to the respective retail formats serve to further improve the efficiency of selling space.

Inventory risks may result from inventories being kept in storage for longer and a potential reduction in their marketability as a consequence. According to the principle of net realizable value, **impairments on inventories** are recognized accordingly and are monitored on a monthly basis. As part of the process, system-based analyses of movement rate, range of coverage and net realizable value are applied in a uniform manner across the Group. Sufficient write-downs were recognized as of the reporting date from the Management's perspective. → **Notes to the Consolidated Financial Statements, Note 12**

Attention is paid to ensuring a balanced customer structure to avoid a potential **overdependence on individual customers** in the wholesale channel. The central Controlling department constantly monitors key performance indicators such as the order intake, sales and supply rates and reports on these to the Managing Board on a regular basis. If risks occur, countermeasures can be adopted promptly. → **Group Management**

In the wholesale channel, the Group is exposed to a **bad debt risk** based on the potential insolvency of individual trading partners and a concentration of bad debts in the event of an economic slowdown in individual markets. The **Group-wide receivables management** follows uniform regulations, for example regarding the credit rating checks and the setting and observance of customer credit limits, monitoring of the age structure of receivables and the handling of doubtful accounts. In specific cases, this means that deliveries are only made upon prepayment or business is discontinued with customers with an unsatisfactory credit rating. The internal audit department regularly checks compliance with the Group guidelines. As of the reporting date, there was no concentration of default risks caused by significant overdue payments of individual customers. The overall financial impact of possible receivable default risks is considered to be moderate in the light of the measures described. → **Notes to the Consolidated Financial Statements, Note 13**

In summary, Management estimates the likelihood of occurrence of sales risks as possible. The cumulative financial impact is largely classed as high due to the potential discounts and impairments.

Material organizational risks

HUGO BOSS considers IT risks, personnel risks, and governance and compliance risks to be among the material organizational risks.

IT risks

Smooth business operations with efficient processes are strongly dependent on a powerful and secure IT infrastructure uniformly implemented throughout the Group. Serious **failures of the Group's IT system** may result in significant business interruptions. In addition, **cyberattacks** can lead to major system interruptions, loss of confidential data and the ensuing loss of reputation and liability claims. In order to reduce these risks, preventative system maintenance and security checks are carried out by the central IT department on a regular basis, multi-level security and anti-virus concepts are implemented, and job-related access rights are assigned. In addition to this, access control systems, daily data backups of the Group-wide ERP system, an uninterrupted power supply as well as regular online training sessions for staff should increase IT security on a Group level. The internal audit department regularly monitors the security and reliability of the IT systems as well as the effectiveness of the control mechanisms which have been implemented.

HUGO BOSS assumes that global cyberattacks will continue to increase in future, and consequently classes it as an **"emerging risk"**. With the objective of further improving the ability to respond to potential attacks, the Company intends to keep working on the continuous development of its information security program. As part of this development, the Company has implemented a security information and event management system. This security management approach is intended to provide a complete overview of the Group's IT security. Due to the measures carried out, Management currently considers the occurrence of IT risks to be unlikely. However, the associated financial implications could generally be high.

Personnel risks

Achieving the Group's strategic and financial targets is largely dependent on the skills and commitment of its employees and on safeguarding a fair and value-based corporate culture. Personnel risks mainly stem from **recruitment bottlenecks, shortages of specialists** and **excessive employee turnover**. HUGO BOSS counters this risk with a forward-looking personnel planning, comprehensive development and training measures, the continuous development of its performance-based remuneration system and flexible working models to better combine work and family life. Management therefore assesses personnel risks as unlikely overall, but also as having a high financial impact. → **Employees**

Governance and compliance risks

All employees of HUGO BOSS are required to comply with the **Code of Conduct** applicable throughout the Group and the **compliance rules** applicable in specific areas. The Group companies are subject to regular risk analyses and detailed audits where applicable. Adherence to the compliance rules is monitored by the central compliance division and breaches are reported to the Managing Board and Supervisory Board. → **Corporate Governance and the Corporate Governance Statement, → Combined Non-Financial Statement, Anti-Corruption and Bribery Matters**

Breaches of **data protection** laws represent an increased compliance risk. The Group counters this risk using a system that complies with data protection laws and through appropriate technical and organizational measures. All employees are educated on data protection matters through activity-related training courses, the obligation to adhere to the Code of Conduct, and a separate duty of confidentiality. All internal processes and systems for processing personal data are measured on an ongoing basis and continually improved to ensure that they comply with the legal data protection requirements. Management assesses the risks in the context of governance and compliance as possible, with a high financial impact. → **Combined Non-Financial Statement, Social Matters**

Report on the accounting-related internal control system and the risk management system pursuant to Sec. 289 (4) and 315 (4) HGB

The system of internal control and risk management of HUGO BOSS, as applied to the (Group) financial reporting process and the financial statements closing process, aims to accurately reflect all business transactions in the accounting records. This should ensure the **reliability of the financial reporting** and make sure that all **accounting-related activities comply with laws and guidelines**. All assets and liabilities should be recorded accurately in the consolidated financial statements with regard to recognition, disclosure and valuation, which should enable a reliable statement to be made on the Group's net assets, financial position and results of operations. As well as adherence to legal regulations and the Company's internal guidelines, the use of efficient IT systems, a clear definition of responsibilities, and suitable training and development for employees in the finance department form the basis of a proper, consistent and efficient financial reporting process.

Using efficient IT systems

Controls across all business units require reliable information to be available and provided on time. The reporting systems of HUGO BOSS are therefore of great importance. The use of a uniform, SAP-based ERP system across the Group is intended to ensure **high levels of control quality**.

The aim of the **Group-wide SAP Security Policy** is to prevent unauthorized access to data and to ensure the integrity, availability and authenticity of data of relevance to financial reporting at all times. It also contains requirements for controls designed to ensure a properly functioning central finance department. System-enabled controls and workflow-based processes that impose the dual-control principle, a suitable separation of functions, and internal approval procedures supplement the IT security of the accounting-related processes. This includes invoice verification and approval, sourcing processes or SAP authorization management carried out by the central IT department.

Clear definition of responsibilities

As part of the standardized reporting, the Group companies prepare IFRS financial statements on a monthly basis and submit these to the **central finance department** together with further key performance indicators and explanations. The central finance department is also responsible for specifying and monitoring compliance with reporting obligations and deadlines. Automated and standardized reporting formats are in place for the vast majority of reporting topics. The finance department is responsible for the maintenance of all the master data for the chart of accounts applicable throughout the Group as well as the continuous review of all reporting formats with respect to their compliance with the latest applicable international financial reporting requirements. When preparing the consolidated financial statements, the finance department also pursues the objective of showing all business transactions in the Group in a uniform manner.

The central finance department is also responsible for developing uniform **guidelines and instructions** for accounting and tax-related processes and keeping them up to date. This mainly encompasses the preparation and revision of a bad debt allowance policy, an investment guideline, the IFRS accounting manual and binding intercompany reconciliation requirements.

All Group companies are legally independent entities. Apart from the managing directors, who are responsible for business operations in the respective market, the finance managers are responsible for all topics of relevance to the Company's financial reporting or tax situation. The **finance manager is also responsible** for the continuous monitoring of the most important key performance indicators as well as the monthly reporting of financial KPIs to the central finance department and the preparation of a multi-year plan for the respective market. In his capacity as technical supervisor of all finance managers, the Chief Financial Officer of HUGO BOSS AG is authorized to issue directives on, and is thus responsible for, the Group-wide financial management and financial reporting processes.

On a quarterly basis, the finance managers and managing directors of the Group companies confirm **compliance in writing with the defined principles** on a quarterly basis and the **execution of management controls** with regard to the accounting process. Reports also have to be submitted regarding the appropriateness of controls for ensuring data integrity and data protection as well as in the event of fraud or serious infringements of the internal control system.

Material accounting and valuation topics and the impact of the new or changed IFRS standards and interpretations are discussed with the **Group auditors** in regular meetings held at least on a quarterly basis.

The **internal audit department** is part of the system of internal control and in its oversight function reviews compliance with and the effectiveness of the defined controls with regard to the accounting process. The annual audit plan is coordinated with the Managing Board and the Audit Committee of the Supervisory Board. This is where the areas of focus are defined. Additional ad hoc audits can also be performed at any time. All audit reports are submitted directly to the Chief Financial Officer and, on request, to the Managing Board as a whole. The internal audit department also reports regularly to the Audit Committee of the Supervisory Board.

Training and development of employees

Training sessions are organized at regular intervals for employees involved in the accounting process. Updates on accounting-related topics are also communicated across the Group via the "Accounting Newsletter". The finance managers also meet at regular intervals with managers in the central finance department for the "Finance Manager Meeting". Training is also held for finance employees of the entire Group on a regular basis under the auspices of the "Financial College" in current developments in international financial reporting and any topics relevant for preparing the annual financial statements.

Opportunities report

Identifying and utilizing business opportunities is a key element of sustainably increasing enterprise value. At HUGO BOSS, opportunities are defined as possible positive deviations from planned targets or corporate planning assumptions.

Opportunity management

Due to its direct link to the targets of the respective business divisions, **responsibility** for the identification, assessment and exploitation of business opportunities lies with the operational management in the respective regions, individual markets and central functions. In this context, opportunities are always considered in conjunction with any associated risks. They are only pursued if they outweigh the risks associated with them and the risks are considered to be manageable and their potential impacts limited.

Short-term opportunities, in the sense of potential, positive deviations from the planned operating result in the current fiscal year, are discussed at regular intervals with the management of the particular market or region or with the central functions. Appropriate measures to exploit such opportunities are initiated as required. The **long-term management of opportunities** is directly linked to the Group strategy. Opportunities identified and evaluated in terms of their contribution to the enterprise value are analyzed in detail within the context of strategic planning and annual budget discussions. On this basis, the Managing Board allocates the necessary resources to the operational units to enable them to benefit from their realization.

HUGO BOSS has identified the following **material opportunities** that stem from the Company's environment, its corporate strategy and operational implementation.

External opportunities

As a company operating in the global apparel industry, HUGO BOSS can benefit directly from **favorable macroeconomic developments** and their effect on consumer confidence and customers' buying behavior. In this context, a much faster than expected recovery in consumer confidence from the implications of the COVID-19 pandemic could have a positive impact on the business performance of HUGO BOSS. In addition to an early end to the global lockdown measures, a speedy return of social events and a rapid normalization of international travel would have a positive impact on the Company's business in particular. Irrespective of this, **social trends** that enhance the value of high-quality apparel more strongly than before could also support the sales of HUGO BOSS overall, regardless of how consumer confidence develops.

Regulatory and legal changes can potentially have a positive impact on sales opportunities and the Company's profitability. More consistent prosecution and punishment of violations of trademark rights, for example, could positively affect sales development. In addition, the reduction of customs charges could improve the Company's profitability.

Financial opportunities

Favorable **exchange rate developments** can potentially have a positive impact on the development of the Group's earnings development. The Group's central treasury department analyzes the market environment continuously and is responsible for identifying and tapping into relevant opportunities within the framework of financial management principles. → **Financial Position**

Strategic and operational opportunities

The Company has set itself the goal of significantly increasing the **desirability of the BOSS and HUGO brands** in the long term with a variety of strategic priorities and initiatives. The Company's marketing activities are primarily aimed at sustainably increasing the attractiveness and awareness of BOSS and HUGO and strengthening the profile of both brands, especially among younger target groups. The Company views the success of its marketing activities as entailing significant economic opportunities that could have a direct positive effect on the Company's sales development. → **Group Strategy, Emotionalizing the Brands**

In recent years, the **casualwear and athleisure segments** in the global apparel market have developed better than formalwear. The continuous shift to working from home particularly evident during the pandemic, has further intensified the trend toward a more relaxed clothing style and the need for many consumers to dress more casual. Independent studies, such as the current market outlook of The Business of Fashion and McKinsey & Company, expect above-average growth rates for the casualwear and athleisure segment also in the future. The further expansion of the casualwear and athleisurewear segments – across all brands, genders and occasions – is therefore also one of the most important strategic initiatives at HUGO BOSS. In future, the Company will continue to break down the boundaries between casualwear and formalwear in order to take account of the increasing importance of casualwear. At the same time, the Company intends to further strengthen its important **formalwear business**. The modern interpretation of formalwear and the ongoing trend towards casualization thus represent enormous potential. Its exploitation should enable HUGO BOSS to continue to be a leader in the upper premium segment of global apparel industry. → **Group Strategy, Pushing Casualization**

In many emerging markets, economic researchers are expecting **continued growth within the middle classes**. This, in turn, results in an increase in the number of people demanding products in the upper premium segment as a result of their purchasing power. The Group regularly checks for suitable growth potential by means of market entry and market penetration strategies tailored to specific countries, from collaboration with business partners to the founding of its own distribution companies. HUGO BOSS is convinced that the Company **has significant growth potential, particularly in mainland China**. As the importance of this market is expected to increase further in the coming years, the consistent exploitation of sales opportunities in China remains an important priority for HUGO BOSS. In addition to a growing middle class, a structural return of local demand in the coming years is expected to support the importance of the Chinese market. Targeted brand communication activities are therefore intended to further increase the awareness and desirability of BOSS and HUGO in China. In addition, the further expansion of the brick-and-mortar retail business and the online business are intended to help to fully exploit the Group's opportunities in this important market in future. → **Group Strategy, Exploiting Growth Potential in China**

The **increasing use of digital offerings** has significantly changed consumers' shopping behaviors and lifestyles over the last few years. By continuing to expand and improve **its own online store hugoboss.com**, the Group intends to exploit the associated opportunities and meet consumers' expectations with respect to a high-quality digital brand experience in the best possible way. In order to further accelerate the expansion of its digital flagship store, in 2020 the Group entered into a strategic partnership with Global-e, a leading provider of full-scale, cross-border e-commerce solutions. This enabled HUGO BOSS to tap into a total of 32 additional online markets in 2020, thereby expanding the presence of its online store hugoboss.com to a total of 47 countries. In the medium term, the Group aims to make its online stores available in almost every country in the world. The **expansion of the concession model** within the online business also offers suitable opportunities. Furthermore, HUGO BOSS intends to continue to drive forward the **commercial use of social media**, which is enjoying increasing momentum already today. → **Group Strategy, Leveraging the Online Business**

By **strengthening important operational processes**, HUGO BOSS aims to ensure efficiency and flexibility along the entire value chain. The Company sees an important opportunity in further **optimizing its sourcing activities** with the aim of optimizing processes and realizing cost savings without compromising on product quality. Further reducing the complexity of the BOSS and HUGO collections also plays an important role here. In addition, the Company wants to fully exploit the potential of **digitizing the business model** across the entire value chain in future. The Company is convinced that it will be able to create additional customer value and increase the efficiency and flexibility of its business in the long term. In this context, the Group sees a significant opportunity in the increasingly digital performance of its products. This is intended to reduce costs and significantly cut development times, which will enable a faster response to market trends. Also in selling and distribution, the Group wants to realize respective opportunities within the scope of digitization. In particular, HUGO BOSS wants to make full use of the **omnichannel capabilities** it has developed in recent years. The focus is on linking all customer touchpoints to a seamless, consistent customer experience. → **Group Strategy, Driving Digitization Along the Entire Value Chain**

In recent years, the importance given to protecting the environment and the climate has grown consistently, including among consumers. Besides high-quality, innovative products, customers today increasingly demand compliance with high social and ecological standards. The Company is firmly convinced that the **global trend towards greater sustainability** will continue in the coming years. With its wide variety of sustainability activities, HUGO BOSS is already investing directly in increasing customer satisfaction. Acting sustainably offers economic opportunities for the Company in the future as well, both in relation to sales increases and a reduction in cost. HUGO BOSS also sees the opportunity to further increase the general reputation of the Company and its brands. → **Sustainability**

Organizational opportunities

HUGO BOSS wants to promote a **corporate culture** that enables decision-making processes to be accelerated and encourages entrepreneurial thinking of its employees. This comes with opportunities to adapt to changes faster and more comprehensively than in the past and to increase customer benefits sustainably.

As an international company, **diversity** is a core element of the corporate culture at HUGO BOSS. To take into account the importance of the topic, HUGO BOSS has implemented numerous initiatives to guarantee all employees equal opportunities and a working environment that is free from discrimination. Among other things, an international task force was set up to further promote selected topics, such as inclusion or diversity in management positions. HUGO BOSS is convinced that the intensification of its activities in the area of diversity will make a positive contribution to employee satisfaction and loyalty to the Company.

HUGO BOSS is aligning its **personnel work** towards shaping the environment in the Company in such a way that employees can constantly grow and develop their full potential. In this regard, the Group puts particular emphasis on the results from its annual employee survey. Further successes in strategic personnel work could have a direct positive effect on the sales and earnings position in the future. → **Employees**

OVERALL ASSESSMENT OF THE MANAGING BOARD ON THE ECONOMIC SITUATION AND EXPECTED DEVELOPMENT OF THE GROUP

After a very encouraging start to fiscal year 2020, the **rapid spread of COVID-19** led to a significant impact on the global business of HUGO BOSS. In particular, widespread temporary store closures in light of global lockdowns, large-scale restrictions on public life including extensive social distancing measures, and international travel restrictions put a significant strain on sales, EBIT and free cash flow. The implications of the pandemic became particularly evident in Europe, the Group's largest region by far, and the Americas. In Asia, however, the swift recovery of business in mainland China compensated for some of the declines in the region's other markets. → **Comparison of Actual and Forecast Business Performance, → Earnings Development**

Despite the noticeable negative impact of the pandemic on its business, HUGO BOSS continued to make significant progress in 2020 with its **strategic growth drivers China and Online**, where sales either returned quickly to double-digit growth or accelerated even further. From a brand perspective, further **increasing the desirability of BOSS and HUGO** was a clear focus of all of the Company's initiatives. Thanks to a variety of digital events, exclusive collaborations with brands and ambassadors and a strong focus on casualwear, the attractiveness of both brands was further enhanced. At the same time, HUGO BOSS succeeded in **further improving the efficiency and flexibility of its operational processes** in 2020 – largely reflecting its consistent focus on driving digitization across the entire value chain. → **Group Strategy**

Overall, **Group sales** decreased by 31%, adjusted for currency effects, totaling EUR 1,946 million. In addition to temporary store closures in light of the lockdowns, large-scale restrictions on public life as well as extensive travel restrictions negatively impacted sales development. In addition to the significant decline in sales, a lower gross margin reflecting increased markdown activity, also weighed on operating result. Excluding non-cash impairments of non-current assets related to the pandemic, **operating result (EBIT)** therefore amounted to minus EUR 126 million (2019 excluding impairment charges: EUR plus 355 million). Thanks to the successful implementation of comprehensive measures with a total volume of at least EUR 600 million, aimed at protecting cash flow, HUGO BOSS has achieved significant cost savings and secured the financial stability and flexibility of the Company at any time during the pandemic. HUGO BOSS thus ended the year 2020 with a positive **free cash flow** of EUR 164 million (2019: EUR 457 million). → **Earnings Development, → Financial Position**

In light of the persisting high degree of uncertainty regarding the further development of the pandemic and the high risk surrounding the expectations on the further development of the global economy and industry, HUGO BOSS, at this point in time, cannot provide a precise **outlook for fiscal year 2021**. While the implications of the pandemic are expected to continue to weigh on the business of HUGO BOSS in particular in the first half of the year, the Company is confident that the global retail environment will gradually improve over the course of 2021. This is also expected to positively support the recovery of the business of HUGO BOSS, in particular in the second half of the year. For fiscal year 2021, the Company therefore expects that **Group sales** will be significantly above the level of 2020. Also for **EBIT**, the Company forecasts a strong increase as compared to the prior year. At the same time, HUGO BOSS will continue to work consistently on the implementation of its strategic initiatives this year. In addition, the Company intends to host an Investor Day in the second half of 2021. In this context, the Group will outline its strategic ambition in detail. → **Outlook, → Group Strategy**

In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the **legal minimum dividend** of EUR 0.04 per share for fiscal year 2020. In doing so, the Company aims at further strengthening its internal financing capability. However, on the basis of the Company's ongoing business recovery as well as strong cash flow generating business model, HUGO BOSS remains confident to continue to generate significantly positive free cash flow in the future. This, in turn, shall enable the Company to return to an attractive dividend policy. In light of its **healthy balance sheet structure** and **strong free cash flow generation**, HUGO BOSS continues to be in a sound financial position at the time this report was prepared. → **Outlook**

Metzingen, March 5, 2021

HUGO BOSS AG
The Managing Board

Yves Müller
Dr. Heiko Schäfer
Oliver Timm
Ingo Wilts

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CORPORATE GOVERNANCE

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CORPORATE GOVERNANCE AND THE CORPORATE GOVERNANCE STATEMENT

- **Good corporate governance as a key factor for the Company's long-term success**
- **Close and continuous cooperation between Managing Board and Supervisory Board**
- **Managing Board and Supervisory Board issue declaration of compliance**

The Managing Board and the Supervisory Board believe that good **corporate governance** is a key determinant of long-term business success. Good corporate governance is therefore part of the shared values of HUGO BOSS and a requirement that extends to every area of the Company. The Managing Board and Supervisory Board consider themselves obliged to ensure the Company's continuation as a going concern and sustainable value creation through responsible, transparent and long-term corporate governance. At the same time, HUGO BOSS wishes to justify and strengthen the trust that the employees, shareholders, business partners and general public place in the Company.

In fiscal year 2020, the Managing Board and Supervisory Board closely examined compliance with the requirements of the German Corporate Governance Code (GCGC). As a consequence, the **declaration of compliance dated December 2020** was issued. It is reproduced on page 127 et seq. of this report and, like earlier declarations of compliance, is published on the Company's website. Apart from the exceptions discussed there, HUGO BOSS AG complies with the recommendations of the GCGC as amended on February 7, 2017, which was published in the Bundesanzeiger [German Federal Gazette] on April 24, 2017 and as amended on December 16, 2019, which was published in the Bundesanzeiger [German Federal Gazette] on March 20, 2020.

The **Corporate Governance Statement** (in accordance with Sec. 289f HGB ["Handelsgesetzbuch": German Commercial Code]) contains the declaration of compliance, disclosures relating to corporate governance practices and a description of the way in which the Managing Board and Supervisory Board work. It is also available at cgs.hugoboss.com.

Corporate governance practices

As an internationally operating Group, HUGO BOSS is fully aware of its corporate responsibility to its employees, society and the environment. Consequently, **responsible corporate actions** are an important prerequisite for ensuring competitiveness and long-term success. Thus, HUGO BOSS not only places the highest demands on the quality of its own products but also takes account of social and ecological factors in all activities along the value chain. Corporate responsibility is divided into six fields of action: we, environment, employees, partners, product and society. In this context, HUGO BOSS always acts in compliance with the current regulatory frameworks as well as its internal guidelines. → **Sustainability**

Corporate compliance

HUGO BOSS AG and the Group companies operate in many different countries and therefore in different legal systems. For HUGO BOSS, **corporate compliance** is a key responsibility of the Managing Board, covering measures to ensure adherence to statutory and other legal guidelines, internal guidelines and codes. These include data protection, antitrust and anti-corruption regulations as well as provisions under capital market legislation. HUGO BOSS expects all employees to act legally at all times in day-to-day business operations.

The **Compliance Officer** reports directly to the CFO in his role as Chief Compliance Officer and supports the Managing Board in the monitoring of effective compliance management. Together with the compliance officers at the Group Companies, he ensures that the compliance program is implemented and continuously updated across the entire Group. The Audit Committee is kept regularly informed of the Compliance department's activities.

HUGO BOSS has summarized Group-wide principles of good conduct in a **Code of Conduct** as well as in more detailed Group policies, thus creating the basis for ensuring the legality of all employee activities. The Group policies include in particular rules governing conduct in competition, the avoidance of conflicts of interest, the appropriate handling of company information, data protection, respect for fair working conditions and conduct as well as anti-corruption. Employees are familiarized with the provisions of the Code of Conduct and the Group policies on an ongoing basis. To this end, HUGO BOSS runs **face-to-face training sessions** and has also set up a global **e-learning program** that all employees with access to a PC must complete on a regular basis. HUGO BOSS does not tolerate any willful misconduct or persistent infringements of the Code of Conduct.

Employees can obtain support and advice on matters concerning legal conduct from their line managers or the internal Compliance department. As a supplementary reporting channel, HUGO BOSS has also established a Group-wide **ombudsman system**. Employees, suppliers and trading partners can notify an external ombudsman in confidence if there are any indications of fraud, infringements of antitrust law or other compliance breaches. If desired, it is also possible to do this anonymously. The ombudsman's contact details are available to all employees via the Company's intranet and can also be found on the Company's website.

Capital market communication

HUGO BOSS reports regularly, comprehensively and without delay on its business situation, operational and financial developments as well as relevant changes within the Group. The **investor relations activities** include regular dialog with institutional investors, financial analysts and private shareholders. On the date of publication of the annual and quarterly financial results, telephone conferences are held for financial analysts and institutional investors. The Group's strategy and relevant developments are discussed in detail at Investor Days on a regular basis. In addition to particular information events for private shareholders, the Annual Shareholders' Meeting offers an opportunity to obtain information about the Company's performance comprehensively, either in person or online. All key information, such as press releases, voting rights notifications, financial reports, the financial calendar as well as presentations of roadshows and conferences, is published on the Company's website. → group.hugoboss.com

Cooperation, composition and activities of the Managing Board and Supervisory Board

The management structure at HUGO BOSS is primarily derived from the requirements of corporate law. As a German stock corporation, HUGO BOSS AG has a **dual management and control structure**. The Managing Board is responsible for the Group's strategy and management. The Supervisory Board advises the Managing Board and monitors its management activities.

The Managing Board and Supervisory Board cooperate closely for the benefit of the Group. The common objective is to **sustainably increase the enterprise value**. The Managing Board regularly informs the Supervisory Board in a timely manner and in detail about Group-relevant issues concerning strategy, planning, business development, risk position, changes in the risk situation and compliance. Deviations from targets and budgets are explained to the Supervisory Board and its committees in detail. The strategic alignment and further development of the Group are also discussed and coordinated with the Supervisory Board.

When making decisions and in performing their duties for HUGO BOSS, members of the Managing Board and Supervisory Board are not permitted to pursue their personal interests or grant other persons unjustified advantages. **No conflicts of interest** of members of the Managing Board or Supervisory Board were reported in fiscal year 2020. The mandates held by the Managing Board and Supervisory Board members in statutory supervisory boards or comparable oversight committees of commercial organizations in Germany and other countries are listed in the notes to the consolidated financial statements on page 214. No member of the Managing Board sits on more than three supervisory boards of listed companies outside the Group. The same applies to members of the Supervisory Board who sit on the managing boards of other listed companies. → **Notes to the Consolidated Financial Statements, Note 27**

The Managing Board

The Managing Board of HUGO BOSS AG is composed of the Spokesperson of the Managing Board and the members of the Managing Board with equal rights and their respective areas of responsibility. The position of Chairman of the Managing Board has not been reassigned for the period from the departure of Mark Langer on July 15, 2020 until his successor Daniel Grieder joins the company, which is expected to take place on June 1, 2021. Consequently, the Managing Board had three members at the end of fiscal year 2020.

HUGO BOSS is managed by the Managing Board of the parent company HUGO BOSS AG, in which all of the Group management functions are bundled. The **Managing Board's core duties** include corporate strategy, corporate finance, risk management (including the establishment and monitoring of the risk management system), decisions on the collections, product sourcing and management of the sales network. In addition, the Managing Board is responsible for preparing the annual, consolidated, and interim financial statements as well as the presentation of the Company to the media and the capital market.

The **bylaws** of the Managing Board stipulate the internal rules of the Managing Board, in particular the allocation of duties to its members as well as the procedures to be followed for passing resolutions. The bylaws also define the disclosure and reporting duties as well as those matters requiring the approval of the Supervisory Board. The bylaws of the Managing Board are available on the Company's website.

→ group.hugoboss.com

The Supervisory Board pays attention to diversity in the composition of the Managing Board (**diversity concept for the Managing Board**). Diversity among the Managing Board's members serves to ensure the Company's success over the long term. The Supervisory Board takes account of a number of aspects in the composition of the Managing Board, including the following:

- Members of the Managing Board should have long-standing management experience.
- Members of the Managing Board should have an international background (i.e. individuals with experience gained outside Germany due to current or past activities and/or non-German citizenship).
- As many different educational and professional backgrounds as possible should be represented in the Managing Board as a whole.

- In addition to the legally required qualifications, the Managing Board as a whole should have members with knowledge of branding, supply chain matters and sales.
- The Managing Board as a whole should have a balance of ages among its members in the interest of long-term succession planning.
- The Supervisory Board is pursuing the target of having at least one woman sitting on the Managing Board by no later than December 31, 2021.
- Members of the Managing Board shall as a rule not be older than 60 at the time of their appointment.

Decisions on the specific composition of the Managing Board shall be made by the Supervisory Board in the interest of the Company with regards to the circumstances of the individual case. Except for the target ratio of women on the Management Board, the aforementioned targets for filling the Managing Board were met or exceeded throughout the reporting period.

Pursuant to Sec. 111 (5) AktG [“Aktiengesetz”: German Stock Corporation Act], the Supervisory Board of HUGO BOSS AG set the **target of having at least one woman sitting on the Managing Board** of the Company by no later than December 31, 2021.

The GCGC stipulates that the Managing Board must consider **diversity** when filling management positions in the Company and specifically that women must be adequately represented. The Managing Board is committed to this objective. It already monitors the diversity of the workforce and will continue to do so in future. HUGO BOSS, however, also continues to be committed to the core principle of hiring solely based on applicants’ qualifications, even if this might result in a decrease in the proportion of women employed. Furthermore and pursuant to Sec. 76 (4) AktG, the Managing Board has set a target gender quota of at least 30% women in the first management level and 35% in the second management level below the Managing Board to be achieved by December 31, 2021. As of December 31, 2020, the proportion of women in the first management level was 25%, and hence on the prior year level (December 31, 2019: 25%). The target at the second management level was again clearly exceeded by December 31, 2020, with a proportion of women of 43% (December 31, 2019: 48%). → **Employees**

Jointly with the Managing Board, the Supervisory Board conducts **long-term succession planning** for the Managing Board. In this context, the Supervisory Board considers the target for the proportion of women on the Managing Board and the criteria set out in the diversity concept for the Managing Board’s composition as well as the requirements of the German Stock Corporation Act (Aktiengesetz) and the GCGC. Respecting the concrete qualification requirements and the above-mentioned criteria, the Personnel Committee prepares an ideal profile, on the basis of which it compiles a shortlist of available candidates. Interviews are then conducted with these candidates. Afterwards, a proposal is submitted to the Supervisory Board for approval. When developing the profile of requirements and selecting candidates, the Supervisory Board is supported, if necessary, by external consultants.

The Supervisory Board

HUGO BOSS attaches great importance both to the **skills** and **independence** of the Supervisory Board members and to **diversity** in the composition of the Board. The members of the Supervisory Board of HUGO BOSS have the knowledge, skills, and professional experience required to duly perform their duties.

In accordance with the recommendation in C.1 of the GCGC, the Supervisory Board at its meeting on December 7, 2017 decided on a **Supervisory Board skills profile** and set specific targets in terms of the Board's composition. At least two members of the Supervisory Board should accordingly have an international background. In fiscal year 2020, both before and after the new election, the Supervisory Board had four members who were not German citizens. In addition, other Supervisory Board members who have German nationality have an international professional background. Furthermore, no member may be exposed to any conflicts of interest. No conflicts of interest of members of the Supervisory Board were reported in fiscal year 2020. None of the current members of the Supervisory Board have previously held a Managing Board position within the Company. Furthermore, there were no advisory or other service agreements in place between members of the Supervisory Board and the Company in the reporting year. In addition, no member of the Supervisory Board should be older than 69 years on the date of the election. The Supervisory Board has, on the other hand, not defined any maximum term of office for its members. HUGO BOSS believes that a predefined maximum period of office is not appropriate as it is keen to benefit from the experience of the long-standing members of the Supervisory Board.

The Supervisory Board has also set a specific target for the number of **independent members** of the Supervisory Board as defined in the German Corporate Governance Code. Of the twelve members of the Supervisory Board, including the six employee representatives, a total of at least nine members should be independent. In addition to the six employee representatives, the four shareholder representatives Iris Eppe-Righi, Christina Rosenberg, Robin J. Stalker and Hermann Waldemer are independent as defined in recommendation C.6 of the GCGC.

The following further targets for filling the Board, which will help to achieve overall diversity in the Supervisory Board (**diversity concept for the Supervisory Board**), were similarly adopted by the Supervisory Board:

- The Supervisory Board should have at least two members with an international background (i.e. individuals with experience gained outside Germany due to current or past activities and/or non-German citizenship).
- The Supervisory Board should have at least one member with expertise in branding, supply chain and/or national or international sales matters.
- The Supervisory Board should have at least two members who are currently or formerly managers of another company.
- The Supervisory Board should have at least four members possessing extensive knowledge and experience of the Company itself.
- Aside from the employee representatives, the Supervisory Board should have at least three members who are independent and two who have expertise in the areas of accounting or auditing.

The targets for filling positions were either reached or exceeded throughout the reporting period.

The Supervisory Board currently includes five women. The **gender quota** pursuant to Sec. 96 (2) AktG is fulfilled at HUGO BOSS separately by the shareholder representatives and the employee representatives. With three female employee representatives and two female shareholder representatives, the gender quota is fulfilled on both sides.

The Supervisory Board audits the efficiency of its activities on a regular basis. In 2020, the assessment of the Supervisory Board members was queried, as in the previous years, using a comprehensive questionnaire. External analysis of the completed questionnaires and the improvements suggested were analyzed and discussed at length at the Supervisory Board meeting on December 3, 2020. The Supervisory Board drew an overall favorable conclusion.

The Supervisory Board has adopted **bylaws** which, among other things, govern its duties and responsibilities as well as the procedures for convening, preparing and chairing meetings and for passing resolutions. The bylaws of the Supervisory Board are available on the Company's website.

→ group.hugoboss.com

The Supervisory Board has created five **committees** on behalf of and representing the Supervisory Board as a whole, which fulfill duties assigned to them to the extent permitted by law, the Articles of Incorporation and/or bylaws. The bylaws provide that the Audit Committee, the Personnel Committee and the Working Committee shall each have a 50:50 ratio of shareholder representatives and employee representatives.

1. Audit Committee

The Audit Committee, which has equal representation, is composed of six members who are elected by the Supervisory Board. In accordance with the German Corporate Governance Code, the chairman of the Committee must be independent. The Audit Committee is responsible for monitoring the financial reporting process, the effectiveness of the systems of internal control, risk management and internal auditing as well as the audit of the annual financial statements. It has the following main duties:

- To perform a preliminary audit of the annual financial statements and the consolidated financial statements, the combined management report of HUGO BOSS AG and the Group and the profit appropriation proposal, to discuss the audit report with the external auditor and to prepare the Supervisory Board's decision on the approval of the annual financial statements and the consolidated financial statements;
- To examine the quarterly reports (interim reports and quarterly statements) and discuss them with the Managing Board;
- To prepare the Supervisory Board's proposal to the Annual Shareholders' Meeting concerning the appointment of an external auditor and, in particular, to satisfy itself of the external auditor's independence and to examine the additional services which are provided;
- Following consultation with the Managing Board: To engage the external auditor and to sign the corresponding fee agreement for the audit of the Annual Financial Statements and the Consolidated Financial Statements on the basis of the resolution passed at the Annual Shareholders' Meeting, including the determination of the key audit points and the auditor's reporting duties towards the Supervisory Board;
- To satisfy itself that the statutory provisions and internal company policies have been complied with ("compliance").

The Supervisory Board has satisfied itself of the independence of the members of the Audit Committee representing the shareholders and of the Chairman of the Audit Committee, Robin J. Stalker.

As of December 31, 2020, the Compliance Committee comprised Robin J. Stalker (chairman), Gaetano Marzotto, Sinan Piskin, Martin Sambeth, Antonio Simina, and Hermann Waldemer.

2. Personnel Committee

The Personnel Committee, which has equal representation, is made up of the Chairman of the Supervisory Board and five other members elected by the Supervisory Board from its own number. It makes decisions on the service contracts of the Managing Board members and other contractual matters (including those relating to former Managing Board members and their surviving dependents) not related to the compensation of Managing Board members. Decisions concerning the compensation of Managing Board members (including former Managing Board members and their surviving dependents) as well as regular deliberation on and the review of the compensation system are the responsibility of the full Supervisory Board. However, the Personnel Committee submits proposals in preparation for decisions on these matters. In addition, the Personnel Committee makes decisions in accordance with Sec. 114 AktG (Contracts with Supervisory Board Members) and Sec. 115 AktG (Loans to Supervisory Board Members) as well as matters requiring the Supervisory Board's consent in connection with senior executives (including the granting of loans to senior executives within the meaning of Sec. 89 (2) AktG). To the extent permitted by law, it represents the Company in transactions with Managing Board members (including former Managing Board members and their surviving dependents).

As of December 31, 2020, the Personnel Committee comprised Hermann Waldemer (chairman), Anita Kessel, Luca Marzotto, Sinan Piskin, Christina Rosenberg, and Antonio Simina.

3. Working Committee

The Working Committee, which has equal representation, comprises the Chairman of the Supervisory Board and five other members whom the Supervisory Board elects from its own number. They assist and advise the Chairman of the Supervisory Board. In accordance with the statutory provisions, the Working Committee works closely with the Managing Board to prepare the meetings of the Supervisory Board. In particular, the Working Committee performs the monitoring duties between the meetings of the Supervisory Board. This does not prejudice the monitoring duties of the individual members of the Supervisory Board. The Working Committee makes decisions on transactions requiring consent in cases where the Supervisory Board has delegated its powers accordingly. To the extent permitted by law, the Working Committee may make decisions on urgent matters in lieu of the full Supervisory Board. In such cases, it must immediately notify the Supervisory Board in written form and report orally in detail at the next Supervisory Board meeting on the decision, the reasons for it and the need for the decision by the Working Committee.

As of December 31, 2020, the Working Committee comprised Hermann Waldemer (chairman), Iris Epple-Righi, Katharina Herzog, Luca Marzotto, Tanja Nitschke, and Sinan Piskin.

4. Nomination Committee

The Nomination Committee has two members who are elected by the representatives of the shareholders on the Supervisory Board from their own number; accordingly, it is made up solely of shareholder representatives in accordance with the recommendation in D.5 of the GCGC. It is required to identify suitable candidates for the election of shareholder representatives to the Supervisory Board and to put their names forward to the Supervisory Board as its proposed nominees for election at the Annual Shareholders' Meeting.

As of December 31, 2020, the Nomination Committee comprised Hermann Waldemer (chairman), and Gaetano Marzotto.

5. Mediation Committee

The Mediation Committee comprises the Chairman of the Supervisory Board, the Deputy Chairman of the Supervisory Board, one member elected by the employee representatives on the Supervisory Board and one elected by the equity holder representatives on the Supervisory Board, with a majority of the votes cast in both cases. Its sole purpose is to perform the duties referred to in Sec. 27 (3) and Sec. 31 (3) Sentence 1 MitbestG [“Mitbestimmungsgesetz”: German Co-Determination Act]. Accordingly, the Mediation Committee submits proposals for the appointment of members of the Managing Board in cases in which a prior proposal has failed to achieve the necessary statutory majority.

As of December 31, 2020, the Mediation Committee comprised Hermann Waldemer (chairman), Anita Kessel, Gaetano Marzotto, and Sinan Piskin.

Risk management and risk controlling

HUGO BOSS considers a responsible approach to risks to be a key component of good corporate governance. The **risk management system**, anchored in the value-based Group management, permits the Company to identify and assess risks at an early stage and to optimize risk positions using appropriate measures. Ensuring reasonable and effective risk management and risk controlling is of particular importance in this context. The systems in place are continually enhanced and adapted to changing circumstances. Inherently, however, they cannot provide complete protection from losses resulting from business transactions or fraud. → **Risk Report**

Financial reporting and audit of the financial statements

The financial reports of HUGO BOSS AG are prepared in accordance with the International Financial Reporting Standards (IFRS) as endorsed by the European Union. The Audit Committee established by the Supervisory Board regularly **monitors the financial reporting process** and the **audit of the Financial Statements**. The audit has been performed by Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft, Stuttgart, since fiscal year 2012. Mr. Peter Werling has signed the auditors’ report since December 31, 2019 and Mr. Tobias Störzinger since December 31, 2020. It was agreed with the auditor with respect to the reporting year that the chair of the Audit Committee would be informed without delay during the audit of any possible grounds for disqualification or partiality that could not be immediately rectified. It was also agreed that the external auditor is obliged to report on any findings or events arising during the performance of the audit that are of importance to the duties of the Supervisory Board. In addition, the external auditor must inform the Supervisory Board and state in his audit report if findings are made during the audit that are inconsistent with the declaration of compliance made by the Managing Board and Supervisory Board pursuant to Sec. 161 AktG. Moreover, the Supervisory Board requested a declaration of independence from the external auditor and duly satisfied itself of the auditor’s independence. This declaration also included mandates to perform non-auditing services.

Compensation of the Managing Board and Supervisory Board

The **compensation report** summarizes the principles underlying the overall compensation of the members of the Managing Board and Supervisory Board of HUGO BOSS AG. It also explains the structure and amount of compensation paid to members of the Managing Board. In addition, it describes the principles and the amount of compensation paid to the Supervisory Board. → **Compensation Report**

Declaration of compliance

In December 2020, the Managing Board and Supervisory Board of HUGO BOSS AG issued the following declaration prescribed by Sec. 161 AktG:

“Declaration of compliance

Declaration of the Managing Board and Supervisory Board of HUGO BOSS AG pursuant to section 161 AktG (German Stock Corporation Act)

HUGO BOSS AG, Metzingen, Securities ID A1PHFF, International Securities ID DE000A1PHFF7

The Managing Board and Supervisory Board of HUGO BOSS AG herewith declare pursuant to section 161 para. 1 sentence 1 AktG (German Stock Corporation Act) that since the Compliance Declaration of December 2019, the recommendations of the Government Commission “German Corporate Governance Code” in the version as amended on February 7, 2017 – officially published in the Federal Gazette on April 24, 2017 – (“GCGC 2017”) have been complied with except for:

- Deviating from the recommendation in section 4.2.2 sentence 6 GCGC 2017, the total compensation of the members of the Managing Board complies with the statutory criteria without specifically taking into consideration the relationship between the compensation of senior management and the staff overall, particularly in terms of its development over time because the Supervisory Board is of the opinion that the statutory criteria, namely the appropriateness of the tasks and the performances, the situation of the Company and the common level of compensation in the industry, are more important.
- Deviating from the recommendation in section 4.2.3 sentence 7 GCGC 2017, a cap is indeed specified regarding the total compensation of the members of the Managing Board. Insofar as section 4.2.3 sentence 7 GCGC is understood in a sense that it also requires an explicit cap for variable compensation components, HUGO BOSS AG deviates from the recommendation, as it does not comply with this formality. However, materially also a cap for the variable compensation components exists because it can be calculated by deducting the fixed compensation component from the cap of the total compensation.
- Deviating from the recommendation in section 5.4.1 sentence 3 GCGC 2017, the Supervisory Board has not specified a regular limit of length of membership for the members of the Supervisory Board. The company can also benefit from the experience of long-term Supervisory Board members. In the opinion of HUGO BOSS AG a regular limit of length of membership which is specified in advance is therefore not appropriate.
- Deviating from the recommendation in section 5.4.6 sentence 4 GCGC 2017, the compensation for members of the Supervisory Board based on the success was not oriented toward sustainable growth. The compensation had been resolved by the general assembly of the shareholders. The Annual General Meeting of HUGO BOSS AG has resolved an amendment of the compensation of the Supervisory Board contained in § 12 of the articles of association on May 27, 2020. This new compensation system provides for a fixed compensation only and therefore no compensation based on the success and HUGO BOSS hence no longer deviates from the recommendation in GCGC 2017. The system became effective end of July 2020.

- Deviating from the recommendation in section 5.4.6 sentence 5 GCGC 2017, the compensation of the members of the Supervisory Board is neither reported individually in the notes nor in the management report. The compensation paid to the members of the Supervisory Board is demonstrated in total in the notes. In the view of HUGO BOSS AG, individual reporting of compensation does not provide information relevant to the capital market. In addition, the newly adopted compensation system eliminates the need for a separate individual disclosure, as the individual compensation can be calculated easily on the basis of the exclusively fixed compensation.

The Managing Board and Supervisory Board of HUGO BOSS AG also declare that the recommendations of the GCGC in the version of December 16, 2019 – published in the Federal Gazette on March 20, 2020 – (“GCGC 2020”) have been and will be complied with except for:

- Deviating from the recommendation in B.3 GCGC 2020, Mr. Daniel Grieder was appointed by resolutions of the Supervisory Board for a period of five years instead of the recommended three years. The Supervisory Board considers the deviation from the recommendation to be appropriate since the business plan targeted by Mr. Grieder covers a period of five years.
- Deviating from the recommendation in G.4 GCGC 2020, the total compensation of the members of the Managing Board complies with the statutory criteria without specifically taking into consideration the relationship between the compensation of senior management and the staff overall and this also in terms of its development over time because the Supervisory Board is of the opinion that the statutory criteria, namely the tasks and the performances, the situation of the Company and the common level of compensation, are more important.
- Deviating from the recommendation in G.11 sentence 2 GCGC 2020, the currently existing employment contracts with the members of the Managing Board do not provide for the possibility to withhold or reclaim variable compensation in justified cases. However, it is planned to present to the 2021 Annual General Meeting – which is scheduled for May 11, 2021 – a compensation system that provides for this possibility for all Managing Board employment contracts. In case of approval of the system, the existing employment contracts shall be adjusted accordingly so that in this case the recommendation will be complied with in the future.

Metzingen, December 2020”

COMPENSATION REPORT

- **Report outlines the compensation system for the Managing Board and Supervisory Board**
- **Presentation of structure, composition and amount of the compensation components**
- **Compensation report aligned to the recommendations of the German Corporate Governance Code**

This compensation report forms a component of the audited, combined management report. It describes the main features of the compensation system for the Managing Board and Supervisory Board of HUGO BOSS AG. It also presents the structure, composition and amount of the compensation system. The report is based on the recommendations of the German Corporate Governance Code (GCGC) in the version of December 16, 2019 and contains disclosures based on the requirements of German Accounting Standard (GAS) 17, the HGB [“Handelsgesetzbuch”: German Commercial Code] and the International Financial Reporting Standards (IFRS). The quantitative disclosures pursuant to IAS 24 and IFRS 2 are presented in the Notes to the Consolidated Financial Statements.

Compensation of the Managing Board

Decisions concerning the compensation of Managing Board members (including former Managing Board members and their surviving dependents) as well as regular advice on and reviewing of the compensation system are the responsibility of the full Supervisory Board. However, the Personnel Committee submits relevant proposals in preparation for decisions on these matters. The personnel matters dealt with by the Supervisory Board and the Personnel Committee during the reporting year and compensation-related topics are explained in the Report of the Supervisory Board. → **Report of the Supervisory Board**

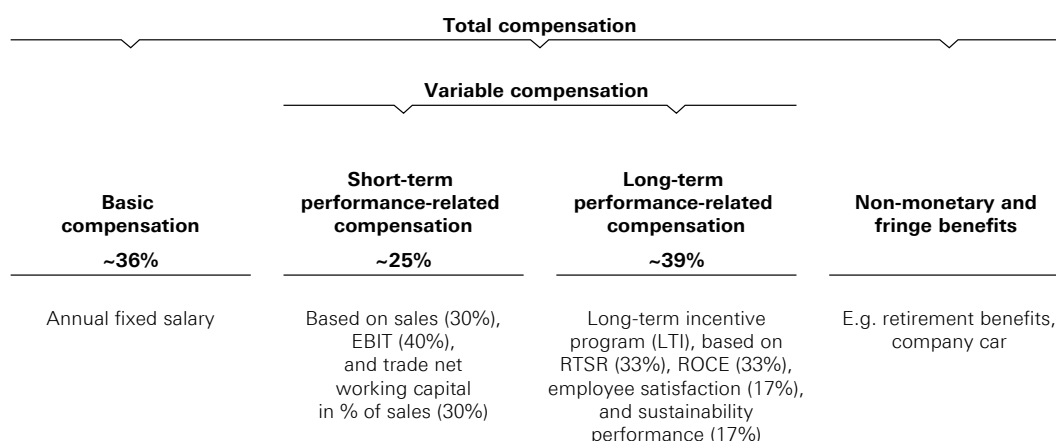
The compensation structure is geared toward the sustainable growth of the Company by factoring in compensation components with a multi-year assessment period. The total compensation of individual members of the Managing Board is specified by the Supervisory Board based on a performance assessment, taking into account any payments made by Group companies. Criteria for determining the appropriateness of the compensation are the responsibilities of the individual member of the Managing Board, their personal performance, the economic situation, the performance and outlook of the Company, as well as the level of compensation usually paid, taking into account peer companies and the compensation structure in place in other areas of the Company. At its professional discretion, the Supervisory Board can decide on special payments for outstanding achievements or successes of a member of the Managing Board. Compensation information from comparable national and international listed companies operating in the fashion and lifestyle industry is used to assess the appropriateness of the total compensation. In compiling the set of competitors, the Supervisory Board takes into account not only industry affiliation, but also market position, as well as the size and global orientation of the companies.

Main features of the compensation system for the Managing Board

The compensation system for the Managing Board is designed to ensure the increase in enterprise value. Consequently, the long-term variable compensation and its respective objectives are designed to promote sustainable and long-term growth for the Company. At the same time, and in order to account for short-term developments, sales, operating profit (EBIT) and trade net working capital are the targets for short-term variable compensation. Also, during the design process, a great deal of importance was attached to the fact that above-average performance would be rewarded accordingly. At the same time, variable compensation would cease to be paid in the event of below-average performance.

In addition to non-performance-related (fixed) compensation components, the compensation system also includes core performance-related (variable) compensation components in the form of a short-term incentive program (STI) and a long-term incentive program (LTI). In this regard, the average share of the fixed compensation components in the total target compensation amounts to 36%, while the average share of compensation from the STI and from the LTI account for 25% and 39% respectively, assuming a target achievement of 100% each for both the STI and the LTI.

Compensation system of the Managing Board



Schematic diagram – percentage of the target values of fixed and variable compensation.
The percentage distribution may occasionally be subject to slight differences.

Non-performance-related (fixed) compensation components

The fixed compensation components consist of a fixed basic compensation, fringe benefits and contributions to retirement benefits. The fixed basic compensation is paid as a monthly salary. Members of the Managing Board also receive fringe benefits to a small extent which they pay tax on individually according to the applicable tax regulations if they derive any financial advantage from their private use. The fringe benefits primarily include private use of the company car, supplementary payments to health and nursing care insurance, the closing of and contributions to accident and directors' and officers' (D&O) liability insurance as well as, to a small extent, other equipment and services needed to fulfill their duties as members of the Managing Board. In accordance with Sec. 93 (2) Clause 3 AktG ["Aktiengesetz": German Stock Corporation Act], the deductible for the D&O insurance is 10% of the relevant loss, but no more than 1.5 times the fixed annual compensation.

Against the backdrop of the COVID-19 pandemic, HUGO BOSS has implemented extensive measures aimed at safeguarding the financial stability and flexibility of the Company. The members of the Managing Board of HUGO BOSS AG also participated in the measures to secure cash flow and voluntarily waived 40% of their basic compensation for the months of April and May 2020.

Performance-related (variable) compensation components

Short-term variable compensation – short-term incentive program (STI)

As a short-term performance-related compensation component, the STI is tied to the development of certain quantitative targets within a fiscal year. In accordance with the Group's management system and the goal of maximizing free cash flow in the long term, the Supervisory Board has determined the following key performance indicators as targets:

- Sales (the sales proceeds recognized in the consolidated financial statements using the exchange rates applied in the budget)
- EBIT (the Group's net income before interest and taxes)
- Trade net working capital (the sum of raw and finished goods as well as trade receivables less trade payables) in proportion to sales → **Group Management**

The targets for sales and trade net working capital are weighted at 30% each. The EBIT is included in the STI's target achievement with a weighting of 40%.

The Supervisory Board is convinced that the target components promote the operating and strategic development of the Company. For this reason, the above target components also apply to fiscal year 2021.

For the annual bonus in any given fiscal year, the targets to be achieved are set in a target-setting agreement between the Managing Board and the Supervisory Board at the start of the fiscal year and by March 31 at the latest. All targets may be replaced by other Group targets or weighted differently for the respective fiscal year in the context of the target evaluation. This allows the company to respond to short-term developments even post the completion of a performance period and at the start of the next performance period. As a result, the Supervisory Board has the opportunity to regularly align the Managing Board's compensation so that it is directly geared towards the Company's strategy and its successful implementation. The Managing Board and the Supervisory Board should reach an agreement concerning the targets and their weighting in this regard. The Supervisory Board shall only make decisions at its professional discretion if this does not happen.

In the event that the agreed targets are fully achieved on average, the respective member of the Managing Board shall be paid 100% of the contractually agreed amount. Target achievement above the maximum target of 150% or below the minimum target of 75% agreed for the individual target shall not be taken into account when calculating the average. If the average target achievement comes to 150% or more, a maximum amount (cap) of 150% is paid out. If, on the other hand, the average degree of target achievement is below 75%, no annual bonus will be paid. Between the minimum target and the maximum target, target achievement shall be determined in each case by linear interpolation. The annual bonus is payable within a week of the Supervisory Board approving the consolidated financial statements for the fiscal year in question. If the targets were achieved in full (100%) for the 2020 STI, a total amount of EUR 1,330 thousand would be paid out (Yves Müller EUR 454 thousand, Dr. Heiko Schäfer EUR 396 thousand and Ingo Wilts EUR 480 thousand).

The target weighting, the target values, the actual values and the degree of target achievement for the individual target components for fiscal year 2020 are summarized in the table below.

Target achievement STI (in EUR million)

Target component	Target weighting	Target value 2020 (based on target achievement of 100%)	Performance corridor (Min/Max) 2020	Actual value 2020	Target achievement 2020
Sales ¹	30%	1,959	1,859 to 2,059	1,980	111%
EBIT	40%	(213)	(243) to (183)	(236)	81%
Trade Net Working Capital in proportion to Sales	30%	28.1%	29.1% to 27.1%	28.7%	83%
Total	100%				91%

¹ On the basis of the exchange rates applied in the budget.

For fiscal year 2020, the average target achievement was 91%. At its meeting on March 3, 2020, the Supervisory Board has determined the STI target values in a way that the final target values will consider the negative implications of the COVID-19 pandemic on the business of HUGO BOSS. Accordingly, the determination for fiscal year 2020 takes into consideration the financial implications of the pandemic on sales, EBIT and trade net working capital. This is intended to ensure that also the short-term variable compensation for fiscal year 2020 is solely geared towards the underlying business performance of the Company.

Long-term variable compensation – long-term incentive program (LTI)

Under the LTI program, the members of the Managing Board receive a defined number (“initial grant”) of virtual shares (“tranches”) at the beginning of the plan or at the start of their activity. The initial grant is based on an amount (“LTI budget”) defined in the respective service agreement or by an additional agreement. The initial grant is calculated by dividing the LTI budget by the share price for the last three months preceding the awarding of the initial grant. Each tranche has a three-year performance term. A one-year qualifying period follows the expiry of a tranche’s performance term. Following the expiry of the performance term, the final number of virtual shares (“final grant”) is calculated based on the achievement of certain target components. The final entitlement to payment is calculated by multiplying the final grant by the Company’s share price during the last three months of the qualifying period.

The Supervisory Board has defined the following target components for the tranches 2017 to 2019, 2018 to 2020, 2019 to 2021 and 2020 to 2022:

- Relative total shareholder return (RTSR) of the HUGO BOSS share
- Return on capital employed (ROCE)
- Employee satisfaction
- The Company’s performance in the field of sustainability

The Supervisory Board is convinced that these target components promote sustainable and long-term growth for the Company. For this reason, the above target components also apply to fiscal year 2021.

The RTSR target component is currently measured on the basis of the increase in the Company's enterprise value, comprising the share price performance and hypothetically reinvested dividends, compared to the MSCI World Textiles, Apparel & Luxury Goods Performance Index. The return on capital employed is based on the development of ROCE (return on capital employed) versus the budget. The degree of employee satisfaction is measured on the "Employee Trust Index" by an employee survey conducted annually by an independent institute for the 2019 to 2021 and 2020 to 2022 tranches. Employee satisfaction is also compared with the top 100 companies in Germany for the 2017 to 2019 and 2018 to 2020 tranches, in addition to the "Employee Trust Index". The sustainability performance is determined by the Company's ranking in the Dow Jones Sustainability Indices (DJSI), in which the sustainability performance of listed companies is assessed by an independent index provider. While the targets for the RTSR and ROCE performance criteria each account for one third of the LTI program, the targets for employee satisfaction and sustainability each account for one sixth.

Specific target, minimum and maximum values are defined for each target component and are used to calculate the entitlement to payment. The targets are set on March 31 at the latest of the first year of the performance term in a target-setting agreement between the Managing Board and the Supervisory Board. The Managing Board and the Supervisory Board should reach an agreement in this regard. The Supervisory Board shall only make decisions at its professional discretion if this does not happen.

A target achievement of only 50% minimum and 200% maximum is taken into account for each target component for the purposes of calculating the final grant. A one-year qualifying period follows the expiry of the performance term. The entitlement to payment is based on the Company's share price during the last three months of the qualifying period and the amount is limited to 250% of the individual LTI budget for each member of the Managing Board (cap). Under certain circumstances (particularly when service agreements are terminated for due cause or when members of the Managing Board resign before a tranche's term has expired), entitlements of members of the Managing Board may expire under the LTI program.

The individual LTI budget in relation to fiscal year 2017 amounts to EUR 54 thousand for Yves Müller and EUR 569 thousand for Ingo Wilts. In the case of Yves Müller, the LTI budget is determined on a pro rata basis from the start of his Managing Board activities in 2017. The individual LTI budget in relation to fiscal year 2017 amounted to EUR 900 thousand for Mark Langer and EUR 592 thousand for Bernd Hake.

The individual LTI budget in relation to fiscal year 2018 amounts to EUR 654 thousand for Yves Müller and EUR 638 thousand for Ingo Wilts. The individual LTI budget in relation to fiscal year 2018 amounted to EUR 900 thousand for Mark Langer and EUR 683 thousand for Bernd Hake.

The individual LTI budget in relation to fiscal year 2019 amounts to EUR 700 thousand for Yves Müller and EUR 711 thousand for Ingo Wilts. The individual LTI budget in relation to fiscal year 2019 amounted to EUR 980 thousand for Mark Langer and EUR 716 thousand for Bernd Hake.

The individual LTI budget for fiscal year 2020 amounts to EUR 700 thousand for Yves Müller, EUR 675 thousand for Dr. Heiko Schäfer and EUR 730 thousand for Ingo Wilts. In the case of Dr. Heiko Schäfer, the LTI budget is determined on a pro rata basis from the start of his Managing Board activities in 2020. The individual LTI budget for fiscal year 2020 amounted to EUR 990 thousand for Mark Langer.

Share-based compensation component for the fiscal year 2020 (active Managing Board members as of December 31, 2020)

	Yves Müller Spokesperson of the Managing Board	Ingo Wilts Member of the Managing Board	Dr. Heiko Schäfer Member of the Managing Board	Total
Fair values for the performance share plan (LTI 2020–2022) when granted (in EUR thousand)	645	673	358	1,676
Number of virtual shares on the grant date (LTI 2020–2022)	17,015	17,744	16,125	50,884
Total cost of share-based compensation (in EUR thousand)	104	66	75	246
Provision				1,515

Share-based compensation component for the fiscal year 2019 (active Managing Board members as of December 31, 2019)

	Mark Langer Chairman of the Managing Board	Yves Müller Member of the Managing Board	Ingo Wilts Member of the Managing Board	Total
Fair values for the performance share plan (LTI 2019–2021) when granted (in EUR thousand)	776	554	563	1,893
Number of virtual shares on the grant date (LTI 2019–2021)	16,073	11,481	11,666	39,220
Total cost of share-based compensation (in EUR thousand)	216	132	152	500
Provision				2,222

The target weighting, the target values, the actual values and the degree of target achievement for the individual target components for the LTI tranche for 2017 to 2019 are summarized in the table below.

Target achievement LTI (LTI 2017–2019)

Target component	Target weighting	Target value (based on target achievement of 100%)	Performance corridor (Min/Max)	Actual value	Target achievement
RTSR	33%	2.50%	(10)% to 15%	(26.4)%	0%
ROCE	33%	42%	30% to 57.5%	40%	92%
Employee satisfaction	17%	94	88 to 98	77.4	0%
Performance in the field of sustainability	17%	105	92.5 to 117.5	118.5	200%
Total	100%				64%

The target weighting, the target values, the actual values and the degree of target achievement (on a preliminary basis) for the individual target components for the LTI tranche for 2018 to 2020 are summarized in the table below.

Target achievement LTI (LTI 2018–2020) on a preliminary basis

Target component	Target weighting	Target value (based on target achievement of 100%)	Performance corridor (Min/Max)	Actual value	Target achievement
RTSR	33%	2.50%	(10)% to 15%	(43.6)%	0%
ROCE	33%	42%	30% to 55%	37.4%	81%
Employee satisfaction	17%	90	80 to 100	81.3	57%
Performance in the field of sustainability	17%	105	92.5 to 117.5	122.3	200%
Total	100%				70%

Performance-related special compensation for Yves Müller

Following Mark Langer's departure in July 2020, Yves Müller, in addition to his position as Chief Financial Officer (CFO), assumed the position of Spokesperson of the Managing Board and thus responsibility for part of Mark Langer's former duties (Corporate Strategy and Communication departments, as well as the Group's own retail business and wholesale) until Daniel Grieder's arrival as Chairman of the Managing Board (expected on June 1, 2021). Against this background, the Supervisory Board has decided to grant a performance-related bonus of up to EUR 600 thousand for the additional duties and responsibilities at the sole discretion of the Supervisory Board. An instalment of EUR 200 thousand has already been paid out together with the salary for the month of September 2020.

Pension provision and provision for surviving dependents

All members of the Managing Board have received pension commitments, as agreed in individual contracts.

All active members of the Managing Board have been granted contribution-based pension commitments. The basis for determining the pensionable income is defined as the basic salary under the service agreement. This form of pension commitment also applies to any future appointments to the Managing Board.

An independent compensation expert supported the Supervisory Board in designing the contribution-based pension scheme for the active members of the Managing Board.

For Mark Langer, the former Chairman of the Managing Board, this was in the form of a benefit-based commitment. The amount of the commitment depends on the duration of his appointment to the Managing Board.

Contribution-based pension commitments

For active members of the Managing Board, HUGO BOSS annually pays a pension contribution into an employer's pension liability insurance scheme taken out on the life of the member of the Managing Board. The contribution corresponds to 40% of the pensionable income, which is determined based on the basic salary under the service agreement.

The amount of retirement benefit in this regard corresponds to the amount accumulated by means of the individual employer's pension liability insurance. This results from the total unpaid pension contributions per year plus an annual interest rate depending on the insurance tariff in question. A member of the Managing Board shall be entitled to retirement benefits at or after a fixed age limit of 65 years or if they become permanently unable to work due to illness or accident and leave the Company before

reaching the age limit. In the event of the death of the member of the Managing Board, their spouse or registered civil partner under the German Civil Partnership Act and their surviving children shall be entitled to a surviving dependent's pension.

If the member of the Managing Board leaves the Company before becoming eligible for a pension, the benefits shall still become vested if their pensionable service was longer than three years. If the member of the Managing Board leaves the Company before reaching the fixed age limit, the entitlement amount corresponds to the benefits arising from the premium-free employer's pension liability insurance at the time of departure.

Ongoing pension payments are adjusted annually by at least 1%.

Benefit-based pension commitments for Mark Langer, the former Chairman of the Managing Board

A pension commitment exists through the Company for Mark Langer, the former Chairman of the Managing Board, in the form of a benefit-based pension commitment. The amount of the subsequent post-employment benefit is thereby limited to 60% of the pensionable income. A post-employment benefit shall be paid to the surviving dependents in the form of a widow's or an orphan's pension.

In the event that Mark Langer leaves the Company before becoming eligible for a pension, the period by which the benefits become vested is agreed in accordance with the statutory regulations. However, there is no pro rata temporis reduction of the pension entitlement as provided for under legal provisions. For pension purposes, Mark Langer is placed in the position as if the employment had lasted until December 31, 2021 as originally planned.

Ongoing pension payments are adjusted annually by at least 1%.

Supplementary pension plan

In addition, HUGO BOSS offers all members of the Managing Board the option of acquiring additional pension benefits under deferred compensation agreements. This supplementary pension plan can take the form of retirement benefits or, alternatively, the form of occupational incapacity benefits and/or surviving dependents' benefits and/or the form of a lump-sum death grant. The pension benefits take the form of monthly payments, while surviving dependents' benefits can also be granted in the form of a lump-sum capital payment. The contributions from deferred compensation agreements are included in the disclosure about total compensation. Provisions and plan assets are recognized at the same amount.

Pension commitments (in EUR thousand)

	Yves Müller Spokesperson of the Managing Board		Ingo Wilts Member of the Managing Board		Dr. Heiko Schäfer Member of the Managing Board (since March 16, 2020)	
	2020	2019	2020	2019	2020	2019
Service cost under IFRS	315	260	280	280	215	0
Pension provision under IFRS	0	0	0	0	0	0

	Mark Langer Chairman of the Managing Board (till July 15, 2020)		Bernd Hake Member of the Managing Board (till July 2, 2019)		Total	
	2020	2019	2020	2019	2020	2019
Service cost under IFRS	706	549	0	120	1,516	1,209
Pension provision under IFRS	3,735	6,750	0	0	3,735	6,750

Benefits in the event of early termination of employment

In the event of early termination of the service agreement (without there being due cause for termination of the service agreement on the Company's part), the member of the Managing Board in question shall receive severance pay amounting to their total compensation (including fringe benefits) for the duration of the original remaining term, but for no longer than 15 months, starting from the time the service agreement is terminated (severance payment cap). For these purposes, the total compensation is calculated on the basis of the total compensation received for the last full fiscal year and, where appropriate, on the basis of the predicted total compensation for the current fiscal year.

The service agreements do not provide for any severance payment in the event of premature termination of the service agreement for due cause for which the member of the Managing Board in question is responsible. The service agreements do not stipulate any provisions in the event of regular termination, with the exception of the provisions governing pensions.

The service agreements with the members of the Managing Board each contain a provision under which, in the event of a change of control (acquisition of more than 30% of the voting rights in HUGO BOSS AG), the member of the Managing Board in question is granted an extraordinary right to termination and, if the service agreement is indeed terminated, a severance payment must be made to the respective member of the Managing Board. In principle, the amount of severance pay corresponds to the severance payment to be made in the event of the service agreement being terminated prematurely and is therefore subject to the same severance payment cap. The Company has not entered into any other compensation arrangements with members of the Managing Board or employees in the event of a takeover bid.

Total compensation of members of the Managing Board for the fiscal year 2020 under GAS 17

Total compensation (in EUR thousand)

	Yves Müller Spokesperson of the Managing Board		Ingo Wilts Member of the Managing Board		Dr. Heiko Schäfer Member of the Managing Board (since March 16, 2020)	
	2020	2019	2020	2019	2020	2019
Basic compensation	641	650	653	700	509	0
Fringe benefits	13	14	12	9	5	0
Total	654	664	665	709	515	0
Special compensation	200	0	0	0	0	0
STI	411	0	434	0	386	0
Multiple-year variable compensation	645	554	673	563	358	0
Thereof LTI 2019–2021	645	0	673	0	358	0
Thereof LTI 2018–2020	0	554	0	563	0	0
Total compensation	1,910	1,218	1,773	1,272	1,259	0

	Mark Langer Chairman of the Managing Board (till July 15, 2020)		Bernd Hake Member of the Managing Board (till July 2, 2019)		Total compensation	
	2020	2019	2020	2019	2020	2019
Basic compensation	444	920	0	317	2,248	2,587
Fringe benefits	16	28	0	8	46	59
Total	460	948	0	325	2,294	2,646
Special compensation	0	0	0	0	200	0
STI	0	0	0	0	1,232	0
Multiple-year variable compensation	0	776	0	0	1,676	1,893
Thereof LTI 2019–2021	0	0	0	0	1,676	0
Thereof LTI 2018–2020	0	776	0	0	0	1,893
Total compensation	460	1,724	0	325	5,402	4,539

Benefits granted for fiscal year 2020 under GCGC

Benefits granted (in EUR thousand)

	Yves Müller Spokesperson of the Managing Board				Ingo Wilts Member of the Managing Board			
	2020	2020 (Min)	2020 (Max)	2019	2020	2020 (Min)	2020 (Max)	2019
Fixed compensation	641	641	641	650	653	653	653	700
Fringe benefits	13	13	13	14	12	12	12	9
Total	654	654	654	664	665	665	665	709
Special compensation	200	200	200	0	0	0	0	0
STI	411	0	681	450	434	0	720	461
Multiple-year variable compensation	645	0	1,750	554	673	0	1,825	563
Thereof LTI 2019–2021	645	0	1,750	0	673	0	1,825	0
Thereof LTI 2018–2020	0	0	0	554	0	0	0	563
Other	0	0	0	0	0	0	0	0
Total	1,910	854	3,286	1,668	1,773	665	3,210	1,733
Pension expenses	315	315	315	260	280	280	280	280
Total compensation	2,225	1,169	3,601	1,928	2,053	945	3,490	2,013

	Dr. Heiko Schäfer Member of the Managing Board (since March 16, 2020)				Mark Langer Chairman of the Managing Board (till July 15, 2020)			
	2020	2020 (Min)	2020 (Max)	2019	2020	2020 (Min)	2020 (Max)	2019
Fixed remuneration	509	509	509	0	444	444	444	920
Fringe benefits	5	5	5	0	16	16	16	28
Total	515	515	515	0	460	460	460	948
Special compensation	0	0	0	0	0	0	0	0
STI	386	0	594	0	656	0	1,081	700
Multiple-year variable compensation	358	0	1,688	0	913	0	2,475	776
Thereof LTI 2019–2021	358	0	1,688	0	913	0	2,475	0
Thereof LTI 2018–2020	0	0	0	0	0	0	0	776
Other	0	0	0	0	0	0	0	0
Total	1,259	515	2,796	0	2,025	460	4,016	2,424
Pension expenses	215	215	215	0	706	706	706	549
Total compensation	1,474	730	3,011	0	2,731	1,166	4,722	2,973

	Bernd Hake Member of the Managing Board (till July 2, 2019)			
	2020	2020 (Min)	2020 (Max)	2019
Fixed remuneration	0	0	0	317
Fringe benefits	0	0	0	8
Total	0	0	0	325
Special compensation	0	0	0	0
STI	0	0	0	467
Multiple-year variable compensation	0	0	0	557
Thereof LTI 2019–2021	0	0	0	0
Thereof LTI 2018–2020	0	0	0	557
Other	0	0	0	0
Total	0	0	0	1,349
Pension expenses	0	0	0	120
Total compensation	0	0	0	1,469

Benefits received for fiscal year 2020 under GCGC

Benefits received (in EUR thousand)

	Yves Müller Spokesperson of the Managing Board		Ingo Wilts Member of the Managing Board		Dr. Heiko Schäfer Member of the Managing Board (since March 16, 2020)	
	2020	2019	2020	2019	2020	2019
Fixed compensation	641	650	653	700	509	0
Fringe benefits	13	14	12	9	5	0
Total	654	664	665	709	515	0
Special compensation	200	0	0	0	0	0
STI	411	0	434	0	386	0
Multiple-year variable compensation	12	0	161	131	0	0
Thereof LTI 2016–2018	12	0	161	131	0	0
Other	0	0	0	0	0	0
Total	1,277	664	1,261	840	901	0
Pension expenses	315	260	280	280	215	0
Total compensation	1,592	924	1,541	1,120	1,117	0

	Mark Langer Chairman of the Managing Board (till July 15, 2020)		Bernd Hake Member of the Managing Board (till July 2nd, 2019)		Total	
	2020	2019	2020	2019	2020	2019
Fixed compensation	444	920	0	317	2,248	2,587
Fringe benefits	16	28	0	8	46	59
Total	460	948	0	325	2,294	2,646
Special compensation	0	0	0	0	200	0
STI	0	0	0	0	1,232	0
Multiple-year variable compensation	0	357	0	218	173	706
Thereof LTI 2016–2018	0	357	0	218	173	706
Other	0	0	0	0	0	0
Total	460	1,305	0	543	3,899	3,352
Pension expenses	706	549	0	120	1,516	1,209
Total compensation	1,166	1,854	0	663	5,415	4,561

Other compensation components

As of December 31, 2020, no advance payments were made to the Managing Board.

Total compensation of former members of the Managing Board

Bernd Hake left the Managing Board on July 2, 2019. His employment contract ended on February 29, 2020. Up to this point, Bernd Hake received his contractually agreed fixed compensation of EUR 433 thousand. A severance agreement dated September 2019 also provides for payments in the amount of EUR 3,080 thousand in accordance with the employment contract and the agreed severance pay cap, which were due as at February 29, 2020. These are comprised of a severance payment of EUR 846 thousand for the fixed salary for the period from March 2020 to May 2021 as well as a payment in the amount of EUR 1,192 thousand for the short-term incentive program (STI) for January 2019 to May 2021. In addition, the severance agreement includes payments in the amount of EUR 664 thousand for the vested pro-rata long-term incentive program (LTI) compensation for the 2018 to 2020, 2019 to 2021 and 2020 to 2022 tranches. It also includes severance pay for the period from March 2020 to May 2021, in the amount of EUR 338 thousand for pension contributions, and in the amount of EUR 40 thousand for the company car and other fringe benefits.

The entitlements from the LTI tranches for 2016 to 2018 were paid out in March 2020 and entitlements from the LTI tranches for 2017 to 2019 will be paid out in 2021, each at the end of the one-year qualifying period. The final payout entitlement arises from the final target achievement of the target components and the Company's share price during the last three months of the qualifying period.

Mark Langer left the Managing Board on July 15, 2020. His employment contract ended on December 31, 2020. Up to this point, Mark Langer received his contractually agreed fixed compensation of EUR 935 thousand. A severance agreement dated April 2020 also provides for payments in the amount of EUR 978 thousand in accordance with the employment contract and the agreed severance pay cap, which were due as of December 31, 2020. These consist of a severance payment of EUR 950 thousand for the fixed salary for the period from January 2021 to December 2021 and a payment of EUR 28 thousand for the company car and other fringe benefits.

Mark Langer receives a payment based on the actual target achievement for the respective fiscal year for the settlement of the entitlements from the STI for 2020 and 2021. The payment for the STI for 2020 on basis of the actual target achievement of 91% amounts to EUR 656 thousand. The payment for the STI for 2021 is based on a target compensation of EUR 750 thousand, but will be determined based on the actual target achievement in 2021 and will in no case exceed EUR 750 thousand. The payments are made at the same time as the 2020 and 2021 STI payment of the other members of the Managing Board.

The claims from the LTI tranches for 2017 to 2019 and 2018 to 2020 will be paid out in March 2021 and 2022 at the end of the one-year qualifying period. The final entitlement to payment occurs dependent on the final target achievement of the target components. For the LTI tranche for 2017 to 2019, the entitlement amounts to EUR 255 thousand.

The entitlements from the LTI tranches for 2019 to 2021 and 2020 to 2022 are payable as soon as it has been determined that the target for 2021 has been achieved. The final payment claims are based on the average target achievement of the target components for 2019, 2020 and 2021, and for 2020 and 2021, respectively.

Compensation of the Supervisory Board

The compensation of the members of the Supervisory Board set by the Annual Shareholders' Meeting is governed by Art. 12 of the Articles of Association of HUGO BOSS AG. The compensation system was adjusted by resolution of the Annual Shareholders' Meeting on May 27, 2020 with effect from July 30, 2020. Up to this date, the members of the Supervisory Board were compensated in accordance with the previously applicable compensation regulation in Section 12 of the Articles of Association of HUGO BOSS AG. Under this regulation, compensation of Supervisory Board members is split into fixed and variable components. The variable component was measured based on the amount of earnings per share in the consolidated financial statements. The position of Chairman of the Supervisory Board, that of the Deputy Chairman and membership of the Committees were taken into account when calculating the compensation.

According to the newly agreed compensation system, there is no variable component, meaning that the compensation of the members of the Supervisory Board includes only fixed components with effect from July 30, 2020. The compensation consists of two components: a fixed compensation, depending on the position of the respective Supervisory Board member, and additional compensation for their respective work on committees of the Supervisory Board. For example, each ordinary member of the Supervisory Board receives compensation of EUR 80 thousand. The Chairman receives 2.5 times this amount and the Deputy Chairman receives 1.75 times this amount.

Compensation for Supervisory Board function (from July 30, 2020)

Supervisory Board member	Deputy Chairman	Chairman
EUR 80,000	EUR 140,000	EUR 200,000
Base amount	1.75 times the base amount	2.5 times the base amount

In addition, members of the Working Committee, the Audit Committee, and the Personnel Committee will be paid an additional EUR 30 thousand each, and the Chairman of one of these committees will receive an additional EUR 60 thousand each. Members of the Nomination Committee receive an additional EUR 20 thousand. No compensation is paid for the Chairman and members of the Mediation Committee. However, additional compensation will only be paid for the three most lucrative roles on committees, meaning that, for example, if someone is a member of two existing committees and chairman of one of the other committees, membership of the Nomination Committee would not affect their compensation. This regulation leads to the establishment of an individual maximum compensation for each member of the Supervisory Board according to the positions held by the respective member on the committees.

Compensation for membership in a committee (from July 30, 2020)

	Working Committee	Audit Committee	Personnel Committee	Nomination Committee
Member	EUR 30,000	EUR 30,000	EUR 30,000	EUR 20,000
Chairman	EUR 60,000	EUR 60,000	EUR 60,000	–

No further compensation is granted beyond the compensation described above. Moreover, the new system does not provide for a variable compensation component or for attendance fees.

The compensation is still paid out after the end of the Annual Shareholders' Meeting that decides on the approval of the Supervisory Board for the past fiscal year in question. Members of the Supervisory Board who have only been members of the Supervisory Board or a committee for part of the fiscal year are paid compensation proportionately for each month started of their office. Members of the Supervisory Board are reimbursed expenses incurred in connection with the performance of their duties. Any VAT is reimbursed by the Company if the members of the Supervisory Board are entitled to provide the Company with a separate invoice for VAT and exercise this right.

The Supervisory Board received total compensation amounting to EUR 1,205 thousand for its activities in 2019. This includes a variable proportion of EUR 450 thousand. For 2020, the total compensation is expected to come to EUR 1,204 thousand.

LEGAL DISCLOSURES

- **Corporate governance statement published on the Company's website**
- **Disclosures under takeover law are made pursuant to Sec. 289a (1), 315a (1) HGB**
- **There are shares in the Company's capital exceeding 10% of the voting rights**

Corporate governance statement

The **corporate governance statement** (pursuant to Sec. 289f HGB) forms part of the combined management report and can be found at the Company's website at cgs.hugoboss.com. It is also included on pages 119 to 128 of this annual report.

Disclosures under takeover law

The **disclosures under takeover law** pursuant to Sec. 289a (1) and Sec. 315a (1) HGB, which are part of the audited combined management report, are presented and explained below. As far as the Managing Board is aware, there is no further need for any declarations under Sec. 176 (1) Sentence 1 AktG.

Composition of subscribed capital

The subscribed capital of HUGO BOSS AG is made up of 70,400,000 no-par value registered ordinary shares with an imputed share in share capital of EUR 1.00 each. The shares are fully paid up. All the shares have the same rights and obligations attached to them. Shareholder rights and obligations derive from the provisions of AktG, in particular those in Sec. 12, 53a ff., 118 ff. and 186 AktG.

Restrictions on voting rights or the transfer of shares

Each share confers one vote at the Annual Shareholders' Meeting and determines the shareholders' share of the Company's profits. This does not include own shares held by the Company, from which the Company derives no rights. In the cases in Sec. 136 AktG, the voting right under the affected shares is excluded by law.

Shares in the Company's capital exceeding 10% of the voting rights

On the basis of the voting right notifications received by the Company on or before December 31, 2020 in accordance with Sec. 33, 34 WpHG ["Wertpapierhandelsgesetz": German Securities Trading Act], the following direct or indirect shares in the Company's capital reach or exceed 10% of the voting rights:

According to the voting right notifications of February 13, 2020 received from PFC S.r.l., Vicenza, Italy, and Zignago Holding S.p.A., Fossalta di Portogruaro, Italy, PFC S.r.l. directly holds 5.77% of the voting rights pursuant to Sec. 33 WpHG, and pursuant to Sec. 34 WpHG, an additional 9.03% of the voting rights of Zignago Holding S.p.A. has been attributed to PFC S.r.l. In addition, Zignago Holding S.p.A. directly holds 9.03% of the voting rights pursuant to Sec. 33 WpHG, and pursuant to Sec. 34 WpHG an additional 5.77% of the voting rights of PFC S.r.l. has been attributed to Zignago Holding S.p.A. In total, the investments thus exceed 10% of the voting rights. Furthermore, according to the voting right notification of July 3, 2020, 0.78% of the voting rights have been attributed pursuant to Sec. 34 WpHG and another 9.25% have been attributed pursuant to Sec. 38 paragraph 1 no. 2 WpHG to Michael Ashley. In total, these investments thus also exceed 10% of the voting rights. HUGO BOSS AG has not been notified of any other direct or indirect capital investments that reach or exceed 10% of the voting rights.

All **notifications on changes in the share of voting rights held** are available at the corporate website at financialreleases.hugoboss.com. In addition, the reportable shares notified in fiscal year 2020 are set out in the annual financial statements of HUGO BOSS AG for fiscal year 2020.

Shares with special rights granting control authority

There are no shares with special rights granting control authority.

Voting right controls for shares held by employees in the Company's capital

There are no voting right controls applicable to employees who hold shares in the capital of HUGO BOSS AG and are unable to directly exercise their control rights.

Appointment and dismissal of the Managing Board

The appointment and dismissal of members of the Managing Board of HUGO BOSS AG is in accordance with Sec. 84 and Sec. 85 AktG and Sec. 31 MitbestG ["Mitbestimmungsgesetz": German Co-Determination Act] in conjunction with Art. 6 of the Articles of Association. In accordance with Art. 6 (1) of the Articles of Association, the Managing Board comprises at least two members. The number of members of the Managing Board is determined by the Supervisory Board pursuant to Art. 6 (2) of the Articles of Association. The Supervisory Board can appoint a Chairman and a Deputy Chairman of the Managing Board. The Supervisory Board can revoke a person's appointment to the Managing Board and appointment to the position of Chairman of the Managing Board for due cause. In accordance with Art. 6 (3) of the Articles of Association, members of the Managing Board may not, as a rule, be older than 60 years of age when they are appointed. They are appointed by the Supervisory Board for no more than five years.

Amendments to the Articles of Association

Amendments to the Articles of Association are made by resolutions passed at the Annual Shareholders' Meeting. Unless prescribed otherwise by the German Stock Corporation Act, resolutions are passed pursuant to Art. 17 (2) of the Articles of Association by simple majority of the votes cast and – if a majority of the capital represented when passing a resolution is required – by simple majority of the share capital represented when the resolution is passed. Pursuant to Art. 20 of the Articles of Association, the Supervisory Board is authorized to make amendments to the Articles of Association that only affect the wording.

Powers of the Managing Board with respect to the issue and repurchase of shares

The Managing Board of HUGO BOSS AG may, with the Supervisory Board's consent, increase the share capital by up to EUR 35,200,000.00 on or before May 15, 2024, by issuing up to 35,200,000 new registered shares on a cash and/or non-cash basis once or repeatedly (authorized capital). In general, shareholders have a subscription right. However, the Managing Board is authorized, subject to the approval of the Supervisory Board, to exclude the subscription rights of shareholders up to a maximum of 10% of the share capital (a) to avoid fractional amounts, (b) in the case of a capital increase in exchange for contributions in kind, and (c) in the event that the issue price of the new shares in cash-based capital increases is not significantly below the quoted price of the existing quoted shares at the time the issue price is finally determined, which time should be as close as possible to the time at which the shares are placed; whereby in case (c) the shares issued, including any own shares sold under exclusion of subscription rights pursuant to Sec. 186 (3) Clause 4 AktG may not exceed 10% of the share capital either at the time this authorization becomes effective or at the time when it is exercised.

Pursuant to the resolution of the Annual Shareholders' Meeting of May 27, 2020, the Managing Board is authorized on or before May 26, 2025, to acquire own shares of the Company up to a total share of no more than 10% of the share capital outstanding as of May 27, 2020, or, if this value is lower, the share capital outstanding at the time the authorization is exercised. The authorization can be exercised

directly by HUGO BOSS AG, by a company dependent on HUGO BOSS AG or in which it holds a majority interest, or by commissioned third parties and permits the acquisition of own shares fully or in partial amounts, once or several times. The acquisition can be made through the stock exchange or a public offer addressed to all shareholders to submit sale offers or through the granting of put options to the shareholders. The authorization also allows for a restriction of the principle of equal treatment of all shareholders and any rights of the shareholders to sell shares to the Company in connection with the acquisition of the shares.

Own shares acquired under this authorization can be sold again through the stock exchange or through an offer addressed to all shareholders (also while excluding subscription rights of shareholders). With the consent of the Supervisory Board, they can alternatively be redeemed as compensation, precluding the subscription rights of the shareholders, for the acquisition of companies and investments in companies, for sale at a price that does not fall materially short of the current quoted price and for the admission of the share to foreign stock exchanges. The Managing Board is also authorized, with the consent of the Supervisory Board, precluding the subscription rights of the shareholders, to offer own shares to present or past employees or board members of HUGO BOSS AG or affiliated companies, to service conversion or option rights or conversion obligations of HUGO BOSS AG or affiliated companies, or to issue a “scrip dividend”. In addition, subscription rights to fractional amounts may be disappplied in the case of an offer to purchase own shares made to all shareholders. By resolution of the Annual Shareholders’ Meeting of May 27, 2020, the Managing Board is further authorized to acquire own shares using equity derivatives.

Change of control regulations

The syndicated loan taken out by HUGO BOSS AG and HUGO BOSS International B.V. and guaranteed by HUGO BOSS AG as well as the bilateral lines of credit contain standard market conditions that grant the contracting parties additional termination rights in the event of a change of control – known as “change of control clauses”.

Compensation agreements

The service agreements of the members of the Managing Board contain a provision under which, in the event of a change of control (acquisition of more than 30% of the voting rights in HUGO BOSS AG), the contracting parties are granted an additional termination right under certain circumstances and, if the service agreement is in fact terminated, the member of the Managing Board must be compensated.

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CONSOLIDATED INCOME STATEMENT

for the period from January 1 to December 31, 2020

Consolidated income statement (in EUR thousand)

	Notes	2020	2019
Sales	(1)	1,945,843	2,884,056
Cost of sales	(1)	(758,641)	(1,008,619)
Gross profit		1,187,202	1,875,437
In % of sales		61.0	65.0
Selling and distribution expenses	(2)	(1,137,977)	(1,234,587)
Administration expenses	(3)	(284,843)	(296,354)
Operating result (EBIT)		(235,618)	344,496
Net interest income/expenses		(26,168)	(31,465)
Other interest and similar income		2,281	1,609
Interest and similar expenses		(28,449)	(33,074)
Other financial items		(11,450)	(7,438)
Financial result	(4)	(37,618)	(38,903)
Earnings before taxes		(273,236)	305,593
Income taxes	(5)	54,054	(100,350)
Net income		(219,182)	205,243
Attributable to:			
Equity holders of the parent company		(219,593)	205,113
Non-controlling interests		412	130
Earnings per share (EUR)¹	(6)	(3.18)	2.97
Dividend per share (EUR)²	(16)	0.04	0.04

¹ Basic and diluted earnings per share.

² 2020: Proposed dividend.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the period from January 1 to December 31, 2020

Consolidated statement of comprehensive income (in EUR thousand)

	2020	2019
Net income	(219,182)	205,243
Items that will not be reclassified to profit or loss		
Remeasurements of defined benefit plans	(4,071)	(12,706)
Items to be reclassified subsequently to profit or loss		
Currency differences	(18,707)	12,016
Gains/losses from cash flow hedges	(3,153)	1,934
Other comprehensive income, net of tax	(25,931)	1,244
Total comprehensive income	(245,113)	206,487
Attributable to:		
Equity holders of the parent company	(245,054)	206,357
Non-controlling interests	(58)	130
Total comprehensive income	(245,113)	206,487

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

as of December 31, 2020

Consolidated statement of financial position (in EUR thousand)

Assets	Notes	2020	2019
Property, plant and equipment	(8)	407,543	516,767
Intangible assets ¹	(8)	170,272	176,507
Right-of-use assets ¹	(9)	744,439	898,367
Deferred tax assets	(5)	171,212	97,924
Non-current financial assets	(11), (22)	21,476	21,518
Other non-current assets	(11)	628	2,120
Non-current assets		1,515,570	1,713,203
Inventories	(12)	618,458	626,514
Trade receivables	(13)	172,001	216,222
Current tax receivables	(5)	18,484	33,359
Current financial assets	(11), (22)	20,717	32,341
Other current assets	(11)	99,985	123,200
Cash and cash equivalents	(14)	125,277	132,626
Current assets		1,054,922	1,164,262
Total		2,570,492	2,877,465
Equity and liabilities			
Subscribed capital	(15)	70,400	70,400
Own shares	(15)	(42,363)	(42,363)
Capital reserve		399	399
Retained earnings		706,391	932,817
Accumulated other comprehensive income		18,984	40,374
Equity attributable to equity holders of the parent company		753,811	1,001,627
Non-controlling interests		6,126	41
Group equity		759,937	1,001,668
Non-current provisions	(17), (18), (19)	91,216	86,819
Non-current financial liabilities ¹	(20), (22)	196,053	106,039
Non-current lease liabilities	(9)	649,400	789,472
Deferred tax liabilities	(5)	12,541	11,264
Other non-current liabilities ¹	(21)	1,617	389
Non-current liabilities		950,827	993,983
Current provisions	(17)	117,858	91,746
Current financial liabilities ¹	(20), (22)	84,585	117,745
Current lease liabilities	(9)	212,876	167,703
Income tax payables	(5)	41,525	65,683
Trade and other payables		299,237	314,646
Other current liabilities ¹	(21)	103,647	124,291
Current liabilities		859,728	881,814
Total		2,570,492	2,877,465

¹ Amounts shown differ from those reported in the previous year due to reclassifications.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the period from January 1 to December 31, 2020

Consolidated statement of changes in equity (in EUR thousand)

Notes	Subscribed capital	Own shares	Capital reserve	Retained earnings		Accumulated other comprehensive income		Group equity		
				Legal reserves	Other reserves	Currency translation	Gains/losses from cash flow hedges	Total before non-controlling interests	Non-controlling interests	Group equity
January 1, 2019 (as reported)	70,400	(42,363)	399	6,641	919,496	27,178	(754)	980,997	(302)	980,695
Change in accounting policies/ corrections (IFRS 16)					969			969		969
January 1, 2019 (adjusted)	70,400	(42,363)	399	6,641	920,465	27,178	(754)	981,966	(302)	981,664
Net income					205,112			205,112	130	205,243
Other income					(12,706)	12,016	1,935	1,244		1,244
Comprehensive income					192,406	12,016	1,935	206,357	130	206,487
Dividend payment					(186,344)			(186,344)		(186,344)
Acquisition of non-controlling interests					(353)			(353)	213	(140)
December 31, 2019	70,400	(42,363)	399	6,641	926,175	39,194	1,180	1,001,627	41	1,001,668
January 1, 2020	70,400	(42,363)	399	6,641	926,175	39,194	1,180	1,001,627	41	1,001,668
Net income					(219,593)			(219,593)	412	(219,182)
Other income					(4,071)	(18,237)	(3,153)	(25,461)	(470)	(25,931)
Comprehensive income					(223,664)	(18,237)	(3,153)	(245,054)	(58)	(245,113)
Dividend payment					(2,761)			(2,761)		(2,761)
Changes in basis of consolidation									6,143	6,143
December 31, 2020	70,400	(42,363)	399	6,641	699,750	20,957	(1,973)	753,811	6,126	759,937

CONSOLIDATED STATEMENT OF CASH FLOWS

for the period from January 1 to December 31, 2020

Consolidated statement of cash flows (in EUR thousand)

	Notes	2020	2019
	(23)		
Net income		(219,182)	205,243
Depreciation/amortization	(8)	465,327	362,463
Unrealized net foreign exchange gain/loss		20,635	(3,687)
Other non-cash transactions		(984)	1,093
Income tax expense/refund	(5)	(54,054)	100,350
Interest income and expenses	(4)	26,167	31,465
Change in inventories		(5,410)	3,514
Change in receivables and other assets		64,983	8,666
Change in trade payables and other liabilities		(44,233)	37,767
Result from disposal of non-current assets		(1,651)	(1,192)
Change in provisions for pensions	(19)	(7,527)	(11,838)
Change in other provisions		27,454	(5,218)
Income taxes paid		(31,613)	(76,909)
Cash flow from operating activities		239,912	651,717
Investments in property, plant and equipment	(8)	(58,469)	(157,633)
Investments in intangible assets	(8)	(19,611)	(33,680)
Acquisition of subsidiaries and other business entities		1,961	0
Acquisition of groups of assets		0	(3,872)
Cash receipts from sales of property, plant and equipment and intangible assets		370	435
Cash flow from investing activities		(75,749)	(194,750)
Dividends paid to equity holders of the parent company	(16)	(2,761)	(186,344)
Change in current financial liabilities	(22)	(56,632)	(107)
Cash receipts from non-current financial liabilities	(22)	104,793	0
Repayment of non-current financial liabilities	(22)	0	(35,000)
Cash outflows of rent payments		(187,466)	(227,394)
Interest paid		(27,512)	(24,926)
Interest received		2,284	1,623
Cash flow from financing activities		(167,294)	(472,148)
Exchange-rate related changes in cash and cash equivalents		(4,218)	1,089
Change in cash and cash equivalents		(7,349)	(14,092)
Cash and cash equivalents at the beginning of the period		132,626	146,717
Cash and cash equivalents at the end of the period	(14)	125,277	132,625

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR FISCAL YEAR 2020

General information

HUGO BOSS AG is a publicly listed stock corporation with registered offices in Dieselstrasse 12, 72555 Metzingen, Germany. The Company is filed in the commercial register of Stuttgart local court under HRB 360610.

The purpose of HUGO BOSS AG and its subsidiaries (together “HUGO BOSS” or “the Group”) is the development, marketing and distribution of high-end men’s and women’s fashion and accessories in the premium segment.

The consolidated financial statements of HUGO BOSS AG as of December 31, 2020, were prepared in accordance with IFRS as issued by the International Accounting Standards Board (IASB), the International Financial Reporting Standards (IFRS), as adopted by the European Union (EU), and the additional regulations pursuant to Sec. 315e (1) HGB [“Handelsgesetzbuch”: German Commercial Code].

The consolidated financial statements and the combined management report of HUGO BOSS AG, Metzingen, were approved by the Managing Board for submission to the Supervisory Board by a decision on March 5, 2021.

Due to rounding and the presentation in EUR thousand, it is possible that the individual figures in the consolidated financial statements do not add up to the stated total.

Impact of COVID-19

In fiscal year 2020, the rapid spread of COVID-19 led to a significant impact on the global business of HUGO BOSS. In particular, widespread temporary store closures in light of global lockdowns, large-scale restrictions on public life including extensive social distancing measures, and international travel restrictions put a significant strain on sales, operating result (EBIT) and free cash flow.

The consolidated financial statements for the fiscal year 2020 are prepared on the basis of the going-concern principle and the balance sheet items are reported accordingly. At an early stage of the pandemic, HUGO BOSS initiated extensive measures to secure its cash flow, which were successfully implemented during the course of the year. The measures were mainly aimed at reducing operating expenses, postponing non-business-critical investments, reducing the merchandise inflow, and suspending the dividend for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share. In addition, the Group secured further credit commitments in 2020 and successfully exercised the option to increase its revolving syndicated loan, thus further strengthening its financial flexibility during the year. With regard to the regulations of the current syndicate loan agreement it was agreed to a covenant suspension with the financing banks until Jun 30, 2021. Due to the sales, earnings, and free cash flow development of the Group in 2021, management expects that the upper limit of the covenant will be easily met from the second half of 2021 on. In light of its healthy balance sheet structure, its strong free cash flow generation that is expected to continue in the future as well as sufficient free credit lines, management considers HUGO BOSS to be in a sound financial position.

In the course of preparing the consolidated financial statements, estimates and underlying assumptions with a material impact in the context of the COVID-19 pandemic were made, particularly with regard to the following:

- IFRS 16 Leases – accounting for rent concessions in consequence of COVID-19
- Review of the value of assets with a definite and indefinite useful life including goodwill
- Valuation of inventories
- Recoverability of receivables – in particular those relating to trade receivables
- Estimation of the value of deferred tax assets

The estimates made and the assumptions on which they are based can be found in the individual sections of the notes.

Although great care has been taken in the preparation of estimates and assumptions relating to the economic consequences of COVID-19, actual results may differ, taking into account, in particular, the existing uncertainties associated with COVID-19. The estimates and assumptions made depend on the further course of the pandemic, for example with regard to new waves of infections, mutations of the virus, and renewed or extended lockdowns, and its impact on the global economy over the course of the year. In addition, it is extremely difficult to forecast any progress of medical treatments for COVID-19, the global availability and efficacy of the vaccines, any improvement in consumer confidence or potential market tension and the respective impacts of these factors on the expected economic recovery.

These consolidated financial statements contain forward-looking statements, which are subject to both risks and uncertainties, and may differ substantially from actual results. In particular, they are influenced by factors beyond the control of HUGO BOSS and which can only be estimated with a high degree of uncertainty. These factors include, among others, future market conditions and economic developments, the actions of other market participants, as well as legal and political decisions.

Financial reporting

The updates and amendments to the IASB's standards and interpretations for fiscal year 2020 do not have a material impact on the presentation of the Group's financial position and results of operations for the changes described below. This includes:

- Amendments to IFRS 3: Definition of a Business
- Amendments to IFRS 9, IAS 39 and IFRS 7: Interest Rate Benchmark Reform Phase 1
- Amendments to IAS 1 and IAS 8: Definition of Material
- Amendments to References to the Conceptual Framework in IFRS Standards

The following amendments to the IASB's revised standards and interpretations have a material impact on the presentation of the Group's financial position and results of operation:

- Amendments to IFRS 16: COVID-19-Related Rent Concessions

On May 28, 2020, the IASB published "COVID-19-Related Rent Concessions – Amendment to IFRS 16". The amendments grant lessees temporary relief until June 30, 2021 in the application of the regulations under IFRS 16 relating to accounting for lease modifications due to rent concessions granted as a result of the COVID-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a lessor's pandemic-related rent concession constitutes an amendment to the lease. In this case no adjustment of the right-of-use asset is made and the reduction in rent is recognized in the income statement. A lessee that makes this election shall account for any qualified change in lease payments resulting from the rent concession the same way it would account for the change applying IFRS 16 if the change were not a lease modification.

Consolidation principles

The basis of consolidation comprises HUGO BOSS AG and all subsidiaries, including structured entities, over which HUGO BOSS AG can exercise direct or indirect control. HUGO BOSS AG is deemed to exercise control if, as the parent company, it has power over the subsidiary on account of voting or other rights, is exposed to variable returns from its involvement in the subsidiary and is able to use its power over the subsidiary to affect the amount of these returns. The subsidiary is deconsolidated as soon as the parent company relinquishes control over it.

Subsidiaries with an immaterial influence on the Group's net assets, financial position and results of operations are not included in the consolidated financial statements. Influence is deemed immaterial if the aggregate sales, earnings and total assets make up less than 1% of the corresponding Group figures. This is reassessed at each reporting date. Non-consolidated subsidiaries are measured at fair value or, if this cannot be determined reliably, at cost, and reported under other non-current financial assets.

Structured entities which are controlled by the parent company are also consolidated. These are entities which have been structured in such a way that they are controlled by the parent company regardless of who holds the voting or comparable rights. This is the case, for example, if the exercise of voting rights is confined to administrative tasks and the material activities are governed by contracts.

Joint ventures are consolidated using the equity method. Joint control is the contractually agreed sharing of control of an arrangement. It exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

The sale of shares in subsidiaries as a result of which the Group's share in such subsidiary increases or decreases without any loss of control is recognized within the equity of the corresponding equity providers.

Basis of consolidation

The consolidated financial statements include HUGO BOSS AG based in Metzingen, Germany, and the entities that it controlled in the reporting period from January 1 to December 31, 2020. The main Group companies included in the consolidated financial statements are as follows:

GRAMOLERA Grundstücks-Vermietungsgesellschaft Objekt Ticino mbH	Metzingen, Germany ²
HUGO BOSS (Schweiz) AG	Zug, Switzerland
HUGO BOSS Australia Pty. Ltd.	Preston, Australia
HUGO BOSS Benelux B.V. y CIA S.C.	Madrid, Spain
HUGO BOSS Benelux Retail B.V.	Amsterdam, Netherlands
HUGO BOSS Beteiligungsgesellschaft mbH	Metzingen, Germany ²
HUGO BOSS Canada, Inc.	Toronto, Canada
HUGO BOSS China Retail Co. Ltd.	Shanghai, China
HUGO BOSS Fashions, Inc.	Wilmington, DE, U.S.A.
HUGO BOSS France SAS	Paris, France
HUGO BOSS International B.V.	Amsterdam, Netherlands
HUGO BOSS International Markets AG	Zug, Switzerland
HUGO BOSS Internationale Beteiligungs-GmbH	Metzingen, Germany ²
HUGO BOSS Japan K.K.	Tokyo, Japan
HUGO BOSS Mexico S.A. de C.V.	Mexico City, Mexico
HUGO BOSS Retail, Inc.	New York, NY, USA
HUGO BOSS Rus LLC	Moscow, Russia
HUGO BOSS Textile Industry Ltd.	Izmir, Turkey
HUGO BOSS Ticino S.A.	Coldrerio, Switzerland
HUGO BOSS Trade Mark Management GmbH & Co. KG	Metzingen, Germany ²
HUGO BOSS UK Limited	London, Great Britain
HUGO BOSS Vermögensverwaltungs GmbH & Co. KG	Metzingen, Germany ²
ROSATA Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Dieselstraße KG	Metzingen, Germany ²
ROSATA Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Metzingen KG	Grünwald, Germany ^{1,2}

¹ Investments with a 94% share in capital and 15% of voting rights.

² Subsidiaries that exercise the exemption of Sec. 264 (3) and 264b HGB ["Handelsgesetzbuch": German Commercial Code].

In the reporting period from January 1 to December 31, 2020, the number of consolidated companies in comparison to the consolidated financial statements as of December 31, 2019, increased by two to 63.

In fiscal year 2020, HUGO BOSS Middle East FZ-LLC, U.A.E. received the decisive voting rights to obtain decision-making power in HUGO BOSS AL FUTTAIM UAE TRADING L.L.C., Dubai, U.A.E. as part of a contractual amendment to the joint venture agreement. As a result of this change, HUGO BOSS now has decision-making power and the ability to control the business activities of HUGO BOSS AL-FUTTAIM UAE TRADING L.L.C., Dubai, U. A. E., therefore the consolidation method changed from at-equity to full consolidation. HUGO BOSS Middle East FZ-LLC, U. A. E. still holds 49% of the investment shares.

In addition, Salam Stores HUGO BOSS WLL, Qatar, U. A. E. was founded together with joint venture partner Salam Studio & Stores in fiscal year 2020. Due to contractual agreements, HUGO BOSS International B.V. holds the majority of voting rights in Salam Stores HUGO BOSS WLL, Qatar, U.A.E., and therefore the company has been included in the consolidated financial statements for 2020.

Companies in which HUGO BOSS and one more party have joint control are accounted for using the equity method:

GRETANA Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt D 19 KG

Grünwald, Germany¹

¹ Investment with a 100% share in capital and 15% of voting rights.

HUGO BOSS exercises discretion with regards to the consolidation of structured companies. Companies established to hold and lease property are included in the scope of consolidation if HUGO BOSS has the power of control over the companies' relevant activities and therefore the ability to affect the amount of their variable returns.

Business combinations

When a company obtains control over another company, this constitutes a business combination within the meaning of IFRS 3. All business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition-date fair value and the amount of any non-controlling interest in the acquiree. The identifiable assets acquired and liabilities assumed (including contingent liabilities) in a business combination are measured at their acquisition-date fair values. Non-controlling interests are measured at their proportionate share in the fair value of the identifiable assets and liabilities. Acquisition-related costs incurred are expensed.

Goodwill

Goodwill resulting from a business combination is the excess between the consideration transferred and the fair value of the non-controlling interest in the assets acquired and liabilities assumed. If the consideration is lower than the fair value of the net assets of the acquiree, the difference is reassessed and then recognized in profit or loss.

After initial recognition, goodwill is carried at cost in the functional currency of the foreign acquiree less any accumulated impairment losses. Any goodwill recognized is tested for impairment annually and whenever there is an indication that the assets might be impaired.

Intercompany transactions

The effects of intercompany transactions are eliminated. Receivables and liabilities between the consolidated companies are offset against each other, intercompany gains and losses pertaining to intangible assets, property, plant and equipment and inventories are eliminated; intercompany income is offset against the corresponding intercompany expenses. Deferred taxes are recognized on temporary differences arising on consolidation in accordance with IAS 12.

Determination of the functional currency

The Group's reporting currency, the euro, is the functional currency of the parent company, HUGO BOSS AG. As a rule, the functional currency of the subsidiaries included in the consolidated financial statements is the corresponding local currency. For units that conduct a significant portion of their sales and procurement activities and that finance operations in a currency other than the corresponding local currency, the functional currency is the currency of the primary business environment. Accordingly, the euro is the functional currency of HUGO BOSS Textile Industry Ltd., Turkey, and HUGO BOSS International Markets AG, Switzerland, as these companies conduct most of their business in euro.

Foreign currency transactions and balances

In the separate financial statements, transactions in foreign currency are translated at the exchange rates valid at the dates of the transactions. Monetary items (cash and cash equivalents, receivables and payables) denominated in foreign currencies are translated into the functional currency at closing rates.

The resulting exchange rate gains and losses are recognized through profit and loss in other financial items.

Translation of the separate financial statements

The financial statements of the foreign Group companies whose functional currency is not the euro are translated into the Group reporting currency, the euro. Items are translated using the modified closing rate in accordance with IAS 21, under which assets, including goodwill, and liabilities are translated at closing rates, and income statement items are translated at the average exchange rates for the reporting period. The items of the income statement were translated into euros at the average monthly exchange rates and aggregated in the course of the year. Differences from currency translation of income statements at average rates and statements of financial position at closing rates are reported without effect on profit or loss in other comprehensive income. The currency difference resulting from the translation of equity at historical rates is likewise posted to other comprehensive income. Currency differences recognized in other comprehensive income are reclassified to the income statement if the corresponding Group company is sold.

The most important exchange rates applied in the consolidated financial statements developed as follows in relation to the euro:

Country	Currency	Average rate		Closing rate	
	1 EUR =	2020	2019	2020	2019
Australia	AUD	1.6171	1.6143	1.5896	1.5995
China	CNY	7.9568	7.7880	8.0225	7.8205
Great Britain	GBP	0.9064	0.8476	0.8990	0.8508
Hong Kong	HKD	9.4302	8.6659	9.5142	8.7473
Japan	JPY	126.2703	121.2561	126.4900	121.9400
Switzerland	CHF	1.0819	1.0931	1.0802	1.0854
Turkey	TRY	9.3956	6.4814	9.1164	6.6621
U.S.A.	USD	1.2165	1.1103	1.2271	1.1234

Accounting policies

The financial statements of HUGO BOSS AG and the German and foreign subsidiaries are prepared pursuant to uniform accounting policies in accordance with IFRS 10.

Recognition of income and expenses

Income is recognized to the extent that it is probable that the economic benefits will flow to the Group and the income can be reliably measured. Income is measured at the fair value of the consideration received. Income is reported after deductions including discounts and other price deductions and net of VAT. The specific recognition criteria described below must also be met before income is recognized.

Sale of merchandise and goods

Income is recognized in accordance with IFRS 15: HUGO BOSS recognizes income from the sale of goods when control of the goods is transferred to the buyer. In the wholesale channel, this is the case as soon as delivery to the wholesale partner has been executed and all obligations affecting the acceptance of the goods by the wholesale partner have been settled. In the Group's own retail business, the control passes to the customer upon payment for the goods. Sales are recognized when transactions with customers are completed. Sales via the online channel are recognized upon delivery of the goods to the customer. The date of delivery is deemed to be the date on which the control of the goods sold passes to the customer.

Claims under return agreements and rights of return are recognized in gross figures in the income statement and the balance sheet in connection with the recognition of sales. The income recognized in the income statement is reduced by an amount equaling the estimated sales attributable to the returned goods and the disposal of goods recorded through profit and loss when the goods are dispatched is adjusted for the estimated value of the returns. A miscellaneous non-financial asset is recognized equaling the amount of the historical costs for which a return is expected. Allowance is also made for additional costs and the loss arising from the resale of the returned goods. In addition, a provision is recognized in the amount of the estimated returned sales.

Shop fit contributions to retailers are recognized in the income statement as sales deductions.

License and other income

License and other income are recognized in the period in which they are generated in accordance with the terms of the underlying agreements.

Operating income is recognized in the income statement when the service is used or generated where there is a direct relationship between the costs incurred and the corresponding income.

Interest income

Interest is recognized pro rata temporis taking into account the effective yield on the asset.

Functional costs

Operating expenses are essentially allocated to the individual function based on the respective cost centers. Expenses incurred in connection with cross-functional activities or projects are spread among the function costs concerned using an adequate allocation principle.

Research and development costs

Research costs are expensed as incurred. Development costs are likewise expensed as incurred if they do not satisfy the criteria for recognition as internally generated intangible assets. Production-related development costs are generally included in the calculation of the cost of unfinished and finished goods. These essentially comprise the cost of technical product development in the third phase of the collection creation process.

Income taxes

The tax rates and tax laws used to calculate the income tax are those that are enacted or substantively enacted on the reporting date in the countries where the Group operates and generates taxable income.

Receivables and provisions for current income taxes are recognized to the extent that their realization is probable.

In accordance with IAS 12, deferred tax assets and deferred tax liabilities are recognized for all temporary differences between the tax bases and the carrying amounts for financial reporting purposes of the separate entities and the carrying amounts in the consolidated financial statements in accordance with IFRS and for certain consolidation adjustments.

Deferred tax assets also include tax credits that result from the expected utilization of existing unused tax losses in subsequent years and the realization of which can be assumed with sufficient probability. Deferred tax assets and deferred tax liabilities are presented on a net basis to the extent that the deferred tax assets and deferred tax liabilities relate to the same taxable entity. Deferred tax assets and deferred tax liabilities are measured at the tax rates that are expected to apply when the temporary differences reverse.

Income taxes are recorded in the income statement with the exception of those relating to items recognized directly in equity.

Property, plant and equipment

Property, plant and equipment that are used in business operations for longer than one year are measured at cost less accumulated depreciation. Cost of conversion includes all costs directly allocable to the production process as well as an appropriate portion of production-related overheads. The underlying useful lives correspond to the expected useful lives within the Group. Property, plant and equipment are generally depreciated using the straight-line method.

Buildings and leasehold improvements on third-party land are depreciated over the term of the underlying lease agreements or the lower useful lives.

The useful lives and depreciation methods for property, plant and equipment and intangible assets are reviewed periodically to ensure that the depreciation method and period are consistent with the expected pattern of economic benefits from the respective assets.

Intangible assets

Intangible assets are recognized if it is probable that a future economic benefit will flow to the company from the use of the asset and the cost of the asset can be reliably determined. Acquired intangible assets and internally generated intangible assets are measured at cost. Cost of conversion includes all costs directly allocable to the production process as well as an appropriate portion of production-related overheads. Intangible assets with a finite useful life are systematically amortized using the straight-line method over their useful life.

Intangible assets include software and licenses, trademark and reacquired rights. Intangible assets with an infinite useful life are tested for impairment once a year. If the carrying amount of the asset is no longer recoverable, an impairment loss is recognized.

Impairment of non-financial assets

Non-financial assets (property, plant and equipment and right-of-use assets from leases including goodwill) are assessed at every reporting date as to whether there is an indication of impairment (“triggering events”). If there is any such indication, the recoverable amount of the asset is estimated. Irrespective of whether there is any indication of impairment, intangible assets with indefinite useful lives and goodwill acquired in a business combination are tested for impairment annually. The recoverable amount is the higher of fair value of the asset less costs to sell and value in use. The value in use is the present value of the expected cash flows. The expected cash flows are discounted using the after-tax weighted average cost of capital that reflects the risks specific to the asset. In determining fair value less costs to sell, external appraisals are taken into account, if available. If it is not possible to estimate the recoverable amount of an individual asset, the recoverable amount of the smallest identifiable group of assets to which the asset belongs (cash-generating unit – CGU) is determined.

If the carrying amount of the asset or CGU exceeds the corresponding recoverable amount, an impairment loss is immediately recognized through profit or loss. If a CGU is impaired, the carrying amount of any goodwill allocated to the unit is reduced first. Any remaining impairment loss reduces the other non-current assets of the CGU pro rata.

If, following an impairment loss recognized in prior periods, an asset or CGU has a higher recoverable amount, the impairment loss is reversed up to the maximum of the recoverable amount. The reversal is limited to the amortized carrying amount which would have been determined had no impairment loss been recognized in the past. The impairment loss is reversed through profit or loss. Reversals of impairment losses recognized on goodwill are not permitted.

Inventories

Raw materials and supplies as well as merchandise are generally measured at moving average cost. Work in progress and finished goods are measured at cost. Cost of conversion of finished goods includes direct material, direct labor, proportionate material and production overheads, and production-related amortization and depreciation insofar as this is a consequence of production. Also included are general administrative expenses, product development expenses, expenses for social facilities, expenses for voluntary social benefits and occupational pensions, to the extent that they are related to production and are incurred in the production period. Borrowing costs are expensed as incurred to the extent that the criteria for recognition in the carrying amount of an asset are not satisfied.

Inventories are carried at the lower of cost or realizable sales price less costs to sell.

Leases

In accordance with IFRS 16, there is a lease relationship if the lessor has contractually transferred the right to use an identified asset for a defined period in return for remuneration by the lessee.

Under IFRS 16, the lessee recognizes a lease liability in the amount of the present value of the future lease payments and a corresponding right-of-use asset in the statement of financial position. The lease payments comprise the total of all fixed lease payments less incentive payments for the conclusion of the contract, variable lease payments linked to an index or (interest) rate, and amounts expected to be paid under residual value guarantees. Lease extension options are to be included if their exercise is reasonably certain. Contractually agreed payments for compensation in the event of early termination of the lease by the lessee must also be recognized if it cannot be assumed with reasonable certainty that the lease will be continued.

The lease liability is compounded over the term using the effective interest method and updated using financial mathematics, taking into account the lease payments made.

The right of use to be recognized in parallel is generally capitalized at the value of the lease liability. Lease payments already made and directly attributable costs must also be included. Payments received from the lessor in connection with the lease are to be deducted (including Key Money). Restoration obligations arising from leases must also be taken into account when measuring the right-of-use asset. A provision must be recognized for the obligation. The right of use is amortized on a straight-line basis over the term of the lease.

The amortization of the capitalized right-of-use asset is recognized in the income statement in the respective functional areas and the interest expense from the compounding of the recognized lease liability is recognized in the financial result.

Financial instruments

A financial instrument is a contract that gives rise to both a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities, to the extent that they are currently relevant to the HUGO BOSS Group, are classified into the following categories:

FVTPL (Fair Value through Profit & Loss)	Financial assets and liabilities valued at Fair Value Through Profit or Loss.
AC (Amortised Cost)	Financial assets and liabilities that continue to be valued at Amortized Cost through the effective interest method.
FVOCI (Fair Value through Other Comprehensive Income)	Assets and liabilities valued at Fair Value through Other Comprehensive Income.

Financial assets and liabilities are designated to the above categories upon initial recognition.

Financial assets

Financial assets are initially classified under IFRS 9 using a two-stage test whereby the respective cash flow conditions and the business model for management of financial assets are examined. This test takes place at the financial instrument level.

Financial assets are recognized initially at fair value. This takes into account any directly attributable transaction costs relating to the acquisition.

All purchases and disposals of financial assets are recognized at their value at the settlement date, the day when the group is obliged to purchase or sell the asset.

As a rule, the fair values recognized in the statement of financial position are the market prices of the corresponding financial assets. If these are not available, fair value is determined using generally accepted valuation models by reference to current market parameters. Such techniques include using recent arm's length market transactions, reference to the current market value of another instrument which is substantially the same, or discounted cash flow analysis and other valuation models.

Cash and cash equivalents recognized in the statement of financial position comprise cash in hand, balances with banks and other short-term deposits with an original term of less than three months; they are measured at amortized cost.

Trade receivables and other loans and receivables are subsequently measured at amortized cost (less any impairment losses), using the effective interest method where applicable. Gains and losses are recognized through profit or loss when the receivables are derecognized, impaired or settled.

Where material, HUGO BOSS calculates and records an allowance under the Expected Loss Model in IFRS 9 for all financial instruments that are not classified as FVTPL. The Expected Credit Loss (ECL) is always determined in a two-stage process. Only defaults that are likely within one year are considered for portfolios that have seen no significant increase in credit risk since their inception (12-month ECL). However, for portfolios that have seen a significant increase in credit risk since their inception, all defaults expected over their term are considered (lifetime ECL).

In its evaluation of whether the credit risk of a financial asset has changed, the Group utilizes all reasonable and reliable information that is available without excessive cost or expenses.

The FVTPL (fair value through profit or loss) category is assigned to financial assets when they meet the requirements of the SPPI test and the testing of the business model for management of financial asset value under IFRS 9. This includes derivative financial instruments that are not designated to an effective hedging relationship in accordance with IFRS 9. Gains and losses from financial assets are always posted to profit or loss.

Financial assets that are assigned to the AC category are tested for impairment at every reporting date. If the carrying amount of a financial asset exceeds its fair value, it is reduced to the fair value. This decrease constitutes an impairment loss that is posted through profit or loss. An impairment loss recognized in profit or loss in a prior period is reversed if this is necessary on account of events occurring after it was originally recognized.

HUGO BOSS classifies a receivable as in default when a debtor does not settle contractual payments that are over 90 days overdue. When receivables are written off or derecognized, the Group continues to conduct recovery measures to collect the receivable due. In some cases, a financial instrument may nevertheless also be treated as in default or partially in default if internal or external information indicates that full collection of the outstanding payment is viewed as unlikely. Individual depreciation rates between 1% and 100% are used in this case. A financial asset is derecognized when there is no reasonable prospect of repayment of the contractual cash flows.

A financial asset is derecognized when the contractual rights to receive cash flows from the financial asset expire or are transferred. In the latter case, substantially all the significant risks and rewards of ownership of the financial assets must be transferred or control over the asset must be transferred.

Financial liabilities

Financial liabilities are recognized initially at fair value. This takes into account any directly attributable transaction costs.

Derivatives that are not designated to an effective hedging relationship are measured at fair value through profit or loss. Negative fair values are reported under other financial liabilities. Gains and losses from subsequent measurement are recognized in profit or loss.

Trade payables and other financial liabilities are subsequently measured at amortized cost using the effective interest method. Any resulting gains and losses are posted to profit or loss when the liabilities are derecognized or extinguished.

A financial liability is derecognized when the obligation underlying the liability is discharged, canceled or expired.

Hedging instruments

At HUGO BOSS, derivative financial instruments are solely used to hedge interest rate and currency risks from the operating business.

When hedges are entered into, specific derivatives are allocated to hedged items. The requirements of IFRS 9 for the designation of hedges are satisfied.

Under IFRS 9, all derivative financial instruments currently held by the Group are generally to be classified as FVTPL (fair value through profit or loss) and to be accounted at fair value, unless they are part of an effective hedging relationship. Changes in the fair value of derivative financial instruments are generally recognized in profit or loss.

To the extent that the financial instruments used are effective hedges as part of a hedging relationship in accordance with the requirements of IFRS 9 (cash flow hedges), fair value fluctuations during the term of the derivative do not affect profit or loss for the period. Instead, fair value fluctuations are recognized in equity in the corresponding reserve item. The cumulative amounts recognized in equity are recycled through profit or loss in the same period during which the hedged cash flows affect profit or loss.

Grants from public authorities

Grants from public authorities are recognized when the Company meets the conditions associated with the grant with sufficient certainty and the benefits are granted. The grants must be recognized in the income statement in the periods in which the Company recognizes the eligible expenses.

If expenses or losses have already been incurred or if the grants are used for immediate financial support, irrespective of specific expenses, the grants are recognized in the income statement in the period in which the corresponding claim exists.

Provisions

Provisions are recognized if a past event has led to a current legal or constructive obligation to third parties which is expected to lead to a future outflow of resources that can be estimated reliably. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. Provisions with a term of more than one year are discounted using a risk-free interest rate. Where the effect of the time value of money is material, the amount of the provision equals the present value of the expenditures expected to be required to settle the obligation.

Provisions for rebuild obligations

Provisions for rebuild obligations in retail stores are recognized as liabilities at the present value of the best estimate of the amount required to settle the obligation. Corresponding assets are capitalized at the equivalent amount and depreciated over the term of the lease agreement.

Provisions for pensions

The measurement of pension provisions relates to the Group's obligation to provide benefit-based and contribution-based plans. IAS 19 mandates the use of the projected unit credit method for the provision of benefit-based plans, which takes into account future adjustments to salaries and pensions. The year-end present value determined using the projected unit credit method was compared to the fair value of plan assets in the employer's pension liability insurance to the extent that offsetting is permissible (asset ceiling). Actuarial gains and losses are immediately posted in full to other comprehensive income. Actuarial gains and losses are not reclassified from other comprehensive income to consolidated net income in subsequent years. The same applies to all effects of the asset ceiling. Net interest determined by multiplying the net pension liability by the discount rate underlying the gross pension obligation (DBO) is reported in the financial result. The difference between the actual interest return on plan assets and the anticipated return on plan assets obtained using the discount rate is posted separately to other comprehensive income. The service cost is reported under the relevant functional costs. The contributions from contribution-based pension schemes are recognized as expenses in the income statement on maturity.

Share-based compensation programs

Share-based compensation programs are accounted for in accordance with IFRS 2. The long-term incentive (LTI) program initiated with effect from January 1, 2016, for members of the Managing Board and eligible management staff is a cash-settled, share-based payment transaction. The expenses arising from the LTI and the liabilities for settling these benefits are recognized over the expected vesting period. This amount is recalculated on each reporting date and measured using an option price model. Any changes in the fair value are posted to profit and loss. The resultant expense is recorded within personnel expenses and the liability recognized as a provision for personnel expenses.

Contingent liabilities and contingent assets

Contingent liabilities are not recognized. They are disclosed in the notes to the financial statements, unless an outflow of resources embodying economic benefits is very unlikely. Contingent assets are likewise not recognized. They are disclosed in the notes to the financial statements if an inflow of economic benefits is probable.

Exercise of judgment and estimates when applying accounting policies

The preparation of the Group's consolidated financial statements requires Management to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. These estimates and judgments are made to obtain a fair presentation of the Group's net assets, financial position and results of operations. The main judgments and estimates used are specified in the notes to the financial statements.

Business combinations/acquisitions of other business units

Takeovers in fiscal year 2020

As of January 1, 2020, HUGO BOSS Middle East FZ-LLC, U.A.E. received the decisive voting rights to obtain decision-making power in HUGO BOSS AL FUTTAIM UAE TRADING L.L.C., Dubai, U.A.E. as part of a contractual amendment to the joint venture agreement. In the absence of considerations transferred, goodwill was measured at the fair value of the shares of investment at the date where control was established. Firstly, the carrying amount of the shares of investment are adjusted to its fair value at the date where control is established, with adjustments recorded in the profit and loss. The comparison between the fair value of the investment and the proportionate revalued equity resulted in goodwill of EUR 4,873 thousand. The resulting income was recorded under selling and distribution expenses. In total, income of EUR 5,894 thousand was recognized from the adjustment of the shares of the investment and the comparison with the proportionate share of revalued equity.

(in EUR thousand)	
	2020
Purchase consideration transferred	
Agreed purchase price	0
Fair value of the shares of the investment	10,775
Book value of minority interests of the investment	6,142
Total consideration transferred	16,917
Fair value of the acquired assets and liabilities assumed	
Right-of-use assets	17,498
Property, plant and equipment	4,448
Inventories	7,766
Cash and cash equivalents	1,961
Other assets	3,214
Total assets	34,887
Financial liabilities	18,541
Trade payables	1,153
Other liabilities	3,149
Total liabilities	22,843
Goodwill	4,873

Goodwill is attributable to Europe segment. The goodwill is not expected to be tax-deductible.

The joint venture agreement includes call options entitling the holder to acquire up to 100% of the voting rights, which may be exercised in favour of foreign investors under certain conditions and only in the event of legal changes.

The additional consolidated sales generated by the acquisition in the 2020 fiscal year amounted to EUR 28,025 thousand. However, the impact on net income was insignificant.

In the course of the establishment of Salam Stores HUGO BOSS WLL, Qatar, U. A. E., the joint venture partner contributed two stores and related assets to the HUGO BOSS Group.

Acquisition in the fiscal year 2019

No acquisitions were made in fiscal 2019.

Notes to the Consolidated Income Statement

1 | Sales and cost of sales

Sales

(in EUR thousand)

	2020	2019
Own retail business	1,278,581	1,869,105
Brick-and-mortar retail	1,057,215	1,718,024
Online	221,366	151,080
Wholesale	603,088	931,243
Licenses	64,174	83,708
Total	1,945,843	2,884,056

Cost of Sales

(in EUR thousand)

	2020	2019
Total cost of sales	758,641	1,008,619
Cost of purchase	664,027	898,954
Thereof cost of materials	568,616	886,318
Cost of conversion	94,614	109,665

The cost of materials included in the cost of sales include inbound freight and customs costs of EUR 95,255 thousand (2019: EUR 119,620 thousand).

2 | Selling and distribution expenses

(in EUR thousand)

	2020	2019
Expenses for own retail business, sales and marketing organization	896,556	963,693
Marketing expenses	158,737	179,600
Thereof expenses	162,095	184,467
Thereof income from allocation of marketing expense	(3,358)	(4,867)
Logistic expenses	82,684	91,294
Total	1,137,977	1,234,587
Thereof other taxes	2,746	2,505

The expenses for the Group's own retail business and the sales and marketing organization mostly relate to personnel and lease expenses for wholesale and retail distribution, as well as depreciation of right-of-use assets for lease objects under IFRS 16. They also include sales-based commission, freight-out, customs costs, credit card charges and impairment losses to assets of retail stores. Furthermore, they also include impairment losses to trade receivables of EUR 10,759 thousand (2019: EUR 5,766 thousand).

Logistics expenses mainly include personnel expenses for warehouse logistics and right-of-use depreciation of lease objects.

3|Administration expenses

(in EUR thousand)

	2020	2019
General administrative expenses	226,509	231,112
Research and development expenses	58,334	65,242
Thereof personnel expenses	44,574	47,256
Thereof depreciation and amortization	2,567	2,626
Thereof other operating expense	11,193	15,360
Total	284,843	296,354
Thereof taxes	4,151	4,188

Administration expenses mainly comprises of personnel expenses of the respective departments, maintenance costs, IT operating expenses, legal and consulting fees, and depreciation and amortization of right-of-use assets.

Research and development expenses primarily relate to the collection development.

Administration expenses include other income of EUR 13,711 thousand (2019: EUR 15,832 thousand). This includes, among other things, capitalized internally developed software as well as canteen income. Additionally, income was generated by the reversal of provisions by EUR 3,919 thousand (2019: EUR 6,938 thousand).

4|Financial result

(in EUR thousand)

	2020	2019
Interest and similar income	2,281	1,609
Interest and similar expenses	(28,449)	(33,074)
Net interest income/expenses	(26,168)	(31,465)
Exchange rate gains/losses from receivables and liabilities	(16,113)	3,202
Gains/losses from hedging transactions	8,659	(10,305)
Other financial expenses/income	(3,996)	(335)
Other financial items	(11,450)	(7,438)
Financial result	(37,618)	(38,903)

Interest income includes income from bank deposits amounting to EUR 1,741 thousand (2019: EUR 1,033 thousand) and other interest income of EUR 540 thousand (2019: EUR 576 thousand).

Interest expenses include expenses from financial liabilities in the amount of EUR 6,781 thousand (2019: EUR 2,853 thousand) and other interest expenses in the amount of EUR 21,668 thousand (2019: EUR 30,221 thousand). These items mainly comprise interest expenses from the discounting of future minimum lease obligations of EUR 20,615 thousand (2019: EUR 22,222 thousand). In addition to interest on loans, this also includes the net interest amount from for pension provisions, interest on non-financial liabilities (such as tax liabilities from tax audits) and interest expenses from the valuation at present value of other non-current provisions in the amount of EUR 1,053 thousand (2019: EUR 7,999 thousand).

The exchange rate gains and losses from receivables and liabilities comprise exchange rate gains of EUR 22,273 thousand (2019: EUR 23,931 thousand) as well as exchange rate losses of EUR 38,386 thousand (2019: EUR 20,729 thousand). The result from hedging transactions contains the effects from the fair value measurement and derecognition of foreign exchange forwards and swaps.

5 | Income taxes

(in EUR thousand)

	2020	2019
Current taxes	21,330	105,159
Deferred taxes	(75,384)	(4,809)
Total	(54,054)	100,350

Income taxes report corporate income tax plus solidarity surcharge and trade tax of German Group companies together with the comparable income taxes of foreign Group companies.

At HUGO BOSS AG, the domestic income tax rate comes to 29.5% (2019: 29.5%). The tax rates abroad range between 0% and 34%.

Current income taxes for fiscal year 2020 included non-current expenses of EUR 2,755 thousand (2019: EUR 24,396 thousand), non-current income of EUR 2,131 thousand (2019: EUR 5,337 thousand) and deductible withholding tax of EUR 4,431 thousand (2019: EUR 1,697 thousand). The non-current expenses of 2019 include provisions for risks from external tax audits of HUGO BOSS AG for the years from 2012 to 2015.

The following table presents a reconciliation of the expected income tax expense that would be theoretically incurred if the current domestic income tax rate of 29.5% (2019: 29.5%) were applied at a Group level to the current income tax expense reported by the Group. The domestic income tax rate applied takes into account a corporate income tax rate (including solidarity surcharge) of 15.8% (2019: 15.8%) and a trade tax rate of 13.7% (2019: 13.7%).

(in EUR thousand)

	2020	2019
Earnings before taxes	(273,236)	305,593
Anticipated income tax	(80,741)	90,303
Tax effect of permanent items	5,076	11,089
Tax rate-related deviation	13,109	(19,385)
Thereof effects of changes in tax rates	389	1,832
Thereof adjustment of tax amount to diverging local tax rate	12,720	(21,217)
Tax refund/tax arrears	5,055	20,757
Deferred tax effects from prior years	(1,431)	2
Valuation allowance on deferred tax assets	5,925	(630)
Tax effects from distributable profit of subsidiaries	135	(1,028)
Other deviations	(1,182)	(758)
Income tax expenditure reported	(54,054)	100,350
Income tax burden	20%	33%

The income tax burden was reduced by tax-free income of EUR 270 thousand (2019: EUR 2,350 thousand). The opposite tax effects as a result of non-deductible business expenses come to EUR 5,346 thousand (2019: EUR 13,439 thousand). Tax rate-related deviations are caused by the distribution of profits around the globe and diverging local tax rates in the different countries. In fiscal year 2020, valuation allowances were recognized for deferred tax assets that were no longer expected to be realized in the foreseeable future. This amounts to a tax expense of EUR 5,925 thousand (2019: income of EUR 630 thousand).

Other comprehensive income includes deferred tax income amounting to EUR 1,008 thousand (2019: expenses of EUR 3,247 thousand). As in the prior year, this amount in the fiscal year 2020 is calculated from the recognition of actuarial gains and losses from provisions for pensions in equity.

Deferred tax assets and liabilities are presented on a net basis if they pertain to the same taxable entity and the same taxation authority. Deferred taxes in the consolidated statement of financial position are related to the following items:

(in EUR thousand)

	2020		2019	
	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
Provisions and other liabilities	27,624	(2,623)	21,701	(655)
Unused tax losses	51,078	0	7,578	0
Inventory measurement	38,108	(5,129)	29,580	(5,334)
Recognition and measurement of non-current assets	49,778	(25,514)	35,706	(11,658)
Receivables measurement	4,095	(86)	3,960	(165)
Financial liabilities and financial assets	22,425	(34)	12,082	(6)
Retained earnings of subsidiaries	0	(3,976)	0	(3,988)
Other differences in recognition and measurement	8,197	(5,272)	5,817	(7,958)
Net amount	201,305	(42,634)	116,424	(29,764)
Netting	(30,093)	30,093	(18,500)	18,500
Total	171,212	(12,541)	97,924	(11,264)

Of the deferred tax assets, EUR 87,357 thousand (2019: EUR 60,465 thousand) are non-current, while EUR 29,400 thousand (2019: EUR 15,837 thousand) of the deferred tax liabilities are non-current.

Deferred taxes on IFRS 16 balance sheet items were reported on a net basis. The deferred tax asset on lease liabilities amounts to EUR 171,376 thousand (2019: 176,305 thousand); the deferred tax liability on rights-of-use assets amounts to EUR 149,804 thousand (2019: 164,708 thousand). After netting, there is a deferred tax claim of EUR 21,572 thousand (2019: 11,597 thousand), which is reported under financial liabilities.

Distributable profits at foreign subsidiaries are to be paid out in the coming years, partly to Germany. The tax expense attributable to the distribution to Germany amounting to EUR 1,087 thousand (2019: EUR 1,087 thousand) was recognized as a deferred tax liability. In addition, deferred taxes were recognized for distributable profits from subsidiaries paid out to other subsidiaries to the extent that withholding tax is payable on future dividends. For these withholding tax charges, deferred tax liabilities of EUR 2,889 thousand (2019: EUR 2,901 thousand) were recognized.

Further deferred tax liabilities were not recognized due to differences between their respective net assets and tax part carrying amount at subsidiaries amounting to EUR 170,982 thousand (2019: EUR 327,715 thousand), as the present intention is to permanently reinvest these profits. If the profits were to be distributed in Germany, 5% would be subject to taxation in Germany or possibly trigger withholding tax in other countries. Distributions thus as a rule lead to an added tax expense. Estimation of unrecognized deferred tax liabilities on undistributed profits would require an unreasonable effort.

Deferred tax assets on losses carried forward and allowable temporary differences were included insofar as deferred tax liabilities exist or the corporate planning yields a profit in subsequent years. The recoverability assessment is based on detailed planning of operational results for the next year for all units of the Group, which is prepared annually in the Company-wide budget planning process and approved by the Supervisory Board. The assessment takes into account management's assumptions on the expected recovery of the Group's own retail stores from the effects of COVID-19. Concerning the global apparel industry, experts anticipate that the recovery to pre-pandemic sales and earnings levels will be reached by fiscal year 2023. As of the reporting date, deferred tax assets amounting to EUR 125,526 thousand (2019: EUR 24,165 thousand) were accounted for at Group companies that made losses in the reporting period or prior period.

Unused income tax losses pertain to domestic and foreign Group companies and break down as follows:

(in EUR thousand)

	2020	2019
Expiry within		
1 year	708	4,475
2 years	301	648
3 years	4,841	1,998
4 years	2,424	356
5 years	3,506	2,375
After 5 years	72,815	13,498
Unlimited carryforward	187,736	61,943
Total	272,331	85,293

As in prior fiscal years, a corresponding deferred tax asset of EUR 51,078 thousand was recognized on unused tax losses as of December 31, 2020 (2019: EUR 7,578 thousand were recognized). In the fiscal year 2020, no deferred taxes were recognized for losses carried forward of EUR 65,055 thousand (2019: EUR 53,767 thousand). Of this, EUR 375 thousand (2019: EUR 303 thousand) expires in 2021, EUR 167 thousand (2019: EUR 1,271 thousand) in 2022, EUR 4,841 thousand (2019: 356 thousand) in 2023, EUR 637 thousand (2019: EUR 720 thousand) in 2024, EUR 2,199 thousand in 2025, EUR 13,181 thousand (2019: EUR 420 thousand) in over five years and EUR 43,655 thousand (2019: EUR 49,689 thousand) can be carried forward indefinitely.

Judgments that deferred tax assets are recognized on unused tax losses were made to the extent that it is probable that taxable profits will be available in the future against which the unused tax losses can be utilized. The probability of the future usability is assessed taking into account various factors, such as future taxable results in the planning periods, past results and measures already taken to increase profitability as well as available tax planning strategies. HUGO BOSS applies a forecast period of a maximum of five years for this purpose. Actual figures may differ from the estimates.

The income tax receivables relate mainly to tax advance payments and reimbursement claims. These are based on reasonable estimates to the extent that reimbursement by the financial administration office is judged to be largely probable on the basis of relevant case law. This assessment also takes into account the estimates of local external experts.

Since 2017, an external tax audit is ongoing at HUGO BOSS AG for the 2012–2015 assessment periods. Based on the information available to date, the Company has identified possible tax risks from balance sheet and off-balance sheet items, as well as structural changes. The external tax audit has completed the audit procedures during the course of preparing these financial statements. As a result, voluntary tax remittances and additional provisions (including interest) were additionally recorded.

6 | Earnings per share

There were no shares outstanding that could have diluted earnings per share as of December 31, 2020, or December 31, 2019.

(in EUR thousand)

	2020	2019
Net income attributable to equity holders of the parent company	(219,593)	205,113
Average number of shares outstanding ¹	69,016,167	69,016,167
Earnings per share (EPS) in EUR ²	(3.18)	2.97

¹ Not including own shares.

² Basic and diluted earnings per share.

7 | Additional disclosures to the consolidated income statement

Personnel expenses

(in EUR thousand)

	2020	2019
Cost of sales	76,896	87,126
Selling and distribution expenses	319,549	373,837
Administration expenses	173,476	178,932
Total	569,921	639,895

Personnel costs include income from state subsidies. These mainly originate from employment-related benefit initiatives put in place by various governments across the globe as a result of COVID-19 and amount to EUR 25,071 thousand.

(in EUR thousand)

	2020	2019
Wages and salaries	479,938	541,061
Social security	84,787	94,406
Expenses and income for retirement and other employee benefits	5,196	4,428
Total	569,921	639,895

The average headcount for the year was as follows:

Employees

	2020	2019
Industrial employees	4,639	5,012
Commercial and administrative employees	11,619	12,032
Total	16,258	17,044

Ordinary depreciation

(in EUR thousand)

	2020	2019
Cost of sales	5,907	6,013
Selling and distribution expenses	308,370	308,254
Administration expenses	40,983	38,071
Total	355,260	352,338

Impairments

(in EUR thousand)

	2020	2019
Directly operated stores	57,283	10,836
Intangible assets incl. Goodwill	4,684	0
Right-of-use assets	48,102	1,063
Total	110,069	11,899

Notes to the Consolidated Statement of Financial Position

8|Intangible assets and property, plant and equipment

(in EUR thousand)

	Gross value Jan. 1	Change in the basis of consolidation	Currency differences	Additions	Disposals	Transfers	Gross value Dec. 31	Accumulated amortization, depreciation and impair- ment Jan. 1	Change in the basis of consolidation	Currency differences	Depreciation	Impairment	Write-up	Disposals	Transfers	Accumulated amortization, depreciation and impair- ment Dec. 31	Net value Dec. 31
2020																	
Software, licenses and other rights	288,992	0	(1,440)	19,444	(2,362)	0	304,634	184,327	0	(1,145)	23,847	203	0	(2,251)	0	204,981	99,653
Brand rights	14,992	0	0	0	0	0	14,992	0	0	0	0	0	0	0	0	0	14,992
Goodwill	58,373	4,873	(1,532)	0	0	0	61,714	1,522	0	85	0	4,480	0	0	0	6,087	55,627
Intangible Assets	362,357	4,873	(2,972)	19,444	(2,362)	0	381,340	185,849	0	(1,060)	23,847	4,683	0	(2,251)	0	211,068	170,272
Lands and buildings	282,230	764	(1,182)	362	(22,961)	(637)	258,576	102,440	0	(861)	9,634	0	0	(22,758)	(1,628)	86,827	171,749
Technical equipment and machinery	119,714	105	(301)	1,626	(1,574)	337	119,907	68,245	29	(261)	7,430	0	0	(1,505)	0	73,938	45,969
Other equipment, operating and office equipment	907,596	6,514	(35,340)	52,396	(60,247)	4,080	874,999	635,976	2,144	(26,148)	85,488	57,283	0	(59,172)	0	695,571	179,428
Construction in progress	13,892	3	(409)	5,568	(4,033)	(4,620)	10,401	3	0	0	0	0	0	0	0	3	10,398
Property, plant and equipment	1,323,432	7,386	(37,232)	59,952	(88,815)	(840)	1,263,883	806,664	2,173	(27,270)	102,553	57,283	0	(83,435)	(1,628)	856,340	407,543
Total	1,685,789	12,259	(40,204)	79,396	(91,177)	(840)	1,645,223	992,513	2,173	(28,330)	126,400	61,966	0	(85,686)	(1,628)	1,067,408	577,815
2019																	
Software, licenses and other rights	263,448	524	600	29,988	(5,591)	23	288,992	167,516	0	2,254	20,128	0	0	(5,571)	0	184,327	104,665
Brand rights	14,992	0	0	0	0	0	14,992	0	0	0	0	0	0	0	0	0	14,992
Goodwill	57,804	0	398	171	0	0	58,373	1,519	0	3	0	0	0	0	0	1,522	56,851
Intangible Assets¹	336,244	524	998	30,159	(5,591)	23	362,357	169,035	0	2,257	20,128	0	0	(5,571)	0	185,849	176,508
Lands and buildings	196,134	49,665	2,033	44,774	(11,355)	979	282,230	102,385	0	1,157	9,513	0	0	(10,615)	0	102,440	179,790
Technical equipment and machinery	80,165	33,719	176	6,559	(2,247)	1,342	119,714	65,291	0	159	5,013	0	0	(2,218)	0	68,245	51,469
Other equipment, operating and office equipment	840,598	266	12,670	100,487	(72,671)	26,246	907,596	600,858	0	8,860	87,632	10,836	(300)	(71,910)	0	635,976	271,620
Construction in progress	34,681	0	46	7,772	(17)	(28,590)	13,892	3	0	0	0	0	0	0	0	3	13,889
Property, plant and equipment	1,151,578	83,650	14,925	159,592	(86,290)	(23)	1,323,432	768,537	0	10,176	102,158	10,836	(300)	(84,743)	0	806,664	516,768
Total	1,487,822	84,174	15,923	189,751	(91,881)	0	1,685,789	937,572	0	12,433	122,286	10,836	(300)	(90,314)	0	992,513	693,276

¹ Amounts shown differ from those reported in the previous year due to reclassifications.

Software, licenses and other rights

For the Group-wide ERP system consisting of the industry solutions SAP AFS and SAP Retail, intangible assets with acquisition costs of EUR 84,999 thousand (2019: EUR 85,096 thousand), were capitalized, of which EUR 74,819 thousand (2019: EUR 72,270 thousand) had already been amortized as of the reporting date. The remaining amortization period is 3.1 years (2019: 4.2 years). In addition to the software described, other software licenses are included in the amount of EUR 83,836 thousand (2019: EUR 85,229 thousand), the remaining amortization period of which is 4.2 years (2019: 4.8 years). The average useful life of software and licenses is in between 3 to 7 years.

In addition, the line item "Software, licenses and other rights" contains intangible assets from purchase price allocations. Among others, business licenses and repurchased franchise rights with a useful life of 1 to 10 years were included.

Brand rights

The reported brand rights amounting to EUR 14,992 thousand (2019: EUR 14,992 thousand), which are primarily attributable to the brand rights acquired for the use of the brand names BOSS, HUGO and HUGO BOSS in the United States, are classified as assets with infinite useful lives. The infinite useful life stems from the estimate of an indefinite use of the registered brand name.

Property, plant and equipment

Land charges in connection with land and buildings amounting to EUR 131,537 thousand (2019: EUR 135,419 thousand) are attributable to the acquisition of the shares in Distributionszentrum Vermietungsgesellschaft mbH & Co. Objekt HUGO BOSS Filderstadt KG.

Impairment losses of EUR 57,283 thousand (2019: EUR 10,836 thousand) were recognized on property, plant and equipment, which mainly relate to property, plant and equipment for individual Group-owned retail stores. Impairment losses on property, plant and equipment were recognized in full in selling and distribution expenses.

In terms of property, plant and equipment, buildings are generally amortized over a useful life of 30 years, technical facilities and machines over a useful life of 5 to 19 years, and other facilities and operating and office equipment over 2 to 15 years.

Purchase obligations

In addition, there are purchase obligations for investments amounting to EUR 1,802 thousand (2019: EUR 401 thousand). Of this amount, EUR 1,731 thousand (2019: EUR 104 thousand) is attributable to property, plant and equipment and EUR 71 thousand to intangible assets (2019: EUR 297 thousand). The obligations as of December 31, 2020, are due for settlement within one year.

Acquisition of a group of assets

In fiscal year 2019, HUGO BOSS AG made a severance payment in the amount of EUR 4,300 thousand to the general partner of Distribution Center Vermietungsgesellschaft mbH & Co. object HUGO BOSS Filderstadt KG. As a result, all shares were transferred to HUGO BOSS AG after the general partner resigned. The Distributionszentrum Vermietungsgesellschaft mbH & Co. Objekt HUGO BOSS Filderstadt KG was thus transferred to HUGO BOSS AG.

This transaction does not constitute an acquisition of a business as defined by IFRS 3, but rather the acquisition of a group of assets. As part of the acquisition process, all assets and liabilities were therefore measured on the basis of the respective accounting standard. The difference between the total purchase price and the fair values of the assets and liabilities was allocated on the basis of the relative fair values. This led to an addition of intangible assets of EUR 500 thousand and property, plant and equipment of EUR 83,659 thousand.

9 | Leases

HUGO BOSS has entered into a significant number of leases for the rental of retail stores, office and warehouse space with an average remaining term of five years. Some of the agreements include purchase and renewal options. The Group exercises judgments to the effect that, in addition to the basic rental period, extension options are included when determining the contract term if the extension has already been finally negotiated with the landlord and signed by both sides. Reasonably certainty is therefore only available once the contract has been signed. For leases of low-value assets and for short-term lease liabilities, the option of immediate expense recognition was exercised. Similarly, leases with variable rentals for which no minimum rent is contractually fixed are expensed immediately. Accordingly, the right-of-use asset and lease liability for these leases are not recognized.

The effects of all HUGO BOSS leases on the balance sheet, the income statement and the consolidated statement of cash flows as at December 31, 2020, are presented below:

Leases in the balance sheet

Additions, depreciation and changes in the right-of-use assets of lease objects are divided as follows between the assets underlying the leases as at December 31, 2020:

(in EUR thousand)

	Stores	Warehouse	Offices and others	Total
Carrying amount as of January 1, 2020	781,015	34,296	83,056	898,367
Change in the basis of consolidation	17,498	0	0	17,498
Additions	167,022	5,154	9,000	181,176
Depreciation	(208,023)	(6,070)	(14,767)	(228,860)
Impairment	(48,098)	(4)	0	(48,102)
Disposal	(34,872)	(1,065)	(194)	(36,131)
Transfers	0	(789)	0	(789)
FX differences	(33,663)	(1,478)	(3,580)	(38,721)
Carrying amount as of December 31, 2020	640,879	30,044	73,515	744,438
Carrying amount as of January 1, 2019¹	832,037	86,237	90,095	1,008,369
Additions	141,604	6,330	9,728	157,662
Depreciation	(205,129)	(6,771)	(18,152)	(230,052)
Impairment	(1,063)	0	0	(1,063)
Write-up	1,976	0	0	1,976
Disposal	(2,980)	(53,010)	(193)	(56,183)
FX differences	14,570	1,510	1,578	17,658
Carrying amount as of December 31, 2019	781,015	34,296	83,056	898,367

¹ Amounts shown differ from those reported in the previous year due to reclassifications.

Maturity analysis of lease liabilities

The following table shows the breakdown of lease liabilities according to their maturities:

(in EUR thousand)	
	Discounted
Due within one year	212,876
Due between one and five years	462,187
Due after five years	187,213
Total	862,276

The amounts included in the income statement and the consolidated statement of cash flows as of December 31, 2020, applicable to the leases are shown in the following tables:

Leases in the income statement

(in EUR thousand)		
	2020	2019
Depreciation right-of-use assets ¹	(228,860)	(230,052)
Impairment of right-of-use assets ¹	(48,102)	(1,063)
Net income from disposal of RoU Assets	4,577	281
Interest expenses for lease liabilities	(20,615)	(22,222)
Income/expenses from foreign exchange differences on lease liabilities	(2,950)	9
Expenses from variable lease payments	(96,393)	(132,992)
Expenses for short-term leases	(1,896)	(2,578)
Expenses for leases of low-value assets	(4,290)	(4,641)
Income from subleases	2,200	1,397
Lease expenses for software	(15,542)	(15,764)
Other expenses (service costs)	(31,520)	(34,046)
Total expenses from lease agreements	(443,391)	(441,671)

¹ Amounts shown differ from those reported in the previous year due to reclassifications.

Leases in the consolidated statement of cash flows

(in EUR thousand)		
	2020	2019
Interest paid on lease liabilities	(20,615)	(22,222)
Repayment of lease liabilities	(187,466)	(227,394)
Variable lease payments	(96,393)	(132,992)
Payments for short-term leases	(1,896)	(2,578)
Payments for operating leases of low-value assets	(4,290)	(4,641)
Payments received from subleases	2,200	1,397
Payments for software	(15,542)	(15,764)
Other payments	(31,520)	(34,046)
Total cash outflows for leases	(355,522)	(438,240)

Material future non-recognized lease payments with maturities

The following future lease payments are not included in the valuation of lease liabilities as a result of IFRS 16 regulations:

(in EUR thousand)

	Due 2021	Due 2022–2025	Due after 2025	Total
Variable lease payments	150,819	626,239	494,771	1,271,829
Payments from uncertain termination options	693	11,204	12,293	24,190
Payments from uncertain extension options	5,443	141,703	149,025	296,171
Total lease payments	156,955	779,146	656,089	1,592,190

In addition, payments from short-term leases, leases for software and for low-value assets are expected, although these are immaterial from the perspective of the HUGO BOSS Group.

The determination of future off-balance sheet lease payments is based on management assumptions regarding the term of the leases and the amount of the lease payment. In determining future lease payments, HUGO BOSS assumes the remaining term of the original lease plus the one-time exercise of renewal options, which are not yet sufficiently certain based on current knowledge. The future variable lease payments are derived on the basis of the sales planned for DOS and outlets bottom-up for 2021 and projected using a like-for-like growth rate. Future payments from uncertain renewal options take into account all contracts with renewal options existing as of December 31, 2020, and are based on the assumption of constant future rental payments.

In the course of the COVID-19 pandemic, all lease concessions which met the requirements of the IASB “COVID-19-Related Rent Concessions – Amendment to IFRS 16 Leases” were treated not as lease modifications but as a negative variable lease payment. The amount recognized in the income statement for the consideration of rental concessions as a result of the COVID-19 pandemic amounts to EUR 25,321 thousand for the fiscal year 2020. As of the reporting date, there were also EUR 23,264 thousand in rent deferrals.

10 | Impairment testing

An impairment test must be carried out for all assets within the scope of application of IAS 36, if there is any evidence of impairment (“triggering events”) as of the reporting date. Regardless of the existence of any triggering events, intangible assets with infinite useful lives and goodwill are tested annually.

As a result of the global spread of COVID-19 and its significant impact on the business development of HUGO BOSS, indications of impairment for non-current assets (property, plant and equipment, rights of use, intangible assets including brand rights and goodwill) were already apparent in the first half of the year. Based on this triggering event, impairment tests were carried out on reporting date at the level of individual assets and cash-generating units (CGU). In order to determine the recoverable amount, the cash flows were derived on the basis of updated financial forecasts, assumptions and estimates.

Systematically depreciated property, plant and equipment and amortized right-of-use assets at the level of the Group's own retail stores

At HUGO BOSS, the Group's own retail stores (DOS) have been identified as a CGU, i.e. the smallest group of assets that can independently generate cash flows.

The recoverable amount of the DOS is determined by calculating the value in use on the basis of discounted cash flow models. The approved budget for the DOS by the Management and Supervisory Board are used for calculating the value in use at reporting date. Furthermore, the gross profit margin of the upstream entities and the corporate assets at the level of the subsidiary and at the level of the DOS were taken into consideration. The forecast period is derived on the expected useful lives for all DOS and is reassessed annually. After the bottom-up budget, the values for the remaining useful lives are determined based on sales and cost developments specific to each country and CGU. The growth rates used are based on management's assumptions regarding the expected recovery of business development for the DOS from the effects of COVID, coupled with considering the expected nominal growth in each respective market. Low single-digits to high single-digit growth rates were thus determined for all DOS. At the end of the residual useful life, it is assumed that the respective DOS is wound up and that the operating assets are sold. In calculating the value in use of the DOS, the cash flows were discounted using a weighted average cost of capital of between 4.6% and 18.3% (2019: between 4.2% and 19.5%). This was based on a risk-free interest rate with an equivalent term of (0.6)% (2019: (0.7)%) and a market risk premium of 7% (2019: 6.5%). If an impairment loss is recognized, it is allocated proportionally to the non-current assets of the CGU. If the carrying amount of assets of the DOS exceeds the determined value in use, the fair value is also determined separately. In addition, no asset may be recognized at less than its fair value. Accordingly, the fair value of the right of use asset is determined separately. Where available, information from actual lease extensions or new leases for comparable own retail stores is used to derive the market rent and thus the fair value. If no internal data is available for comparable properties then the market rent is derived with the help of assessments by external real estate specialists using properties in comparable locations. If the terms on which the lease was concluded correspond to the current market terms derived from actual lease agreements or assessments of external real estate specialists, it is assumed that the right of use is the recoverable value. If the fair value exceeds the calculated value in use, the impairment loss resulting from the calculation of the value in use of the CGU is allocated to the other non-current assets of the CGU.

In the past fiscal year, the impairment tests of DOS resulted in impairments of non-current assets amounting to EUR 105,969 thousand (2019: EUR 10,348 thousand), which were recognized in profit or loss under "Sales and marketing expenses". Of this amount, EUR 57,283 thousand related to property, plant and equipment as well as EUR 48,102 thousand to rights of use assets. The impairment losses are attributable to all regions.

Goodwill and intangible assets with infinite useful life

The assessment of impairment is based on detailed planning of results of operations, of the statement of financial position and of investments for the next year for all units of the Group, which is prepared annually in the Company-wide budget planning process and approved by the Supervisory Board, taking account of the current business situation. For periods beyond the budget's planning horizon, a yearly growth rate is set to project future cash flows in the detailed planning period of four additional years. The growth rates used are based on management's assumptions regarding the expected recovery of business development for the DOS from the effects of COVID-19, coupled with considering external information. Investment and trade net working capital planning is based on budget planning data and is updated on assumptions and estimates made by management. The cost of capital for HUGO BOSS, determined using an after-tax WACC model that discounts all forecast cash flows in the local currency, factors in both general market and country-specific risk premiums (sovereign risk premiums) as well as a currency risk premiums (inflation risk premiums). The after-tax cost of capital rate used as of December 31, 2019, is based on a risk-free interest rate of 0.0% (2019: 0.1%) and a market risk mark-up of 7% (2019: 6.5%).

The following table presents the carrying amounts as well as the main assumptions underlying the calculation of the value in use or fair value less costs to sell off the goodwill and intangible assets with infinite useful lives assigned to each group of CGUs. The goodwill created in previous fiscal years as a result of the takeover of the monobrand stores of former franchise partners is allocated to the relevant sales units (groups of CGUs). Production units will continue to be regarded as corporate assets. The corporate assets are taken into account in the impairment tests of the units. The intangible assets with infinite useful lives are pooled at the level of the respective country. The impairment test for brand rights for the use of brand names in the USA and Italy is performed at the country level.

(in EUR thousand)

	Carrying amount		Assumptions	
	Goodwill	Intangible assets with indefinite useful life	WACC	Long-term growth rate
2020				
DOS within the sales unit France	1,758	0	6.1%	3.0%
Sales unit Macau	5,883	0	6.7%	3.0%
Sales unit Australia	4,172	0	7.2%	3.0%
Sales unit South Korea	7,255	0	6.7%	3.0%
Sales unit China	8,836	0	9.4%	3.0%
Sales unit USA & Canada	2,903	13,615	5.9%	3.0%
Sales unit Italy	436	1,377	7.6%	3.0%
Sales unit Dubai	10,733	0	8.5%	3.0%
Other sales units	13,651			
Total	55,627	14,992	5.9–9.4%	3.0%
2019				
DOS within the sales unit France	1,476	0	5.5%	3.3%
Sales unit Macau	6,373	0	5.9%	3.1%
Sales unit Australia	8,336	0	6.9%	3.0%
Sales unit South Korea	7,471	0	6.6%	3.5%
Sales unit China	9,058	0	8.3%	3.5%
Sales unit U.S.A. & Canada	3,288	13,615	7.1%	3.0%
Sales unit Italy	436	1,377	7.1%	2.2%
Sales unit Dubai	6,342	0	8.6%	3.0%
Other sales units ¹	14,071			
Total	56,851	14,992	5.5–8.6%	2.2–3.5%

¹ Other sales units adjusted compared to the previous year.

The recoverable amount of the respective group of CGUs is derived from the value in use determined using forecast cash flow based on medium-term financial budgets approved by Management. Restructuring measures which the Group has not yet committed to and investments to enhance the earnings power of the group of CGUs tested that is not allocable to current business operations are not taken into account. After the detailed planning phase, country-specific sales growth rates derived from normal retail growth are used.

In 2020, there was an impairment loss of EUR 4,100 thousand on the goodwill of the sales unit in Australia, which was recognized in profit or loss under "Sales and marketing expenses". No impairment loss was recognized for other goodwill in fiscal year 2020.

The recoverable amount of brand rights with an indefinite life is determined on the basis of the value in use at the level of the respective CGU in addition to their fair value less costs to sell and classified at level 3 of the fair value hierarchy pursuant to IFRS 13. This is based on a sales forecast for the respective market approved by management as part of the budget process. Country-specific sales growth rates are also used. After the five-year detailed planning phase, planned sales are extrapolated using a long-term nominal retail growth rate for each of the respective markets.

No impairment losses were recognized on the brand rights with indefinite useful lives in fiscal years 2020 and 2019.

Key assumptions used to calculate the value in use and fair value less costs to sell

The following key assumptions, estimation uncertainties and judgments by Management underlie the calculation of the value in use and fair value less costs to sell off the aforementioned assets:

- Pace and intensity of the recovery of the upper premium segment of the apparel industry from the impact of the COVID-19 pandemic (i.e. recovery curve)
- Sustainable nominal retail growth
- Market rent levels
- Discount rates
- Expected useful life of DOS

Estimation of recovery curve – the recovery curve assumptions are based on external studies on the recovery of the global apparel industry from the impact of the COVID-19 pandemic and were used in particular to derive country-specific growth rates for the years 2021 to 2023.

Estimation of growth rates – Growth rates are generally derived from published industry-related market research based on country-specific nominal retail growth. These growth rates were implemented in the calculation of the value in use, particularly, after the detailed planning phase from 2024 onwards, and in the perpetual annuity.

Estimation of market rent values – both internal and external lease data for comparable properties are used to derive the fair value of the rights of use.

Discount rates – The discount rates reflect current market assessments of the risks specific to each CGU. This takes into account the interest effect and the risks specific to the assets.

Useful life of DOS – The forecast period is based on the average remaining terms of the lease agreements, which are determined and reviewed on an annual basis.

Sensitivity to changes in assumptions

Although considerable efforts have been made in deriving of estimates and assumptions relating in particular to the economic consequences of COVID-19, actual results may differ, especially taking into account the persisting significant uncertainties associated with COVID-19. Changes in the assumptions made may therefore lead to further impairment losses or reversals of impairment losses in the future.

The assumption made by management regarding the recovery curve is the key factor in the derivation of cash flows. It is assumed that the first half of 2021 in particular will still be significantly impacted by the negative impact of the pandemic. In this context, industry sales in brick-and-mortar retail in the first half of the year are likely to suffer from the lockdowns imposed in many key markets and the associated store closures. In addition, the persistently weak consumer confidence and ongoing international travel restrictions are expected to weigh significantly on global industry sales, particularly in the first half of the year. For the second half of the year, a gradual recovery in consumer confidence as well as a recovery in global tourism is expected, under the assumption of comprehensive vaccine availability in industrialized countries and key emerging markets by the summer of 2021. For the global apparel industry, industry experts expect that sales and earnings can reach pre-pandemic levels by 2023. However, there is considerable uncertainty regarding the assumptions on the development of the global economy and the recovery of the industry. For example, it is currently difficult to predict to what extent the further development of the pandemic – for example with regard to new waves of infections and lockdowns, or possible mutations of the virus – will ultimately affect the global economy over the course of the year. In addition, it is extremely difficult to forecast any progress in the medical treatment of COVID-19, the global availability and efficacy of the vaccines, any improvement in consumer confidence or potential financial market tension and the respective impacts of these factors on the expected economic recovery.

When testing the right-of-use assets for impairment, assumptions are made for the market rent levels of the rights of use on the basis of internal and external input factors. However, due to the current high level of uncertainty regarding the further course of the pandemic, these may also be subject to fluctuations and thus affect the amount of impairment losses recognized for the rights of use.

Therefore, management has identified possible sensitivities with respect to these two critical valuation parameters.

With regard to the recovery curve, management believes that a slower recovery in sales revenue is possible in 2021 and has reduced the growth rates per quarter by 10% in the forecast analysis. However, it is still assumed that, in accordance with the assumptions of industry experts, pre-pandemic levels can be reached again by 2023 for groups own retail business. A reduction of the growth rates in the individual quarters of 2021 by 10% each would result in an additional impairment requirement on the non-current assets of DOS of EUR 8,008 thousand.

With regard to the market rent level, management assumes that an adjustment of the market conditions both downwards and upwards in the amount of 5% each is feasible. In the event of a reduction in the average market rental level by 5%, additional impairment losses on rights of use amounting to EUR 6,671 thousand would arise. An increase in the market rent level by 5% would result in reversals of impairment losses in the amount of EUR 7,635 thousand.

As of December 31, 2020, to verify the values in use for all items of goodwill, sensitivities for critical valuation parameters such as the discount rates as well as the growth rates used to derive the cash flow forecasts. The Management of HUGO BOSS considers it possible a reduction in sales development in 2021 and an average relative increase in the discount rate of 10.0% each. Furthermore, for the groups of CGUs to which goodwill is allocated, a 15.0% decrease in the relative sales growth rates underlying the extrapolation of forecast cash flows after the detailed planning phase is deemed possible.

In the case of a 10.0% increase in the discount rate, the values in use of all items of goodwill would exceed their carrying amounts as in the prior year.

In the event of a 10.0% reduction in sales growth in 2021, the values in use of all items of goodwill, with the exception of the CGU in Australia, would exceed the respective carrying amounts, as in the previous year. In the case of the goodwill for the CGU in Australia, the reduction in the growth rate by 10% would result in an impairment loss of EUR 4,172 thousand, assuming that costs remain unchanged.

In the event of a 15.0% reduction in the growth rate of sales used to extrapolate the forecast cash flow after the detailed planning period, the values in use of all items of goodwill would exceed their carrying amounts as in the prior year.

11 | Financial and other assets

(in EUR thousand)

	2020			2019		
		Thereof current	Thereof non-current		Thereof current	Thereof non-current
Financial assets	42,183	20,717	21,466	49,586	32,341	17,245
Tax refund claims and prepayments	12,860	12,860	0	18,098	18,098	0
Other assets	87,753	87,125	628	107,223	105,103	2,120
Other financial assets	10	0	10	4,273	0	4,273
Total	142,806	120,702	22,104	179,180	155,542	23,638

Financial assets include positive market values of currency hedges amounting to EUR 953 thousand (2019: EUR 1,828 thousand) as well as rent deposits for the Group's own retail stores of EUR 12,082 thousand (2019: EUR 10,923 thousand). Financial assets also include receivables from credit card companies amounting to EUR 13,483 thousand (2019: EUR 23,587 thousand).

The tax refund claims and tax prepayments are mostly VAT receivables.

Other assets mainly include prepayments for service agreements in the amount of EUR 19,384 thousand (2019: EUR 18,576 thousand), reimbursement claims from returns in the amount of EUR 29,803 thousand (2019: EUR 18,007 thousand) and receivables from supplier arrangements in the amount of EUR 1,008 thousand (2019: EUR 17,746 thousand). No impairment losses were recognized on other assets in fiscal year 2020.

Also included in other financial assets are interests in entities under joint control accounted for using the equity method. The carrying amount of shares in the property companies whose activities consist of the leasing of buildings and associated properties remains unchanged at EUR 10 thousand. The maximum default risk is equal to this capital contribution. Moreover, as of December 31, 2019 the carrying amount of the shares of HUGO BOSS AL FUTTAIM UAE TRADING L.L.C. amounted to EUR 4,263 thousand. With effect from January 1, 2020, HUGO BOSS AL FUTTAIM UAE TRADING L.L.C., Dubai, U. A. E. was fully consolidated.

The following is a summary of financial information for entities under joint control accounted for using the equity method. The information contained therein relates to 100% of the jointly controlled entities and not to the Group's share of those associates:

(in EUR thousand)

	2020 ¹	2019
Non-current assets	22,240	47,066
Current assets	114	11,085
Liabilities	23,405	47,144
Sales	1,725	42,700
Depreciation and amortization	(1,077)	(7,536)
Other interest and similar income	0	1
Interest and similar expenses	(525)	(1,033)
Net profit (loss)	(14)	5,720

¹ The financial information is based on the financial statements prepared in accordance with local law and the preliminary unaudited financial statements as of December 31, 2020. In the previous year HUGO BOSS AL FUTTAIM UAE TRADING L.L.C., Dubai, U. A. E. was included.

12 | Inventories

(in EUR thousand)

	2020	2019
Finished goods and merchandise	581,227	577,466
Raw materials and supplies	31,998	42,931
Work in progress	5,233	6,117
Total	618,458	626,514

The carrying amount of inventories carried at net realizable value is EUR 148,871 thousand (2019: EUR 86,252 thousand). In fiscal year 2020, impairment losses of EUR 94,937 thousand (2019: EUR 8,372 thousand) were recognized particularly on finished goods and raw materials. This was counterbalanced by reversals of impairment losses of EUR 35,665 thousand (2019: EUR 6,495 thousand), as previously impaired inventories of finished goods and raw materials could still be sold. Impairment losses on inventories and the reversal of write-downs resulted in net expenses of EUR 59,272 thousand (2019: net income of EUR 1,876 thousand). This is included in the cost of sales.

In the course of the COVID-19 pandemic and the associated temporary store closures, inventory risks have arisen because merchandise is being stored for a longer period of time, which may be accompanied by a potential reduction in its marketability. According to the principle of net realizable value, impairments on inventories have been recognized accordingly and monitored on a monthly basis. As part of the process, system-based analyses of movement rate, range of coverage and net realizable value were applied in a uniform manner across the Group. This led to an increase in the depreciation rate on inventories in the Group.

13 | Trade receivables

(in EUR thousand)

	2020	2019
Trade receivables, gross	189,799	225,826
Accumulated allowance	(17,798)	(9,604)
Trade receivables, net	172,001	216,222

As at December 31, 2020, the aging analysis of trade receivables is as follows:

(in EUR thousand)

	2020	2019
Trade receivables, net	172,001	216,222
Thereof neither overdue nor impaired	138,195	193,035
Thereof overdue, but not impaired	22,411	20,109
≤ 30 days	17,270	15,578
31 to 60 days	2,916	2,414
61 to 90 days	2,225	2,117
91 to 120 days	0	0
121 to 180 days	0	0
181 to 360 days	0	0
> 360 days	0	0
Thereof: overdue and impaired	11,395	3,078

Trade receivables are non-interest-bearing and are generally due between 30 and 90 days. Valuation allowances on doubtful debts developed as follows:

(in EUR thousand)

	2020	2019
Allowances for doubtful accounts as of January 1	9,604	11,655
Additions	11,894	5,489
Use	(1,104)	(2,133)
Release	(2,398)	(5,466)
Currency differences	(198)	59
Allowances for doubtful accounts as of December 31	17,798	9,604

Any expenses and income from allowances on trade receivables are reported under selling and distribution expenses.

Pursuant to the general terms and conditions for sales, ownership of the goods supplied is transferred to wholesale partners upon complete payment of all receivables. No collateral has been provided in the Group for individual receivables.

The recoverability of trade receivables is assessed in the first instance by valuing trade receivables that are not overdue using the expected default risk. In addition, the value of trade receivables is attributed on the basis of the estimated likelihood of default. The calculation of the potential receivable default risk is based on past, current and future default risks. In a second step, individual value adjustments of between 1% and 100% are made for due and non-due receivables, based on the age structure and the individual assessment of the recoverability of trade receivables. All subsidiaries of HUGO BOSS have to prepare an analysis of the aging structure of their trade receivables. This permits the recognition of risk-adjusted valuation allowances.

In the event of the deterioration of the financial position of wholesale customers and concession partners, the amounts actually derecognized can exceed the bad debt allowances already recognized, which can have an adverse impact on the results of operations. In order to limit the risk, the group-wide accounts receivable management follows uniform regulations, for example with regard to the credit check as well as the allocation and compliance with customer credit limits, the monitoring of the age structure of accounts receivable or the handling of doubtful accounts receivable. In individual cases, this can lead to deliveries to customers only after prepayment or even to the waiver of business with customers who are not classified as creditworthy.

As of December 31, 2020, receivables written-off in the amount of EUR 4,043 thousand (2019: EUR 2,445 thousand) were still subject to recovery measures.

The maximum credit risk from trade receivables corresponding to their gross value is EUR 189,799 thousand (2019: EUR 225,826 thousand) as of the reporting date.

14 | Cash and cash equivalents

(in EUR thousand)

	2020	2019
Balances with banks and other cash items	118,416	122,789
Cheques	1,499	692
Cash in hand	5,362	9,145
Total	125,277	132,626

15|Equity

Equity is made up of subscribed capital, own shares, capital reserve, retained earnings and accumulated other comprehensive income. Retained earnings contain profits that were generated in the past by the entities included in the consolidated financial statements and effects from the revaluation of pension provisions. Accumulated other comprehensive income contains the differences arising from translation outside profit and loss of the foreign currencies used for the financial statements of foreign subsidiaries as well as the effects of the measurement outside profit and loss of cash flow hedges after tax.

Subscribed capital

Capital Management

The fully paid in share capital of HUGO BOSS AG is unchanged and amounts to EUR 70,400 thousand as of December 31, 2019. It is made up of 70,400,000 no-par value ordinary shares. The shares have an imputed nominal value of EUR 1 each.

The Management Board of HUGO BOSS AG may with the Supervisory Board's consent increase the share capital by up to EUR 35,200 thousand until May 15, 2024, by issuing 35,200,000 new registered shares on a cash and/or non-cash basis once or repeatedly (authorized capital). In general, shareholders have a subscription right.

The primary objective of the capital management of HUGO BOSS is to secure sufficient financial headroom for value-adding investments, in order to ensure further growth and a sustainable increase in enterprise value.

The Group focuses on maximizing free cash flow over the long term in order to increase its enterprise value. Consistently generating positive free cash flow safeguards the Group's independence and liquidity at all times. Increasing sales and operating income (EBIT) are the main levers for improving free cash flow. In addition, strict management of trade net working capital and a value-oriented capital expenditure approach support the development of free cash flow. To maintain or adjust its capital structure, the Group may adjust the dividend payments to shareholders, return capital to shareholders or issue new shares.

The efficient use of capital and the capital structure are regularly monitored by way of a financial covenant – financial leverage, defined as the ratio of net financial liabilities to operating profit (EBITDA) – according to the regulations of the current syndicate loan agreement. The determination of financial leverage, originally specified in the syndicated loan agreement, and the level to be maintained, explicitly excludes the impact of any changes in accounting standards. Thus, it remains unaffected by the impact of IFRS 16, which has been applicable since 2019 – specifically, the impact of IFRS 16 on EBITDA. With regard to the COVID-19 pandemic, HUGO BOSS has agreed to a covenant suspension under the syndicated loan with its financing banks until June 30, 2021. As of the balance sheet date, under the original terms of the syndicated loan agreement, the covenant would have been breached. Due to the expected sales, earnings, and free cash flow development of the Group in 2021, management expects that the contractually agreed covenant will again be in the contractually agreed range of 0 to 3.5 from the second half of 2021 on.

(in EUR thousand)

	2020	2019
Liabilities due to banks	266,599	215,303
Cash and cash equivalents	(125,277)	(132,626)
Net financial liabilities	141,322	82,677
Operating profit (EBITDA excl. IFRS 16 impact)	(21,024)	466,524
Total leverage	(6.7)	0.2

Own Shares

The number of own shares amounts to 1,383,833 (2019: 1,383,833). The overall percentage amounts to 2.0% of subscribed capital (2019: 2.0%).

At the Annual Shareholder's Meeting on May 27, 2020, a resolution was passed authorizing the Managing Board to acquire the Company's own shares up to a total of 10% of the current share capital until May 26, 2025.

16|Dividend

In 2020, the dividend payment for fiscal year 2019 was suspended except for the legal minimum dividend of EUR 2,761 thousand in accordance with Section 254 (1) of the German Stock Corporation Act (AktG), in order to further secure financial stability and strengthen the internal financing capability of HUGO BOSS during the COVID-19 pandemic. This corresponded to a dividend payment of EUR 0.04 per share for fiscal year 2019 (2018: EUR 2.70 per share). The undistributed profit for financial year 2019 thus amounted to EUR 190,839 thousand.

The fiscal year 2020 of HUGO BOSS AG closed with a net loss of EUR 152,577 thousand (net income 2019: EUR 169,120 thousand). Retained earnings, including the undistributed profits carried forward from the previous year, amount to EUR 38,262 thousand. Due to the persisting high uncertainties in light of the COVID-19 pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to distribute only the legal minimum dividend of EUR 0.04 per share (2019: EUR 0.04 per share) for financial year 2020. This corresponds to an amount of EUR 2,761 thousand (2019: EUR 2,761 thousand). The retained earnings in the amount of EUR 35,501 thousand will be carried forward.

17|Provisions

(in EUR thousand)

	2020	2019
Provisions for pensions	54,342	50,982
Other non-current provisions	36,874	35,837
Non-current provisions	91,216	86,819
Current provisions	117,858	91,746
Total	209,074	178,565

Other provisions of EUR 154,732 thousand (2019: EUR 127,583 thousand) comprise current provisions of EUR 117,858 thousand (2019: EUR 91,746 thousand) and other non-current provisions of EUR 36,874 thousand (2019: EUR 35,837 thousand). The risk-free interest rates used to discount other non-current provisions range between 0.1% and 4.5% (2019: between 0.3% and 4.5%) depending on the term and currency zone in question. In fiscal year 2020, other provisions developed as follows:

(in EUR thousand)

	Balance on Jan. 1, 2020	Changes in currency and the consolidated group	Com- pounding	Addition	Use	Release	Balance on Dec. 31, 2020
Provisions for personnel expenses	61,300	(207)	47	52,150	(47,633)	(3,989)	61,668
Provisions for goods returned	24,264	(301)	0	36,584	(19,559)	(2,569)	38,419
Provisions for rebuild obligations	17,327	186	86	2,128	(935)	(307)	18,485
Costs of litigation, pending legal disputes	2,599	(285)	0	6,289	(1,806)	(150)	6,647
Other provisions	22,093	13	0	15,241	(5,968)	(1,866)	29,513
Total	127,583	(594)	133	112,392	(75,901)	(8,881)	154,732

Provisions for personnel expenses

The provisions for personnel expenses mainly concern the provisions for short and medium-term profit sharing and bonuses, severance payment claims, phased retirement arrangements and overtime.

It is expected that EUR 17,660 thousand (2019: EUR 17,481 thousand) of the personnel provisions will be paid out after more than twelve months.

Provisions for goods returned

Provisions for goods returned, which are largely expected to be completed within 12 months, are determined based on historical rates of goods returned. In light of COVID-19 pandemic, individual agreements related to returns were put in place to counteract the increased return rate, due to lock-downs.

Provisions for rebuild obligations

Non-current provisions for rebuild obligations relate to Group-operated retail stores, warehouses and office space used by the Group companies. They are recognized on the basis of the expected settlement amounts and the rental period agreed upon. Estimates are made in terms of the cost as well as the actual timing of the utilization.

Provisions for costs of litigation and pending legal disputes

The provisions for costs of litigation and pending legal disputes include various, individually immaterial ongoing litigations as well as litigation costs for the protection of brand rights. These provisions are classified as current.

Miscellaneous other provisions

Based on reasonable estimates, provisions are recognized for the potential ramifications of legal issues. Such assessment also takes into account the estimation of local, external experts such as lawyers and tax advisors. Any deviations between the original estimates and the actual outcome can impact the Group's net assets, financial position and results of operations in the given period.

18 | Share-based long-term compensation program

A large part of the long-term provisions for personnel expenses consists of the Long Term Incentive (LTI) Program implemented at the beginning of fiscal year 2016. This program serves as a long-term share-based compensation component for the Managing Board and eligible management staff of HUGO BOSS. As of December 31, 2020, there are four tranches in the LTI Program:

- 2017–2019 LTI Bonus Plan (issued on January 1, 2017)
- 2018–2020 LTI Bonus Plan (issued on January 1, 2018)
- 2019–2021 LTI-Bonus Plan (issued on January 1, 2019)
- 2020–2022 LTI-Bonus Plan (issued on January 1, 2020)

Each plan has a total duration of four years, which is split into a performance term of three years and a qualifying period of one year. The plan participant receives an individual number of virtual shares, the so-called “performance shares” (initial grant) at the beginning of the performance term, calculated as follows:

Individual LTI-budget in euros / average HUGO BOSS share price over the three months before the beginning of the performance term.

The number of the virtual shares issued as of December 31, 2020, and the remaining terms of each plan are displayed in the following table:

LTI Tranche	Number of virtual shares (Initial Grant)	Remaining terms
2017–2019	147,588	0 years
2018–2020	128,554	1 year
2019–2021	154,470	2 years
2020–2022	252,530	3 years

The final entitlement of the participants in the plan depends on the following components:

- (1) individual number of performance shares (initial grant)
- (2) degree of attainment of pre-defined targets (components): relative total shareholder return (RTSR); return on capital employed (ROCE); degree of employee satisfaction; score in the Dow Jones Sustainability Index (DJSI) during the performance term
- (3) average HUGO BOSS share price over the last three months of the waiting period.

A detailed explanation of the individual target components can be found in the management report on page 132 et seq.

The final entitlement is paid out in cash no later than six weeks after the resolution has been passed by the Management of HUGO BOSS regarding the confirmation of the annual financial statement for the corresponding fiscal years 2020, 2021, 2022 and 2023 respectively. Accordingly, the 2017 tranche will be paid out in the fiscal year 2021.

The long-term incentive program is to be classified as share-based, cash-settled compensation and is therefore accounted for pursuant to the standards of IFRS 2. The expected entitlement of the plan participant is the basis for the calculation of a long-term personnel provision recognized on a pro rata basis over the term of the respective plans and re-evaluated on each reporting date. The amount of the entitlement and the provision are evaluated using a Monte Carlo simulation, considering the following components:

- (1) expected degree of attainment of individual target components listed above
- (2) fair value per share option/performance shares (expected HUGO BOSS share price at the end of the period)

The fair value of the performance shares is calculated by an external expert using an option pricing model.

The fair values for the three plans moved in the following ranges as of December 31, compared to the previous year:

LTI Tranche	Fair values per share option 2020	Fair values per share option 2019
2017–2019	EUR 15.71	between EUR 23.53 and 26.72
2018–2020	between EUR 17.03 and 19.35	between EUR 23.78 and 30.71
2019–2021	between EUR 14.11 and 18.22	between EUR 20.36 and 29.88
2020–2022	between EUR 15.18 and 22.31	–

The fair value measurement for the respective plans is based on the following parameters:

	2020	2019
HUGO BOSS share price at reporting date in EUR	27.29	43.26
Expected dividend return in %	4.00	4.00
Expected volatility in %	35.00	30.00
Risk free interest rate in % (LTI Tranche 2017)	(0.67)	(0.69)
Risk free interest rate in % (LTI Tranche 2018)	(0.73)	(0.63)
Risk free interest rate in % (LTI Tranche 2019)	(0.75)	(0.58)
Risk free interest rate in % (LTI Tranche 2020)	(0.77)	–

As of December 31, 2020, four tranches totalling EUR 6,183 thousand (2019: EUR 10,471 thousand) were recognized as liabilities. Therefore, a total income for share-based payment pursuant to IFRS 2 of EUR 4,288 thousand (2019: Expense of EUR 3,499 thousand) was recognized in personnel expenses in fiscal year 2020.

19|Provisions for pensions and similar obligations

Provisions for pensions are recognized for obligations from future and current post-employment benefits to eligible current and former employees. The benefits agreed under the pension plans depend for the most part on the length of service of the eligible employee. In general, company pension plans are classified into two types of plans: defined contribution plans and defined benefit plans. At HUGO BOSS most of the plans are defined benefit plans. In the past year, the main defined benefit plans were granted in Germany and Switzerland. The characteristics of these plans are described in the following.

Defined benefit plans

Germany

Since the fiscal year 2014, there have only been direct pension obligations in Germany. A distinction is also made between general and individually agreed benefits. Under the general benefits granted, each employee who joined the Company prior to July 1, 2012, is entitled to benefits from Company pension plans. Employees who first receive benefits under the plan upon reaching the age of 50 or who have temporary employment agreements are excluded. Benefits comprise a post-employment benefit in the form of an old-age pension, an early-retirement benefit, a disability benefit or a surviving dependents' benefit in the form of a dependent child benefit.

Individually agreed benefits are only granted to active and former members of the Managing Board. Benefits can take the form of a post-employment benefit as an old-age pension or disability annuity and take the form of a surviving dependents' benefit as a surviving spouse or dependent child benefit. All active members of the Managing Board have received pension commitments which are regulated in individual contracts and the amounts of which are measured as a percentage of the contractually agreed pensionable income depending on their duration of membership of the Managing Board. The basis for determining the pensionable income is defined as the basic salary under the service agreement. For Executive Board members this takes the form of a defined benefit. The Group pays an annual pension contribution into a reinsurance contract for the life of the Executive Board member. This corresponds to 40% of the pensionable compensation, which is calculated on the basis of the basic salary in accordance with the employment contract. This form of pension commitment will also be used for future appointments to the Executive Board. To simplify the process, one former Executive Board member was offered the option in fiscal year 2019 of settling the previous pension commitment against payment of a one-time amount equivalent to the actuarial present value under commercial law. This offer was accepted and payment was made in the first quarter of 2020.

In addition, HUGO BOSS offers the Managing Board and executives the opportunity to acquire additional pension benefits through salary conversions ("deferred compensation agreements"). This additional pension can be granted in the form of retirement benefits, optionally in the form of occupational disability benefits and/or surviving dependents' benefits and/or in the form of a lump-sum payment in the event of death. The pension benefits are paid as a monthly pension, whereby surviving dependents' benefits can also be granted as a lump sum.

In Germany, the Company pension plan for individually agreed benefits and deferred compensation agreements is funded by plan assets for which there is an employer's pension liability insurance, which is a qualifying insurance policy within the meaning of IAS 19.8 in conjunction with IAS 19.113 et seq. The assets concerned can be classified as non-marketable assets. Employer's pension liability insurance has not been taken out for general benefits granted.

Switzerland

In Switzerland, employee pension plans must be allocated to a pension fund that is separate from the employer. The BVG [“Bundesgesetz über die berufliche Alters-, Hinterlassenen- und Invalidenvorsorge”: Swiss Federal Act on Occupational Retirement, Survivors’ and Disability Pension Plans] imposes minimum benefits. HUGO BOSS uses a collective foundation to provide for its employees against the economic consequences of old age, disability and death. Under this model, the foundation assets are the plan assets. The board of trustees of the collective foundation is responsible for the investment policy; at present the majority of plan assets are invested in fixed interest securities such as sovereign bonds. The supreme governing body of the collective foundation comprises an equal number of employer and employee representatives. The plans are financed by employer and employee contributions, which are defined as a percentage of the insured wage. The old-age pension is calculated as the retirement assets accumulated upon reaching a pensionable age multiplied by the conversion rates specified in the fund regulations. Employees can opt to receive their pension benefits as a lump-sum payment from the retirement assets. The benefit payments under the Swiss plans encompass old-age pensions, disability benefits and surviving dependents’ benefits. The collective foundation can change its financing system (contributions and future benefits) at any time. In addition, the collective foundation can terminate the affiliation agreement with HUGO BOSS; in such an event, the latter would have to join another welfare fund. Depending on the conditions of the affiliation agreement and the current partial liquidation rules, a deficit and the risks of increasing life expectancy (current pensions) can be transferred.

The pension obligations breakdown is as follows:

(in EUR thousand)

	Present value of the defined benefit obligation		Fair value of plan assets		Net defined benefit liability	
	2020	2019	2020	2019	2020	2019
Germany	119,806	120,089	99,080	98,287	20,725	21,802
Switzerland	63,189	59,687	40,189	38,025	23,000	21,662
Others ¹	10,617	10,920	0	0	10,617	10,920
Total	193,612	190,696	139,269	136,312	54,342	54,384

¹ Additional defined benefit plans are in place in Turkey, Italy, France, Mexico and Austria.

The amount of the pension obligations was determined using actuarial methods in accordance with IAS 19 “Employee Benefits”.

In the fiscal year 2020, the funding status of benefit obligations pursuant to IAS 19 was as follows:

(in EUR thousand)

	2020	2019
Change in present value of benefit obligation		
Present value of benefit obligation on January 1	190,695	154,744
Currency differences	(1,523)	1,207
Service cost	4,612	5,398
Interest expense	2,273	3,643
Payments from settlements	(6,689)	(21)
Remeasurement of the carrying amount		
Actuarial gains/losses due to changes in financial assumptions	7,240	21,748
Experience adjustments	(740)	3,771
Benefits paid	(4,966)	(3,704)
Contribution by participants of the plan	3,507	3,906
Past service cost	(797)	3
Present value of benefit obligation on December 31	193,612	190,695
Changes in plan assets		
Fair value of plan assets on January 1	136,311	119,228
Currency differences	187	1,294
Expected return on plan assets	1,437	2,277
Expected return on plan assets (without interest income)	2,901	7,457
Payments from settlements	(6,673)	0
Benefits paid	(3,655)	(2,169)
Contribution by the employer	5,255	4,318
Contribution by participants of the plan	3,507	3,906
Fair value of plan assets on December 31	139,270	136,311
Funding status of the benefits funded by plan assets	54,342	54,384

As of December 31, 2020, EUR 117,432 thousand (2019: EUR 117,758 thousand) of the present value of the defined benefit obligation is financed through employer's pension liability insurance and EUR 63,189 thousand (2019: EUR 59,687 thousand) through foundation assets; while the remaining EUR 12,991 thousand (2019: EUR 13,306 thousand) was unfunded.

Actuarial assumptions underlying the calculation of the present value of the pension obligations as of December 31, 2020

Discretion is exercised to the extent that the expense from benefit-based plans is determined based on actuarial calculations. This involves making assumptions about discount rates, future wage and salary increases, mortality rates and future pension increases. The discount rates used are based on the market yields of high-quality, fixed-interest corporate bonds.

The following premises were defined:

Actuarial assumptions	2020	2019
Discount rate		
Germany	1.10%	1.45%
Switzerland	0.15%	0.10%
Future pension increases		
Germany	1.75%	1.75%
Switzerland	0.00%	0.00%
Future salary increases		
Germany	2.50%	2.50%
Switzerland	2.00%	2.00%

Pension benefits in Germany are determined on the basis of biometric principles in accordance with the 2018 G mortality tables of Prof. Dr. Klaus Heubeck. The BVG 2015 mortality tables are used to measure the obligations of Swiss companies.

Sensitivity analysis of key actuarial assumptions

HUGO BOSS is exposed to special risks in connection with the aforementioned defined benefit plans. The funding status of pension obligations is influenced by both changes in the present value of the defined benefit obligations and changes in the fair value of plan assets. These are determined using actuarial methods that make assumptions concerning discount rates, future pension increases, future wage and salary increases and mortality rates. Future deviations between actual conditions and the underlying assumptions can lead to an increase or a decrease in the present value of the defined benefit obligations or the fair value of plan assets.

In addition, future amendments to the accounting standards governing the accounting treatment of pension obligations can affect the pertinent items of net assets, financial position and results of operations.

A change in the key actuarial parameters according to the scenarios presented below has the effects presented in the table below on the present value of the pension obligations as of December 31, 2020.

When conducting the sensitivity analysis, each parameter was altered ceteris paribus and not in combination with changes in other assumptions, thus excluding interdependencies between parameters. In addition, only ranges of values deemed to be reasonably plausible up to the date of preparing the next set of consolidated financial statements were selected.

(in EUR thousand)

Change in present value of the pension obligations	2020	2019
Discount rate December 31		
Increase of 75 basis points	(21,361)	(21,131)
Decline of 75 basis points	25,972	25,670
Future pension increases December 31		
Increase of 25 basis points	5,845	5,859
Decline of 25 basis points	(3,938)	(4,080)
Future salary increases December 31		
Increase of 50 basis points	1,146	1,636
Decline of 50 basis points	(1,081)	(1,542)
Life expectancy December 31		
Increase of 10 percent	(6,250)	6,279
Decline of 10 percent	6,375	(6,166)

Breakdown of the pension expenses in the period

The pension expenses of the period is composed of the following items:

(in EUR thousand)

	2020	2019
Current service costs	4,612	5,398
Past service costs	(797)	3
Net interest costs	836	1,366
Recognized pension expenses in the comprehensive statement of income	4,651	6,767
Expense from plan assets (without interest effects)	(2,901)	(7,457)
Recognized actuarial (gains)/losses	6,500	25,520
Recognized remeasurement of the carrying amount in the comprehensive statement of income	3,599	18,063

The net interest expense is calculated by multiplying the net pension obligation by the discount rate underlying the measurement of the defined benefit obligation (DBO).

In the case of deferred compensation commitments, current service cost is only incurred in the year of deferral. An increase in the service rendered does not increase the benefits granted.

For fiscal year 2021, the Group expects employer contributions to plan assets of EUR 4,935 thousand (2020: EUR 4,198 thousand).

Duration

The duration of the benefit-based plans on December 31, 2020, is 18 years for Germany (2019: 18 years) and 20 years for Switzerland (2019: 20 years).

Defined contribution plans

Employer contributions to contribution-based plans totaled EUR 19,754 thousand in the past fiscal year (2019: EUR 21,938 thousand) and are reported under personnel expenses. The main contribution-based plan of HUGO BOSS is in Germany. They receive the contributions to statutory pension insurance and the employer's contribution to employer-funded direct insurance in Germany.

20 | Financial liabilities

All interest-bearing and non-interest-bearing obligations as of the respective reporting date are reported under financial liabilities. They break down as follows:

(in EUR thousand)

	2020	With remaining term up to 1 year	2019	With remaining term up to 1 year
Financial liabilities due to banks	266,599	71,128	215,303	110,269
Lease liabilities	862,276	212,876	957,175	167,703
Other financial liabilities ¹	14,039	13,457	8,4821	7,4761
thereof: non IFRS 16 relevant rental contracts for own retail	10,211	10,211	5,832	5,731
Total	1,142,914	297,461	1,180,960	285,448

¹ The amounts shown differ from the values reported in the previous year due to reclassifications.

Other financial liabilities include negative market values from derivative financial instruments amounting to EUR 3,828 thousand (2019: EUR 2,650 thousand).

The following tables show the terms and conditions of financial liabilities:

(in EUR thousand)

	2020		2019	
Remaining term	Weighted average interest rate	Carrying amounts	Weighted average interest rate	Carrying amounts
Liabilities due to banks				
Up to 1 year	0.85%	71,128	0.38%	110,269
1 to 5 years	1.52%	156,572	2.75%	60,186
More than 5 years	3.97%	38,899	3.87%	44,847
Other financial liabilities¹				
Up to 1 year	0.16%	13,457	0.32%	7,476
1 to 5 years	5.77%	582	5.21%	1,006
More than 5 years	0.00%	0	0.00%	0

¹ The amounts shown differ from the values reported in the previous year due to reclassifications.

HUGO BOSS has exercised the option to increase its revolving syndicated loan to EUR 633 million in order to ensure financial flexibility during the COVID-19 pandemic in fiscal year 2020 (December 31, 2019: EUR 450 million). At the end of the fiscal year 2020, EUR 105 million of the loan had been drawn (December 31, 2019: EUR 0 million). In addition, HUGO BOSS secured further credit commitments totaling EUR 275 million in fiscal year 2020. These are provided by six international banks and are partially backed by KfW, Germany's state-owned development bank. At the end of the reporting period, these credit lines were not drawn.

The table below shows the contractually agreed undiscounted cash flows for non-derivative financial liabilities and for derivative financial instruments with a negative fair value.

(in EUR thousand)

2020	Expected cash flows				
	Carrying amount	Total cash flows	< 1 year	1–5 years	> 5 years
Non-derivative financial liabilities					
Financial liabilities due to banks	266,599	282,025	90,711	191,314	0
Lease liabilities	862,276	894,005	221,115	479,058	193,832
Other financial liabilities	10,211	10,211	10,211	0	0
Derivative financial liabilities					
Undesignated derivatives	1,853	1,853	1,271	582	0
Derivatives subject to hedge accounting	1,975	1,975	1,975	0	0
Total	1,142,914	1,190,069	325,283	670,954	193,832
2019					
Non-derivative financial liabilities					
Financial liabilities due to banks	215,303	220,260	110,538	63,632	46,090
Lease liabilities	957,175	1,041,297	188,282	584,828	268,187
Other financial liabilities ¹	5,832	5,832	5,731	101	0
Derivative financial liabilities					
Undesignated derivatives	2,329	2,329	1,425	904	0
Derivatives subject to hedge accounting	321	321	321	0	0
Total	1,180,960	1,270,039	306,297	649,465	314,277

¹ The amounts shown differ from the values reported in the previous year due to reclassifications.

21 | Other liabilities

(in EUR thousand)

	2020			2019		
	Total	Current	Non-current	Total	Current	Non-current
Other liabilities ¹	105,264	103,647	1,617	124,680	124,291	389
thereof indirect taxes	36,859	36,859	0	57,312	57,312	0
thereof social security, accrued vacation, wages and salaries	32,486	32,486	0	29,756	29,756	0

¹ The amounts shown differ from the values reported in the previous year due to reclassifications.

22 | Additional disclosures on financial instruments

Carrying amounts and fair values by category of financial instruments

(in EUR thousand)

		2020		2019	
	IFRS 9 category	Carrying amount	Fair value	Carrying amount	Fair value
Assets					
Cash and cash equivalents	AC	125,277	125,277	132,626	132,626
Trade receivables	AC	172,001	172,001	216,222	216,222
Other financial assets		42,193	42,193	53,859	53,859
Thereof:					
Undesignated derivatives	FVTPL	951	951	327	327
Derivatives subject to hedge accounting	Hedge Accounting	2	2	1,501	1,501
Other financial assets	AC	41,230	41,230	47,758	47,758
Liabilities					
Financial liabilities due to banks	AC	266,599	270,067	215,303	220,539
Trade and other payables	AC	299,237	299,237	314,646	314,646
thereof Reverse Factoring	AC	28,939	28,939	4,947	4,947
Lease liabilities	n.a.	862,276	862,276	957,175	957,175
Other financial liabilities ¹		14,039	14,039	8,482	8,482
Thereof:					
Undesignated derivatives	FVTPL	1,853	1,853	2,329	2,329
Derivatives subject to hedge accounting	Hedge Accounting	1,975	1,975	321	321
Other financial liabilities	AC	10,211	10,211	5,832	5,832

¹ The amounts shown differ from the values reported in the previous year due to reclassifications.

HUGO BOSS has put in place a reverse factoring program to support its suppliers. Under this program, outstanding trade payables are already settled with the supplier before maturity by a credit institution. Within the program, the original liability to the supplier on the basis of an unchanged acknowledgement of debt remains unaffected and is shown as a trade payable.

The following methods and assumptions were used to estimate the fair values:

Cash and cash equivalents, trade receivables, other financial assets, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of loans from banks and other financial liabilities, obligations under finance leases and other non-current financial liabilities is calculated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities.

As of December 31, 2020, the marked-to-market value of derivative asset positions is net of a credit valuation adjustment attributable to derivative counterparty default risk. The credit risk of the counterparty did not lead to any significant effects.

Fair value hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted (unadjusted) prices on active markets for identical assets or liabilities.

Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly.

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value and are not based on observable market data.

As of December 31, 2020, as in the prior year, all financial instruments measured at fair value in the category FVTPL and derivatives designated to a hedge relationship were assigned to level 2. During fiscal year 2020, there were no transfers between level 1 and level 2 or from level 3. The financial instruments measured at fair value comprised forward exchange contracts, currency swaps and interest derivatives. The assets amounted to EUR 953 thousand and liabilities to EUR 3,828 thousand. The fair value of financial instruments carried at amortized cost in the statement of financial position was likewise determined using a level 2 method.

Net result by measurement category

(in EUR thousand)

	Interest income and expenses	Changes in fair value	Currency translation	Bad debt losses	Disposal of financial instruments	2020	2019
Derivatives (FVTPL)	0	18,447	0	0	(9,426)	9,021	(10,134)
Financial Assets Measured at Amortized Cost (AC)	2,281	0	(11,880)	(10,759)	0	(20,358)	(760)
Financial Liabilities Measured at Amortized Cost (AC)	(6,781)	0	(1,283)	0	0	(8,064)	(3,057)

Interest on financial instruments is reported in the interest result (cf. notes to the consolidated income statement, Note 4).

The bad debt allowances recognized on trade receivables allocable to the AC category are reported under selling and distribution expenses.

Exchange gains and losses from the translation of foreign currency receivables and liabilities as well as fair value changes and effects of disposals of exchange rate hedges are reported in the other financial result.

Changes in liabilities from financial activity

(in EUR thousand)

	Gross value Jan. 1	Cash flows	Acquisition of groups of assets	Changes in portfolio	Change in the maturity	Currency translation effects	Gross value Dec. 31
2020							
liabilities arising from financing activities							
Short-term financial liabilities due to banks	110,269	(53,313)	0	0	14,175	(3)	71,128
Long-term financial liabilities due to banks	105,034	104,792	0	0	(14,175)	(179)	195,471
Lease liabilities	957,175	(187,466)	0	137,753	0	(45,185)	862,277
Total	1,172,478	(135,987)	0	137,753	0	(45,367)	1,128,876
2019							
liabilities arising from financing activities							
Short-term financial liabilities due to banks	90,609	(107)	11,467	0	8,293	7	110,269
Long-term financial liabilities due to banks	78,116	(35,000)	69,750	0	(8,293)	461	105,034
Lease liabilities	1,061,230	(227,394)	(53,377)	165,121	0	11,595	957,175
Total	1,229,955	(262,501)	27,840	165,121	0	12,063	1,172,478

Offsetting of financial instruments

(in EUR thousand)

	Gross amounts recognized assets	Gross amounts offset liabilities	Net asset amounts disclosed in statement of fin. pos.	Liabilities not offset in the statement of fin. pos.	Cash deposits received not offset in the statement of fin. pos.	Net amounts
2020						
Trade receivables	189,893	(17,892)	172,001	0	0	172,001
Other financial assets	42,193	0	42,193	(24)	0	42,169
Thereof derivatives	953	0	953	(24)	0	929
Total	232,086	(17,892)	214,194	(24)	0	214,170
2019						
Trade receivables	227,695	(11,473)	216,222	0	0	216,222
Other financial assets	53,859	0	53,859	(35)	0	53,824
Thereof derivatives	1,828	0	1,828	(35)	0	1,793
Total	281,554	(11,473)	270,081	(35)	0	270,046

(in EUR thousand)

	Gross amounts recognized liabilities	Gross amounts offset assets	Net liabilities amounts disclosed in statement of fin. pos.	Assets not offset in the statement of fin. pos.	Cash deposits received not offset in the statement of fin. pos.	Net amounts
2020						
Trade payables	324,610	(25,373)	299,237	0	0	299,237
Other financial liabilities	14,039	0	14,039	(24)	0	14,015
Thereof derivatives	3,828	0	3,828	(24)	0	3,804
Total	338,649	(25,373)	313,276	(24)	0	313,252
2019						
Trade payables	325,328	(10,682)	314,646	0	0	314,646
Other financial liabilities ¹	8,482	0	8,482	(35)	0	8,447
Thereof derivatives	2,650	0	2,650	(35)	0	2,615
Total	333,810	(10,682)	323,128	(35)	0	323,093

¹ The amounts shown differ from the values reported in the previous year due to reclassifications.

The liabilities of EUR 17,892 thousand (2019: EUR 11,473 thousand) offset against trade receivables as of the reporting date are outstanding credit notes to customers. The assets offset against trade payables are receivables in the form of supplier credit notes. These amounted to EUR 25,373 thousand (2019: EUR 10,682 thousand).

Standard master agreements for financial future contracts are in place between HUGO BOSS and its counterparties governing the offsetting of derivatives. These prescribe that derivative assets and derivative liabilities with the same counterparty can be combined into a single offsetting receivable.

Hedging policy and financial derivatives

The following presentation shows the nominal amounts and the fair value of derivative financial instruments:

(in EUR thousand)				
	2020		2019	
	Nominal-values	Fair values	Nominal-values	Fair values
Assets				
Currency hedging contracts	72,464	953	78,186	1,828
Interest hedging contracts	0	0	0	0
Liabilities				
Currency hedging contracts	(156,510)	(2,874)	(113,470)	(1,333)
Interest hedging contracts	(6,570)	(954)	(7,412)	(1,316)
Total	(90,616)	(2,875)	(42,696)	(821)

The nominal values are the amount hedged by the corresponding hedge. The fair values of derivative financial instruments are recognized as other financial assets or as other financial liabilities. They do not necessarily correspond to the amounts that will be generated in the future under normal market conditions.

Of the reported fair value from derivative financial instruments, an amount of EUR (902) thousand (2019: EUR (1,998) thousand) stems from financial assets and liabilities that were classified as held for trading.

The negative effects from the fair value measurement of currency hedges of EUR (1,973) thousand were recognized in other comprehensive income as of December 31, 2020 (2019: EUR 1,180 thousand). Of the amount recognized in other comprehensive income, losses of EUR 978 thousand on securities falling due were recycled into operating earnings in the fiscal year 2020 (2019: gains of EUR 825 thousand).

Interest and currency risk hedges

To hedge against interest and currency risks, HUGO BOSS enters into hedging transactions in some areas to mitigate risk.

The Group has production facilities at HUGO BOSS Textile Industry Ltd. in Turkey, among other locations. The euro is used as the functional currency of this subsidiary; however, certain local payments are made in Turkish lira. This results in a transaction risk, both from the local and Group point of view, due to the fluctuating exchange rate between the EUR and the TRY.

The risk management strategy aims at limiting transaction risks and smoothing the income statement. Therefore, future cash flows (including wages, salaries, social security contributions and transport costs) are hedged using forward exchange transactions and then linked with a hedging relationship shown on the balance sheet as cash flow hedges as per IFRS 9 (hedge accounting).

HUGO BOSS uses a mechanistic hedging method for its implementation. Cash flow planning for the following fiscal year is employed on a yearly basis for determining exposures to be hedged. A total of 75% of expected exposures are subsequently hedged using forward exchange transactions based on this planning. These are traded on specific dates, divided into three tranches of approximately 25% each. This makes it possible for HUGO BOSS on one hand to participate in market opportunities while on the other smoothing out hedged rates by the split into two tranches. This also makes it possible to take changed plan assumptions into account.

The currency of the underlying transaction is identical to the currency of the hedging instrument. In addition, only the cross-currency basis spread (CCBS) contained in the hedging instrument was evaluated on the reporting date, and classified as immaterial. As this results in the underlying risk of the currency forward contract being identical to the hedged risk (the exchange rate risk between the EUR and TRY), HUGO BOSS sets a hedging ratio of 1:1 for the hedging relationship indicated above.

The forward exchange contracts are normally concluded in such a way that their due date corresponds with the due date of the expected cash flows. As already noted above, the risk of the hedging instrument also corresponds with the hedged risk. As a result, HUGO BOSS prospectively assumes an economic relationship between the underlying transaction and the hedging instrument. This is reviewed on a regular basis, but no less often than every reporting date.

In principle, differences between planned and actual due dates for cash flows can cause some partial inefficiency. Furthermore, inefficiency may occur in the calculation of the difference in value between the hedging transaction and the underlying transaction, since the currency basis or forward points are not excluded when designating the hedging instruments.

HUGO BOSS holds the following forward exchange contracts for hedging future cash flow as of the reporting date:

Maturity	2021				Total
	Jan. – Mar.	Apr. – Jun.	Jul. – Sept.	Oct. – Dec.	
Nominal amount in TRY thousand	35,479	37,246	37,282	36,045	146,052
Average hedged rate	8.435	8.624	8.798	8.993	8.714

Based on historical experience, HUGO BOSS anticipates all underlying transactions currently designated as cash flow hedges to accrue as of the reporting date.

Hedging instruments that the Company has designated in hedging relationships have the following impact on the balance sheet as of December 31, 2020:

(in EUR thousand)

	2020	2019
Balance sheet item	Derivatives subject to hedge accounting	Derivatives subject to hedge accounting
Carrying amount assets	2	1,501
Carrying amount liabilities	(1,975)	(321)
Change in fair value of hedges held as of the reporting date	(1,973)	1,180
Nominal volume	16,771	20,047

The hedging relationships shown above have the following impact on the income statement or other comprehensive income (OCI):

(in EUR thousand)

	2020	2019
Change in fair value of the underlying transaction	1,973	(1,180)
Cash flow hedge reserve from existing hedges	(1,973)	1,180
Amount reclassified from OCI due to maturity of underlying transaction	(978)	825

As of the reporting date, EUR 6,570 thousand (2019: EUR 7,411 thousand) in variable interest financial liabilities without designation were secured as a hedging relationship. For additional information and a detailed description of other financial risks, refer to the Risk and Opportunities Report.

Other Notes

23|Notes to the statement of cash flows

The statement of cash flows shows the change in cash and cash equivalents over the reporting period using cash transactions. In accordance with IAS 7, the sources and applications of cash flows are categorized according to whether they relate to operating, investing or financing activities. The cash inflows and outflows from operating activities are calculated indirectly on the basis of the Group's net profit for the period. By contrast, cash flows from investing and financing activities are directly derived from the cash inflows and outflows. The changes in the items of the statement of financial position presented in the statement of cash flows cannot be derived directly from the statement of financial position on account of exchange rate translations.

A more detailed description of cash flows reported in the consolidated statement of cash flows is available in the chapter "Cash and cash equivalents".

Non-cash expenses and income concern in particular unrealized exchange rate gains and losses, fair value changes of derivative financial instruments recognized in profit or loss and non-cash changes in financial liabilities.

24|Segment reporting

The Managing Board of HUGO BOSS AG manages the company by geographic areas. The HUGO BOSS national companies are responsible for the sale of all HUGO BOSS products that are not sold as licensed products by third parties in their respective sales territories. The managing directors of the national companies report to the regional directors in charge in each case, who in turn report to the Managing Board of HUGO BOSS AG. This organizational structure enables the direct implementation of Group objectives while taking into account specific market conditions.

Accordingly, the operating segments are organized into the three regions Europe including Middle East and Africa, Americas and Asia/Pacific, in addition to the license division. The regions are allocated to the corresponding distribution companies of HUGO BOSS, while the complete licenses business of HUGO BOSS with third parties is allocated to the license division.

The Managing Board of HUGO BOSS AG is the chief operating decision maker of HUGO BOSS.

Management of the regional business units is aligned to the value added contribution at Group level.

The most important performance indicator used by the Managing Board to make decisions about resources to be allocated to segments is the EBIT. The segment result is thus defined as the EBIT of the sales units plus the gross profit margin of the procurement units and intra-group royalties.

Group financing (including interest income and expenses) and income taxes are managed on a Group-wide basis and are not allocated to operating segments.

Management of the operating figures inventories and trade receivables is assigned to the sales territories. These items are regularly reported to the Managing Board. Consequently, segment assets only contain trade receivables and inventories.

Liabilities are not part of internal management reporting. The segment liabilities are therefore not disclosed.

The accounting rules applied in the segment information are in line with the accounting rules of HUGO BOSS as described in the accounting policies.

The Managing Board regularly reviews certain effects recognized in the statement of comprehensive income, including in particular amortization, depreciation and impairment losses.

Capital expenditure is also regularly reported to the Managing Board as part of internal reporting, making it a component of segment reporting.

All expenses and assets that cannot be directly allocated to the sales territories or the license segment are reported in the reconciliations below under corporate units/consolidation. All Group-wide central functions are pooled in the corporate units. The remaining expenses of the procurement, production and R&D units make up an operating cost center. No operating income is allocated to the corporate units.

(in EUR thousand)

	Europe ¹	Americas	Asia/Pacific	Licenses	Total operating segments
2020					
Sales	1,231,405	307,528	342,736	64,174	1,945,843
Segment profit	87,057	(97,033)	32,025	53,647	75,696
In % of sales	7.1	-31.6	9.3	83.6	3.9
Segment assets	249,946	143,340	129,398	22,187	544,871
Capital expenditure	83,091	23,239	71,680	14	178,024
Impairments	(50,206)	(36,473)	(23,388)	0	(110,067)
Thereof property, plant and equipment	(20,284)	(26,918)	(10,081)	0	(57,283)
Thereof intangible assets	(197)	(385)	(4,100)	0	(4,682)
Thereof Rights of Use	(29,725)	(9,170)	(9,207)	0	(48,102)
Thereof write-up	0	0	0	0	0
Depreciation/amortization	(159,505)	(61,298)	(83,338)	0	(304,141)
2019					
Sales	1,802,843	559,755	437,750	83,708	2,884,056
Segment profit	456,051	60,286	93,816	70,062	680,215
In % of sales	25.3	10.8	21.4	83.7	23.6
Segment assets	274,115	156,470	109,691	23,298	563,574
Capital expenditure	129,508	47,637	82,405	16	259,566
Impairments	(7,009)	(2,469)	(646)	0	(10,124)
Thereof property, plant and equipment	(7,523)	(2,656)	(657)	0	(10,836)
Thereof intangible assets	0	0	0	0	0
Thereof Rights of Use	(1,063)	0	0	0	(1,063)
Thereof write-up	1,577	187	11	0	1,775
Depreciation/amortization	(157,720)	(63,555)	(79,932)	0	(301,207)

¹ Including Middle East/Africa.

Reconciliation

The reconciliation of segment figures to Group figures is presented below.

Sales

(in EUR thousand)

	2020	2019
Sales – operating segments	1,945,843	2,884,056
Corporate units	0	0
Consolidation	0	0
Total	1,945,843	2,884,056

Operating income

(in EUR thousand)

	2020	2019
Segment profit (EBIT) – operating segments	75,696	680,215
Corporate Units	(310,907)	(335,244)
Consolidation	(407)	(475)
Operating income (EBIT) operating segments	(235,618)	344,496
Net interest income/expenses	(26,168)	(31,465)
Other financial items	(11,450)	(7,438)
Earnings before taxes HUGO BOSS	(273,236)	305,593

Segment assets

(in EUR thousand)

	2020	2019
Segment assets – operating segments	544,871	563,574
Corporate units	245,588	279,162
Consolidation	0	0
Current tax receivables	18,484	33,359
Current financial assets	20,717	32,341
Other current assets	99,985	123,200
Cash and cash equivalents	125,277	132,626
Current assets HUGO BOSS	1,054,922	1,164,262
Non-current assets	1,515,570	1,713,203
Total assets HUGO BOSS	2,570,492	2,877,465

Capital expenditures

(in EUR thousand)

	2020	2019
Capital expenditure – operating segments	178,024	259,566
Corporate units	42,615	81,446
Consolidation	0	0
Total	220,639	341,012

Impairments / Write-ups

(in EUR thousand)

	2020	2019
Impairment – operating segments	110,067	10,124
Corporate units	0	0
Consolidation	0	0
Total	110,067	10,124

Depreciation/amortization

(in EUR thousand)

	2020	2019
Depreciation/amortization – operating segments	304,141	301,207
Corporate units	51,119	51,131
Consolidation	0	0
Total	355,260	352,338

Geographic information

(in EUR thousand)

	Third party sales		Non-current assets	
	2020	2019	2020	2019
Germany	276,081	412,458	416,760	459,125
Other European markets	1,019,408	1,474,092	547,538	637,316
U.S.A.	217,096	406,223	168,555	217,496
Other North and Latin American markets	90,431	153,531	32,322	54,575
China	211,360	239,294	46,263	42,710
Other Asian markets	131,467	198,458	111,455	186,813
Total	1,945,843	2,884,056	1,322,893	1,598,035

25 | Related party disclosures

In the reporting period from January 1 to December 31, 2020, the following transactions requiring disclosure were conducted with related parties:

Non-consolidated subsidiaries

There were no transactions with non-consolidated subsidiaries in the fiscal year 2020 or 2019.

Entities under joint control

Within the scope of existing real estate lease agreements, in the fiscal year 2020, rent payments were made to companies under joint control in the amount of EUR 2,436 thousand (2019: EUR 11,905 thousand). There were no open receivables or liabilities relating to these business transactions as of December 31, 2020. The lease agreements also include purchase options for the respective property at expected market value. The remaining non-cancellable term of the lease agreements is seven years with GRETANA Land-Lessor GmbH & Co. Property D 19 KG.

In the fiscal year 2019, HUGO BOSS together with HUGO BOSS AL FUTTAIM UAE TRADING L.L.C., Dubai, U.A.E., which was established together with the AL FUTTAIM Group in Dubai and in which HUGO BOSS Middle East FZ-LLC, Dubai, U.A.E., holds 49% of the shares, generated sales revenue of EUR 40,653 thousand (2018: EUR 29,857 thousand) and receivables amounting to EUR 210 thousand (2018: EUR 316 thousand).

Related parties

Related parties comprise members of the Managing Board and Supervisory Board. Members of the Supervisory Board and Managing Board are reported on pages 212 to 213.

Compensation for the Managing Board

The total remuneration of the Management Board amounts to EUR 5,659 thousand (2019: EUR 5,061 thousand). Expenses for current benefits in 2020 totaled EUR 3,898 thousand (2019: EUR 3,352 thousand). A service cost of EUR 1,516 thousand (2019: EUR 1,209 thousand) was incurred for the company pension scheme in 2020. Expenses for share-based compensation in 2020 amounted to EUR 245 thousand (2019: EUR 500 thousand). The information in accordance with Section 314 (1) No. 6 a) Sentences 1 to 4 of the German Commercial Code (HGB) are contained in the compensation report of the combined management report.

The total remuneration of the members of the Management Board in accordance with section 314 (1) no. 6 a) sentences 1 to 4 of the HGB amounted to EUR 5,402 thousand in financial year 2020 (2019: EUR 4,540 thousand). Of this amount, EUR 2,294 thousand was attributable to basic remuneration including fringe benefits (2019: EUR 2,646 thousand). EUR 200 thousand (2019: EUR 0 thousand) in special remuneration was granted in the fiscal year. An amount of EUR 1,232 thousand (2019: EUR 0 thousand) is attributable to the "Short Term Incentive" (STI) agreed for fiscal year 2020. An amount of EUR 1,676 thousand is attributable to the LTI 2020–2022, which results for 50,286 subscription rights granted in 2020.

In 2020, former members of the Managing Board and their surviving dependents received total compensation of EUR 3,502 thousand (2019: EUR 3,962 thousand). This includes termination-of-employment benefits amounting to EUR 3,645 thousand (2019: EUR 3,513 thousand).

Pension obligations for former members of the Board of Management and their surviving dependents amount to EUR 52,579 thousand (2019: EUR 51,268 thousand). The corresponding plan assets in the form of employer's liability insurance amount to EUR 35,734 thousand (2019: EUR 35,715 thousand).

Compensation of the Supervisory Board

The Supervisory Board received compensation for its activities in 2019 amounting to EUR 1,205 thousand. For fiscal year 2020, total compensation is expected to come to EUR 1,204 thousand.

Other related party disclosures

In total, the members of the Managing Board and Supervisory Board hold around 1% (2019: less than 1%) of the shares issued by HUGO BOSS AG.

Members of the Managing Board purchase HUGO BOSS products at reduced prices as part of the compensation in kind granted to them supplementary to their salary and for their personal use. Besides this, no significant transactions were concluded between companies of HUGO BOSS and key management personnel and their close family members.

26|Subsequent events

Between the end of fiscal year 2020 and the date of the preparation of this report on March 5, 2021, the global business of HUGO BOSS continued to be impacted by the COVID-19 pandemic. Persisting lockdowns and temporary store closures, in particular in Europe – by far largest region for the Company –, lasting restrictions on public life including comprehensive social distancing measures as well as ongoing international travel restrictions are expected to continue to weigh on the recovery of the overall industry as well as performance of HUGO BOSS, especially in the first half of 2021.

Beyond this development, there were no other material macroeconomic, socio-political, industry-related or Company-specific changes that the Management expects to have a significant impact on the Group's earnings, net assets and financial position.

27|German Corporate Governance Code

In December 2020, the Managing Board and Supervisory Board of HUGO BOSS AG issued the declaration of compliance prescribed by Sec. 161 AktG. It is available for shareholders on the Company's website.

28|Group auditor fees

(in EUR thousand)

	2020	2019
Audit services	1,852	1,772
Thereof Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft	529	479
Other assurance services	294	146
Thereof Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft	92	86
Tax advisory services	27	73
Thereof Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft	0	0
Other services	30	101
Thereof Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft	0	0
Total	2,203	2,092

Services provided by group auditors, beyond those related to the financial statement audit, mainly include sales examination, sustainability report confirmation, tax advisory and transfer pricing.

Managing Board

Member of the Managing Board	Responsibility
Yves Müller (Hamburg/Metzingen, Germany) Spokesperson of the Managing Board since July 16, 2020 Member of the Managing Board since December 1, 2017	Controlling, Finance and Tax, Internal Audit, Investor Relations, Central Services, IT, Risk and Insurance Management, Legal/Compliance, Human Resources, Own Retail, Wholesale, (from July 2020 until January 2021), Corporate Strategy, Communications, (from July 2020)
Dr. Heiko Schäfer (Hamburg/Metzingen, Germany) Member of the Managing Board since March 16, 2020	Operations, Own Manufacturing, Product Development and Sourcing, Sustainability and Quality Management, Global Logistics (from July 2020)
Oliver Timm (Meerbusch/Metzingen, Germany) Member of the Managing Board since January 1, 2021	Own Retail, Wholesale including E-Commerce, Visual Merchandising, Retail Operations, Real Estate Management, Customer Relationship Management (CRM)
Ingo Wilts (Amsterdam, Netherlands / Metzingen, Germany) Member of the Managing Board since August 15, 2016	Creative Management, Licenses Management, Global Marketing, Business Unit BOSS Menswear (from July 2020), Business Unit BOSS Womenswear, Business Unit HUGO
Mark Langer (Stuttgart, Germany) Chairman and Member of the Managing Board until July 15, 2020	Corporate Strategy and Communication, Own Retail, Wholesale, Global Sustainability (until March 2020), Global Production and Sourcing (until March 2020), Supply Chain Management (until March 2020), Business Unit BOSS Menswear, Global Logistics

Supervisory Board

Shareholder representatives	Employee representatives
Hermann Waldemer (Blitzingen, Switzerland) Management Consultant, Chairman of the Supervisory Board (since May 2020), Member since 2015	Sinan Piskin (Metzingen, Germany) Administrative Employee/Deputy Chairman of the Works Council HUGO BOSS AG, Metzingen, Germany, Deputy Chairman of the Supervisory Board (since May 2020), Member since 2008
Iris Epple-Righi (Munich, Germany) Management Consultant, Member since 2020	Katharina Herzog (Reutlingen, Germany) Director Group Finance & Tax HUGO BOSS AG, Metzingen, Germany, Member since 2020
Gaetano Marzotto (Milan, Italy) Chairman of the Supervisory Board Gruppo Santa Margherita S.p.A., Fossalta di Portogruaro, Italy, Member since 2010	Anita Kessel (Metzingen, Germany) Administrative Employee HUGO BOSS AG, Metzingen, Germany, Member since 2015
Luca Marzotto (Venice, Italy) Chief Executive Officer Zignago Holding S.p.A., Fossalta di Portogruaro, Italy, Member since 2010	Tanja Silvana Nitschke (Inzigkofen, Germany) Chairperson and Treasurer of the German Metalworkers' Union (IG Metall) Reutlingen-Tuebingen, Reutlingen, Germany, Member since 2015
Christina Rosenberg (Munich, Germany) Management Consultant innotail, Munich, Germany, Member since 2020	Martin Sambeth (Tiefenbronn, Germany) Chairperson and Treasurer of the German Metalworkers' Union (IG Metall) Karlsruhe, Karlsruhe, Germany, Member since 2016
Robin J. Stalker (Oberreichenbach, Germany) Chartered Accountant, Member since 2020	Antonio Simina (Metzingen, Germany) Tailor/Chairman of the Works Council HUGO BOSS AG, Metzingen, Germany, Deputy Chairman of the Supervisory Board (until May 2020), Member since 1985
Michel Perraudin (Hergiswil, Switzerland) Management Consultant, Chairman of the Supervisory Board (until May 2020), Member from/until 2015/2020	Fridolin Klumpp (Caslano, Switzerland) Business Director BOSS Womenswear HUGO BOSS AG, Metzingen, Germany, Member from/until 2015/2020
Kirsten Kistermann-Christophe (Oberursel, Germany) Managing Director Société Générale S.A., Frankfurt/Main, Germany, Member from/until 2015/2020	
Axel Salzmann (Großhansdorf, Germany) Chief Financial Officer Hensoldt Holding GmbH, Taufkirchen, Germany, Member from/until 2015/2020	

Additional disclosures on the members of the Supervisory Board and the Managing Board

The members of the Company's Supervisory Board are also members of a supervisor board at the following companies¹:

Katharina Herzog	HUGO BOSS Holding Netherlands B.V.	Amsterdam, Netherlands
	HUGO BOSS International B.V.	Amsterdam, Netherlands
Gaetano Marzotto	Style Capital SGR S.p.A. ²	Milan, Italy
	TIPO S.p.A.	Milan, Italy
	HIPPOCRATES HOLDING S.p.A.	Milan, Italy
	Zignago Holding S.p.A.	Fossalta di Portogruaro, Italy
	Zignago Vetro S.p.A.	Fossalta di Portogruaro, Italy
Luca Marzotto	Dimora 01	Milan, Italy
	Forte Forte S.r.l.	Sarcedo, Italy
	Isotex Engineering S.r.l.	Trissino, Italy
	Multitecno S.r.l.	Fossalta di Portogruaro, Italy
	Santex Rimar Group S.r.l.	Trissino, Italy
	Smit S.r.l.	Trissino, Italy
	Solwa S.r.l.	Trissino, Italy
	Sperotto Rimar S.r.l.	Trissino, Italy
	Vetri Speciali S.p.A.	Trento, Italy
	Zignago Vetro S.p.A.	Fossalta di Portogruaro, Italy
Christina Rosenberg	Josef Tretter GmbH & Co. KG	Munich, Germany
	Villeroy & Boch AG	Mettlach, Germany
Robin J. Stalker	Commerzbank AG	Frankfurt, Germany
	Schaeffler AG	Herzogenaurach, Germany
	Schmitz Cargobull AG ²	Horstmar, Germany
Michel Perraudin (until May 2020)	ODLO Sports Holding AG (Switzerland) ²	Huenenberg, Switzerland
Fridolin Klumpp (until May 2020)	HUGO BOSS Ticino AG (Switzerland)	Coldrerio, Switzerland
Axel Salzmann (until May 2020)	TeamViewer AG	Goeppingen, Germany

¹ The members not named have no seats on executive or supervisory boards at other companies.

² Member holds position of Chairman.

Members of the Managing Board

The members of the Managing Board of HUGO BOSS AG did not hold any mandates on supervisory boards or comparable supervisory bodies of companies not belonging to the HUGO BOSS Group during the reporting period. In the reporting period, members of the Managing Board held mandates on supervisory boards or comparable other supervisory bodies of Group companies for the purpose of Group management and monitoring.

Publication

The annual and consolidated financial statements of HUGO BOSS AG are published in the German Federal Gazette and on the website of HUGO BOSS.

Metzingen, March 5, 2021

HUGO BOSS AG
The Managing Board

Yves Müller
Dr. Heiko Schäfer
Oliver Timm
Ingo Wilts

Shareholdings of HUGO BOSS AG

Unless stated otherwise, the interest in capital amounts to 100%.

(in EUR thousand)

Company	Registered Office	Equity 2020 ¹
HUGO BOSS Holding Netherlands B.V.	Amsterdam, Netherlands	647,831
HUGO BOSS International B.V.	Amsterdam, Netherlands	557,163
HUGO BOSS Internationale Beteiligungs-GmbH ^{2, 5}	Metzingen, Germany	524,800
HUGO BOSS USA, Inc. ⁴	New York, NY, USA	121,875
HUGO BOSS UK Limited	London, Great Britain	59,076
HUGO BOSS China Retail Co. Ltd.	Shanghai, China	57,294
Lotus (Shenzhen) Commerce Ltd.	Shenzhen, China	57,155
HUGO BOSS Benelux B.V.	Amsterdam, Netherlands	52,546
HUGO BOSS Textile Industry Ltd. ²	Izmir, Turkey	49,079
HUGO BOSS Benelux B.V. y CIA S.C	Madrid, Spain	38,191
HUGO BOSS France SAS	Paris, France	37,189
HUGO BOSS Lotus Hong Kong Ltd.	Hong Kong	36,493
HUGO BOSS Trade Mark Management GmbH & Co. KG ²	Metzingen, Germany	32,670
HUGO BOSS Canada, Inc.	Toronto, Canada	31,889
HUGO BOSS Ticino S.A.	Coldrerio, Switzerland	22,124
HUGO BOSS Mexico S.A. de C.V. ²	Mexico-City, Mexico	21,851
HUGO BOSS International Markets AG	Zug, Switzerland	12,778
HUGO BOSS Holdings Pty. Ltd.	Preston, Australia	12,363
HUGO BOSS AL FUTTAIM UAE TRADING L.L.C. ⁶	Dubai, U.A.E.	12,169
HUGO BOSS Shoes & Accessories Italia S.p.A.	Morrovalle, Italy	10,193
HUGO BOSS Portugal & Companhia	Lissabon, Portugal	10,039
HUGO BOSS Rus LLC ²	Moscow, Russia	9,516
HUGO BOSS Middle East FZ-LLC	Dubai, U.A.E.	9,358
HUGO BOSS Hong Kong Ltd.	Hong Kong	9,262
HUGO BOSS Scandinavia AB	Stockholm, Sweden	8,993
HUGO BOSS Italia S.p.A.	Milan, Italy	8,312
HUGO BOSS do Brasil Ltda.	São Paulo, Brazil	7,082
HUGO BOSS (Schweiz) AG	Zug, Switzerland	6,041
HUGO BOSS Ireland Limited	Dublin, Ireland	4,209
HUGO BOSS Guangdong Trading Co. Ltd.	Guangzhou, China	4,056
HUGO BOSS Nordic ApS	Copenhagen, Denmark	3,994
Lotus Concept Trading (Macau) Co. Ltd.	Macau	3,982
HUGO BOSS Hellas LLC	Athens, Greece	3,449
HUGO BOSS Belgium BVBA ²	Diegem, Belgium	3,400
HUGO BOSS Vermögensverwaltungs GmbH & Co. KG ²	Metzingen, Germany	3,169
HUGO BOSS Australia Pty. Ltd.	Preston, Australia	2,492
HUGO BOSS Mexico Management Services S.A. de C.V. ²	Mexico-City, Mexico	2,390
HUGO BOSS Finland OY	Helsinki, Finland	2,053
HUGO BOSS Shoes & Accessories Poland Sp. z o.o.	Radom, Poland	1,847
HUGO BOSS South East Asia PTE.LTD.	Singapore	1,351

(in EUR thousand)

Company	Registered Office	Equity 2020¹
HUGO BOSS Holding Sourcing S.A.	Coldrerio, Switzerland	1,171
HUGO BOSS Malaysia SDN. BHD.	Kuala Lumpur, Malaysia	873
ROSATA Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Dieselstrasse KG ²	Metzingen, Germany	824
HUGO BOSS Magazacilik Ltd. Sti.	Izmir, Turkey	725
HUGO BOSS Korea Ltd.	Seoul, South Korea	553
ROSATA Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Metzingen KG ^{2,3}	Grünwald, Germany	356
HUGO BOSS Dienstleistungs GmbH ²	Metzingen, Germany	118
HUGO BOSS Trade Mark Management Verwaltungs-GmbH	Metzingen, Germany	41
HUGO BOSS Beteiligungsgesellschaft mbH ^{2,5}	Metzingen, Germany	(85)
HUGO BOSS Estonia OÜ	Tallinn, Estonia	(135)
HUGO BOSS Latvia SIA.	Riga, Latvia	(223)
Salam Stores HUGO BOSS WLL ⁷	Doha, Qatar	(475)
GRAMOLERA Grundstücks-Vermietungsgesellschaft Objekt Ticino mbH	Metzingen, Germany	(499)
GRETANA Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt D 19 KG	Grünwald, Germany	(539)
HUGO BOSS New Zealand Ltd.	Auckland, New Zealand	(2,149)
HUGO BOSS Belgium Retail BVBA	Diegem, Belgium	(5,075)
HUGO BOSS Benelux Retail B.V.	Amsterdam, Netherlands	(15,202)
HUGO BOSS Japan K.K.	Tokyo, Japan	(24,211)

¹ The figures correspond to the financial statements after possible profit transfer, for subsidiaries according to inner-consolidated IFRS financial statements.

² Directly affiliated to HUGO BOSS AG.

³ Investments with an equity share of 94%.

⁴ Subgroup financial statement.

⁵ Companies with a profit transfer agreement with HUGO BOSS AG.

⁶ Investments with an equity share of 49%.

⁷ Investments with an equity share of 70%.

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ADDITIONAL INFORMATION

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RESPONSIBILITY STATEMENT

To the best of our knowledge, and in accordance with the applicable reporting principles, the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group, and the management report, which is combined with the management report of HUGO BOSS AG, includes a fair review of the development and performance of the business and the position of the HUGO BOSS Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Metzingen, March 5, 2021

HUGO BOSS AG
The Managing Board

Yves Müller
Dr. Heiko Schäfer
Oliver Timm
Ingo Wilts

The following copy of the auditor's report also includes a "Report on the assurance in accordance with Sec. 317 (3b) HGB on the electronic reproduction of the financial statements and the management report prepared for publication purposes" ("separate report on ESEF compliance"). The subject matter underlying the separate report on ESEF compliance (ESEF documents subject to assurance) is not attached. The ESEF documents that have been subject to assurance can be viewed in and obtained from the Bundesanzeiger [German Federal Gazette].

INDEPENDENT AUDITOR'S REPORT

To HUGO BOSS AG

Report on the audit of the consolidated financial statements and of the group management report

Opinions

We have audited the consolidated financial statements of HUGO BOSS AG, Metzingen, and its subsidiaries (the Group), which comprise the consolidated income statement for the fiscal year from 1 January to 31 December 2019, the statement of comprehensive income for the fiscal year from 1 January to 31 December 2019, the consolidated statement of financial position as of 31 December 2019, the consolidated statement of changes in equity and the consolidated statement of cash flows for the fiscal year from 1 January to 31 December 2019, and the notes to the consolidated financial statements, including a summary of significant accounting policies. In addition, we have audited the group management report of HUGO BOSS AG for the fiscal year from 1 January to 31 December 2019. In accordance with the German legal requirements, we have not audited the content of the non-financial statement included in the "Non-financial statement" section of the group management report and the statement on corporate governance pursuant to Section 315d HGB ["Handelsgesetzbuch": German Commercial Code] published on the Company's website and referenced in the management report.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRSs as adopted by the EU, and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as of 31 December 2020, and of its financial performance for the fiscal year from 1 January to 31 December 2020, and
- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our opinion on the group management report does not cover the content of the group non-financial statement or the group statement on corporate governance referred to above.

Pursuant to Sec. 322 (3) Sentence 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with Sec. 317 HGB and the EU Audit Regulation (No 537/2014, referred to subsequently as "EU Audit Regulation") and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Art. 10 (2) f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Art. 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinions on the consolidated financial statements and on the group management report.

Key audit matters in the audit of the consolidated financial statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the fiscal year from 1 January to 31 December 2020. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon; we do not provide a separate opinion on these matters.

Below, we describe what we consider to be the key audit matters:

1) Impairment of the non-current assets assigned to the Group's own retail operations (DOS)

Reasons why the matter was determined to be a key audit matter:

A significant portion of the HUGO BOSS Group's business is conducted via the Group's own retail operations (DOS – directly operated stores). The assets allocated to the DOS make up the bulk of the fixed assets of the HUGO BOSS Group. For the purpose of the impairment test, the DOS are defined as independent cash-generating units (CGUs).

The varying development of regional and local sales markets necessitates extensive estimates and assumptions with regard to the valuation model applied, the calculation of indicators for impairment testing (particularly the development of sales and profitability indicators) and regarding the determined fair value, the calculation of the discount rate as well as the calculation of expected future cash inflows, also in particular against the background of the effects of the COVID-19 pandemic. This applies in particular to specific growth rates used to roll forward the budget of the Company. The impairment testing of the fixed assets assigned to the DOS was a key audit matter due to the judgment exercised.

Auditor's response:

We discussed with the Company's executive directors and assessed the method applied for the calculation of impairments and reversals of impairments. With the support of internal valuation experts, we verified the discounted cash flow valuation model, particularly its mathematical accuracy, the composition of the carrying amounts of the assets assigned as well as the discount rates used. We verified the individual components used to determine the discount rate with the support of our internal valuation experts by analyzing the peer group, comparing market data with external evidence and examining the mathematical accuracy of the calculation.

For a deliberately selected sample of DOS, we verified the composition of the carrying amounts and of the amortized cost of the assets allocated. We checked on a test basis that the planning assumptions used in the detailed forecasts of each of the DOS are in line with the business plan of the Company passed by the Managing Board and approved by the Supervisory Board. We also verified the retail growth rates applied for the remaining useful lives of the DOS and the development of fixed costs used to roll forward the budget by comparing internal and external data. We also analyzed the forecasts of individual DOS with regard to the future development derived from findings in the past, discussed these with the Company's executive directors with regard to sensitivity, obtained evidence substantiating the individual assumptions of the forecasts and verified this in light of the effects of the COVID-19 pandemic.

Where the fair value was used for distributing the impairment loss and not the value in use, we reconciled the calculation with the internal and external data obtained by the Company and verified the calculation based on the assumptions, taking into account the effects of the COVID-19 pandemic.

We also examined the completeness of the disclosures in the notes to the consolidated financial statements.

Our audit procedures regarding the impairment testing of the fixed assets assigned to the DOS by the Company did not lead to any reservations.

Reference to related disclosures in the consolidated financial statements:

The disclosures by the Company on the impairment testing of the fixed assets assigned to the DOS can be found on pages 160 and 178 et seq. of the notes to the consolidated financial statements.

2) Measurement of inventories

Reasons why the matter was determined to be a key audit matter:

HUGO BOSS is active in the high-end segment of the fashion and apparel industry and is confronted with continuously changing customer demand. A rapidly changing market leads to increased inventory risks and uncertainty in the measurement of inventories, particularly during the COVID-19 pandemic.

In particular, the calculation of the write-down rates using the Company's IT-supported write-down procedure as well as, where necessary, the calculation of additional manual write-downs which are not taken into account in this write-down procedure, require the executive directors of the Company to exercise judgment, particularly during the COVID-19 pandemic.

The measurement of inventories was a key audit matter due to the judgment exercised.

Auditor's response:

In our audit, we first examined the procedures established by the Company's executive directors for determining write-downs recognized for slow-moving goods and assessed the effectiveness of the controls implemented in this process.

We verified the suitability of the IT-supported write-down procedure for the assessment of inventory risks resulting from range, saleability, and net realizable value, also in light of current developments due to the COVID-19 pandemic. We assessed the system-based implementation of the write-down procedure in IT with the assistance of internal IT experts, mainly verifying the consistency of the parameters with those used in prior years. If there were any changes in the write-down procedure in the current year, we examined the reasons and their implementation. We further assessed the write-down rates used by the Company based on past experience and taking into account the effects of the COVID-19 pandemic regarding current sales planning through analytical comparisons with the write-downs applied for each country in prior years. We compared the computational logic of the model with the accounting policies used by the Company and arithmetically verified it on a test basis.

We discussed additional manual adjustments, which are not taken into account in this write-down procedure, with the Company's executive directors, particularly in light of the effects of the COVID-19 pandemic, verified their data basis and calculation as well as obtained supportive evidence from specialist departments and performed further substantive audit procedures.

Our audit did not lead to any reservations concerning the measurement of inventories of the Company.

Reference to related disclosures in the consolidated financial statements:

The disclosures by the Company on the measurement of inventories can be found in the notes to the consolidated financial statements on pages 161 and 184 et seq.

3) Recognition and assessment of deferred tax assets and other tax receivables

Reasons why the matter was determined to be a key audit matter:

Tax issues are highly complex due to country-specific tax regulations and are subject to the exercise of judgment with regard to the enforceability of tax receivables as well as the existence of future taxable income. The recoverability of deferred tax assets from temporary differences and unused tax losses is based on the assessment of usability in the future through future taxable income, especially in light of losses actually incurred due to the COVID-19 pandemic. The recognition and recoverability of other tax receivables depends to a large extent on the Company's assessment with respect to the enforceability of the underlying issues.

Auditor's response:

Due to the complexity of the tax calculations taking into account the local tax regulations and legislation, we consulted internal tax experts for the assessment of deferred tax assets and other tax receivables. These internal tax experts supported us in the assessment of the underlying regulations and enforceability of tax receivables.

To assess the recoverability of deferred tax assets resulting from temporary differences as well as from unused tax losses, we examined whether the existing tax forecasts were suitably derived from the business plan of the Company approved by the Managing Board and Supervisory Board. In addition, we discussed with the Company the significant assumptions of the tax forecasts in particular the future tax income situation for the companies in the countries Germany, USA, Belgium, Taiwan, Malaysia, South Korea and Hong Kong and taking into account the current loss situation and the effects of the COVID-19 pandemic and evaluated these regarding their appropriateness. Furthermore, we confirmed the assumptions of the tax planning of the individual entities based on the taxable income generated in the past and the implemented transfer pricing system.

Our audit procedures did not lead to any reservations regarding the recognition and measurement of deferred tax assets and other tax receivables.

Reference to related disclosures in the consolidated financial statements:

The disclosures by the Company on the recognition and assessment of deferred tax assets and other tax receivables can be found in the notes to the consolidated financial statements on pages 169 and 179 et seq.

4) Accounting treatment of rental and lease agreements

Reasons why the matter was determined to be a key audit matter:

The Group uses rental and lease agreements to a considerable extent for the rental and leasing of directly operated stores. The entire contract portfolio is subject to a high degree of changes on an annual basis with regard to contract adjustments, extensions, terminations and conclusions.

Recognition and measurement pose significant risks regarding the complete identification and correct recognition of contracts containing leases, in particular related to contractual changes and rent concessions made in connection with the COVID-19 pandemic.

The accounting treatment of the rental and lease agreements was a key audit matter due to materiality as well as the risks exercised in their recognition and measurement.

Auditor's response:

In a walkthrough we examined the process established by HUGO BOSS for the complete and appropriate recognition of contractual changes and the conclusion of contracts as well as the calculation of the value of the right-of-use assets capitalized.

We evaluated the additions and the development of the recognized rights of use and the lease liabilities as of 31 December 2020. For new contracts and changes in 2020, we used a statistical sample to assess the approach to recognizing a lease within the meaning of IFRS 16 and compared the relevant data in the rental and lease agreements with the calculation of the right-of-use assets. Furthermore, we verified the calculation of the value of the right-of-use assets, lease liabilities as well as depreciation and interest expenses. In addition, we examined the completeness of the recognized leases using a sample from the total population, comprising the significant contract changes and new contracts from 2020. Moreover, we audited the correct accounting treatment of the rent concessions granted in light of the COVID-19 pandemic.

We also examined the completeness of the disclosures in the notes to the consolidated financial statements.

Our audit procedures did not lead to any reservations relating to the accounting for rental and lease agreements.

Reference to related disclosures in the consolidated financial statements:

The disclosures by the Company on the accounting treatment of rental and lease agreements can be found in the notes to the consolidated financial statements on pages 161 and 176 et seq.

Other information

The Supervisory Board is responsible for the report of the Supervisory Board. The executive directors and the Supervisory Board are responsible for the declaration pursuant to Sec. 161 AktG [“Aktiengesetz”: German Stock Corporation Act] on the German Corporate Governance Code, which is part of the declaration of corporate governance. In all other respects, the executive directors are responsible for the other information. The other information comprises the disclosures contained in chapter 1 and 5 (with the exception of the independent auditor’s report) as well as chapter 3 of the corporate governance report and the corporate governance declaration, the section “Non-financial statement” contained in the group non-financial statement of the group management report as well as the statement on corporate governance pursuant to Sec. 315d HGB published on the Company’s website as part of the group management report and referenced in the management report. We received a version of this other information prior to issuing this independent auditor’s report.

Our opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report or our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the executive directors and the supervisory board for the consolidated financial statements and the group management report

The executive directors are responsible for the preparation of consolidated financial statements that comply, in all material respects, with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group’s ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group’s position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The Supervisory Board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Sec. 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of these systems.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.

- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with [German] law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, the related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other legal and regulatory requirements

Report on the assurance in accordance with Sec. 317 (3b) HGB on the electronic reproduction of the consolidated financial statements and the group management report prepared for publication purposes

Opinion

We have performed assurance work in accordance with Sec. 317 (3b) HGB to obtain reasonable assurance about whether the reproduction of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the attached electronic file HugoBoss_AG_KA+KLB_ESEF-2020-12-31.zip and prepared for publication purposes complies in all material respects with the requirements of Sec. 328 (1) HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance only extends to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained in this reproduction nor to any other information contained in the abovementioned electronic file.

In our opinion, the reproduction of the consolidated financial statements and the group management report contained in the abovementioned attached electronic file and prepared for publication purposes complies in all material respects with the requirements of Sec. 328 (1) HGB for the electronic reporting format. We do not express any opinion on the information contained in this reproduction nor on any other information contained in the abovementioned file beyond this reasonable assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying group management report for the fiscal year from January 1, 2020 to December 31, 2020 contained in the "Report on the audit of the consolidated financial statements and of the group management report" above.

Basis for the opinion

We conducted our assurance work on the reproduction of the consolidated financial statements and the group management report contained in the abovementioned attached electronic file in accordance with Sec. 317 (3b) HGB and Exposure Draft of IDW Assurance Standard: Assurance in Accordance with Sec. 317 (3b) HGB on the Electronic Reproduction of Financial Statements and Management Reports Prepared for Publication Purposes (ED IDW AsS 410) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibilities under that standard are further described in the "Group auditor's responsibilities for the assurance work on the ESEF documents" section. Our audit firm applied the standards for the quality assurance system set forth in IDW Quality Control Standard: "Anforderungen an die Qualitätssicherung in der Wirtschaftsprüferpraxis" [Requirements for Quality Control in the Practice of Public Auditors] (IDW QS 1).

Responsibilities of the executive directors and the Supervisory Board for the ESEF documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic reproduction of the consolidated financial statements and the group management report in accordance with Sec. 328 (1) Sentence 4 No. 1 HGB and for the tagging of the consolidated financial statements in accordance with Sec. 328 (1) Sentence 4 No. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of Sec. 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error.

The executive directors of the Company are also responsible for the submission of the ESEF documents together with the auditor's report and the attached audited consolidated financial statements and the audited group management report as well as other documents to be published to the operator of the Bundesanzeiger [German Federal Gazette].

The supervisory board is responsible for overseeing the preparation of the ESEF documents as part of the financial reporting process.

Group auditor's responsibilities for the assurance work on the ESEF documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of Sec. 328 (1) HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the engagement. We also:

- Identify and assess the risks of material non-compliance with the requirements of Sec. 328 (1) HGB, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of Delegated Regulation (EU) 2019/815, in the version valid as of the reporting date, on the technical specification for this electronic file.
- Evaluate whether the ESEF documents enable an XHTML reproduction with content equivalent to the audited consolidated financial statements and to the audited group management report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) enables an appropriate and complete machine-readable XBRL copy of the XHTML reproduction.

Further information pursuant to Art. 10 of the EU Audit Regulation

We were elected as auditor of the consolidated financial statements by the Annual Shareholders' Meeting on 27 May 2020. We were engaged by the Supervisory Board on 27 July 2020. We have been the group auditor of HUGO BOSS AG without interruption since fiscal year 2012.

We declare that the opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Art. 11 of the EU Audit Regulation (long-form audit report).

German Public Auditor responsible for the engagement

The German Public Auditor responsible for the engagement is Mr. Peter Werling.

Stuttgart, 9 March 2021

Ernst & Young GmbH
Wirtschaftsprüfungsgesellschaft

Werling	Störzinger
Wirtschaftsprüfer	Wirtschaftsprüfer
[German Public Auditor]	[German Public Auditor]

INDEPENDENT AUDITOR'S LIMITED ASSURANCE REPORT

The assurance engagement performed by Ernst & Young (EY) relates exclusively to the German PDF version of the combined non-financial statement 2020 of HUGO BOSS AG. The following text is a translation of the original German Independent Assurance Report.

To HUGO BOSS AG, Metzingen

We have performed a limited assurance engagement on the non-financial statement of HUGO BOSS AG according to § 289b HGB ("Handelsgesetzbuch": German Commercial Code), which is combined with the non-financial statement of the group according to § 315b HGB, consisting of the chapter "Combined non-financial statement" as well as the chapter "Business Activities and Group Structure" in the combined management report being incorporated by reference for the reporting period from 1 January 2020 to 31 December 2020 (hereafter combined non-financial statement). Our engagement did not include other references to information outside the combined non-financial statement as well as disclosures for prior years.

Management's responsibility

The legal representatives of the Company are responsible for the preparation of the combined non-financial statement in accordance with §§ 315c in conjunction with 289c to 289e HGB.

This responsibility includes the selection and application of appropriate methods to prepare the combined non-financial statement as well as making assumptions and estimates related to individual disclosures, which are reasonable in the circumstances. Furthermore, the legal representatives are responsible for such internal controls that they have considered necessary to enable the preparation of a combined non-financial statement that is free from material misstatement, whether due to fraud or error.

Auditor's declaration relating to independence and quality control

We are independent from the Company in accordance with the provisions under German commercial law and professional requirements, and we have fulfilled our other professional responsibilities in accordance with these requirements.

Our audit firm applies the national statutory regulations and professional pronouncements for quality control, in particular the by-laws regulating the rights and duties of Wirtschaftsprüfer and vereidigte Buchprüfer in the exercise of their profession [Berufssatzung für Wirtschaftsprüfer und vereidigte Buchprüfer] as well as the IDW Standard on Quality Control 1: Requirements for Quality Control in audit firms [IDW Qualitätssicherungsstandard 1: Anforderungen an die Qualitätssicherung in der Wirtschaftsprüferpraxis (IDW QS 1)].

Auditor's responsibility

Our responsibility is to express a limited assurance conclusion on the combined non-financial statement based on the assurance engagement we have performed.

We conducted our assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements other than Audits or Reviews of Historical Financial Information, issued by the International Auditing and Assurance Standards Board (IAASB). This Standard requires that we plan and perform the assurance engagement to obtain limited assurance about whether the combined non-financial statement of the Company has been prepared, in all material respects, in accordance with §§ 315c in conjunction with 289c to 289e HGB. In a limited assurance

engagement the assurance procedures are less in extent than for a reasonable assurance engagement and therefore a substantially lower level of assurance is obtained. The assurance procedures selected depend on the auditor's professional judgment.

Within the scope of our assurance engagement, which has been conducted between December 2020 and March 2021, we performed amongst others the following assurance and other procedures:

- Inquiries of employees regarding the selection of topics for the combined non-financial statement, the risk assessment and the concepts of HUGO BOSS for the topics that have been identified as material,
- Inquiries of employees responsible for data capture and consolidation as well as the preparation of the combined non-financial statement, to evaluate the reporting processes, the data capture and compilation methods as well as internal controls to the extent relevant for the assurance of the combined non-financial statement,
- Identification of likely risks of material misstatement in the combined non-financial statement,
- Inspection of relevant documentation of the systems and processes for compiling, aggregating and validating data in the relevant areas, e.g. human rights and labor standards in production, in the reporting period and testing such documentation on a sample basis,
- Analytical evaluation of disclosures in the combined non-financial statement at parent company and group level,
- Inquiries and inspection of documents on a sample basis relating to the collection and reporting of selected data,
- Evaluation of the presentation of disclosures in the combined non-financial statement.

Assurance conclusion

Based on our assurance procedures performed and assurance evidence obtained, nothing has come to our attention that causes us to believe that the combined non-financial statement of HUGO BOSS AG for the period from 1 January 2020 to 31 December 2020 has not been prepared, in all material respects, in accordance with §§ 315c in conjunction with 289c to 289e HGB.

Intended use of the assurance report

We issue this report on the basis of the engagement agreed with HUGO BOSS AG. The assurance engagement has been performed for the purposes of the Company and the report is solely intended to inform the Company as to the results of the assurance engagement and must not be used for purposes other than those intended. The report is not intended to provide third parties with support in making (financial) decisions.

Engagement terms and liability

The "General Engagement Terms for Wirtschaftsprüfer and Wirtschaftsprüfungsgesellschaften [German Public Auditors and Public Audit Firms]" dated 1 January 2017 are applicable to this engagement and also govern our relations with third parties in the context of this engagement (www.de.ey.com/general-engagement-terms). In addition, please refer to the liability provisions contained there in no. 9 and to the exclusion of liability towards third parties. We assume no responsibility, liability or other obligations towards third parties unless we have concluded a written agreement to the contrary with the respective third party or liability cannot effectively be precluded.

We make express reference to the fact that we do not update the assurance report to reflect events or circumstances arising after it was issued unless required to do so by law. It is the sole responsibility of anyone taking note of the result of our assurance engagement summarized in this assurance report to decide whether and in what way this result is useful or suitable for their purposes and to supplement, verify or update it by means of their own review procedures.

Munich, 9 March 2021

Ernst & Young GmbH
Wirtschaftsprüfungsgesellschaft

Richter	Johne
Wirtschaftsprüferin	Wirtschaftsprüferin
[German Public Auditor]	[German Public Auditor]

GENERAL INFORMATION

The performance of HUGO BOSS is best reflected in the consolidated financial statements. Like many other companies, HUGO BOSS has refrained from including the figures from the separate financial statements of the parent company HUGO BOSS AG in this report for the sake of clarity of presentation. These statements, which continue to be prepared in accordance with the German Commercial Code (HGB), are published on the company's website at group.hugoboss.com.

FORWARD-LOOKING STATEMENTS

This document contains forward-looking statements that reflect management's current views with respect to future events. The words "anticipate," "assume," "believe," "estimate," "expect," "intend," "may," "plan," "project," "should," and similar expressions identify forward-looking statements. Such statements are subject to risks and uncertainties. If any of these or other risks or uncertainties occur, or if the assumptions underlying any of these statements prove incorrect, then actual results may be materially different from those expressed or implied by such statements. HUGO BOSS does not intend or assume any obligation to update any forward-looking statement, which speaks only as of the date on which it is made.

TEN-YEAR-OVERVIEW

	2020 ¹	2019 ²	2018	2017	2016	2015	2014	2013	2012	2011
Net sales (in EUR million)	1,946	2,884	2,796	2,733	2,693	2,809	2,572	2,432	2,346	2,059
Net sales by segments										
Europe incl. Middle East and Africa	1,231	1,803	1,736	1,681	1,660	1,683	1,566	1,457	1,378	1,245
Americas	308	560	574	577	582	671	587	570	559	455
Asia/Pacific	343	438	410	396	382	393	361	347	353	309
Licenses	64	84	76	79	69	62	58	58	56	50
Net sales by distribution channel										
Group's own retail business	1,279	1,869	1,768	1,732	1,677	1,689	1,471	1,314	1,150	924
Wholesale	603	931	952	922	947	1,058	1,043	1,060	1,140	1,085
Licenses	64	84	76	79	69	62	58	58	56	50
Results of operations (in EUR million)										
Gross profit	1,187	1,875	1,823	1,808	1,777	1,853	1,699	1,580	1,444	1,252
Gross profit margin in %	61.0	65.0	65.2	66.2	66.0	66.0	66.1	64.9	61.6	60.8
EBIT	(236) ³	344	347	341	263	448	449	456	432	395
EBIT margin in %	(12.1) ⁴	11.9	12.4	12.5	9.8	15.9	17.4	18.7	18.4	19.1
EBITDA	230	707	476	499	433	590	572	561	524	468
Net income attributable to equity holders of the parent company	(219) ⁵	205	236	231	194	319	333	329	307	285
Net assets and liability structure as of December 31 (in EUR million)										
Trade net working capital	491	528	537	459	524	528	503	432	409	400
Non-current assets	1,516	1,713	686	662	752	765	660	612	588	503
Equity	760	1,002	981	915	888	956	844	740	632	517
Equity ratio in %	30	35	53	53	49	53	51	49	40	36
Total assets	2,570	2,877	1,858	1,720	1,799	1,800	1,662	1,501	1,577	1,420
Financial position and dividend (in EUR million)										
Free cash flow	164	457	170	294	220	208	268	230	221	195
Net financial liabilities (as of December 31)	1,004	1,040	22	7	113	82	36	57	130	149
Capital expenditure	80	192	155	128	157	220	135	185	166	108
Depreciation/amortization	465 ⁶	362	129	158	169	142	123	105	92	73
Total leverage (as of December 31) ⁷	(6.7)	0.2	0.0	0.0	0.2	0.1	0.1	0.1	0.2	0.3
Amount distributed	3 ⁸	3 ⁹	186	183	179	250	250	231	215	199
Additional key figures										
Employees (as of December 31) ¹⁰	13,759	14,633	14,685	13,985	13,798	13,764	12,990	12,496	11,852	11,004
Personnel expenses (in EUR million)	570	640	629	604	605	563	514	483	450	374
Number of Group's own retail stores	1,157	1,113	1,092	1,139	1,124	1,113	1,041	1,010	840	622
Shares (in EUR)										
Earnings per share										
Ordinary share	(3.18) ¹¹	2.97	3.42	3.35	2.80	4.63	4.83	4.77	4.44	4.12
Preferred share	–	–	–	–	–	–	–	–	–	4.13
Dividend per share										
Ordinary share	0.04 ⁸	0.04 ⁹	2.70	2.65	2.60	3.62	3.62	3.34	3.12	2.88
Preferred share	–	–	–	–	–	–	–	–	–	2.89
Last share price (as of December 31)										
Ordinary share	27.29	43.26	53.92	70.94	58.13	76.60	101.70	103.50	79.80	55.19
Preferred share	–	–	–	–	–	–	–	–	–	56.90
Number of shares (as of December 31)										
Ordinary share	70,400,000	70,400,000	70,400,000	70,400,000	70,400,000	70,400,000	70,400,000	70,400,000	70,400,000	70,400,000
Preferred share	0	0	0	0	0	0	0	0	0	34,540,000

¹ Including non-cash impairment charges in the amount of EUR 110 million related to the negative impact of COVID-19 on the Group's retail business.

² The application of IFRS 16 in fiscal year 2019 partially limits the comparability of some performance indicators towards the prior-year figures.

Additional information on the first-time application of IFRS 16 are presented in the Annual Report 2019.

³ Excluding non-cash impairment charges, EBIT amounted to minus EUR 126 million.

⁴ Excluding non-cash impairment charges, EBIT margin amounted to (6.5)%.

⁵ Excluding non-cash impairment charges, net income amounted to minus EUR 131 million.

⁶ Excluding non-cash impairment charges, depreciation and amortization amounted to EUR 355 million.

⁷ Net financial liabilities/EBITDA excluding the impact of IFRS 16.

⁸ In light of the very challenging nature of fiscal year 2020 as well as the persisting high uncertainty with regard to the further development of the pandemic, the Managing Board and Supervisory Board of HUGO BOSS intend to propose to the Annual Shareholders' Meeting to only pay the legal minimum dividend of EUR 0.04 per share.

⁹ 2019: Against the backdrop of the negative implications of the pandemic, HUGO BOSS suspended its dividend payment for fiscal year 2019, with the exception of the legal minimum dividend of EUR 0.04 per share.

¹⁰ Full-time equivalent (FTE).

¹¹ Excluding non-cash impairment charges, EPS amounted to minus EUR 1.90.

CONTACTS

Investor Relations

Phone +49 7123 94–80903

Email investor-relations@hugoboss.com

Christian Stöhr

Senior Head of Investor Relations and Corporate Communications

Phone +49 7123 94–87563

Email christian_stoehr@hugoboss.com

Carolin Westermann

Head of Corporate Communication

Phone +49 7123 94–86321

Email carolin_westermann@hugoboss.com

LEGAL NOTICE

HUGO BOSS AG

Dieselstraße 12
72555 Metzingen

Phone +49 7123 94–0

www.hugoboss.com

Release date

Thursday, March 11, 2021

Conception and Design

nexxar GmbH, Vienna
www.nexxar.com

Photos

Andreas Pohlmann

English Translation

SDL Multilingual Services GmbH, Stuttgart, Germany

FINANCIAL CALENDER 2021

March 11, 2021	Full Year Results 2020, Press conference as well as conference call for financial analysts and investors
May 5, 2021	First Quarter Results 2021
May 11, 2021	Annual Shareholders' Meeting
August 4, 2021	Second Quarter Results 2021 & First Half Year Report 2021
November 4, 2021	Third Quarter Results 2021